

GHCL (GHCL)

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Call: Aug 2022

GHCL Limited
August 2, 2022
National Stock Exchange of India
Limited

"Exchange Plaza"

Bandra -Kurla Complex,
Sandra (E), Mumbai -400 051
NSE Code: GHCL

Dear Sir I Madam, ~ --J'Cf(>I"q"af -t:hn:ft
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BSE Limited

Corporate Relationship Department,
pt Floor, New Trading Ring, Rotunda Building,
P.J. Towers,

Dalal Street, Fort, Mumbai -400 001
BSE Code: 500171

Subject: Filing of Transcript regarding Investors' conference held on July 28,
2022

In continuation to our earlier communication dated July 25, 2022 and July 28, 2022
regarding Investors ' conference on July 28, 2022 and pursuant to requirement of
Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we are pleased to attach copy of the transcript regarding said
Investors' conference held with the management on July 28, 2022 for your reference
and record.

Please note that copy of this intimation is also available on the website of BSE Limited
(www.bseindia.com/corporates), National Stock Exchange of India Limited
(www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

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.Bhuwneshwar Mishra

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"GHCL Limited

Q1 FY2023 Earnings Conference Call"

July 28, 2022

ANALYST : MR. AYUSH CHATURVEDI - EMKAY GLOBAL
FINANCIAL SERVICES

MANAGEMENT : MR. R S JALAN - MANAGING DIRECTOR – GHCL
LIMITED

MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR (FINANCE) – GHCL LIMITED

GHCL Limited
July 28, 2022

Conference Call. We have with us today, Mr. R S Jalan - Managing Director and Mr. Raman Chopra - CFO & Executive Director (Finance) . This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ayush Chaturvedi from Emkay Global Financial Services . Thank you, and over to you, Sir!

Ayush Chaturvedi : Good evening everyone. I hope everyone is doing great . I would like to welcome the management and thank them for this opportunity. So, I shall now hand over to Mr. Jalan for the opening remarks. Over to you, Sir! Thanks a lot.

R S Jalan : Thank you, Ayush . Good afternoon everyone and welcome to the GHCL's earning call for the first quarter ended June 30, 2022. For this call, I am accompanied by our CFO, Raman along with Manu and Abhishek. Our results and the analyst presentation had been uploaded on the stock exchange and the company's website.

I will share my thoughts on the soda ash industry. In the first quarter demand has remained good driven by glass industry with additional demand coming from the solar glass and lithium carbonate user segment. Supply is constrained by several sectors such as high energy prices, disruption in the supply of

natural gas to EU market and Russian Ukraine

situation. Imports into India remained low compared to last few years and going forward we believe that this demand and supply scenario shall continue. No significant capacity addition is coming up in near future.

However, we are watchful of any adverse development such as a recession scenario impacting demand or cost inflation putting pressure on margins. Prices have remained firm and we have taken price increases thus absorbing the higher input costs resulting into better margins. Our focus is on growth initiative such as product basket expansion, cost

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Page 3 of 20 leadership , governance, digitization, sustainability, differentiation, initiatives and HR & leadership. Now coming to the textile business , there is a slowdown in demand from various end user segments. Prices for both cotton and yarn have started to correct from peak and is expected to further correct in the near future.

Outlook for the cotton crop looks good as there is an indication of increased sowing in certain areas. We expect the next few months shall be challenging and the business will again gather positive momentum from FY2023-FY2024. Moving on to the de-merger of our textile business, we have received an order from honorable NCLT to conduct a meeting of unsecured creditors as well as the shareholders on August 18, 2022. With this positive development we shall be one step closer to complete the process by third quarter of this year.

In the textile business we had a fantastic journey in the last 20 years. Our revenue has grown by 15% CAGR to now to 1000 Crores and EBITDA by 31% CAGR, our average EBITDA margin in the last twenty years 16%. Our focus going forward is on value added segments. This will result in the margin expansion by 3% to 4%. we are also focus on green energy , product basket expansion and 20% volume growth every two years. I will now hand over to Raman and request him to share the financial performance of our company for the first quarter.

Raman Chopra : Thank you very much, Jalan , Sir. Good evening everyone and a very warm welcome to all of you in our earning call. I am going to share the financial highlights and segmental performance for the quarter ended June 30, 2022. Revenue for the quarter came in at Rs.1371 Crores as compared to 699 Crores in the corresponding quarter of last year. This is growth of 96% on year-on-year basis and on sequential basis revenue increased by 7% from Rs.1279 Crores in Q4 of FY2022. EBITDA for the quarter stood at 429 Crores, which has significantly increased by 169% from 159 Crores in Q1 of FY2022 and by 4% from 411 Crores in Q4 of FY2022. This represents an EBITDA margin of 31.3% for the current quarter compared to 22.8% in the similar quarter of corresponding quarter of last year and 32.1% in Q4 of FY2022.

Profit after tax for the quarter stood at Rs.339 Crores as compared to Rs.85 Crores Q1 FY2022 and Rs.244 Crores in Q4 FY2022. PAT includes one time gain of Rs.52 Crores on an account of HT business divestment , which is reported under exceptional items. This

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Page 4 of 20 demonstrates a very strong performance across all the financial parameters due to strong momentum in the underlying business. Let me now share the segmental perspective.

In the inorganic chemicals segment, revenue came in at Rs.1096 Crores. This is higher by 108% compared to 527 Crores in the corresponding quarter of last year and by 10% for Q4 FY2022. EBITDA for the quarter stood at 364 Crores, which translates into EBITDA margin of 33.2%. This is up by 12% from Q1 of last year and slightly down by 0.5% from Q4 FY2022 mainly due to the impact of trading activities. Our EBITDA per ton has increased by 13% on sequential basis. The reason for this strong performance in soda ash business is mainly due to price increases undertaken

in the last few months. This has

adequately covered the increase in energy and other raw material cost. We expect the higher realization to continue in the next quarter as well.

Moving on to the textile business, revenue for the current quarter stood at 275 Crores as compared to 172 Crores in the corresponding quarter of last year and 278 Crores in Q4 FY2022. This translates into a growth of 16% on year-on-year basis and just down by 1% on a sequential basis. EBITDA for the quarter stood at 65 Crores, which has increased from 48 Crores in the same quarter of last year. This translates into EBITDA margin of 23.5% for the current quarter. The impact of price correction in cotton and yarn will be felt in coming quarters. For the quarter, we generated a cash flow after tax of 407 Crores, during the quarter we have paid a dividend of 143 Crores and we have repaid a debt of Rs.213 Crores and our gross debt at the end of the quarter has reduced to 572 Crores as compared to 785 Crores at the end of FY2022. This represents a net debt to equity ratio of 0.16 times. With this I conclude my remarks and I would now request the moderator to open the forum for question and answers. Thank you very much.

Moderator : Thank you. We will now begin the question and answer session. We have a first question from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha : Thank you for taking my question and congratulations for a very good set of numbers. So just few things on the pricing of soda ash, how much the overall realization growth was there in this quarter and going forward how we are seeing this as you have already said that prices are likely to remain firm, however, the prices are largely dependent upon the demand and input prices, so how the input prices are looking as of now with lot of commodity prices started correcting, so do you see any sort of price stability in overall soda ash prices?

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Page 5 of 20 R S Jalan : Yes, Rohit, you rightly said, overall we have taken price realization of around 80%, even in this quarter also we have taken two price increases and as per my understanding these prices have to remain firm at least for the next two to three quarters I am very clear the prices are going to be very firm, globally also I am not seeing any major supply coming in from any part of the world and that will also keep the prices of soda ash firm. Second, it is also very important that even the rupee-dollar as you know rupee-dollar, dollar has appreciated that also will help the prices to remain firm.

Rohit Sinha : Okay and in terms of demand and as we are talking about slow movement across the world and even this kind of inflationary pressure, which we are talking about so are we seeing any sort of demand mainly particularly industry as such or it is still we are in the healthy track?

R S Jalan : See, in terms of the demand if I can say for global scenario I am not seeing any contraction in the demand scenario primarily because this industry are the solar investments and the lithium these are the two things, which are definitely increasing the demand significantly that is number one, secondly in India one of the unique advantage is that because of the very global demanding farm we will not see a lot of lithium is coming into India whereas earlier around 23% of the demand was met from the imports, now that figure has gone down to around 13% and we do not see in the near future US or the China and some of the European countries also they are not seeing a lot of metal coming into India that is number one, second as you know Russia and Ukraine also has the soda ash and the material was coming from Russia and Ukraine also to India that has also stopped, so overall I personally believe that I do not see any major demand coming down or supply is also going to be restricted going forward also.

Rohit Sinha

: And we will be able to maintain this kind of margin for at least few quarters going forward?

R S Jalan : I think so.

Rohit Sinha : Right and just last question on this exceptional which we have got from the sale of the business, so I think all adjustments have been done from next quarter I think we do not see any exceptional numbers, correct?

R S Jalan : Yes, still there are only some amount there and the final payment of all dealers in that, right.

Rohit Sinha : That is all from my side. Thank you.

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Page 6 of 20 Moderator : Thank you. We have the next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : Thanks for the opportunity and congrats on a very good set of numbers. Sir, first question is generally, how the demand supply dynamics is behaving globally, if you could just let us know because you rightly pointed out that the imports to India have come down and that has certainly helped us, but how the overall situation across different geographies, how it is behaving currently as per your assessment, thank you?

R S Jalan : See, Rohit, first and foremost I just want to highlight here because very valid question you have raised, if you look at last month, if you look at last many years, this is an unique industry where demand and supply had been largely has been very balanced because I have a data of last 15 to 20 years and you can see that the demand and supply had almost gone hand to hand, so we have not seen a very large supply or the demand coming down because of that situation, the second data which validates this again it is very important if you look at the soda ash pricing, in the last 15 years soda ash prices has not gone down by one or two years, in 15 to 17 years, the soda ash prices has always been on the upside that is number two, number three the cost soda ash margin per ton has moved very significantly in last 16 to 17 years, year after year and a very bigger margin in this business has been very consistent with ranging between 32%, 35%, 37%, only the gap between these two is around 5% to 7%, and the last which is also very important is, we have done an analysis that whether the soda ash follow the commodity cycle, the soda ash does not follow the commodity cycle. We have captured this with the coal or with the metal or with many other commodities and we have seen there is no correlation between these two even if the raw material prices had gone down, so that Soda ash prices has not gone down, so in the way what I am saying Rohit is, overall if you look at all these things I generally say that soda ash is not a commodity, it does not correlate with any of the commodity or any of the raw material. Now coming back to your specific question on demand dynamics, today if you look at the US it was approximated on 13 to 14 million of the production, there are natural marketing more on their own market and there is South America, yes, some volume was coming from the south east Asia and Middle East, now that volume has been almost like a consistent, the demand in the US has gone up, in the South America this demand has gone up very significantly, so therefore, the volume coming into this part of this, and even India used to get around 200000 tons of that soda ash from that market that is now absolutely zero. Similarly, China if you look at one of the plant of 1.5 million stop with no new intensity coming there and their demand because of the solar investment the demand is also

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Page 7 of 20 grown, so their presence also into the other part of the world has also gone down. Europe again balanced, so overall if you look at in globe and if you look at in totality the India used to get something around 800000 to 900000 tons of the volume, now that figure is not more than 5 to 6 lakhs ton, but that way what I was saying is that, we do not

see next two years,

we do not see any major capacity coming in any part of the world maybe in 2025, 2026 some volume will be coming in the China, which is a Mongolian plant or some volume may be coming in the US plant, but this growth of even 2% in global scenario will require around 1.2 million tons of extra production required, so we personally believe that in the next two years we do not see any major, this balance in the demand supply situation, I hope I was able to answer your question.

Rohit Nagraj : Yes, Sir, this was quite elaborate. Sir, the second question is, what is the status update on our project and generally speaking for a synthetic Greenfield expansion I think for us we have indicated that it will take about three years so somebody got to go for expansion for the natural soda ash, what is the time difference for both the things, thank you?

R S Jalan : See, Rohit, if you look at the natural soda ash, natural soda ash is only possible in the some part of the world like I said some part in the Mongolia, which they are exploring that, Turkey is another and you have in the US, like in Africa one plant is there, if somebody wants to come with the new Greenfield for the natural plant that also will take almost the same time frame except one which is the land acquisition and more particularly in the Indian space land acquisition itself take a lot of time so that could be differentiated between the Green field and also natural soda ash versus the synthetic soda ash, otherwise the target will remain the same, in our Greenfield project, again in the same land acquisition we are working on that, but still I would say we are not able to close everything on that footprint, so that kind of a hindrance definitely

in Indian space is there acquisition, I hope I answered that.

Rohit Nagraj : Yes, Sir, thank you so much and best of luck, Sir.

Moderator : Thank you. We have the next question from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor : Thank you for this opportunity and congratulations for a very steady set of numbers. Rohit you mentioned about margins being lowered because of trading aspect, could you clarify more on the same, Sir?

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Page 8 of 20 Raman Chopra : Yes, because in our inorganic chemicals we definitely undertake some trading activity on the chemical side and the trading generates for a year almost 200 Crores of top line on which we will make around 2% to 3% margin these are where we use in our existing I would say leverage our existing marketing infrastructure and last year of Q4 we had almost 76 Crores of trading volume and almost 2.5 Crores profit this quarter because of a large volatility we have a 108 Crores top line with a break even kind of situation, so that has basically impacted the margin, on an inorganic chemical if you look at there is a slight drop in the margin, but if you look at soda ash globally the margins even in terms of the percentage also have remained more or less the same or slightly increased during this quarter.

R S Jalan : I just want to highlight here what Raman had said if you look at in terms of the percentage remains the same, but if you look at the per ton it is significantly higher compared to before.

Raman Chopra : I already said in my speech there it has gone up by almost 13% and the second point again that the January, March is a peak quarter for everything because being the winter season the production is also higher and cost of raw material is also on the lower side, so in spite of that we have been able to maintain the percentage margin.

Saket Kapoor : Sir, what had been utilization level for the first quarter?

R S Jalan : You know like Raman has already said that 13% margin per ton has gone up and there is as I said primarily because of higher realization as compared to last quarter we have taken almost around two price increase

and that has really helped us to increase our EBITDA per ton.

Saket Kapoor : It was applicable in the utilization level, what have been the utilization levels currently for the first quarter?

R S Jalan : During peak, Mr. Saket, we are almost at the utilization, the good thing is that first I would say that in our last many years that in this season also our utilization is excellent.

Saket Kapoor : Okay, I think the last time you mentioned about one lakh per ton required production in numbers were given by you, so that one lakh per ton for a month was repeated for any time in this quarter?

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Page 9 of 20 R S Jalan : Almost closer to that.

Saket Kapoor : Sir, coming to the point of the raw material basket, you spoke and elaborate on how the dynamics of soda ash industry is currently poised and as per your understanding was it is a tight market, I think the raw material prices, coal and all have been started trending lower, so how is the raw material basket currently shape and do we foresee any incremental increase in margins on an account of softening of these raw material prices going ahead and also on the chart in the integration part I think you were on the verge of some contacts which you were envisaging earlier?

R S Jalan : Two things, Mr. Saket, on the salt side which I had mentioned last time also that the process is obviously the benefit of that I had said in the past call also that the benefit of that will be seen in the next year because the crop season starts from January, March onwards, so the benefit of that, uses of that will be next year that is number one, second in terms of the softening of that raw material prices if you look at the salt prices, the salt prices up till now is not soften, but people are expecting that the next crop if becomes good some softening can happen and definitely that will help in overall cost reduction in salt, however, that also according to me we will see next year only because this year we have already covered the salt requirement in the season, so I do not see any major benefit coming in, in terms of the other also like energy as we are seeing the benefit of that because we have covered on the low prices because generally we cover all the energy for almost around five to six months, so any reduction in that energy prices also the benefit you will be seeing almost in the next year, but in a summary what are we trying to say is the way I look at it is the margin of this kind of a healthy margin should be maintained this year may be 1% here and there margins should be maintained and any major impact on the margin may be seen on the positive side may be next year, but it all depends on how the scenario pans out in the next nine months.

Saket Kapoor : And what have been price hike for the first quarter of FY2023 and that benefits will flow I think so in the coming quarter only?

R S Jalan : No, we have taken the price increase in some of the contracts, and yes, some price increase will be there or realization process will improve, but accordingly the cost of raw materials because we had some cheaper raw material now we will have a slightly higher cost of raw material, so roughly the margin will range around in the same range.

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Page 10 of 20 Saket Kapoor : Sir, you were telling about the seasonality factor that Q1 being where the production is also high, so now we are entering the monsoon or we are in the mid of monsoon quarter, so again we could be experiencing some slightly or due to this solar demand being an uptake, what kind of soda ash volumes are being sold for soda manufacturing from outside, so how much of our soda is being catered for this solar panel demand?

R S Jalan : Mr. Saket, the specific number would be difficult for me to give you, but I can only tell you that even in this season except like I said in my initial remark except

on the detergent side,

the demand on the solar panel or on the flat glass or on the bottle glass, they are all very robust, we are not seeing any demands coming down or demand pressure we are not seeing so roughly the seasonality some production could be slightly down for the industry because of the seasonality, otherwise, demand is no issue.

Saket Kapoor : So, we have a sense of belief that these numbers are having core strength and these are sustainable and this are not one of creation because of some raw material price is going up and increase, what we have seen in other business is that there is a big fluctuation in the earning, but where we can expect 1% to 2% here or there or sustainable set of earnings in the inorganic chemical part I am talking is sustainable is where the influence can be drawn.

R S Jalan : Yes.

Saket Kapoor : Right, Sir, and a small point and then I will come to queue, about this capital allocation policy currently, as earliest when we came out with dividend distribution policy of 15-20% distribution at that time we were also having the home textile business under our pool and now with the divestment of home textile business in the first quarter there is a relook in terms of the incremental cash flow that we are generating currently from our core business your thought process on this because a big factor may be one of the way in which the rewriting aspect which happening currently will get boost that is my understanding depending upon how the capital allocation is going to be ahead from now?

R S Jalan : See, Mr. Saket, let me tell you we have a very clear cut thought in our mind about the capital allocation and one of the beneficiary of the capital allocation is our shareholders and which you are seeing is a very consistent distribution of dividend along with the two buyback you are seeing that and as you know that today because of this de-merger the buyback is not possible, but we will keep that into mind about the properly distributing the earnings to the shareholders going forward also either in the form of dividend or in the form

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Page 11 of 20 of buyback. Second as you know that for any business a responsible growth is also very important and we will keep on investing the money into the business to get a better return for the shareholders and in terms of the debt as you know that we have very clearly said we do not want to be very under leverage also, but we do not want to be over leverage also, so therefore our capital allocation philosophy reasonable debt equity reward to the shareholders in terms of the buyback or the dividend and put some money into the growth and that will continue and as you know the last six years we have distributed 500 Crores to our shareholders either in the form of dividend or in the form of buyback and this kind of a process will continue going forward also.

Saket Kapoor : Right, Sir. I would like to come in the queue for the followup, I have couple of them, but in the paucity of time I will in the queue and all the best to the team, thank you.

Moderator : Thank you. We have the next question from the line of Resham Jain from DSP Investment Managers. Please go ahead.

Resham Jain : Good evening, Sir and congratulations on a very good set of numbers. So, I have few questions, first one is on the Greenfield capex, you mentioned that some portion of the land acquisition is still going on and may close in sometime so is there any timeline in terms of by when you will start the Greenfield capex actually on the ground?

R S Jalan : Two things I just want to highlight, Resham, one, on one side some of the work on the ground has already started, this is not a physical activity, one of the pipeline, which is required the pipeline the contract has been awarded on that to the national agency and on the other side a technical consultancy, we are evaluating two international

nal firms and I think

in the next few weeks that contract also will get awarded, I think hopefully by January, we should be in a position to get the environmental clearances where the public hearing is likely to happen by end of September after that may few months will be required for getting the final approval from the government and after that probably by March 2023, we will be in a position to start the physical activity, so from January to March 2023, we will be in a position to start the activity of the Greenfield project and hopefully still our target is March 2025 we should try to complete that because the longest duration was with this pipeline, which we have already awarded the contract .

Resham Jain : Okay, so from the cash utilization perspective any capex from cash perspective will happen only in 2023 now maybe minor deposits or something might happen?

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Page 12 of 20 Raman Chopra : Yes, marginal capex will be there on the land acquisition, which we are still some land we are acquiring , when we were marginal this year we have put around Rs.25 Crores to Rs.30 Crores, but major capex will be only start from the middle of next year only that also was not significant, the major significant outgo will be on the land .

Resham Jain : And has there been any change in the capex outlet in terms of your suggestion?

Raman Chopra : We have said that it will be in the vicinity of around Rs.3500 Crores, so that is what we will be able to accomplish our job.

R S Jalan : And one thing I just want to highlight here is, one of thing which we are doing probably could be a benchmark for us, we are talking to many of people we are definitely looking at a much I would say better technology, different concept because we have engaged some of the consultant which is one the best, a lot of thoughts are going on there how to have the lower emissions, how do you have the lower capital pattern, how to you have a better operating costs, so a lot of thoughts are going because this kind of plant is built for 100 years, so therefore all the thoughts of green energy or the low emission or the better technology, larger equipment .

Resham Jain : I got it. Sir, another question this is more on this quarter's number, the home textile amount in terms of the divestment amount, I think it is close to 600 Crores odd and we have generated around 400 Crores odd, so total 1000 Crores of cash generation has happened in this quarter and I think in your presentation you have mentioned 535 Crores of total cash outflow in terms of dividend, capex and working capital, so I was just wondering, why your debt is still there because there has been a total 1000 Crores kind of cash generation during the quarter, so your March end debt number was around 540 Crores odd, so am I missing something here?

R S Jalan : I think there is a money is of 600 Crores which had come from Indo count , some money had come in the last year and some money had come in this year, so I will just give you the number what exactly has happened this year, our cash profit is approximately 400 Crores and we got roughly around 200 Crores net after tax, so this 407 Crores includes the base of 54 Crores is already built into this 400 Crores so over and above that 52 Crores we got around 170 Crores somewhere from Indo count this year, balance we got last year and we spent around 100 Crores on the capex, loan we had paid 200 Crores, working capital there is a change or there is a increase in the working capital around 250 Crores, 143 Crores we

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Page 13 of 20 had paid the dividend and 28 Crores is basically the other expenses, it is primarily deferred tax taken more of an accounting so total outflow it around 731 Crores against 580 Crores of inflow, we had around 240 Crores, which we got from the Indo count last year so that money was lying in the bank that we have utilized

and still we have around 100 Crores of

net cash in the balance sheet. One note I just want to highlight here is see one of the things which has happened which is good for the GHCL is because of the very high raw material prices as well as the very high project prices soda ash textile, the working capital requirement has significantly gone up in the last one -and-a-half years because you know that the soda ash prices have almost gone by 80% and even if you keep the inventory of seven days the working capital requirement has gone up so similarly the inventory coal prices have gone up so a lot of working capital requirements had gone up and we have been able to manage this without increasing the debt, almost 800 Crores of the working capital requirements has gone up in last one -and-a-half years mainly because of the pricing and some inventory volume also because the production has gone up, even in the spinning also because the yarn prices have gone up, cotton prices of 40000 to 100000 so all those things created a kind of a big requirement of our figure because this we have been able to finance without any single loans taken some in spite of that we have paid around 200 Crores of debt this quarter itself, the moment just some softness happen in the raw material prices next

year 2023- 2024 probably a lot of money will get released from the working capital also.

Resham Jain : I understood, Sir, yes, this is very clear.

Moderator : Mr. Resham may I request you to come back in the queue.

Resham Jain : Okay, I will come back in the queue, thank you.

Moderator : Thank you. We have the next question from the line of Raj M from Mili Consultant. Please go ahead.

Raj M : Good evening and congratulations on superb number. My question is on material superiority I just wanted to understand basically you need key raw material for limestone and coal, so you have been using lignite also in your process, my first question in that respect to that what is the percentage of overall coal consumption by way of lignite and the remaining is the coking coal or it is something normal coal which you need similarly what percentage of all you are buying from the market of course limestone is your own mine, so there is no question on that, if you can clarify it will be helpful?

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Page 14 of 20 R S Jalan : Thank you very much for this question. First and foremost let me address the limestone itself first, we have captive mine but still, 80% of our limestone requirement is made from the imported limestone, we are importing 80% of our limestone because the quality of this limestone is extraordinary good and this includes our productivity benefit to clarify that we are using the imported limestone that is number one. Now coming to the salt, salt last two years because of the adverse weather condition our captive salt production was not very significant and because of that almost around 70% of this consumption we have been using the purchase salt, however, we are speaking on captive salt production hopefully in the next two years this figure will be going around 50% will be the purchase salt and 50% will be the captive salt this is what the plan we are working out for the next two years. The third is on the coal and lignite, we are approximately if I call on tonnage basis we are approximately using something around 30% of lignite, we are using some pet coke in that mix and we are using approximately around 50% of the coal in the overall this thing, which is a steel coal not a metallurgical coal, hope we are using for our skill which is more like a raw material.

Raj M : So, the fault will be you will be able to procure captive or you will sort to open market purchases or your expansion, Greenfield expansion?

R S Jalan : Okay, Greenfield expansion right now we have applied for the government for the salt only if that happen then it will be 100% captive

, but what about the time states there still we get that land then it will depend on the area will be there because that area has an ample amount of salt production, a lot of new salt license has been given by the government, we personally believe this is going to be competitive advantage for us to procure the salt from the purchase also did not have any adverse impact on us.

Raj M : Thank you, Sir. All the best.

Moderator : Thank you. We have the next question from the line of Vignesh Iyer from Sequent Investment. Please go ahead.

Vignesh Iyer: Congratulations on a good set of numbers. I just want to know one thing is if you see the EBIT margins seems to have come down right so like quarter-on-quarter it was 33.9% has come down 32.3%, so just I wanted to know is this two rate hikes that you have taken had it come already in quarter one or would that some of that rate hike will come up in this quarter two?

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Page 15 of 20 R S Jalan : No, if you look at in terms of the EBIT margin in inorganic chemical it has gone down from 31.6% to 31.2%, which Raman has already explained this is because of the trading activity because the trading activity last year had some margin and the volume was there, this year the volume is high and there the margin is only 2% to 3% because of this, in terms of the inorganic purchase soda ash the margin is slightly higher as compared to last quarter.

Vignesh Iyer: But, the price hike that was taken has already taken into effect from quarter one, right, there is no fresh price hike that has been taken in quarter two, right?

R S Jalan : In the first quarter we have taken the price increase, the second quarter has just started only one month has passed, we do not know whether there is any price correction or price upstart, we do not know right now.

Vignesh Iyer: Okay, Sir, but in general to understand this business as a whole as in the soda ash business, we have been seeing continuously that historically as well there is not much difference in the supply and demand, etc., and we have not moved according to chemical commodity cycle, have we at the point where if we say take further price hike at that new price well the demand will go down for the product, are we in that position today, I just wanted to know because historically it has been very close net, so I just wanted to know today the price is at

a very high level so are we at a point where if we take one or two more price hike at the higher head weighted price the demand would go down?

R S Jalan : See, we probably believe that the demand will not go down mainly in the detergent little bit because of the consumers will not be able to afford the detergent to powder, but overall in other segment no, however, what will happen is because ultimately there are competition also in the business, so if we increase the price and the competition starts selling more or the material coming from import tomorrow the material if we go for an unreasonable price the import volume can go up and that can jeopardize your interest so therefore obviously you have to take the price taking into account the global scenario as well as the domestic scenario.

Vignesh Iyer: Just one more question on my side, on a textile division side at this position what inventory levels are we sitting because I am presuming this inventories are high cost inventory considering there has been a significant reduction in cost in last few weeks and we might see some margin pressure in quarter two or quarter three so by when this high cost inventory do you think will get rid of it and will get you know will sail off in such a way that

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Page 16 of 20 we might see again good margin the wealth so if you could give me a general time line and which matters that?

R S Jalan : So, first and foremost the good news is that we do not have a large inventory of yarn where

we can have a kind of a pressure on that margin, similarly on the cotton side our inventory at this point of the time even cheaper than the current price of the cotton and we personally believe this will not have any impact on the margin because of the high inventory of the raw material or the finished goods, however, going forward if the yarn prices goes down and the cotton prices, yarn prices so probably the margin could be there so that is business title, but good part is that we are running the plant 100% and because of our product basket or product basket of the high quality of the premium project we are not seeing any major impact on our sale size and we are running short.

Vignesh Iyer: Good to know, Sir. I will join back in the queue. Thank you.

Moderator : Thank you. We have the next question from the line of Resham Jain from DSP Investment Managers. Please go ahead.

Resham Jain : Sir, just one question on the capacities, which you have as of today, so on soda ash I think you mentioned that there has been some de-bottlenecking which is happening you may get some capacity available to you during the year and on sodium bicarb also there has been some increase in capacity, so if you can just explain this 1 lakh per ton, is there any scope for it to improve till the Green field plant comes in and also on the sodium bicarb?

R S Jalan : See, Mr. Resham, in terms of the soda ash we do not see any major capacity expansion or the volume expansion happen, of course utilization will make some difference, but on the sodium bicarbonate, yes, you are right, we are doubling the capacity and that will happen tentatively by November, December kind of a scenario, so maybe in the last quarter of this year so roughly some advantage we will see, but full advantage of that will also happen next year, but that will be a significant and one good thing also I will talk about here is the NPC trial on the sodium bicarbonate has been going very well, they have restarted after the COVID and hopefully that will expand into the major demand next year, even on the soda ash also as you know there is a lot of people are going for a massive solar investments because of the green hydrogen that will also help to have a significant growth into the soda ash demand going forward.

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Page 17 of 20 Resham Jain : Do we have extra land at the same location for increasing sodium bicarb capacity or we are now full at the existing plant?

R S Jalan : No, like I said one existing plant which we are doing currently that space is there already and this plant does not require too much of land and therefore even if you have to suppose tomorrow we have to increase the another 30% to 40%, we can do in the same location, frankly speaking we are looking at the old plant how to look at the plant to increase the production in that plant itself, overall how do we increase the overall capacity of the plant in current location itself.

Resham Jain : Understood, Sir. Thank you.

Moderator : Thank you. We have the next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : Sir, just one clarification, what was the soda ash price by end of June?

R S Jalan : Soda ash pricing it is difficult to because being a competition data it should be difficult for us, we will give the range of the increase which has happened and probably offline if you

want we can give you.

Rohit Nagraj : Right, no worries, Sir. And soda ash current capacity is 11.5 lakhs tons that is correct, right?

R S Jalan : In terms of capacity I would say that, yes, approximately around 11 lakhs tons and we are almost at the full.

Rohit Nagraj : Understand we had 50000 de -bottlenecking underway that was supposed to get commission?

R S Jalan : That is already commissioned and that is the reason we are seeing that even if I tell you the capacity is around 12 lakhs and w

e are using 95% of the figures will be coming in the same range, we are almost running at 100% that is because of the de -bottlenecking which we have done.

Rohit Nagraj : Sure, got it, Sir. Thank you so much.

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Page 18 of 20 Moderator : Thank you. We have the next question from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor : Sir, thank you so much for the opportunity. Sir, for the increase in capacity for the sodium bicarbonate, what would be the annual increase in the revenue for the next financial year?

R S Jalan : See, almost you can say if I take the current pricing around Rs.30000 , it may go to approximately around Rs. 150 crore .

Saket Kapoor : Sir, a nother point was another point we had an admin resolution you were trying for some I think so Rs.100 Crores fund breaking through some new instrument, so any update on the same how are we going ahead with it?

R S Jalan : At this point of time we do not have any plans to raise that whenever we see an opportunity or the appropriate time we will raise that otherwise at this point of time no plan.

Saket Kapoor : Sir, you have articulated that the down trade which the yarn industry is currently experiencing we are somewhat insulated the same because of our product mix this is a good conclusion we can go from?

R S Jalan : Mr. Saket, the truth I just want to tell you I think in my call six months back itself I have said that the yarn looks to be on the downward side t hat has happened that is number one, at this point of the time in any business you cannot say that you are completely you are protected from the industry but will be much lesser like some of the large competition they will stop, but in our case we are running at full 99%, second we are not having a large inventory of the yarn, but if the yarn prices have gone down in the market definitely that will have an impact on this, but as I said, Mr. Saket, we must understand like I am saying in soda ash I do not see too much of cyclicalilty or the volatility in the prices or in the margin also wherein the semi, if you look at a longer term just if you look at the data last 20 years back EBITDA margin on the spinning, which is a benchmark product we have positive of 16%, which includes the number where we were on the commodity cycle, now last few years we have moved from a commodity to the premium segment and that give us around 3% to 4% better margins over at the 16% however, that will be slightly on a medium term basis, quarter -by-quarter you can not compare this.

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Page 19 of 20 Saket Kapoor : That should be right, Sir. In your presentation you did mention about the situation for soda ash would be very difficult operation for Europe because of the gas availability so if you could articulate to us how is the soda ash industry currently in Europe and how is that affecting the total environment there because of the gas nonavailability, what has gone wrong for the soda ash industry in Europe?

R S Jalan : See, as of now I do not see any major disruption on their supply side, in the production side

I do not see that, because till now they are getting the energy either from some other country, but going forward probably there could be a challenge, however, they have been able to pass on this energy hike cost to the consumer by way of a energy sector, so I personally believe there will be not too much of discussions into their supply going forward

also, but who knows I do not know how the scenario of Ukraine and Russia war going on.

Saket Kapoor : Correct, Sir. Thank you for all the elaborate answer and looking forward for the sustainability and predictability has been the case for us is being guided by you and the management team and all the best and looking forward.

Moderator : Thank you. We have the next question from the line of Vikas Kasturi from Focus Capita

I.

Please go ahead.

Vikas Kasturi : Hello, Mr. Jalan and Mr. Raman. I had a question, so do we use the coal in the manufacturing of soda ash, is it used in any proportionate at all, Sir?

R S Jalan: Yes, Vikas, as I had just said in the earlier question that we are using for the energy power and speed, we are using coal along with the lignite as well as some approximately around 50% of the uses is in the form of coal and the balance 50% is the lignite and visco .

Vikas Kasturi : Sir, the reason I was asking is, I just read a reports where Europe is banning Russian coal and therefore they are going to import coal from other parts of the world like Australia and so on, so therefore the price of coal is going to go up so are you seeing any such things in your business?

R S Jalan : Yes, Mr. Vikas, like I said Russian coal is much cheaper as compared to the other part of the world and more particularly the high quality of the coal, which we are buying definitely there is an upside down on that coal, but somewhere my personal belief is that in the next few months the prices of the coal should get stabilized or maybe slightly going on the lower

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Page 20 of 20 side, which is what my belief is because the China and India also has started a big amount of coal importing from Russia so that will also make an impact on the overall demand from the other part of the world, so definitely that will soften the price of the coal.

Vikas Kasturi : Thank you, Sir. Thank you for the answers .

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management team. Over to you, Sir!

R S Jalan : Thank you very much to Emkay Global as well as the team and to all the participants and the questions I always say that your questions, your thoughts provoking questions definitely help us to do and our endeavour is always going to be create value for our shareholders that is the mission which we had still had and which you have seen over a period of last seven, eight years, we have been able to build our performance and we will continue to do that going forward. Thank you everyone.

Moderator : On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

Call: Nov 2022

November 4 , 2022 ■■■■■■■■ – ■■■■■■■■ – ■■■■■■■■
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National Stock Exchange of India
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Bandra (E), Mumbai – 400 051
NSE Code: GHCL
BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring, Rotunda Building,
P.J. Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Code: 500171

Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on October 31, 2022

In continuation to our earlier communication dated October 20, 2022 and October 31 , 2022 regarding Investors' conference on October 31, 2022 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on October 31 , 2022 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

Bhuvneshwar Mishra Sr. GM -Sustainability & Company Secretary

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“GHCL Limited
Q2 FY '23 Earnings Conference Call ”
October 31, 2022

MANAGEMENT : MR. R S JALAN – MANAGING DIRECTOR – GHCL
LIMITED
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR – FINANCE – GHCL LIMITED
MR. MANU JAIN – GHCL LIMITED
MR. ABHISHEK CHATURVEDI – GHCL LIMITED

MODERATOR : MR. ROHAN OHRI – EMKAY GLOBAL FINANCIAL SERVICES

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Moderator: Ladies and gentlemen, welcome to the Q2 FY '23 Results Conference Call of GHCL Limited hosted by Emkay Global Financial Services. We have with us today Mr. R S Jalan, Managing Director; and Mr. Raman Chopra, CFO and Executive Director Finance. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of this presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Rohan Ohri, Emkay Global Financial Services. Thank you and over to you.

Rohan Ohri: Thank you, Yashashri. Good evening, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today ; Mr. R S Jalan, Managing Director; and Mr. Raman Chopra, CFO and Executive Director Finance.

I shall now hand over the call to the management for the opening remarks. Over to you, gentlemen.

R S Jalan: Good afternoon, everyone, and welcome to GHCL Earning Call for the second quarter and the half year ended September 30, 2022. Our results and presentation have been uploaded on the stock exchanges and company website. For this call, I'm accompanied by our CFO, Raman, along with Manu and Abhishek. Our Q2 results for the chemical business reflect the strong demand and higher realization by 9% over Q1, thus absorbing higher input cost and resulting in better margins. The textile business continued to face headwinds, which resulted in lower profitability.

I will now share our views on the global soda ash industry. Number one, long-term demand outlook is very healthy barring some blip in near term. Demand shall reach to 78 million to 83 million metric ton by 2030, driven by newer segments, such as solar glass, lithium and sodium bicarbonate. Second, China will not be significant in global trade as it will focus on domestic market. Third, no significant supply will come up in next two, three years barring some debottlenecking. Fourth, new capacity addition will happen from natural soda ash mainly in US and Inner Mongolia. However, because of the supply chain scenario, synthetic soda ash will continue to grow as well.

Currently demand in China has softened due to real estate sector resulting in higher export and also freight costs have gone down significantly. However, barring China demand is strong in rest of the world. In India, demand from glass industry remains strong. Extended monsoon moderated demand from detergent segment, which shall recover going forward. Some temporary blip may happen in the short term due to higher energy prices and increased export from China. We conducted plant maintenance at our soda ash unit in October, due to which our production shall be impacted by around 15,000 metric ton in Q3 FY '23. The textile business buoyancy from

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last few quarters has now started to taper down. Prices for both cotton and yarn has corrected from the peak and the spread has contracted. The business has resumed positive traction after two, three quarters and our margins will revert back to 17% to 20% range.

We are focusing on implementation of our various growth initiatives. The soda ash Greenfield project is one step close post completion of an environment related public hearing. Sodium bicarbonate expansion project is on track and shall be completed in this quarter. Strategically, we are strengthening our raw material integration with the acquisition of limestone mines. Other initiatives, including digitization and product basket expansions, are progressing well. At our textile division, installation of 40,000 new spindle is in advanced stage and we shall achieve full

utilization by the end of this fiscal.

We are further enhancing our green energy footprint by implementing an additional 5-megawatt solar rooftop project. On the demerger front, we have received approval from shareholders and unsecured creditors in August. Now we are awaiting orders from honorable NC LT, which may happen in December. For the benefit of our investors, I would like to draw your attention to the slide 14 to 18 in the investor presentation where with the help of historical data, we have

demonstrated the unique characteristics of soda ash in comparison with other chemical.

I will now hand over to Raman and request him to share the financial performance. Thank you.

Raman Chopra : Thank you, sir. Good evening and a very warm welcome to all of you in our earning call. I am going to share the financial highlights and segmental performance for the quarter ended 30th

September 2022. Our results demonstrate strong business fundamentals especially supported by the inorganic chemical business. Revenue for the quarter came in at INR 1,389 crore as compared to INR 805 crore in the corresponding quarter of last year. This is a growth of 73% on year -on-year basis and 1% on a sequential basis .

EBITDA for the quarter stood at INR 442 crore, which has significantly increased by 159% from INR 171 crore from last year and by 3% from INR 429 crore from first quarter of this year. Our EBITDA margin increased from 21.2% in Q2 of last year to 31.3% in Q1 of this year and now further increased to 31.8% for Q2 of this year. Profit after tax for the quarter stood at INR 289 crore compared to INR 93 crores in Q2 of last year, that is an increase of 212% and INR 345 crore in Q1.

Let me now share the segmental perspective. In the Inorganic Chemicals segment, revenue came in at INR1,130 crores. This is higher by 98% compared to INR 572 crore in the corresponding quarter of last year and by 3% from Q1 of FY '23. EBITDA for the quarter stood at INR 413 crores, which translates to an EBITDA margin of 36.6%. In absolute terms EBITDA is up by 291% from Q2 of last year and by 13 % from Q1 of FY '23. This strong performance is due to higher realization as well as strong plant operational performance.

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The textile business is facing severe headwinds. Revenue for the quarter stood at INR 260 crores as compared to INR 233 crore in the corresponding quarter of last year and INR 275 crore in Q1 of FY '23. EBITDA for the quarter stood at INR 29 crore compared to INR 65 crore in last year and also INR 65 crore in Q1 of this year. Hence, the EBITDA margin has now contracted to 11.3% for the current quarter. We believe that the unfavorable scenario may continue for half two of this year and we will revert back to a normalized margin of 17% to 20% in the next fiscal year.

In half one we have generated a cash flow of INR 930 crore. As of 30th September, our gross debt stood at INR 496 crore and net debt is around INR 230 crore. This represents a net debt -to-equity ratio of 0.06 times only. In shorter term, we are prudently utilizing our funds and in the longer term, we shall deploy these funds towards our growth initiatives including the Greenfield project.

With this, I conclude my remarks and will now request the moderator to open the forum for question and answers. Thank you very much.

Moderator: Thank you. We will now begin the question-and -answer session. We have our first question from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha : Congratulations for a good set of numbers. Sir, my first question is in terms of the pricing scenario, which currently is in favor of us. So how much scope -- what kind of scope...

Moderator: Sir, there's a lot of background noise on your line.

Rohit Sinha : Is it okay now? So just wanted to understand what kind of scope is there for fu

rt her price hike

in the soda ash segment as we are already at almost the highest level given the current demand - supply situation in the global market?

R S Jalan : See Rohit, if I can say like I said in my opening remarks, two scenario. One, if you look at the long term, we are looking at a very bright price scenario going forward; but short term, probably the prices will remain softened , maybe slightly some blip may happen in the soda ash pricing . Maybe in a quarter because of the China real estate is on the downwards trend. So maybe could have some softening in the soda ash pricing. I'm not saying it will be very big, but margin shock can happen.

Rohit Sinha : Got it. And with the kind of capacity addition we already completed a couple of quarter back and we are operating at almost 90% kind of utilization level. So just wanted to understand what kind of volume growth we should be targeting and should expect for FY '23?

R S Jalan : FY '23 next six months, probably maybe seasonality can have some impact. However, like I said, in the third quarter , because of the plant shutdown, there will be a reduction in the volume

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by 15,000 tons . So balance I think we are not looking at a very major volume growth in next two quarters.

Rohit Sinha : Okay. And one question on the textile side. As you have highlighted in your last call also that there would be challenges in the textile side. So how much you see that has played in this quarter and may be how much would be playing in the coming quarter? I mean just wanted to understand that, I mean H2 compared to H1, how we should we be seeing?

R S Jalan : So if I can say, Rohit, this first six months, first quarter was good. The second quarter has seen the impact of this meltdown and probably like you have seen in the second quarter, probably that kind of a number or maybe slightly lower than that number should be expected in the third quarter. But I think recovery will start in the fourth quarter itself.

So probably I would say the third and fourth quarter if I look at in totality, probably you can see that number compared to the second quarter of this year. Broadly I'm just giving an outlook of that. But there could be a significant recovery. This entirely depends on how the demand of our customers' finished products, particularly home textile or the garment segment, more particularly in the home textile, how the recovery happens, which is now at this point of the time in US lots of inventory has got built up, which is getting cleared now.

Probably the people are expecting -- our consumers in the home textile, they are expecting, this inventory clearances will happen in the next six months. Probably the new demand will start coming in the '23-'24. So therefore, you will see the recovery in '23-'24, significant recovery if I can say so.

Rohit Sinha : Okay. And 1 last question if I squeeze in. I mean just wanted to know your thoughts on the newer chemistry or newer projects, which we are looking at. How the progress has been there and what kind of contribution we should be expecting in coming years?

R S Jalan : I'm sorry, Rohit, can you repeat your question?

Rohit Sinha : So in terms of newer chemistry or newer projects, which we are -- any new projects which we are looking at to produce in the coming years in terms of adding new chemistry or new products or different product range maybe just to know the growth -- where we should be seeing the growth coming from in the next one year or two year apart from this soda ash thing?

R S Jalan : See Rohit, we are looking at multiple opportunity in the growth initiative. One, as you know, that we have said about the Greenfield project. But of course as you know that this may take two, three years of time from now onwards. Of course sodium bicarbonate is another expansion which is happening and prob

ably the third opportunity, which we are evaluating, various opportunity of maybe merger and acquisition or those kind of things also we are looking at.

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So probably you will see some kind of -- this kind of a feedback once we have something which we can speak on. But clearly the management is very focused on the growth of the business. We are continuously working on the growth objective of the organization.

Moderator: Thank you. We have our next question from the line of Ritesh Gandhi from Discovery Capital. Please go ahead.

Ritesh Gandhi : Congratulations on the numbers. Just a couple of questions. Sir, you indicated some amount of softening in prices of soda ash, could you give an indication as to how much have they already softened compared to the average of the Q2 levels?

R S Jalan : No, till now there is no such kind of a softening has happened. But we always believe that we give our feeling of next few months. So probably till now, like I said till October, that kind of a softening has not happened in the domestic prices. But it may happen some going forward. So that's what we have indicated.

Ritesh Gandhi : Got it. So as of now, we are not seeing any softening, but you expect it would happen?

R S Jalan : Yes. Because, like I said China, the way we look at the China and I again want to repeat it. China is more of a spot market and maybe after 20 days or after 15 days or maybe after one month the scenario will change in China. But at this point of time because of the real estate downward trend, there could be some kind of more volume getting into the Indian or this part of the world. Probably that can put some pressure on the pricing. It's not going to be very significant, but some can happen.

Ritesh Gandhi : Got it. So if we expect it would be what, maybe like I mean 1% to 2% decrease or it could be higher also?

R S Jalan : No. Like I said, at this point of time we are realizing some softening, okay? But it can revert after 1 month also. It's very difficult at this point because if you look at any other market other than China, I would have been able to predict it. But China is a very uncertain market. I remember that a few months back the prices all of sudden has gone up almost around 150% and all of a sudden some drop has happened. So this is a very spot market where depending upon the inventory, depending upon they try to sell some volume.

Ritesh Gandhi : And on your spinning side, we've got some extra spindles also expected to come on stream by Q3. So then if we add those spindles would we then expect some amount of normalcy on the

spreads? Are they I mean historically low and would we expect this to normalize and how long?
R S Jalan : See, two things I would like to just here highlight. This 40,000 spindles, the project which we are visualizing will have our product basket expansion a very wide range. That will give you a
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much bigger platform in the customers and the customers which are at this point of time not in our basket of premium customers will be able to catch up to that demand.
However, at this point of time as you know probably that all the textile mills and particularly if I talk about the spinning mills, many mills are kind of running at a very, very low capacity or they are not working on. We are still much better than the competition. But the challenge of margin for actually for this quarter & third quarter will be definitely going to be there .
Because now the cotton prices are softening, but on the other side, even the demand of the yarn prices are also on the lower side. So the spread has reduced. So probably third quarter will definitely be not better than the quarter which we have just gone, third quarter. Maybe fourth quarter could be better than this quarter depending upon how the recovery happens in the

consuming industry, particularly in home textile and also into the garment.

Ritesh Gandhi : And the last question is in terms of you'd indicated a December date for the demerger or the NCLT approval at least. Do we have a date for the NCLT date or this is expected and any reason it has taken so long which was held back in court?

R S Jalan : See the date is 20th of December 2022 and this is primarily because of the report from ROC and RD has not been received by the court. Hopefully, we are pursuing personally now and hopefully by the 20th December this would happen. And you know that NCLT at point was flooded with a lot of cases and it is becoming invariably kind of a thing where the things are getting dragged into the NCLT. But still we are trying by 20th December at least this should happen.

Ritesh Gandhi: But the indication is that it's likely to happen by December -end?

R S Jalan : Yes, that is what our target is.

Moderator: Thank you. We have our next question from the line of Purna Jhunjhunwala from Elara Capital. Please go ahead.

Purna Jhunjhunwala : Just wanted to understand the textile segment performance. What was the mix of cotton yarn versus blended yarn in this quarter versus last quarter?

R S Jalan : That mix always, Purna, is going to be the same. Because out of our total spindle our growth around 40% of the spindles are on the synthetic and balance 60% on the cotton side. So the mix is always going to be the same , because we have to reach 100%. Only what has happened is that the prices of yarn has gone down and cotton prices in the last quarter, if I can say so, was on the peak. So some coverage of the cotton has happened in that period also. But because of that, it's what we are seeing at this point of time. So percentage will not change quarter by quarter.

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Purna Jhunjhunwala : And sir, utilization levels, how you're seeing in current scenario . Because your commentary suggested that there will be pain there in this quarter?

R S Jalan : Pain is in terms of the margin, Purna, not in terms of the utilization. Of course there could be few percentage of utilization could be here and there, but we are running the plant at the peak of 99%.

Purna Jhunjhunwala : And sir, what is driving this utilization, which segments? Largely apparel or home textile is seeing some traction or which segments are seeing?

R S Jalan : Purna, in terms of if you are talking about the production, the production all the machines are running at the peak. When we are talking about the sales side, the drop in the sales is all the segments, of course more is in the home textile. Home textile situations are little more bad than the garment, but still I would say the garment is also not doing great.

Purna Jhunjhunwala: And sir, weaving versus knitting?

R S Jalan : Knitting is also bad, but I would say weaving is slightly better as compared to knitting.

Purna Jhunjhunwala: How much inventory would you be carrying from the previous season in this quarter Q3 and raw material?

R S Jalan : Raw material, Purna, generally, we covered the cotton for season- to-season. I would say at the end of September probably because it was the end of the season , almost end of the season, you will not find much of the inventory into the raw material barring some imported cotton. But now this inventory buildup will happen in next few months. By March probably we will cover up to maybe August, September or October depending upon how the pricing pan out to be in the cotton. But this is what the practice is.

Prerna Jhunjhunwala: And sir, how is the spread currently as compared to Q2?

R S Jalan : That's why as I said, Prerna, right now you're talking about the current month, almost at the same level, but the spread was there in the Q2.

Moderator: Thank you. We have our next question from t

he line of Anika Mittal from Invest Research.

Please go ahead.

Anika Mittal: Sir, my question is are we seeing any upcoming demand traction from Europe due to energy crisis going on there as the largest player in Europe, where soda ash is curtailing its production now. So are we seeing any demand from there?

R S Jalan : Demand from Europe to India?

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Anika Mittal: Yes, sir.

R S Jalan : See, honestly, in this month, in the month of October, we had attended a conference of World Soda Ash Conference and the sense which we got is yes, Europe is facing a challenge of the energy cost and because of their cost of production has gone up. And however, the demand of soda ash is also on the lower side. Likely chance of any other part of the world other than US exporting to that country will be minimal. However, one advantage definitely will happen. They were exporting almost around 1.5 million from Europe to the other part of the world, probably that will disappear and that will help in a global demand-supply situation, that will be helpful.

Moderator: Thank you. We have our next question from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Firstly, sir, congratulations for this improved investor presentation. It's totally revamped and that gives us more clarity of what the management understanding about the two business dynamics are. Thank you for this improvement. Sir, firstly if you could give us the data on how has the volume been for quarter 2 for soda ash versus Q1? On a sequential basis, what was the change in the volumes?

R S Jalan : In terms of the percentage, the production was higher than the first quarter, higher as compared to the first quarter. Of course the sales was slightly on the lower side as compared to the first quarter. The sales was down primarily, as I said, because the segment was or the demand was on the lower side. So therefore, small drop so I would say sales is lower than the first quarter.

Saket Kapoor: Sir, then what explains this increase in realization for us if the volume sold was lesser than the June quarter. We had on a sequential basis on INR 1,091 crore to INR 1,123 crore and the significant increase in profitability from INR 353 crore to INR 400 crore. What explains this when the selling quantity was lesser on Q-on-Q basis?

R S Jalan : No. Saket, if you remember that our last call also I said, we have taken some price increase in the first quarter. The benefit of that has also accrued to us in this quarter, number one. And some of the contracts are on fixed contracts, there also the price negotiation has happened and therefore, overall realization has improved per ton. That overall realization improvement has helped the higher sales number and revenue number and also the higher profitability.

Saket Kapoor: Correct, sir. Sir, you did spoke about softening of soda ash prices in the likelihood because of the Chinese factor. So sir, as you have told earlier that the prices there as on a spot basis and have moved haphazardly up and down. So currently, what are the price trends in dollar terms for specifically the China market so that we can have an understanding what is the arbitrage currently between their prices and our domestic prices?

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R S Jalan : See Saket, I will not be able to give you the number of China primarily only because of 1 reason because China prices are varying from customer-to-customers and location-to-location. So therefore, its numbers are on a spot basis and where depending upon the customer, depending upon the seller, they decide the price. So there is no fixed price kind of a scenario in the Chinese market. But like you rightly said, if prices softening does happen, probably some correction in our pricing will happen. But like

I indicated, that will not be significant. I'm repeating it.

Saket Kapoor: Only to get to it, sir, again, what kind of volumes are you expecting from China to flow to Indian market and also to market in the vicinity because of the sudden reduction in freight cost?

R S Jalan : See, I don't see a very major jump into the volume, but yes, some volume increase will happen.

How much that number will be, very difficult to kind of predict. But some increase in the volume will happen. And therefore, we are as a producer, we have to take cognizance of that and as an

investor, we should know that.

Saket Kapoor: So this 15,000 reduction in production number for this quarter will be a temporary loss and we would be making up for the same in the coming quarter or is it a permanent loss in terms of the volume?

R S Jalan : Saket, I can only tell you we will be producing full to our capacity.

Saket Kapoor: And what kind of additional cost we will be incurring because of the ramping up exercise that happened post the plant shutdown and have we taken the capacity completely and are we running or that will happen in the next month?

R S Jalan : No, that has already happened and the plant has come back to the normal.

Saket Kapoor: And what would be the additional cost, sir, incurred because of this plant shutdown?

R S Jalan : Very difficult at this point of time. The numbers of October has not yet been finalized so very difficult to give you the number. But historically whatever the number has happened, that number will happen.

Saket Kapoor: Then two main points, firstly sir, just to conclude what you spoke earlier that the margins which we have posted Q-on-Q, the quarter 2 margins are slightly looking profit going ahead because of the likelihood of changing factors especially from China entering this soda ash space going ahead. So for us to maintain these margins especially on the inorganic chemicals would be a challenge going ahead. So this understanding is correct as of now?

R S Jalan : See, I will not say that it's going to be a big challenge. But yes, like I said, this kind of a blip, not today, this kind of a blip may happen in the longer term also. Some maybe one quarter could be slightly lower and then it may be recovered very aggressive next quarter. So that kind of a

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blip, Saket, we have to always be prepared for that. Of course our efforts on the highest production like you have seen in the production, in this quarter the production is much ahead of more than around 10% as compared to the same quarter last year.

So our effort is more towards that, how can we optimize our production, how can we optimize on our cost? Those efforts are there. But marketing, pricing some blips here and there can happen. But I'm repeating it like I said. If you look at slightly medium term to longer term, the things are very bullish.

Saket Kapoor: On utilization levels, I missed your point. What are our utilization levels for the H1, sir?

R S Jalan : No, I said, Saket, that as compared to the same quarter last year, this quarter our production is higher by 10%, 9% and whereas in the first quarter of last year, there was no shutdown, because only if you can see improvement and the hard work by the team and that's what we have been able to increase the production. And which is a very significant number, you can assume that number is 10%, 9% is a big number and that is also one of the reasons of this higher profitability in this quarter.

Saket Kapoor: Sir, and this inventory change of INR 60 crores, can you bifurcate the same? How much is attributable towards the yarn business and towards the soda ash?

R S Jalan : At this point of time, we don't have a number. Offline we can give you the number. But broadly this will be primarily on the soda ash side and very little on the finished side because in finished

as I said, probably the inventory will be slightly same level because the cotton inventory has been lower than the last quarter. So therefore, major working capital and inventory increase will be in the soda ash side and that happens primarily because of the raw material. Because any consignment of coal, as you know, that the coal prices has gone up so any new arrival of coal will increase the inventory on a particular day.

Saket Kapoor: But the raw material market, you did not touch upon how is that shaping up and what -- I think some steps were there in the annual for some procurement long-term contracts for salt also and also we trying with Russian coal. So how is the raw material basket currently shaping up and what is the thought process going ahead? How would that contribute? Whether we will have incremental margins because of reduction or how is that basket shaping up?

R S Jalan : See, as per our strategy, we always continue to work on the long-term security of the raw material, right, and try to keep an inventory of slightly longer terms so that the volatility is less impacted to us. So that we continue to do, right. Currently the raw material prices are same only. Of course some softening had happened in the coal pricing and like you rightly said, we are also doing some mix-up of the Russian coal also and probably that will help us to kind of neutralize the increase which is happening in the other raw material or in the coal which we are buying from Indonesia.

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So probably going forward at least in the third quarter, probably you will see raw material prices in the range bound only. And just to give you the specific, Sake t, just now my team has got. As I was telling you and I was right on that soda ash working capital primarily has gone up by around 550 and textile is down by 180 or 200. So like I said, the major significant increase is primarily because of soda ash only a nd textile is down.

Saket Kapoor: Sir, I didn't get this 550 and 180 number, can you explain once again?

R S Jalan : No. See, basically what we are saying is don't go on the numbers. The increase in the inventory is only because of soda ash, let's say it that way.

Saket Kapoor: And this is the finished soda ash or the coal and other inventory into it because I'm just trying to understand...

R S Jalan : Main increase in what you call in the raw material, but yes, some increase in the inventory. Like I just sai d, soda ash sales is lower and obviously that has increased the soda ash inventory as well.

Saket Kapoor: So that shows the perception we ha ve Sorry, I didn't get you, you complete, sir.

R S Jalan : What I'm saying is that is still our soda ash inventory is maybe a few days of inventory.

Saket Kapoor: And sir, last point is on this merger and acquisition part. Can y ou did spoke that we are in the annual or looking into merger and acquisition. So if you could give us some more color on what kind of size, segm ent or any other things? What are we trying to convey to your investors in terms of merger and acquisition, the term inology used by you, sir?

R S Jalan : No. Saket, we are only giving that what is the effort which we are doing it. Beyond that, unless there is some specific thing in our hand, I don't want to kind of speak on that.

Saket Kapoor: I can continue for two more questions. First on the sodium bicarbonate expansion part and I think the Greenfield project also. Sir, if you could throw some more light on where are we ? I think some hearing was due for environment clearance. So do we see this project coming up sometime in 2024 the calendar year or is it will be commissioned sometime 2025? So that would give us some color how are we going to use the cash g oing ahead just for this Greenfield project, sir?

R S Jalan : Saket, two things on that. I have already said in my opening remarks th

at public hearing, which

was one of the most critical thing for the Greenfield project has been successfully completed. So that's one step closer to starting the Greenfield project. Second, sodium bicarbonate, I've already said that it's as per schedule and by end of this quarter the projects will get completed and the benefit of that should start in the next quarter.

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Saket Kap oor: And for soda ash, there is no further debottlenecking at the site , at our current site?

R S Jalan : We will always try to do that, but at this point of time we are not seeing such kind of projection.

Moderator: Thank you. We have our next question from the line of Aman Madrecha from Augmenta Research Private Limited. Please go ahead.

Aman Madrecha: Yes, my all the questions have been answered.

Moderator: Thank you. We have our next question from the line of Giriraj Daga from KM Visaria Family Trust. Please go ahead.

Giriraj Daga: Sir, I have a question related to the Greenfield expansion. So like we are saying we are one step closer to starting the project. So what is the timeline will you mention that what time frame we can expect the complete EC cl earance and then how much time will it take to build the project?

R S Jalan : See, our expectation at this point of time by March '23 , the complete environmental clearances should happen. Of course we'll try for early, but generally this kind of time is being taken. So that's one. And after that, probably two years. So probably by March '25, probably we should see the plant being set up, everything has been completed. That is the target we have.

Giriraj Daga: And are we -- like earlier we had mentioned at so me point of time the size is 5 lakh s tons and the cost will be about INR 3,000 crores. Post that, obviously the world has gone through a sea change and inflation has picked up. So what will be the revised number on this?

R S Jalan : At this point of time, w e are working on that number because lot of technological changes also we are looking at in the project keeping the environment angle into it because as you know that, and as I said in my opening remarks also, the world is moving towards a greener initiati ve and therefore the soda ash expansion will happen more on the natural side. So we are also looking at how do we do the technological change to make it more environment friendly. So these numbers are getting calculated and hopefully by next quarter we'll be able to be having a better number in our hand.

Giriraj Daga: What is the internal IRR estimate like we are working with?

R S Jalan : Roughly around 17%.

Giriraj Daga: And at the prices of like obviously current prices are a bit higher so...

R S Jalan : We are not looking at the prices. Obviously we are not looking at the prices. We are looking at slightly longer term how do we see the business, how it that has happened in the last 30 years, how the margin has been there. So we are taking a kind of a reason able number on that.

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Giriraj Daga: Last question from my side. Sir, there was some local media reported that local people are protesting against this project because they believe it might harm environment and marine life. So your comments there?

R S Jalan : I think that we have already made in the public hearing we have made to the people to understand that this kind of business is running across the globe. Even in India , like our plant itself is running for 35 years and there everything is perfectly okay. Similarly, our competitors are also running the plant in various areas of Gujarat and there is no such impact on the environment. As you know that everywhere some kind of a concern or some kind of a group which always want to have a different this thing. And therefore, I'm sure that nothing to worry on that. Even they have

gone to the court and the court has given them kind of bad remarks if I use the right word and given a cause to them that they are trying to. So I'm sure that you got the message what I'm trying to give.

Moderator: Thank you. We have our next question from the line of Resham Jain from DSP Investment Managers. Please go ahead.

Resham Jain : So my question is related to your comment related to possible or you are open to looking at inorganic acquisitions so just to get a sense around that. What are the kind of attributes you will look at when you look at or when you'll be looking at inorganic opportunities and also the size of those opportunities? Because the cash generation which you will be doing now given the balance sheet is almost like closer to zero debt, how should one look at this opportunity especially on the inorganic side which you mentioned?

R S Jalan : Resham, a couple of things I just want to kind of highlight. This is my thought at this point of a time so probably we have go to the Board when the right opportunity comes and some of the thoughts which we're having. One which is very important, it should be in a chemical space where we have a kind of a synergy. That's number one. Of course product market expansion we are looking at. Second, again very important where the capital turnover ratio is slightly better than what we have at this point of time. That's the second thing.

Third is whether growth opportunities , sustainable growth opportunity is there. That is going to be the third opportunity. Of course we will also look at in that how the chemistry as a whole can . How can we leverage that business in expanding our chemical chemistry. So probably from one level suppose they're having a particular commodity. Can that commodity or can get technology can be expanded or the raw material can be used for expanding the value creation from that product. So these are the couple of things.

In terms of the size, probably INR 1,000 crores kind of a number. But if we get a right opportunity and one more thing, I think I missed that point. There the management is also going to be very important for us too. What kind of a management? How that business is being run by the professionals? Those also will be important.

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But of course as you know that all of these cases may not be fulfilled , but if combination of everything, if we find an opportunity where the growth opportunity is there, where we can see that the chemistry value creation can happen, probably we will be looking at 1,000 kind of a basket of the product, which can add to our growth journey.

Resham Jain: And sir, the second question is on energy cost for you. This quarter we could see INR 236 crore power and fuel and obviously there will be some coming from textile business as well, but you mentioned that this number will be stable in 3Q as well. Is that a right understanding?

R S Jalan: See Resham, honestly this number could be slightly here and there because of the inventory adjustment. Sometimes the inventory of the whole value, which can be change in the next quarter , so that kind of a number will be there. But if I look at on a like -to-like basis, I would say that the pricing of the raw material is slightly softened in this quarter. So barring the inventory adjustment, the price or the cost of the product things will be slightly cheaper in this quarter or for Q3.

Resham Jain: Q3 price of the final product , manufactured product will be slightly cheaper than 2Q?

R S Jalan: Subject to only the inventory adjustment , if some inventories are there which is in high value or low value, that adjustment could be there.

Resham Jain: And hence this comment related to softening of prices. Like one is obviously a realization may

come down. But on the other side, cost is also coming down. So is this how one should read it

or is there overall margins, which we have been doing over the last few quarters that itself you see like coming to normalized levels. How should one think about it?

R S Jalan: I don't know, Resham, what normalization level you're talking about. Normalization level is a different number. But if you look at that compared to the first, second quarter which you have seen, like quarter 1, the margin in the second quarter was higher. Probably the margin in the third quarter could be slightly lower than the quarter 2. But if you say normalization margin will be much better than probably what has been the normal margins.

Resham, I want to make it very clear this scenario is today we are reading this scenario. After 15 days, the scenario can be changed because of the China situation. Maybe if China scenario changes, this number could be better than the second quarter also. It all depends on how the things happens in China.

Resham Jain: Sir, the last part of my question is the new capacity which is coming up of Tata Chemicals is also will be there in second half. So the demand-supply situation when you calculate your own in terms of the overall Indian supply demand, that will get absorbed is what you're saying.

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R S Jalan: 100%, Resham. Because you see let me give you the number. If I look at in the short term, the demand growth for this year should not be less than 6% to 7%. Six months number, which is a broad number which I know, probably the demand growth in six months is around 6%. For that, you require two and a half lakhs for the extra requirement. And secondly, like still there is a 0.5 million tons or 600,000 to 700,000 of the import coming into India, so you have enough opportunity for a new player to come in. There is a new capacity coming into the business to make it a more domestic based supply line.

Moderator: Thank you. We have our next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit R. Nagraj: Congrats on a good set of numbers. Sir, first question is you just talked about the imports. So in the last quarter, how the imports and exports have panned out from India and even for our company?

R S Jalan: See, overall import if you look at from a normal level, then import in this quarter has also been lower than the normal level. But if you compare it compared to the last quarter of Q1, it is higher and this kind of a change will always happen. And this change is what I just said, the number is slightly on the higher side, is primarily the material coming in from China. Other than China, in fact world is very, very firm. And this is a unique situation, the entire world is tight except China.

Rohit R. Nagraj: Sir, second question is you talked about the world soda ash conference. So from environmental perspective or carbon dioxide footprint perspective, were there any thoughts which were spoken about and which could be probably beneficial from soda ash pricing perspective on a prospective or future basis?

R S Jalan: Like you rightly said Rohit, there were lot of thought on the environmental or the carbon footprint and the entire world is focused on how to minimize the carbon footprint. So lot of thought has come in and there also we also noted some of the thought. That's why I said in the new Greenfield project which we are talking about, we are trying to capture those thoughts into our new Greenfield project. And our initiative even in the existing plant also as you know, there are a lot of initiatives we are doing on even on some of the initiatives on how to reduce the carbon footprint into the existing plant as well because this going to be very important in the going forward and we are consciously working on that.

Rohit R. Nagraj: Sir, just one last question. What was the quarter ending debt on soda ash and textile separately just

the numbers?

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R S Jalan: I'll just give you the numbers. Total figure was INR 400 crores for soda ash INR 90 crores was for textile and like I said, we had cash on the balance sheet and if I reduce that number, net debt will be only INR 230 crores.

Moderator: Thank you. Ladies and gentlemen, kindly restrict your questions two at a time. We have our next question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Congratulations, sir, on a good set of numbers. I want to ask you about just conference. GHCL participated in a conference arranged by Arihant Capital after the Q4 numbers were declared,

there two points were mentioned. I just wanted to know what is the progress on that part. One was there some capex on salt project of around INR 100 crores I guess to help in improvement of raw material or something. Can you explain and help me understanding what it was exactly and what is the progress on that front?

R S Jalan: Vignesh, that's a very good question on this from your side, that project is progressing very well and that will definitely add a big bottom line to us. We are looking at expanding our productivity increase in the same portion of land and expanding the salt production from the same almost more than 100%, that is what our dream is. That may take two, three years of time, but that will have a big bottom-line impact into our business and that is progressing very well. Hopefully, some results of that will be seen in the '23-'24 also.

Vignesh Iyer: So it is expected to take effect from only quarter 1 of the next year also, right?

R S Jalan: Yes. Basically, what happens that the salt production starts somewhere in the February, March probably and so therefore some impact in the February, March can happen, but the major impact will happen quarter 1 of next year and probably the full impact will take two, three years of time. But it's a very profitable or I would say big initiative and that will add a big significant amount to our bottom line.

Vignesh Iyer: Sir, another point you have made actually in the same conference, one was where you were looking for a downstream part for a chlorine-based derivative, which was supposed to be an import substitute and another product, which was not related to your current chemistry. Can you comment on it whether it's still in the drawing board or has it progressed or you have not decided to go ahead with anything?

R S Jalan: So Vignesh, that project is still on our thought process and that will link with that because this is linked with the caustic and chlorine put together, right. Caustic and on the other side chlorine and chlorine derivative from there. That project is very much on this thing and probably this project also will be sitting at the same Greenfield project where we are putting the soda ash plant. But this may take some period of time. Probably that could see a kind of a implementation or this thing, but that thought is still there on the line.

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Vignesh Iyer: Sir, just to understand this. This is 60,000 metric tons added on sodium bicarb, right. Can you just give me what would be a ballpark figure would do on what will be the best-case scenario of revenue realization from this capacity?

R S Jalan: See, sodium bicarbonate revenue realization of per ton is almost at the same price of the soda ash. So whatever extra volume is there, that probably you can simply do the calculation. Of course it all depends on how that capacity gets absorbed, how much time that takes to absorb that volume into the market.

Vignesh Iyer: Sir, the last question from my side.

Moderator: Mr. Iyer, I request you to come back in the queue. Kindly restrict your questions two at a time. We have our next question from the line of Mohit Khanna from

m Banyan Capital Advisors LLP.

Please go ahead.

Mohit Khanna: I have a question regarding the financing of the Greenfield project. Now that we're coming closer to that part, what is your thought process on financing that INR 3,000 crores of Capex and then what could be the size range of the acquisition that you might likely to do? What is the thought process on that?

R S Jalan: Size of acquisition I've already mentioned in the earlier question, it could be in the range of around INR 1,000 crores. In terms of your question on how are we going to finance. I mentioned that we are on a cash surplus situation and we are likely to be by year-end and so that we will have some at least we have two years or three years of time frame to fully implement the Capex of Greenfield project.

By the time we will have enough cash generation out of our current operation and probably that will help. And still some rate will be required, which we have done the working, which will be absolutely much below than 1:1 debt to equity ratio. Maybe it may not touch even 1:1.5 I mean it will not be more -- 1.5 to 1. In terms of the financing, we don't see any reason or any concern of leveraging the balance sheet. Balance sheet will always be deleveraged.

Moderator: Thank you. We have our next question from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: Congratulations on the good results. Sir, if you're looking at your Greenfield Capex in terms of your own internal evaluation, can you share your thoughts on what is the kind of ROCE you expect from this and what is the kind of underlying EBITDA margin per ton and dollars per ton you're assuming for soda ash?

R S Jalan: See Ramesh, I've already given the indication of what we call IRR on the Greenfield project.

But let me tell you one more thing, which is very important for the soda ash business. This

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project has to be seen in slightly longer terms because here the capital turnover ratio, as you know, that capital turnover ratio is unfavorable on the soda ash, but these projects are meant for maybe more than 100 years and therefore, in terms of economics, IRR is a very good indicative number of 17%, which is again a very good number.

But in addition to that also, it is also important to see that how the company wants to go forward in this kind of investment, how important this kind of investment for the growth of the business. And the last point on this. This Greenfield project is going to bring a continuous growth into the soda ash business by GHCL because we have a capability of building two million tons of the capacity here.

In addition to, if you want to have another basket like I just said caustic, chlorine and things like that so at this time point in time, we are already talking about 0.5 million tons. After that, the Brownfield benefit like we have seen in the Brownfield expansion benefiting to the current location, which has given a huge advantage to us in terms of the return ratio. So that will also happen in this business in this new Greenfield project.

S Ramesh: So for your IRR estimate, is it possible to share what is the underlying EBITDA per ton assumption because that's partly going to drive your cash flows? I just want to get a sense in terms of where you see the long-term EBITDA per ton settling for the soda ash industry.

R S Jalan: At this point of time, difficult to share that number.

S Ramesh: So in terms of the current pricing for soda ash, what is the kind of pricing you're getting now and where do you see the prices moving going forward?

R S Jalan: See, right now the prices -- it's difficult to share the pricing per ton. But I think just now what I said that pricing softening -- some short-term price softening can happen. But in the longer term we are not seeing any drop in the pricing. Prices can

be slightly better from here because the kind of growth we are seeing in the business where the new capacities are not coming in, like just now I said in my opening remarks, next two years, three years we are not seeing any new capacity coming in whereas the demand will continue to grow. So therefore, definitely the demand supply situation will be slightly in favor of the supply and that will push the pricing.

S Ramesh: Sir, if I can squeeze in one last thought?

Moderator: Mr. Ramesh, I request you to come back in the queue. We have our next question from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Sir, one question on the overall Capex number for FY '23 and '24? And secondly, on the margin side for the inorganic chemical, as we have scaled our margin profile significantly in last two years in this segment. With the sodium bicarb being added and having a higher margin compared

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to the soda ash and we are talking about the higher cost scenario. So taking into all these accounts, just wanted to understand what kind of margin we could easily be comfortable with?

R S Jalan: See Rohit, like I said, small blip maybe Q3 or Q4. Barring that, in the long term this kind of margins should be sustainable. And for the specific number. I don't have a specific number at this point of time and it will be kind of difficult at this point of time to speak that specific number.

Rohit Sinha: And sir, on the Capex number for '23 and '24?

R S Jalan: Rohit, one more thing I would just like to add which you can see in our presentation, which we have shared. We have given soda ash dynamics. Look at that number, probably that will give you a sense of if you look at it slightly longer term, how does the margin has been moving in the last, I would say, 11, 12 years, okay? Very consistent margin barring the '21- '22, which was COVID impact, you'll see the very, very consistent margins in the range of around 34%, 35% kind of a margin.

So at this point of time, margin is not very significantly different. Few percentage, 4%, 5% here and there. But otherwise, you won't see any -- though you people are seeing that the margins are very high, but no, this kind of businesses require that kind of a margin. I request you to please see our presentation, the slide numbers which I have stated of 14 to 18. See that, there you get a good sense of how does the margin slightly longer term or medium term you could visualize.

Rohit Sinha: And sir, on the Capex number for '23 and '24?

R S Jalan: See Capex number broadly in the year '23 will be roughly around INR 360 crores will be the total number, okay? Roughly INR 360 crores to INR 370 crores and out of that, primarily it will be more on the textile side and some will be in the soda ash side. Out of that, almost 50% we have already spent and 50% is likely to be spent in next six months. '23-'24 probably the figure could be in the range of around INR 800 crores to INR 1,000 crores. Out of that, probably INR

500 crores to INR 700 crores will be in the new Greenfield project.

Moderator: Thank you. I would now like to hand over the call to the management for closing comments. Over to you, Sir.

R S Jalan: Thank you. Thank you very much. Like I've always been saying, which is important for us. As a management, our focus will always be to create or to do the best performance and our endeavor will continue to do that either it's the cost of efficiency improvement or it's the cost of growth of the business or looking at a new opportunity of growth. We'll continue to do that.

And of course the support -- the question which you are asking us on this investor call definitely helps us to bring new perspective in our thought process and we always take this feedback and try to work on those feedbacks to create better value for our shareholders.

So creating a higher

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value for our stakeholders is the only objective which we as a management are working in GHCL.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

February 3, 2023 ■■■■ – ■■■■■■■■ – ■■■■■■■■
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National Stock Exchange of India Limited
"Exchange Plaza"
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Code: GHCL
BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring, Rotunda Building, P.J
Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Code: 500171

Dear Sir / Madam
Subject: Filing of Transcript regarding Investors' conference held on January 31, 2023
In continuation to our earlier communication dated January 27, 2023 and January 31, 2023 regarding Investors' conference on January 31, 2023 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on January 31, 2023 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).
You are requested to kindly take note of the same.
Thanking you

Yours truly

For GHCL Limited

Bhuvneshwar Mishra
Sr. GM -Sustainability & Company Secretary

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"GHCL Limited
Q3 FY '23 Earnings Conference Call "
January 31, 2023

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MANAGEMENT : MR. R. S. JALAN – MANAGING DIRECTOR – GHCL
LIMITED
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER
AND EXECUTIVE DIRECTOR OF FINANCE – GHCL
LIMITED

MODERATOR : MR. ROHAN OHRI – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to the GHCL Limited Q3 FY '23 Earnings Conference Call hosted by Emkay Global Financial Services. We have with us today Mr. R.S. Jalan, Managing Director; and Mr. Raman Chopra, CFO and Executive Director of Finance.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rohan Ohri from Emkay Global Financial Services. Thank you. Over to you, Rohan.

Rohan Ohri: Thank you, Ryan. Good evening, everyone. I would like to welcome the management and thank them for this opportunity. I shall now hand over the call to the management for the opening remarks. Over to you, gentlemen.

R. S. Jalan: Thanks. Thank you, Rohan. Good evening, everyone. Welcome to GHCL Earning Call for Third Quarter ended 31st December 2022. Our results and presentation has been uploaded on the stock exchange and company website. For this call, I am accompanied by Raman, our CFO and Executive Director, Finance, along with Manu and Abhishek. Soda ash international market is largely balanced, except China. China's domestic demand is soft due to slowdown in the real estate sector. American market is balanced and annual contract has been closed.

In Europe, there is some relief with lower energy prices. International shipping trade costs have come down significantly. This has resulted in an increased export from China to other parts of the world. We are monitoring the development at China's domestic demand could bounce back over the Chinese New Year and opening up of economy.

As per plan, our plant maintenance was successfully completed in October, which had onetime production loss of 15,000 metric tons. We have taken a price correction of 2% in November 2022, and prices have been stable since then. Prices may change according to demand recovery scenario in China. The domestic demand from glass industry remains strong for both flat glass and container glass, though with the increased import of flat glass from China.

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Demand from detergent segment was soft but has now started to recover. Energy prices have started to soften, which may have favorable impact on margin going forward. As mentioned in the previous quarter Investor Call that textile business is facing headwinds. Price of both cotton and yarn has corrected from the peak and spreads have contracted. New cotton crop coming into the market is on lower side compared to the last year. However, festive sale in the international markets were good and consumer sentiment seems to be improving. We expect the business to gain positive traction in next two, three quarters.

In the last 5 years, our average margin has been 18%, which has been dipped to 12.7% for 9 months FY '23. We expect our margins will revert back to 17% to 20% range in next two, three quarters. We continue to focus on implementers on our various growth initiatives. A Greenfield project is making progress, and we are working with the various agencies and project consultants.

Sodium bicarbonate expansion is near completion. Other initiatives such as backward integration of raw materials for all the improvement projects and digitizations are progressing well. At our textile division, we have successfully installed 40,000 new spindles which will help us to achieve volume growth of around 20%. It expands our product basket diversification and increase value-added product basket. We are committed to enhance our green energy footprint.

I'm glad to share that we have received a regulatory consent to increase

capacity of existing soda ash plant from 11 lakh tons to 12 lakh tons. We shall achieve some volume benefit in the current year. On the demerger front, honorable NCLT has conducted a hearing on 20th of December 2022 and have reserved their orders. As a next-step, our endeavor is to list the textile business upon receipt of the order. I will now hand over to Raman to say the financial performance.

Raman Chopra: Thank you, sir. Good evening, everyone. Very warm welcome to all of you for our Q3 Earnings Call Financial Year '23. I will share the financial highlights and segmental performance for the quarter ended 31st December 2022. The revenue for Q3 FY '23 came in at INR 1,289 crores as compared to INR 1,006 crores in the corresponding quarter of last year. This is a growth of 28% on a year-on-year basis. On a sequential basis revenue declined by 7% from INR 1,389 crores. EBITDA for the quarter stood at INR 376 crores, which is a significant increase of 50% from INR 251 crores in Q3 FY '22. On a sequential basis, represents a decline of around 15% from INR 442 crores.

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For the quarter, EBITDA margin came in at 29.1% compared to 24.9% in Q3 of FY '22 and 31.8% of Q2 FY '23. Profit after tax for the quarter stood at INR 248 crores compared to INR 153 crores in Q3 FY '22 and INR 289 crores in Q2 FY '23. In Inorganic Chemicals segment, we have reported a revenue of INR 1,057 crores during the quarter, which is up by 38% compared to INR 765 crores on a year-on-year basis with a decline of around 6% from INR 1,130 crores on a sequential basis. The reason for this variation is mainly due to lower volumes due to plant shutdown in October coupled with softer realization.

EBITDA for the quarter stood at INR 372 crores as compared to INR 182 crores in Q3 FY '22 and INR 413 crores in Q2 of this year. This translates to an EBITDA margin of 35.2% in Q3 as compared to 23.8% in Q3 FY '22 and 36.6% in Q2 FY '23. On a sequential basis, EBITDA has gone down by INR 41 crores due to plant shutdown, resulting in lower volumes, onetime wage settlement expense, higher repair and maintenance was due to plant shutdown and softer realization.

Our textile business faced headwinds impacting the yarn industry. As a result, the revenue for the current quarter was INR 233 crores as compared to INR 241 crores in the corresponding quarter of last year and INR 260 crores in the previous quarter of this year. EBITDA declined significantly INR 3 crores as compared to INR 69 crores in Q3 of FY '22 and INR 29 crores in previous quarter, mainly due to lower realization and inventory impact.

For 9-month period of FY '23, we generated a cash flow of INR 1,151 crores. We have achieved a significant milestone of becoming a net debt-free company during the quarter itself as against our initial estimate of achieving the same by fiscal year-end. But gross debts at the end of the quarter stood at INR 462 crores, and we have a net cash surplus of INR 6 crores as at the end of the quarter.

With this, I conclude my comments and would now request the moderator to open the forum for question and answer. Thank you very much.

Moderator: Our first question is from the line of Riddhesh Gandhi from Discovery Capital.

Riddhesh Gandhi: Just a couple of questions. You have given effectively the reduction in freight rates and slowdown which happened in China, which now we hope is behind us, yet the price reduction was only 2%. If you could throw some light on how it's leading to such strong active pricing? And going ahead, if you have a view on the inventory levels also, which

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might be there in China and other countries to give a view and outlook on, if you just see prices go up, stay steady or potentially reduce over the next few quarters and years?

R. S. Jalan : Riddhesh

ji, you've very rightly asked the question about China. Because, as you know, that out of the total global scenario, China is a very significant player. And if you remember a couple of quarters before, I have given to the investors feedback that in a slightly medium term, China will become a net importer. So China will not remain as a net exporter barring some blips in between and that situation still continues.

This small change which has happened in China is primarily because of their COVID resistance. The consumption in the housing sector hasn't been significantly lower. But our understanding is going forward, after the China is now starting opening up. So definitely, the demand recovery will happen in China, and that will change the outlook of the soda ash going forward.

One good thing is that China is having very bare minimum inventory of soda ash that is going to the China. So there is not an accumulation of the soda ash inventory. There are almost around 200,000, 250,000 kind of volume as the case. Their total production

of something around 2.5 million tons per month. So their inventory is their business. In terms of the logistic costs, as you rightly said, soda ash pricing has not declined in China. Frankly speaking, this gap, which you are seeing is primarily because it's a container freight or the freight has come down. So therefore, the price of Chinese product or I would say, any import product, which is coming to India, freight costs have gone down. But still, our prices are more or less in line with the current pricing which we will offer.

If you look at US, it's very strong in terms of overall, not a major offering from US. Same in Europe, not a major offering from Europe also. So therefore, my personal belief that I don't see a major kind of a scenario changing in terms of price reductions and things like that going forward. But as you know, the market is very dynamic and how does the mix of after this Chinese economy gets opened up now after the new year, how the scenario happens in China may change the dynamic. But until now, we don't see any major downside in the overall scenario.

Riddhesh Gandhi: And is there potential upside you see in prices as well in terms of giving this scenario of increasing end-user demand and effectively limited new capacity coming on in the industry?

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R. S. Jalan : See Riddheshji, maybe one or two quarters, I can't say because, but yes, in the medium term, probably that should shape up. Because as you rightly said, on the one side, the soda ash also solar investments are like in India itself in the next six months, there is an additional demand of soda ash is coming only on the solar investment is more than 1 lakh ton per year. That is go to 5% of the total demand. So that way, if the detergent demand gets improved or the textile gets improved, then the demand upside will be much better than what it is today.

So in the shorter term, maybe one or two quarters could be kind of a small blip or maybe this range. But after the potential is there, the way that soda ash demand growth is taking place globally. I personally believe that, yes, positivity is there.

Riddhesh Gandhi: And the other question is with regards to actually spinning. We are hearing from some of the other players that overall spreads are starting to improve given Indian cotton prices have effectively corrected to global levels. Is there any outlook you can give for maybe next 12 to 18 months?

R. S. Jalan : See Riddheshji, if you remember that I have been telling this maybe the last two calls, maybe six months before, there are two things: one, I personally see that there is a likely headwind for the textile. And therefore, today, if I can say a month before, the entire contingent, be it home textile, be it garment, be it spinning, everywhere, the demand outlook was very, very pessimistic and

almost all the people who are running

around 50%, 60% of the facilities. So spinning also, majority of the mills were running out on a lower capacity, maybe somebody 60%, somebody, 70%, somebody 50%.

Fortunately, for us, we have been running 100%. Until now we have not reduced our production. In this quarter also, we have been running at full. So that's a positive sign from our side. In terms of the outlook, yes, a couple of positive things are there. One, now the cotton prices are more or less stabilized. Yarn demands are being seen, some improvement is being taken place because China has already started importing the yarn from India.

So there is a positive vibration is coming from China because now the economy is opening up, the demand of garment and everything will improve. So therefore, they have started importing the product from India as well. Similarly, the demand in the US and Europe also, this time in the holiday season, the demand was reasonably good. So therefore, all the consumers like the home textiles, some improvement I'm seeing in

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their demand outlook. So probably maybe one or two more quarters. We will have some gain. After that, you should definitely expect some recovery.

Riddhesh Gandhi: And the last thing is that effectively, given now you guide net cash and that too in a company which has got extremely steady free cash flows over the years. I mean, wouldn't it be prudent to maybe take some leverage and then either do a buyback or then do a large dividend or something of that sort, just to be little more actually efficient

on our cap structure.

R. S. Jalan : See, I have always been saying on this, one of the important aspect for us is the rewardin g our shareholders. Whatever we, either in the form a dividend or in the form of buyback, you know that we have already done two buybacks in the past. Today, because of demerger and some restrictions are there on...

Riddhesh Gandhi: Got it. Okay, understood.

R. S. Jalan : So therefore, of course, we will always be positive on this thing. Of course, Board has to take a decision on that. But yes, we will always be positive to reward our shareholders.

Moderator: Our next question comes from the line of Mohit Khanna from Banyan Capital Advisors .

Mohit Khanna: Sir. My question is pertaining to the expansion of the capacity that you had mentioned in the opening remarks from 11 lakh metric tons to 12 lakh tons. So what is the time line on it? And what is the capex of inventory?

R. S. Jalan : Mohitji , obviously, we have more or less kind of a 70%, 80% of work we have already done on this. And therefore, if you see that this year, we will get around 50%, 60% of the benefit of this expansion we will already accrue to us.

Mohit Khanna : In FY '23?

Raman Chopra: Some balancing is required and probably the full potential we will be getting next year. So in a way, you can say that most of the benefits will be accruing to us in this year itself.

Mohit Khanna: And secondly, in terms of soda ash demand, particu larly in India and imports coming into India, there was a report that imports have increased and the demand was also increased , especially from the FMCG side and other consumable side. So what are the

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trends that we are seeing right now especially on the d emand and the volume consumption side?

R. S. Jalan ; See, if you look at the major sector where the demand of soda ash is there, one is the glass, this business has been good. As I said, all the plants are running full, container glass is really very bullis h. In the flat glass, both are running at 100%, but because it's from import from China, the margins are under pressure. However, like I said, China is now opening up and probably the scenario was also reverse. So glass, both the segments are doing very go od.

In terms of detergent, the

re is some softness in the demand recovery after the monsoon.

Demand recovery has not happened the way that it could happen. But now we are seeing a sign of recovery into the detergent demand as well. The next sector, which is , again, very important is the textile sector. Textile sector, as you know, the textile sector was down, but now some recoveries have been seen in the textile also. We have started getting some inquiry from Bangladesh for soda ash because Bangladesh is a v ery important country for the textile segment. So there also the exports are happening for the soda ash.

Overall, I would say, textile is also on the recovery path. Green energy, I've already said, a lot of investments are coming into the green energy. Som e of the plants are getting commissioned in the next 6 months' time, and there will be a substantial demand of soda ash, which is almost around 5% of the total demand will come only alone from the green energy initiative.

All this put together, I clearly see a good outlook for soda ash demand going forward. Of course, how the China shape up in terms of their economic slowdown because they are almost around 40% of the global demand. And therefore, how that shape up or how the import comes from China, will b e an area to be seen. Other than that, I don't see any major concern.

Mohit Khanna: And just a final thing. What is the status of the greenfield capex right now? How much have we spent till now? And any other update on that regarding?

R. S. Jalan : Yes. In the greenfield project, I would say that the investment is not very large at this point of time. We have almost spent around INR 50 crores , INR 60 crores only. That is also primarily on the land side. All of the approval processes are on the way. I think I have briefed to the investors last time that public hearing has been conducted which has been done. Now the papers have with the Ministry of Environment to get an

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approval from that. And as you know, it happens in any new greenfield lending projects, some of course NGOs and all those things are there. We are opposing the thing. But of course, government has to say their own views in terms of the overall outlook or the benefit of the plant into the nearby area. And I'm very positive that probably we will so on get the environmental clearances from the government. And after that, it will take almost another 2.5 years to 3 years of time to complete the project.

Moderator; Our next question comes from the line of Rohit Sinha from Sunidhi Securities.

Moderator: Ladies and gentlemen, the line of the participant has been disconnected. Our next question comes from the line of Sangeeta Purushottam from Cogito Advisors.

Sangeeta Purushottam: Congratulations, sir, for the really good set of numbers. My question really relates to the kind of volume growth we are likely to see in the next 2 to 3 years, until our greenfield project comes on stream. So would you be able to tell us what we can expect on that front? And a related question is because of the plant shutdown that happened in Q3, did we lose any volumes? And if so, how much was that?

R. S. Jalan : Yes. Sangeeta, two questions you have asked. First is that in terms of the volume growth into the soda ash business. Like I said, our capacity was increased, how it is going to 12 lakh tons. So almost up to 10%. Out of that 10%, most of them, around 70%, 80%, we will be able to or maybe 60% we will be able to achieve during this year. So that is until next year. Probably, you can say in next 2 years, we will be around the net sales will be around 10% overall, okay?

In terms of the second question, which you talked about your plant shutdown, as you see it will happen that every industry take around in every year, they take around the plant shutdown. In our case, we have gone for 18 months, and this shutdown has happened in the month of S

eptember and we've lost around 15,000 tons of the volume during that period, because in that period, you have to stop the plant and you have to may be change the new products. But that will get recovered in the next quarter that annual shutdown will not be there.

Sangeeta Purushottam: Sir, just going back to the first question again. After a capacity of 12 lakh tons gets utilized which the same happened in FY '23 and part will happen in FY '24. What about '25 and '26? Will we be seeing annualized volume growth in soda ash?

R. S. Jalan : Sangeeta, two things. One as you know that we are expanding our sodium bicarbonate capacity to double. That will have an advantage in terms of the volume growth. And
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then after that, we will have only the greenfield advantage. In addition to that, like I briefed the investors last time, one of the initiatives we're going to expanding our salt production. So that advantage not in terms of the revenue, but in terms of the cost advantage, we will have a significant advantage next year. So those kind of advantage will come not in terms of the volume growth of soda ash until the greenfield project comes.

Moderator: Our next question comes from the line of Sunil Gupta, an Individual Investor .

Sunil Gupta : Let me compliment you for becoming a zero -debt company, which has been made possible under your guidance and leadership and also buoyant market conditions. Now that we have a cash surplus of INR 468 crores , I'm sure investors should urge and you should consider a request for a buyback. Barring that, let me put two more questions to you. One sir, there has been a INR 250 crores increase in the capital employed out of which INR 130 crores is in the inorganic and INR 130 crores is in unallocated. So my request would be if you can throw some light on this?

And secondly, as you rightly said that there is a 15,000 tons impact of shutdown, there were some opening inventories that we must be carrying. So we are still carrying those inventories and could not liquidate due to weaker market conditions? Just two these questions, sir.

R. S. Jalan : No. You've asked for the three things. One is that company is always very conscious about rewarding the shareholders. At an appropriate time, the right proposal will be put up to the Board for their consultation. The second you spoke about very rightly about the capital deployment. So, these numbers have been because of the working capital. Because as you know that the working capital in terms of either the inventory of the finished goods or in terms of your raw material that deployment goes up or goes down, okay?

Third question, as you rightly said, because of the slowness of the demand, some

inventory built up will happen, which we are planning to this quarter, we are trying to kind of export some of the volume to kind of minimize this increase in inventory.

Sunil Gupta : Sir, but increase in capital employed in unallocated segment of INR 130 crores . If you can throw some light because that is not related to soda ash?

R. S. Jalan : So that is , we have kept a liquid money into the fixed deposit.

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Sunil Gupta : One more question. My last question is that you said that you expect 17% to 20% margins in spinning. And there's been 5 -year track record of the 20% -plus margin. I think probably aren't we conservative in saying 17% to 20% because when we used to achieve 20% average margins, our commodity business was higher in spinning and now with so much of investments in value -added segment, the number should be much higher than 17% to 20%?

R. S. Jalan : Sunil, I always go on a slightly longer term vision, okay. And like I said, the 17%, 20%, I think it fitted a policy for us. Historically like you rightly said, 18% is the margin. And going from 18% to 20% itself is a kind of a significant

improvement. But

I always want to be a little cautious about what I speak, and so it is always good that you speak less and you deliver more.

Moderator: Our next question comes from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: You spoke about this annual revision in the long-term contracts. So if you could throw some light, how have things planned for us for the long-term contracts?

R. S. Jalan : Saketji, when I say long -term contract, this is more primarily for the US people, okay?

Because the US, as you know that they always go on a multiyear contract. Of course, now the trend they are also releasing the multiyear contracts. So this year, the US, they have been able to close the yearly contract. And I think there's a better price than what they were getting before. So that was only from the the US side.

In terms of the India side, we don't have too much of, I would say, long -term contracts.

Yes, some percentage are there where somewhere we have a 1 -year contract, somewhere we have a 6 month or 3 months, that contract. And therefore, in some of the contracts, we have got a price increase because the contract was on a year back and after that the price has gone up.

In some of the contracts, which we have done, maybe say 2 months back or 3 months back, and if there is still the contract is valid that we are getting the same price. So it is more like a, not a very major impact on our realization overall because of this change in the annual contracts, because some were gains, some were size of small 2%, 3% of the drop to probably the same numbers.

Saket Kapoor: Sir, earlier you did spoke about some inorganic growth. And in your presentation, Slide number 18, I just quote within the soda ash, apart from the application in key end -user industries like detergent and glass, the company is strategically identifying newer end -

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use opportunity emerging out of solar panels. The objective is to target the right set of customers within the industry and offer them the right product and solution having right customers, prevent fluctuation in prices and therefore margins. Sir, if you could elaborate what are we trying to convey and just a thought on the same?

R. S. Jalan : See, two things. Ultimately, we are in a business where the domestic competitions are there and you have a global competition is also here somewhere, right? So, how do you create a kind of a better value for yourself. And that is only by creating a value addition in terms of the service that you provide, the way you deliver the product, like delivering 24/7.

In the soda ash industry, I think GHCL was the first company who came with the concept of 24 -hour delivery to the customer, even if your customer is sitting into the certain part of the country and the product has to move from Gujarat. So the point which we are trying to say here is our focus is to how to create that value proposition for the customers. How do we service them? How do we proactively support them into their business? How do we focus more on the retail customer because there probably these things are very important for them.

So from that perspective, we are talking about identifying this thing. In terms of the product basket expansion, which you are talking about, the product basket expansion,

Saketji, we are still working on that, a lot of proposals are coming. But I said in the past also, we don't want to rush on something because it is a strategic investment at this point of time. We don't want to rush and go for something which is not what we don't get the marginal acquisition at the right appropriate price and where we have to see a significant growth going forward and opportunity.

In terms of RBC, refined bicarbonate which I've said, we are doubling the capacity there. So those kind of things we are doing to create the value for our

customers. And

maybe you are talking about in the textile, as you have been mentioning in the past, in the textile, the major focus is more towards the value-added segment. Strategic customers, strategic products, expanding the product basket of the textile so that we have a larger basket of the product. So these are the things which we are doing. And that is the reason today majority of the mills, they are running on 60%, 70% of the capacity, we are still running on 100% capacity. So this is what we said in the Page number 18.

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Saket Kapoor: Sir, any time line you would like to set or time line would be hazardous guess. It's an open-ended thought that it may take 6 months, it may take a year also that we would be identifying the stream? Or do we have any time line set for the same? And depending upon the quantity of what you have done, sir?

R. S. Jalan : So Saketji, I would not like to define the time line because in the rush of taking a decision in a time line this thing, we tend to make a mistake. We don't want to make a mistake. So we'd like to be very careful on selecting. So that, when we do this, you have a long, 20, 30, 40, 50-year kind of a scenario you are looking at. So don't rush and go for something where you can't create a value for your segment or part of that business itself. So we will be a little careful in taking that decision.

Saket Kapoor: Sir, on this sodium bicarbonate expansion that we have done by the December end quarter, and the volume benefit would be percolating to the fourth quarter?

R. S. Jalan : No. I have already said in the last quarter also that the sodium bicarbonate expansion will get completed including this quarter. And the benefits will be coming to next year.

Saket Kapoor: Right, sir. Sir, one small point about the Chinese prices. I'm referring to a Chinese website, wherein we have seen the soda ash prices being quoted in the Chinese currency being moving up from RMB 2,600 to RMB 2,694 over the period of, say, 20, 25 days with the Lunar holidays getting over. As you were guiding us that the scenario may change as the Chinese market opens up. So are we getting any fillers on the ground that the price correction, which we have taken earlier may get reversed sooner than depending upon the dynamics of the market?

R. S. Jalan : At this point of time, I can only say that, yes, you are right that the Chinese scenario is slightly positive than what it was 10 days or 20 days or 30 days back. But the real picture will only emerge after when China is fully operational from the holidays. And only the price trend will be clearly established. Probably this quarter, a wait-and-watch situation will be there how that shapes up, and based on that only future decisions or the financial outlook can be spoken.

Saket Kapoor: Only one small point I've seen in the note, sir, that during the quarter, it was mentioned that during the current quarter, 10,000 stock options lapsed under the employee stock option scheme, GHCL ESOS 2015. So what should one read into it? Is it regarding this 30% dip that we have seen in the market cap of the company, is the reason why the same has left? Or how should one read into it?

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R. S. Jalan : No, no, no. Saketji, this stock option, which has been given a long time back. And it would have been beneficial to the employee who would have taken even at the current market prices. But the employee has left the organization, and he has not opted for that.

Saket Kapoor: So leaving the organization will not make him eligible to exercise it later on. That's the reason.

R. S. Jalan : Now in the future, he will not be able to exercise that.

Moderator : Our next question comes from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: So first thing just wanted some clarity on the depreciated

ion side. I mean we have EBIT

as per the press release for inorganic chemical segment as I think, INR 366 crores and on the PPT, we have EBITDA for 372?

R. S. Jalan ; Rohit, I'm not being able to hear you properly. If you can slightly louder speak so that we can understand.

Rohit Sinha: Sorry. Sorry. So am I clear right now?

R. S. Jalan : Yes.

Rohit Sinha: Yes. So in the inorganic segment, I just wanted to clarify the depreciation amount for both the inorganic as well as textile side. As I was just checking on the PPT and press release that EBIT of inorganic was INR 366 crores and the EBITDA it was INR 372 crores . Just wanted some clarity there. Is there something missing? Or how we should see that number?

R. S. Jalan : So you are talking about which slide number ?

Rohit Sinha: Yes. So in our press release, we normally mention the segment wise performance. There, if we look at the segment result from inorganic chemicals, it is INR 366 crores , which normally we take as EBIT. And in the press release, we have inorganic segment's EBITDA as INR 372 crores in Slide number 10. So how should we see the segment depreciation? Just wanted to check that.

R. S. Jalan : Rohit, frankly speaking, we need to kind of look at this number. We have to give a little time to understand because my team is already looking at that number.

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Rohit Sinha: We'll check with later on or something. So on the overall outlook, you have already indicated about the textile business that we have been also talking for the last 2, 3 quarters, I think that slowdown in the business is there. So now, any green shoots we are observing or how we should see the next couple of quarters or going ahead?

R. S. Jalan : Rohit, in terms of the spinning or the textile, definitely one or two more quarters will be painful on the two reasons, one is the recovery is being seen but there's still some inventory losses or the onetime losses will continue in the next quarter, at least more in the current quarter, which is running right now, you will see that. And now gradually, the demand recovery will take place. And probably this quarter will be a little bit more challenging. But of course, the work is progressing if I can say so. And the way the scenario we see today, as you know that the market is so volatile, it is very difficult to say tomorrow what will happen, okay. However, the way I see today probably April, June quarter should be better than this quarter or the next quarter which is likely to happen. And after that, new recovery should take place. So '23, '24 should be a better year for textile per se. This is what my broader understanding of the whole scenario subject to all what you call volatility and uncertainty.

Raman Chopra: If you look at what we have reported in the quarterly results and the presentation, INR 366 crores is inorganic chemical and textile is 6 crores negative. So net comes to INR 360 crores. And if you from there, if you eliminate INR 16 crores of unallocated expenditure, then the total EBIT will come to INR 344 crores. And the breakup of that INR 344 crores is on INR 350 crores EBIT is there in the inorganic chemical business and minus INR 6 crores is there in the textile business. So net will be INR 344 crores. That is a reconciliation.

Rohit Sinha: Okay. Okay. So basically, I mean just wanted to do build on the numbers for depreciation amount, the total depreciation, which we are having around INR 30 -odd crores for this quarter. I think this INR 32 crores something. So how much we should see that for inorganic chemical and textile?

Raman Chopra: 9 for textile and approximately INR 22.5 crores from the inorganic.

Moderator: Our next question comes from the line of Gaurav Joshi , an Individual Investor.

Gaurav Joshi : So I have two questions. One, in the recent investor call, which we had with Raman Chopra

ji, we had discussed about a prospective acquisition, which GHCL might or would be evaluating. And he had also mentioned about the size, probable size of that,

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which might be lucrative to the company. Any updates on that aspect or any actions which have been taken further? The second point is on the NCLT hearing, the order is resolved as we know. But has there been any further details, which NCLT has called for or any update on that score will also be helpful?

R. S. Jalan: In terms of the second point first, NCLT, they have just the orders, no details, nothing because there are really a lot of cases are there, and we are just waiting that order to come in. There's no further detail or something. And I think very soon, probably we'll be getting this order. In terms of the first point, as I said even in the past last call also that we are evaluating many.

And of course, there's some parameters are there in terms of the size, in terms of the growth opportunities and a lot of evaluations are happening. But those evaluations have not materialized any serious discussion or any progress where we can kind of report to our shareholders but evaluation process are on, and we are continuously pursuing that objection. But till now no significant progress where I can say that, yes, something we have been able to achieve till now.

Moderator : Our next question comes from the line of V.P. Rajesh. from Banyan Capital Advisors.

V.P. Rajesh: Just one question about the debt. Since we are a net cash company now at the corporate level, should we assume that in the textile business also will be net cash once it is demerged?

R. S. Jalan : See, in terms of the balance sheet when we will split, at that time clarity will come that how the scenario. But yes, in a way, I would say that we will try to make the balance sheet of textile also at the time of demerger in a manner so that they remain healthy and they remain in a situation where they can take a journey of growth going forward. So we'll continue with that objective. So today, the overall scenario is that the company is at net cash.

V.P. Rajesh: Right. Okay. Understood. And then just on the time line, I know you said it's imminent. But can we conclude that the demerger will likely happen before the end of this quarter?

R. S. Jalan: I think so because now probably you can say that next 2 to 3 months' time is probably because there's a lot of formalities, the orders will come, then we have to take the certified copies, then we have to file – to the ROC. Probably, you can say maximum
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to maximum, say maybe 6 months' time at which probably this could happen. So next year 2024 could be.

Moderator: Our next question comes from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Sir, just one question in terms of our capex plans. So in terms of the of 1.1 million ton to 1.2 million tons, how much capex that we have done. Similarly for sodium bicarbonate, what is the capex that we'll be doing? And just an overall guidance of capex for FY '23 and FY '24?

R. S. Jalan: I think in terms of the capex, like I said, almost a major portion of that capex on this expansion of 11 to 12 has been done. So some unspent amount there. Raman can brief you about the unspent amount of that. And in terms of the sodium bicarbonate also I think the amount is significant. Raman, if you can brief this?

Raman Chopra: Yes. Until now, we have done a capex of around INR 228 crores for the 9 months. And we are likely to have another capex of around INR 75 crores to INR 80 crores when we finish there. It will be something like INR 315 crores to INR 324 crores. Balance debottleneck for inorganic chemicals and which would be around INR 50 crores to INR 60 crores and balance towards the textile 40,000 spindles project, balance payment

of that. Now going forward for the next year, it all depends upon how we shape up for our greenfield projects.

But as of now, in the spinning side, we are targeting around INR 75 crores to INR 80 crores investment. And on the inorganic chemicals side, we are targeting around INR 150 crores investment. This will be without any greenfield, any major spend on the greenfield. Greenfield will all depend upon how the thing shape up when we get the approval. But the larger portion of Greenfield spend is going to start towards end of 2024 or during the period '24, '25.

Rohit Nagraj: Right. And this INR 154 crores on the inorganic will be primarily for maybe some upgradation of capacity and I think the salt project that we have been talking about and the maintenance capex, right?

Raman Chopra: Fully right. Some capex on the salt side and some further debottleneck to achieve that 12 lakh -ton production, some balance work is going on. So that it will be towards that.

Regular capex also is to maintain your efficiency.

Moderator: Our next question comes from the line of Sangeeta Purushottam from Cogito Advisors.

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Sangeeta Purushottam: Yes. Sorry, sir, my line had got disconnected earlier, so I did not hear your reply. So I just wanted to get an understanding of how we should think about volume growth for the company till the time being new Greenfield project comes on line. So over the next 2 to 3 years, what kind of annualized volume growth should we expect?

Raman Chopra: Sangeeta, when we talk about this inorganic chemical as I said, the volume growth of 11 lakh to 12 lakh increase around 10%, as we see this year as well as some benefit in the next year. That's one built up. We will surely get the benefit next year of the sodium bicarbonate, which the expansion we are doing for doubling the capacity.

So that's the second advantage you will see next year. Third advantage you will not in terms of the volume growth, but you will see in terms of the productivity we are utilizing on the salt, captive salt production. So those kind of advantage is next year onwards. And after that, the volume growth will only happen from the greenfield project.

Sangeeta Purushottam: Right, right. Okay. So bulk of the volume growth you're likely to see will be over the next, say, 12 to 18 months, and then there could be a bit of a lull until the new greenfield comes onstream?

R. S. Jalan: Yes. And in terms of the textile, of course, like I've just said in my initial remarks, in terms of volume growth, we have just completed the 20% of the volume growth, you will see next year. On the textile side, opportunities of volume growth will be there.

Moderator: Our next question comes from the line of Yogesh Tiwari from Arihant Capital Markets Limited.

Yogesh Tiwari: Good evening, sir. My first question is there has been an increase in the interest cost on a quarter-on-quarter basis. So what will be the driver for it?

R. S. Jalan: I don't think the interest cost has gone up. I think you'd say INR 29 or INR 30 crores to INR 31 crores.

Raman Chopra: No, no.

R. S. Jalan: 10.75 to 11.18. This is primarily because of working capital utilization, not a really significant.

Yogesh Tiwari: Sure, sir. And my last question is what would be the utilization rate for sodium bicarbonate for the quarter, sodium bicarbonate?

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R. S. Jalan: Sodium bicarbonate, we are almost running around 80% to 85% at this point of a time. And probably that kind of a number will continue in the future also.

Moderator: Ladies and gentlemen, we have reached the end of the question-and-answer session. I now hand the conference over to the management for closing remarks.

R. S. Jalan: Thank you, gentlemen, and thank you for all the support which you are giving. As a management, our endeavour is always

to ensure that we continue to grow and continue to create a value for our stakeholders. And in that journey, we also are very clear in our mind to perform and create a trust among our stakeholders in terms of the outlook. We are going to be very responsive in our approach. And we will definitely see there is value for our stakeholders. So thank you very much for your support.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

GHCL Limited
May 09, 2023
National Stock Exchange of
India Limited

"Exchange Plaza"

Sandra -Kurla Complex,
Sandra (E), Mumbai -400 051
NSE Code: GHCL

Dear Sir/Madam , BSE Limited
Corporate Relationship Department ,
151 Floor, New Trading Ring, Rotunda Building,
P.J. Towers,
Dalal Street, Fort, Mumbai -400 001
BSE Code: 500171

Subject: Filing of Transcript regarding Investors' conference held on May 02, 2023

In continuation to our earlier communication dated April 24, 2023 and May 1, 2023 regarding Investors' conference on May 02, 2023 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on May 02, 2023 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates) , National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

Bhuwneshwar Mishra

Vice President- Sustainability & Company Secretary

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" GHCL Limited

Q4 FY2023 Earnings Conference Call "

May 02, 2023

ANALYST : MR. ROHAN OHRI – EMKAY GLOBAL FINANCIAL SERVICES LIMITED

MANAGEMENT : MR. R S JALAN – MANAGING DIRECTOR – GHCL LIMITED

MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER & EXECUTIVE DIRECTOR (FINANCE) – GHCL LIMITED

MR. MANU JAIN– INVESTOR RELATIONS – GHCL LIMITED

MR. ABHISHEK CHATURVEDI – INVESTOR RELATIONS – GHCL LIMITED

GHCL Limited

May 02, 2023

Page 2 of 19 Moderator : Ladies and gentlemen, good day and welcome to GHCL Limited 's Q4 FY2023 Conference Call. We have with us today, Mr. R S Jalan , Managing Director and Mr. Raman Chopra , CFO & Executive Director (Finance) . As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this call is being recorded. I now hand the conference over to Mr. Rohan Ohri from Emkay Global Financial Services Limited. Thank you and over to you Sir!

Rohan Ohri : Thank you. Good evening everyone. I would like to welcome the management and thank them for this opportunity. I shall now hand over the call to the management for the opening remarks. Over to you gentlemen!

R S Jalan : Thank you. Good afternoon everyone. Welcome to GHCL's earning call for the quarter and year ended 31st March, 2023. Our results and presentation have been uploaded on stock exchanges' and company's website. For this call, I am accompanied by Raman who is our CFO; along with Manu and Abhishek from the investor's relation team.

I am pleased to announce that we have completed the demerger of GHCL Textiles effective 1st April. This will now create two separate sector focused listed entities and shall benefit all our shareholders.

Moving over to Soda Ash, the global markets are in balance. We expect that Soda Ash demand will get a boost from environment related sectors such as solar glass, lithium carbonate and sodium bicarbonate. Input costs including the energy prices have moderated and supply chain cost is below pre-covid level. This has resulted in softening of Soda Ash prices and passing the benefits to customers. In India also

, prices have softened and we

have taken a price cut of 3-4% in April. However, with reduction in input costs, impact on our margins shall be minimal.

As intimated to stock exchanges, we witnessed a lime kiln breakdown at our plant. This has happened for the first time. We have taken preventive measures to identify early detection

in future. We have made progress to contain the loss and production shall normalize by end of May.

Coming to the textile, the sector continues to face headwind but demand has started to recover and we believe that business sentiment will improve in next 1-2 quarters. Our plant has been fully operational and there is no major inventory build-up. We expect our margins will revert back to the average margin in range of 17-20% going forward. This results are reported as discontinued operations due to demerger.

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Page 3 of 19 We continue to focus on implementation of various growth initiatives. We are making progress on the greenfield project and basic engineering activities are now starting. We have announced a new Vacuum Salt project which will expand our product basket. We shall manufacture edible salt by harnessing the energy from the Soda Ash plant. This project shall take approx. 18 months for completion. Salt yield improvement and digitization projects are progressing well.

I will now request Raman to share the financial performance.

Raman Chopra: Thank you Sir. Thank you Sir. Good evening everyone and a warm welcome to our Q4 and year ended FY23 earning call. I will share the financial highlights. As you are aware, the demerger of our textile business has become effective from 1st April, 2023 and the results of this business have been reported as discontinued operations. Accordingly, all assets and liabilities pertaining to spinning business have been taken over by GHCL Textiles Ltd. The continuing operations now represent Inorganic Chemical business.

For Q4 FY23 Revenue from continuing operations came in at Rs. 1,141 Crore. This represents a growth of 8% on a YOY basis and 3% on a sequential basis. The main reason for this growth is better realisation over last year. EBITDA for the quarter stood at Rs. 370 Crore, which is an increase of 10% from Q4 of last year. For the quarter, EBITDA Margin came in at 32.5% compared to 31.9% in Q4 FY22 and 33.6% in Q3. The decline in margins on a sequential basis is due to lower production during forth quarter. PAT for the quarter stood at Rs. 251 Cr. vs. Rs. 200 Cr. in Q4 of last year and Rs. 254 Cr. in Q3 FY 23. For the full year FY 23, PAT including discontinued operations stood at Rs. 1117 Cr. Compared to Rs. 637 Cr. for FY22, this is a substantial increase of 75%. Dividend for the year has been announced at Rs. 17.5 per share, which is highest ever by the company. For the year FY23, we generated cash inflow of around Rs. 1400 Cr (including balance proceeds from sale of HT business). Which was utilised towards capex (Rs. 357 Cr.), working Capital (Rs. 267 Cr.), loan repayment (Rs. 342 Cr.) and dividend (Rs. 143 Cr.). At the year-end we had the surplus of Rs. 525 Cr, which included liquid fund investments of Rs. 365 Cr. and cash and equivalents of Rs. 160 Cr. At the year end our gross debt stood at Rs. 426 Cr. with net cash surplus of Rs. 99 Cr. for the company as a whole. With this, I conclude my comments and would now request the moderator to open the forum for question and answer. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue assembles. The first

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Page 4 of 19 question is from the line of Jatin Damania from Kotak Securities Limited . Please go ahead Sir.

Jatin Damania: Thank you for an opportunity. Sir just wanted to check now with the breakdown of the lime kiln that we have

seen what was the production loss that we have witnessed during the quarter ?

R S Jalan : Approximately around 40000 ton ne.

Jatin Damania: 30000 tonne and when do we expect the lime kiln to come back on the stream?

R S Jalan : First let me clarify this is not 30000 tonnes t his is 40 000 tonnes and second the lime kiln out of that major portion has already been recovered and b y end of May the full production will be there, 90% of the problem has been solved remaining 10% problem will be solved during the next few days so by end of May we will have it full.

Jatin Damania: Sir in terms of the volume if you want to check we did 11.4 lakh tonnes of volume in this financial year so more or less we will be closing FY2024 on the same number with a lower realization is it safe to assume that?

R S Jalan : Sorry can you repeat your question again.

Jatin Damania: Sir we closed this year sod a ash volume with 11.4 lakh tonnes now with the break down in the lime kiln we will be losing a two month of production is it safe to assume that for FY2024 we will be closing around more or less on the same level of the volume?

R S Jalan : I think so. I do not see any regi on of the sales being lower than the numbers which we have achieved during this year.

Jatin Damania: Sir my last two questions. One is on your overview on the soda ash industry a s you said the demand is getting a boost from the solar glass, lithium bicarbonate and sodium bicarbonate but the other end we have also seen the prices have softened like 3% to 5% e ven you categor ically mentioned about the price cut that we took in the month of April so with the new capacity that is going to come in inner Mongolia where do we see our soda ash prices given the moderation in the input cost and increasing the overall supply in the coming months?

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Page 5 of 19 R S Jalan : Yes I think this is a very valid and very important question you have asked. Let me give you a pic ture of long term as well as the short term. If I lo ok at slightly on a longer term based on the global outlook which has been presented in the last soda ash conference there is a very bullish scenario coming in the next five to six year s. It is 63 million of the total demand at this point of time, the projection i n the demand will be 80 million and if I take all the production which has been announced or likely to come it is still the global team feels that there is going to be shortage of around 4 million so that means in the long er term if you look at there is a very bullish situation in the soda ash. Now let us come to the immediate next few quarters. If I go country -by-country I think I will be able to give you a little better picture on that. If I go t o China in China what is being said is that alone the solar investments and the solar demand will enhance the soda ash demand by around 6% to 7% and if I take the normal increase there is a very bullish situation in China and all this Mongolian new capacit y which is coming around 1.5 million tonnes during this year will get absorbed in China. Now coming back to US, US there is a very balanced demand supply for their production as well as their supply to the natural market. If I come to Europe, Europe situat ion has significantly changed over a period of last one or two quarters because of all the contracts which are there, o f course the demands are very good in Europe and supply is also fully operational. The demand supply balance is there however the prices have softened because their prices are always fixed with the gas price indexes so because of that the prices have softened and they have become competitive . Coming back to India , India 's demand of soda ash in all the sectors are doing good and the growth i nto t he solar investment and the normal glass and the detergent and every sector put together we believe that 5% of th e demand growth will happen in In

dia as well so keeping everything and we do not see any major import s coming in or more than the import s which ha ve been coming in the past will be coming to India so therefore if I look at in the total situation on one side demands are good, s ome supply increase like you have seen in Mongolia you said or some in the US will happen but keeping everything in t he demand supply will be a balance. In terms of the pricing, pricing as you rightly said some softening has happened and may be some more softening can happen in the next few months; however, that will not because if the supply chain cost has gone down as well as your raw material prices or the energy prices

soften I personally believe there will not be a ny significant drop into the margin of going forward. I hope I have been able to clarify to you a bit.

Jatin Damania: Yes Mr. Jalan thank you f or your deta iled answer. Sir last question from my end before I jump back in the queue again this is more on the balance sheet now after the demerger our balance sheet has strengthened which was already there in the last year we have seen a sharp increase in the cash and cash outflow and as a corporate we have also done a good job

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Page 6 of 19 in terms of increasing a payout this year b ut we were also discussing some of the buyback that the capital deployment that suppose the company was supposed to be announced in the last quarter or after the demerger so any guidelines on the capital allocation for FY2024- FY2025 and any sort of corporate action that we can see?

R S Jalan : Let me give you this answer in a very safe manner, which we have said the philosophy that ultimately the cash which we are generating will ultimately either go into the growth of the company or will get distributed to the shareholders of the company. Now only thing will be the timing of those things will happen in appropriate time, but we are conscious about the reward s to the shareholders and in the appropriate time those right decisions will be taken.

Jatin Damania: Thank you. I will come back in the queue.

Moderator : Thank you Sir. The next question we have is from the line of Saurabh Jain from HSBC.

Please go ahead Sir.

Saurabh Jain: Thanks for the opportunity. Again Sir can you provide more details around the new China capacity that is supposed to come, what is the broad understanding would be the timelines and is it a phase wise addition , what is the total siz e of the project , any color on that will be very helpful?

R S Jalan : You are right Saurabh that this investment of inner Mongolia is very coming in a phase wise and hopefully this year probably 1 to 1.5 million tonnes of a new capacity that we are hearing will come in but still I would say that v ery clearly my understanding about this that China in a longer term period will not be kind of a supplier to the world because two things will happen , in China itself the demand the growth will take care of this new addition, second the focus on the environmental thing they will be looking at some shifting of the plant or some closing of the unviable plant so my understanding in a longer term China and which has been in the global soda ash content as I discussed . Chi na will not be a major supplier to the world.

Saurabh Jain: Okay but how big is this project like phase one you explained would be coming this year about 1.5 when do you expect this to comm ercialize and when would the rest of the phases would be adding to the global capacity , is it going to be next year or is it going to be spread over a longer term h ow do you see that?

R S Jalan : It will be a longer term It will be coming like I said 1, 1.5 million this year and there wil l be some addition in the next year because there are a lot of challenges also there. W ater

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Page 7 of 19 allocation is a big challenge to them. The transportati

on because this is a very far off

transportation from the stores to the mainland will also be a big challenge so even if they want they cannot come in once , it will be coming in the phase manner and one more thing which is very interesting in China which is happening. I believe if you remember that China was more of dumping the materials, t he cost of t he economi es was not very important for them. Now the cultural change which we are seeing there is that they will moderate the ir production but they would not like to sell at a cheaper price so keeping that in to mind they will definitely come in phases on this inner Mongolia.

Saurabh Jain: But again correct me if I am wrong this will be a natural soda ash process right compared to the res t of the synthetic capacity on H OU processed in China largely HOU process so would it also be right to understand that this pricing for this Mongolian project which is based on natural process the price would be much lower than what or the cost of production would be much lower for this inner Mongolia compared to the rest of the products in China and then become increm ental cost that you are talking about to bring to the coastline will that be offset largely because the cost of production would be lower in the inner Mongolia and they can very well then ship out these products out of China into the rest of the countries like India, South East Asia where they are currently pushing in their synthetic exports will that be a possibility?

R S Jalan : The n atural soda ash is always going to be cheaper in terms of when it comes to the cost of production. Even if you take an example of US or take an example of Turkey . There is a definitely their costs are much lower as compared to the synthetic process it is very right ; however , the supply chain cost s from the re mote location where the plants exis t to the

seacoast like this if my memory is correct this is around 3000 kilometers away from the main port so the supply chain cost after taking into account their supply chain cost and if they want to export to the consuming country like China or for that matter the Europe or some other country definitely there will be Indian or the local producer will always be competitive on that and this historically has been seen in the past so like take US or the Turkey. Turkey has the same cost of production. Now Turkey material coming into India definitely India has a competitive advantage because of the supply chain cost of Turkey production from there to the port and port to India. You cannot say that because of this production the price disruption will happen.

Saurabh Jain: So what you are alluding to is that the cost of transportation would be more than offset the lower cost of production for inner Mongolia is that correct understanding?

R S Jalan : Yes.

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Page 8 of 19 Saurabh Jain: The other question is that what kind of so already four months have passed during this year how do you see the growth in the conventional segment demand for soda ash and how do you see the full year demand from the conventional levers that are there for the soda ash industry, is it going to increase or stable or decline, what will be your view over there?

R S Jalan : Definitely it will be positive. I said in my opening remarks also that demand of the soda ash will grow by 4% to 5%. Our expectation is conservatively the demand growth will be around 5% because glass is doing great and bottle glass are doing fantastically well. Even the rural demand into the detergent had picked up. Even the textile which was struggling and there also the pickup has started happening so therefore overall we are seeing a demand growth of around 5%.

Saurabh Jain: This will be conventional segment of the soda ash or the total soda ash you are talking about?

R S Jalan : Largely this is a conventional segment and then some addition

may happen. Of course some

demand of the soda ash has been shifted towards the caustic because of the caustic prices are low but keeping that also into account and the new investment which is coming into the glass and solar we believe that conservatively the demand of soda ash growth will be around 5%.

Saurabh Jain: Thanks a lot Sir.

Moderator : Thank you Sir. The next question is from the line of Sarvesh Gupta from Maximal Capital Private Limited. Please go ahead Sir.

Sarvesh Gupta: Good evening Sir and thanks a lot for taking my question. Sir the first question on the soda ash side this year has been very, very different in terms of the margins, pricing and everything and this was not the level of profitability that we saw in the previous years at all, So but now you are more or less saying that this is the new normal so just from an understanding perspective all the drivers including glass, Chinese, and environmental - related problems, all these are always there right so what specifically has changed this year which has created a sort of a new normal in terms of the profitability of the soda ash industry which you think is what it is going to be more or less going forward so that is one and second is on the textile side so even after adjusting the one off I think we are still coming to like 3% to 4% EBITDA margins and you said something like 17% to 20% so how soon do we see the margins reverting to the average sort of levels of 17% to 20% and if you can throw some more light on the revenue drivers for that and because of the

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Page 9 of 19 demerger if you can also throw some more light on the management of that business how has it been done in terms of the top management split between the two companies and what will be the thing going forward for that business? Thank you Sir.

R S Jalan : Good. First and foremost I do not think the margins which you are talking about you must be referring the margins from a per tonne of soda ash, but if you look at in terms of the percentage, if you look at the 15 years history of soda ash and our data you will find that the margin of around 30% to 32% has been a normal margin and currently also if you look at this year as well the margin has been around the same level. If you come to the per tonne of soda ash if you look at 10 years back it must have been maybe some few thousand rupees and every year there is growth of around 9% if my memory is correct a per tonne of soda ash margin has been increasing approximately around 9% and that is primarily because of the soda ash prices are going up and I think I have said in the past also soda ash prices in the last 15 has been continuously growing except do not compare the last two years of the COVID period. At that time the situation I would say that or prior to the COVID period, that period was slightly abnormal. Otherwise the margin has been in that range and the

growth in the soda ash pricing as well as per tonne of soda ash growth was happening. My personal belief is these margins are required for the viability of the soda ash plant not going forward also and therefore I do not think there is a very abnormal situation on this margin and profitability of soda ash because of these margins.

Sarvesh Gupta: Per tonne a better matrix because you were alluding that now from April onwards because of the input cost going down the ultimate price realization?

R S Jalan : Prices are also going down and therefore you should look at the margin, if your cost is doing down the prices are also going down. The margin a percentage in that same range should be there that is number one. Second I said to you that overall the demand supply situation because the demand always ahead of the supply which has been seen in the last many years so therefore I personally believe this kind of a margin should continue and may be a few percentage here

and there could be there but not very significant drop should not be there at least in the near future I do not see that and the balance we do not know in the longer term in such a volatile market what will happen but at least in the shorter term I personally do not see any major reason of any significant or any drop into the internal margins. Now coming back to your second question which was on textiles see as you rightly said after the one -off also if I remove that one -off there is a margin in that business but my belief is that at least for one or two quarters may be this quarter as well as the second quarter could be challenging; however, you will see improvement in the margins this quarter than in the second quarter and so on. Maybe this 17% to 20% margin should be

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Page 10 of 19 possible may be Q4 of this year or may be Q3 or Q4 of this year but things are looking up in that zone and the reason of this is primarily because of two reasons one last year the comparison was there because on one side the cost of cotton was higher whereas the yarn prices has dropped, with all the goodwill they added an inventory. In our case also you have seen that inventory we added a higher part which we have taken a write-off or one -off but now the cotton prices have softened and because of that the yarn prices are stable now and the way the demand growth is taking place probably some improvement in the yarn prices will also happen so this will lead to a margin expansion and again let me repeat this question this thing which I have said. This industry is a commodity industry and therefore fluctuation in the margin will happen. If you look at slightly longer term view like we have seen in the last four to five years you will see that our margins are in the range of around 15% to 18%. Now coming back to the third question which you spoke about the management we have a very competent management there. We have CEO of that business, we have CFO in that business and of course they have not been taken on the Board at this point of time but we have a very competent management there. We have a company secretary so there is a complete management team is there and surely we will support for some period of time till they get stabilized on the entire process.

Sarvesh Gupta: Understood Sir and on the textile side the US had a big inventory issue as such so are we seeing any impact on our business because of the inventory being higher on the export market especially the US?

R S Jalan : I would say to some extent the inventory had got liquidated and therefore the new demand has been generated and for us one good thing is there which I think we have done in the last three to four years. To a great extent we have moved from a commodity space to a specialized space in every segment of the yarn and because of that in spite of in the past if you look at the last few quarters you will see that many of the industry or the spinning industry they have been running underutilized somebody was running at 60% or 70%, we have always run on full capacity of 99% and we have not built the inventory so our customer base and our product basket has been designed in a manner so that we have an advantage over the competition on this account.

Sarvesh Gupta: Understood Sir and excess capacity buildup in that business is not a threat for us as such because of this?

R S Jalan : Excess capacity in the spinning always it happens. Whenever the times are good some new capacity gets added and whenever there is a bad time the marginal capacity or the unviable capacity gets closed so this is a very common phenomena in that business but good part in

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Page 11 of 19 that business is now, earlier I was saying because I have seen this business for a long period of time a small investment used to come in a big way now that is not happening

that is a

good sign for that business of spinning business. Earlier somebody was putting 10000

spindles or 15000 spindles that are now not happening . Now only the large r capacities are coming and because of that some consolidation will happen going forward on that business.

Sarvesh Gupta: Thank you Sir and all the best.

Moderator : Thank you Sir. The next question is from the line of Vasunath from New Berry Capitals . Please go ahead.

Vasunath: Good evening. Thanks for the opportunity . A question on the lithium carbonate you have mentioned in the initial remarks also that you see a new market opening up because of the batteries and lithium carbonate I would just like to know what sort of opportunity size it is and whether we have started communicating with any battery manufacturers , how would be the margins in this area and whether we will participate in volume or value kind of things ?

R S Jalan : First and foremost lithium carbonate has a huge potential . Of course the major demand will be more in China and because today also world 's total 70 % of production of lithium carbonate gets produced in China and this is also one of the driver of China not becoming a more exporter to the soda ash because there also lithium carbonate consumption of soda ash in the lithium carbonate will also multiply in the next few years . In India some research has been found out; however , still not in a very significant manner where lithium consumption or the soda ash consumption is recently happening maybe going forward that will happen so therefore at this point of the time I would not be able to say that okay some volume is growing in that segment or in the near future that volume will be growing but globally the lithium carbonate will be a big driver of soda ash consumption.

Vasunath: So in India you see the visibility after one odd year looking into small kind of volumes would start ?

R S Jalan : Yes you can say that .

Vasunath: Understood. Thank you. That is it from my side.

Moderator : Thank you Sir. The next question is from the line of Vishal Jain from Techno Family Office . Please go ahead.

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Page 12 of 19 Vishal Jain: Good evening Sir. Just two questions regarding the demerger of the textile unit. One by when we can expect the listing of the demerged company that textile company and secondly the cost of acquisition what would be the cost of acquisition would the company share any directives for that ?

R S Jalan : See Vishal if I look at in terms of the listing hopefully I think by this month end the listing should happen. I am sure that you must have got the shares of textiles in your portfolio and the process is on and hopefully by this month end or maybe prior to that the listing will happen. The second is that in terms of the costing we are working out that costing and hopefully we will come back soon to the shareholder that what costing. In your balance you have to take into account by transferring this cost from a joint investment but that number will be I think will be a good number .

Vishal Jain: Okay, So that also we can expect by another 10 to 15 days ?

R S Jalan : Yes 100%.

Vishal Jain: Thanks a lot and all the best.

Moderator : Thank you Sir. The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Good evening. Thank you for this opportunity. Sir just to take into account the additional volume that will be coming from inner Mongolia your understanding is that it would be consumed by the Chinese market itself and that will be more close towards the solar requirement with the type of projects that China has envisaged over a period of time so this understanding is correct that this material is not going to flow through other geographies?

R S Jalan : I think this is what my understanding at this point of time.

Saket Kapoor: Secondly taking into account

what is your understanding on the raw material basket and the power fuel cost shaping up and what factors would be driving the sales your thoughts on that?

R S Jalan : Power cost and the raw material costs are softening and it has softened a bit and hopefully my personal belief is that this will remain soften or this will remain at this level going forward also.

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Page 13 of 19 Saket Kapoor: On the salt front I think so the improvement in the salt in-part when will the company start reaping the benefit of the same and for the current year that we will be also getting the benefit of the expanded capacity from RBC so your thoughts when will that flow into our numbers ?

R S Jalan : You see so far as this salt is concerned we will start seeing the benefit in this year but not 100% but gradually but some benefits or good benefits will be seen this year itself. In terms

of the RBC maybe some benefit can be seen this year. Of course RBC market is slightly sluggish at this point of a time and therefore may not be a very significant the bottomline addition this year but in the long er run as I have been saying that this flue gas treatment some of the consumers of the flue gas treatment their trial has been very, very successful so we are clearly seeing in the near future a lot of upside into the consumption of the sodium bicarbonate consumption into the flue gas tr eatment . It may take some time to really get a full benefit of the expansion which we have done.

Saket Kapoor: As you mentioned the demand is sluggish so we have I think added 30000 tonnes during the last quarter our capacity has doubled from 3000 0 to 6000 0 so that kind of utilization levels?

R S Jalan : So Saket at this point of a time to give a specific number will be difficult but like I said market is sluggish and our volume has increased from 60000 to al most around 120000 tonnes.

Saket Kapoor: The capex number mentioned post the Board meeting was Rs.336 Crores so if you could elaborate where this money is going to be spend?

R S Jalan : Obviously this money is going to be spent on the Greenfield project and vacuum salt which I have just mentioned in my spe ech or my opening remark s which is a new product basket the investment will be there also and regular like green initiative we are doing some investments will go into the green energy those kind of a thing .

Saket Kapoor: So there will be no incremental volumes for this year w e would be producing 1.2 million taking into account also the effect of the breakdown do you say look forward for this year for a production of 1.2 million tonnes for the year as a whole?

R S Jalan : Our capacity is 1.2 million tonnes and based on that what we have been doing in the past and keeping into the breakdown let us see what numbers we achieve.

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Page 14 of 19 Saket Kapoor: In your presentation also there was a mention about some losses because of surrender of lease of land to GID C to the tune of Rs.17 Crores if you can explain the details for the same?

R S Jalan : We have been allotted some land to GIDC and in 20 13 the Board has approved some of the land required by the GIDC for the port near to our plant and that land we have given back to the GIDC and because of that whatever the cost that the land had in our balance sheet we have taken a write-off on that.

Saket Kapoor: Sir we are not going ahead with the proposal for which the land was acquired?

R S Jalan : No they needed this land Saket for th is project and therefore we had to give it to them. This will not impact any of our growth plan or something. This was the land which was a little away from our factory.

Saket Kapoor: So we will not be compensated for that , this loss has to be taken by us even after paying of the land?

R S Jalan : Yes they will give me only the land which only the value which as per what they have given

it to us and that we will be getting from them.

Moderator : Thank you. The next question is from the line of Riya Mehta from Aequitas Investments . Please go ahead.

Riya Mehta: Hello, Thank you for giving me the opportunity. My first question is in regards to th e demand so basically in India I think the detergent demand is going on inbounding and do you think that the newer sect ors of solar and this other lithium carbonate is over compensating for the loss of detergent ?

R S Jalan : No Riya I do not think there is a loss in the detergent segment 's demand and the demand of the detergent section is good and going forward we believe t hat the normal growth into detergent demand will come through. As you know that the rural population the demand is now good there and therefore my personal belief is that the demand in detergent will continue to be good. The demand of solar where the new c apacity has come or some of them are likely to come in a few months which will add to the total demand of soda ash which I said the demand growth will be around 5% .

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Page 15 of 19 Riya Mehta: In terms of China we are seeing some demand slowdown over there so basically th e import s from China have increased in India so what is the scenario right now for that ?

R S Jalan : I do not personally I said that the demand in China is very good particularly on their solar side as well as lithium carbonate side along with the regular consumption also so overall the demand in China is good and overall we do not see any major volume coming into India from China in the near future.

Riya Mehta: In terms of power cost do we see the realization going downwards in tandem with the decreasing ra w material cost and will we be able to maintain the margins of last year?

R S Jalan : Riya I have said that overall the prices are softening and the cost of production is also softening. Keeping that everything to mind there should not be any marginal or there should not be any major impact on the margin.

Riya Mehta: Thank you so much.

Moderator : Thank you Madam . The next question is from the line of Rohit Nagraj from Centrum Broking . Please go ahead Sir.

Rohit Nagraj: Thanks for the opportunity. Sir my first question is on the vacuum salt project so in terms of our earlier initiative on the product line expansion in terms of spices we have not been able to scale up this particular initiative so on the vacuum salt project what is the kind of philosophy that we are working on , will it be a product which will be branded ourselves or we will be a bulk for some other branded players and how do we expect this to scale up over a period of say three to five years ? Thank you.

R S Jalan : I think a very interesting and very important question Rohit. First and foremost this vacuum salt which we are producing is going to be consumed with the waste energy of our existing production so therefore this production will be a very cost competitive except the salt and sub cost all the energy will be kind of a free on this entire process so therefore this project is going to be definitely a good basket addition to that. At this point of the time we are not looking at branding of this product, we are looking at this product to be sold in a bulk as a bulk volume. In a longer term probably we will see those opportunities of a B2C or the branding one but at this point of the time no.

Rohit Nagraj: Sure got that. Sir my second question is just on the volume front so in Q4 we had this adverse impact from the lime kiln breakdown of about 30000 tonnes what is the expected

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Page 16 of 19 impact in Q1 and after this incident what is the kind of preventive action that we are taking that certain incident does not occur with other lime kiln ? Thank you.

R S Jalan : So Rohit very rightly you said the first and foremost this has happened

this breakdown has

happened first time in the history of GHCL for the last three to five years and we have taken this very seriously and lot of preventive action has been taken. It is not one or two there are many on that. I do not want at this point of time to give a technical answer of this what infrared or to what kind of cameras and all there are many things we have done. Now in terms of the Q1 I think I just said to a great extent the production has not come to the normal in the month of May and whatever the small gap is there which will get covered by the end of May so therefore by end of May the full production will start and hopefully in this month or in this quarter probably 10000 to 15000 kind of a number drop will be there which we have already announced to the stock exchange information also and the balance next quarter onwards it will be a full production and full glass production.

Rohit Nagraj: Sure Sir thank you and best of luck.

Moderator : Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment Management Private Limited . Please go ahead.

Niraj Mansingka: Just two questions one what is the production of soda ash for the last quarter and the year ?

R S Jalan : Specific numbers probably will be difficult for us to give .

Niraj Mansingka: Okay, Can you give us utilization for the quarter ?

R S Jalan : The production is almost around 40 000 lower or in terms of utilization I can give you the utilization percentage. The utilization percentage is approximately around 94% .

Niraj Mansingka: For the year ?

R S Jalan : For the year as a whole?

Niraj Mansingka: Yes Sir .

R S Jalan : It is almost around 100%.

Niraj Mansingka: What is the status of the Greenfield capacity there were some hearings and which was getting delayed any status update on that and when do you see the spending for that pick up?

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Page 17 of 19 R S Jalan : Like I said when the capex detail I was giving or even in my opening remarks also I have said basic engineering work has been awarded and the basic engineering work is getting started now and hopefully the environmental clearances also all the formalities has been completed so hopefully the environmental clearances also should get in the next few months so I think this physical activity of all this basic engineering, retail engineering and all those things would happen in Q3 or Q4 of this year and in terms of the likely completion of the project maybe some delay definitely will happen in these projects but I think 2025 or 2026 probably we should see the production. I am sorry one clarification I want to give. I think the production which I gave you the number was wrong. Its number was 86%. I have given you the number of the sales so I am sorry for that and overall our capacity utilization

for the full year is around 94% and not 100%.

Niraj Mansingka: That is what I was wondering. Thank you.

R S Jalan : I am sorry for this.

Moderator : Thank you Sir. The next question is from the line of Tarang from Old Bridge Capital Management Private Limited . Please go ahead.

Tarang: Good evening Sir I just wanted to check for the Greenfield soda ash project has there been an upper provision in terms of the outlay that we are looking at now ?

R S Jalan : I think it will happen but at this point of a time we do not have a full number at this point of a time but yes some upward revision will happen because a couple of new thoughts which we are bringing into that. One we are bringing is how to build the carbon reduction or I would say that the technology of the energy in a manner so that for a longer period of time the carbon costs are getting reduced because the carbon costs in the Europe is very, very high so we are coming with a technology where the carbon footprints will be lower, slightly different technology and more efficient technologies so all t

his put together so

probably some upside in the cost will be going up but once we are ready with that we will share with our investors about the whole project .

Tarang: Is it in the ballpark of Rs.4000 Crores to Rs.4500 Crores?

R S Jalan : At this point of the time it is difficult to talk about that number. Once we are ready with this number we will definitely share with you.

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Page 18 of 19 Tarang: The second question was if you could give us the production volumes for the FY2021 and FY2022 for soda ash?

R S Jalan : We do not give specific number I am sorry for that Tarang but like I said this year we are higher than the last year by 4%.

Tarang: Okay, What was the utilization last year FY2022 and FY2021 capacity utilization?

R S Jalan : Last year our capacity was 11 lakhs and this year our capacity is 12 lakhs as you know so utilization numbers will not be representing each other .

Tarang: Thank you.

Moderator : Thank you Sir. The next question is from Yogesh from Arihant Capital Markets Limited . Please go ahead.

Yogesh : Good evening Sir. Thanks for the opportunity. I had two questions. One question is there has been some increase in other expenses on a quarter -on-quarter basis by about 6% so what would be the driver for it on a quarter -on-quarter basis?

R S Jalan : I think I will request Raman to answer this.

Raman Chopra: This has taken into impact of land surrender. You know the capital loss on account of surrender of land to GIDC, the impact is around Rs.14.5 Crores so that precisely if you eliminate that the other expenses are lower than corresponding quarter .

Yogesh: Thank you Sir and my last question is on the demand from the lithium segment so have we done any calculation on what would be the impact on soda ash, the demand only from lithium industry any unit economics how much suppression is required for lithium battery anything on that front ?

R S Jalan : So yes we have done on a global scale because and if my memory is correct that figure is around five to six million in the next seven to eight years.

Yogesh: So like statistics to it demand is about 80 million like 5 million to 6 million will come from lithium am I correct?

R S Jalan : Currently at this point of a time I think it will be around 1.5 million tonnes and this will lead to something around more than 5 million tonnes in the next five to seven years .

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Page 19 of 19 Yogesh: Thank you very much. That is all from my side.

R S Jalan : Wait for a second , I will give you a very specific number which has been Roughly around 6% it is roughly around 5 million which I have said to you by 2030 and currently roughly around 1.2 to 1.3 so that kind of a number you can see roughly around 4 million of extra demand will be coming in the next four to five years or six years from lithium carbonate alone.

Yogesh: Around 4 million to 5 million in the next five to six years from lithium carbonate?

R S Jalan : Yes.

Yogesh: Thank you Sir. That is very helpful.

Moderator : Thank you Sir. As there are no further questions I would now like to hand the conference over to the management for closing comments .

R S Jalan : Thank you very much to all my stake and shareholders and like I have been always been saying this call definitely helps us to take the feedback from you people and to improve

upon our performance on a period-to -period basis and I think over a period of the last five to seven years we have been able to do a good job in terms of growing the business and growing the profitability . I remember that couple of years back and now onwards there is a significant change whi ch is happening to the business. On one side the profitability has multiplied man ifolds and the volume or the other growth into the business of volume growth has also been happened. I think we are very few companies in India w

here our

profitability or the profit after tax is more than Rs.1000 Crores. We have achieved this year Rs.1100 Crores of profitability. W ith your support we will continue to do the good improvement or the good work on to the site and also continue to allocate our capital in a rightful manner keeping into account growth and the rewarding the shareholders and t hat will be our priority always. C orporate government is going to be one of our major focus and we will con tinue to do our journey on that also. Thank you everyone.

Moderator : On behalf of GHCL Limited that concludes this conference. Thank you for joining us . You may now disconnect your lines .

Call: Aug 2023

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August 11, 2023 ■■■■ ■■ (■■■■) – ■■■■■■ – ■■■■■■

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National Stock Exchange of India

Limited

"Exchange Plaza"

Bandra – Kurla Complex,

Bandra (E), Mumbai – 400 051

NSE Code: GHCL BSE Limited

Corporate Relationship Department,

1st Floor, New Trading Ring, Rotunda Building,

P.J. Towers,

Dalal Street, Fort, Mumbai – 400 001

BSE Code: 500171

D

ear Sir / Madam,

S

Subject: Filing of Transcript regarding Investors' conference held on August 7, 2023

I

In continuation to our earlier communication dated August 2, 2023 and August 7, 2023

regarding Investors' conference on August 7, 2023 and pursuant to requirement of

Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on August 7, 2023 for your reference and record.

P

Please note that copy of this intimation is also available on the website of BSE Limited

(www.bseindia.com/corporates), National Stock Exchange of India Limited

(www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

Y

You are requested to kindly take note of the same.

T

Thanking you

Y

Yours truly

For

GHCL Limited

B

humneshwar Mishra

Vice President - Sustainability & Company Secretary

(Membership No.: FCS 5330)

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" GHCL Limited

Q1 FY2024 Results Conference Call "

August 07, 2023

ANALYST : MR. MEET VORA – EMKAY GLOBAL FINANCIAL SERVICES LIMITED

MANAGEMENT : MR. R S JALAN – MANAGING DIRECTOR – GHCL LIMITED

MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER &

EXECUTIVE DIRECTOR (FINANCE) – GHCL LIMITED
MR. MANU JAIN – INVESTORS RELATIONS - GHCL
LIMITED
MR. ABHISHEK -CHATURVEDI INVESTORS RELATIONS -
GHCL LIMITED
GHCL Limited
August 7, 2023

Page 2 of 17 Moderator : Ladies and gentlemen, welcome to the Q1 FY 2024 results conference call of GHCL Limited hosted by Emkay Global Financial Services . As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference, please signal an operator by pressing ' * ' then '0' on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr . Meet Vora , Emkay Global Financial Services . Thank you and over to you.

Meet Vora : Thank you. Good evening everyone. I would like to welcome the management and thank them for giving us this opportunity to host this. We have with us today, Mr. R S Jalan , Managing Director and Mr. Raman Chopra , CFO & Executive Director (Finance) . I shall now handover the call to the management for their opening remarks. Thank you and over to you Sir!

R S Jalan : Thank you very much. Good afternoon everyone. Welcome to GHCL's earning call for the first quarter ended June 30, 2023. Our results and presentation has been uploaded on stock exchange and company website. For this call I am accompanied by our CFO Raman along with Manu and Abhishek from IR and the finance team. In general, the soda ash markets are soft demand from some of the regions and huge segments has been weak while new capacities coming live are now creating additional supply. As a result soda ash market is oversupplied in certain regions and this has put a downward pressure on prices. In China, overall soda ash supplies demand situation is balanced, demand is up by 7% on Y-o-Y basis from January to

May YTD. Driven by the solar glass and lithium carbonate through other segments such as flat glass remains soft due to slow real estate sector. Soda Ash producer's inventory has decreased despite the producers overall operating rates are high. Exports have increased especially to Asia and Africa and is up by 21% Y -on-Y.

Market have reacted calmly to the new 1.5 million metric tonnes natural soda ash capacity in Mongolia which came on stream in June end. Another line of same capacity is expected to come on stream soon.

In the recent development authorities have decided to shift from energy control to carbon control which will have even bigger opportunity for carbon free energy such as solar. The total solar glass capacity in China has reached an estimated of one lakh metric tonne per day which requires approximately around 7.5 million metric tonnes of soda ash per annum at full utilization. In America's soda ash production is down by 5% on YTD January, April 2023 while consumption is down by 6% and export is flat resulting in a higher inventory

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Page 3 of 17 level . Demand from chemical salt increase while demand from flat glass drop. Some container glass unit has been closed America's region excluding the US is quite resilient on soda ash import. Trade data shows a weaker trend in import does the underlying demand in South America voice is not audible properly trend.

In Europe demand is soft most part while soda ash supply continues to be readily available resulting in a surplus soda ash availability across the region. Container glass demand has recently declined while flat glass and detergent demand remains sluggish. Flat glass is experiencing a strong competition due to increased import from Asia, recovery may happen in fourth quarter of this year. In Turkey, soda ash demand has been weak. Turkish export has increased by 4% Y -O-Y till YTD May. This is likely extra soda ash capacity in Turkey following in 0.4 million tonnes expansion. Realization has reduced mainly due to combination of oversupply situation, reduction in input cost, new supplies from China and U.S and supply chain cost below pre -COVID level.

The global situation is likely to remain same for the next one or two quarters, China which is the largest soda ash producer and consumer is likely to remain stable going forward. Demand may improve from additional solar glass capacities coming on stream and on some of the soda ash plant going on the maintenance. The Central Bank of China has reduced lending rate in June 2023 by 10 basis point to stimulate economic growth and revise the real estate demand. The Indian soda ash market has been voice is not audible properly stable, demand in India has been strong for flat container and solar glass upcoming solar glass capacities are slightly delayed due to cyclone and are likely to be commissioned in H2 of this fiscal year; however, the

ongoing monsoon season will contribute to a decrease in the demand for detergent, soda ash inventory has remained high due to increased imports. As a result, the prices in India has decreased and we have taken the price correction from November 2022 till Q1 and by another 5% in July total to 20%. We see this as a healthy and necessary correction for domestic investors to remain competitive and also pass on the benefit of reduced input cost, especially the energy prices, to customers. We continue to focus on implementation of various growth initiatives. We are making progress on the Greenfield project and we are already making progress with the basic engineering activities various growth projects for vacuum salt, salt in improvements and digitization as well processing ahead. Thank you and I will hand over to Raman for the financial results .

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Page 4 of 17 Raman Chopra : Thank you Sir. Thank you Sir. Good evening everyone and I welcome everyone to our earning call for first quarter FY2023 -24 ended on 30th June 2023. Results for this quarter comprises of inorganic chemical business as demerger of Textile business has was completed on 1st April, 2023.

Revenue for Q1 FY24 came in at Rs. 1029 Crore. This represents a decline of 11% on a YOY basis compared to Rs. 1153 Crore in the corresponding quarter of last year. On a sequential basis, revenue declined by 10% from Rs 1141 Crore. The reason for this decline is mainly due to reduction in Soda Ash realisation from the March quarter and lower sales from the same quarter of last year.

EBITDA for the quarter stood at Rs. 310 Crore, which is a decline of 15% from Rs. 364 Crore in Q1 FY23. On a sequential basis, this represents a decline of 16% from Rs. 370

Crore. For the quarter, EBITDA Margin came in at 30.1% compared to 31.6% in Q1 FY23 and 32.5% in Q4 FY23. During the quarter there is an exceptional gain of Rs 219 Cr arising from the accounting treatment as per the scheme of demerger for the Textile business. PAT from continuing operations including exceptional gain stood at Rs. 426 Crore compared to Rs. 310 Crore in Q1 FY23 and Rs. 251 Crore in Q4 FY23. For the quarter ended 30th June, 2023, we generated Rs. 231 Crore in cash profit after tax. We are a net debt free company and at the end of the first quarter, our gross debt stood at Rs. 302 Crores and we have cash of Rs. 515 Cr resulting in net cash surplus of Rs. 213 Crores. With this, I conclude my comments and would now request the moderator to open the forum for question and answer. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. We have a first question from the line of Jainam Ghelani from Swan Investments . Please go ahead .

Jainam Ghelani : Thanks a lot for the opportunity. What was the volume growth quarter -on-quarter and year -on-year please?

R S Jalan : This quarter we have lower volume because if you remember we have in the last call also we said that because of some disturbances in our plant we have kind of a lower volume production. We are almost on the production side and we are down by around 10% to 12% on a year -on-year basis and however in the sales side also we are down by approximately around 13% in this quarter .

Jainam Ghelani : And year-on-year?

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Page 5 of 17 R S Jalan : Sorry .

Jainam Ghelani : And what would be the volume growth or the growth quarter -on-quarter ?

R S Jalan : Quarter -on-Quarter also if you could compare from the last year fourth quarter we are down by around 10% on the sales of course on the production, we are almost on the same level .

Jainam Ghelani : Okay and sir, what is your volume guidance for the FY 2024 and FY2025 how do you wish to grow over the next two years ?

R S Jalan : 2023- 2024 probably we are seeing some downward trends in volume particularly on the domestic side . We will be down maybe around 7% in the sales side as compared to the 2022 -2023.

Jainam Ghelani : Okay sir. Do we see further reduction in the prices with the commissioning of the Mongolia facility ?

R S Jalan : Yes. If I can say that the three, four things I just wanted to kind of highlight on the pricing front . Like I said in my opening remarks we have taken around 20% reduction since November 2022. We definitely see further some reduction, not a very significant one , but some reduction definitely will be there ; however , the raw metal prices are also softening , so probably this should be in position to compensate the different barring that some inventory what we have of the raw material . This impact should not be there for the reduction.

Jainam Ghelani : Would you be able to quantify like could it be only 5% to 10% decline in pricing or we expect more?

R S Jalan: This is the same range of around 5% my understanding of course if I look at from the current context .

Jainam Ghelani : Okay sir and could you please help us understand the import trends as imports are cheaper compared to domestic manufacturers ?

R S Jalan : So, if you look at in terms of our pricing strategy we always kind of sometimes the benchmark on the competition and one of the competition is also your import and this reduction which you have seen as I said is primarily because of the import coming in at a cheaper price and also the supply chain cost which is coming down so both these factors

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Page 6 of 17 and along with the raw material cost also. So probably I would say that at this point of a time we are closer to the kind of import prices . Any further reduction or some gap probably we need to look at slightly more pricing reduction which should be in the range of around 5%.

Jainam Ghelani : So, the imports are only 5% cheaper than our products currently ?

R S Jalan : It depends on because we definitely get some premium on our products being a domestic supply chain, so if we keep that into mind then yes I see that kind of a range .

Jainam Ghelani : Okay. Thanks a lot sir .

Moderator : Thank you. We have a next question from the line of Saket Kapoor from Kapoor Company . Please go ahead .

Saket Kapoor : Thank you for this opportunity . Firstly, if you could elaborate on where are we in terms of our Green field capex sir and what are the current timelines , any new timelines we have set for the implementation and the commissioning of the project sir?

R S Jalan : If I can divide the total Greenfield project into various zones . On one side if you look at which are the most crucial thing , one is the environmental clearances , so one good news is that out of the two things which was required has been cleared and hopefully in next one month the proposal from Gujarat will move to the central government and we are expecting in next five to six months we should get an approval of the environmental clearance. So, I would say that yes some delay has happened, but now the things are much under control on the environment side . So, one is the forest clearances stage one that we have got it similarly at a local level, GPCL made clearances, so that meeting has happened on August 4 and hopefully next few days we will be getting their concurrence to move the application to Delhi . Now come to the second point which is again the land which is again very crucial . We have some significant improvement on the private land during this quarter . On the government land also , the proposal has been moved from a local level to the Gujarat government , hopefully things will now start moving into there also. Once that happened then I think these are the two crucial things which kind of define the timeline for the project . On the engineering side , on the basic engineering side, significant improvement has been done . We have appointed a consultant , the initial report has come in , we have given the feedback and our team , a large team has gone to see some of the world largest soda ash producers outside India and they have kind of a new because we are talking about new technology , different sizes , so all those things they have gone and they have seen . So, in a

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Page 7 of 17 way we would say that even the vendor identification to a great extent has been done , so hopefully these are the three things which are there. In timeline wise I would say that once the environmental clearances have been given probably it will take around two -and-a-half years to three years kind of a time to implement them . Because all the basic thing on identification of the vendors everything has been done . All basic preparation has been done once we get that we can start the work .

Saket Kapoor : The amount to be spend earlier I think so we have spent Rs .100 Crores or Rs.150 Crores on the land acquisition

on, other than that how much capital work in progress had gone through for this Greenfield and for FY2 023-2024 what has been earmarked as the amount to be spent?

R S Jalan : So far as the land value we have not even spend Rs.100 Crores also, we invest around only Rs.55 Crores till now and maybe marginal amount on the other things which is very , very insignificant and we normally those kinds of amount we take into our revenue in the operation itself we do not capitalize those, is that right Raman.

Raman Chopra : Yes.

R S Jalan : So basically That is a very insignificant amount, so in a way you can say that the land and investment which we have done is around Rs. 55 Crores . I think we have projected of

Rs.100 Crores for 2023 -2024 to be spend on the Greenfield.

Saket Kapoor : As you mentioned about the softening of the soda ash prices especially because of the oversupplied market globally and also expecting further reduction I think so in the month of August also we took further cut which has now totaled to 20% going ahead, so excepting these into consider we had this EBITDA trajectory from Rs.370 Crores to Rs.310 Crores so what should likely be the EBITDA trajectory going ahead taking into account that further cut is also expected in the near term and also there is a benefit of softening of the raw material prices going ahead which will be negated by the inventory which we are carrying currently . So what should we look forward in terms of these numbers going ahead sir?

R S Jalan : My understanding is that approximately the range of the EBITDA margins would be in the range of around 28% to 31% kind of a range and you will be able to see that range, so it is not going to be significantly lower than those numbers .

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Page 8 of 17 Saket Kapoor : Right sir. Raman Sir, for this quarter I think this exceptional gain item , what should be the tax on that and if you could explain sir?

Raman Chopra : There is no taxation on this .

Saket Kapoor : Okay, so this is only a book entry ?

Raman Chopra : Yes, this is only a book entry, because the entry has to be passed on the fair valuation of the spinning business, so it is a gap between the fair valuation and the book value net of stamp duty, so that is again which has been recorded in the books of soda ash, chemical business .

Saket Kapoor : And what have been net cash outgo for this quarter , so how much actual tax we have paid because we have done the provision at around Rs. 70 Crores?

Raman Chopra : Against Rs.71 Crores we have paid Rs. 27 Crores advanced tax this quarter .

Saket Kapoor : Rs.27 Crores is the advanced tax for this quarter?

Raman Chopra : Yes.

Saket Kapoor : I will join the queue. Thank you sir.

Moderator: We will take our next question from the line of Riddhesh Gandhi from Discovery Capital .

Please go ahead .

Riddhesh Gandhi : Just a couple of questions around the pricing, we were expecting a few quarters ago that the prices to continue to be reasonably stable and understand that there is some amount of extra supply which is coming and some amount of demand slow down because of the global economy , but what is giving us the confidence that over in a longer term period that the demands supply in a balance will be in favor of the manufacturer ?

R S Jalan : You are very rightly said , I have always been saying this . If you look at the way the solar or I would say green energy initiatives are being done, recently you must have noticed that the Government of Gujarat has given a large chunk of land to various industries for green hydrogen and for that the soda ash is the major raw material for the glass . Similarly , if you look at globally also I just have mentioned on my opening remarks, in China alone around seven - and-a-half million tonnes of the soda ash is required only for the solar and lithium carbonate is separate. This

is I have been saying all along with my last four, five years that

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Page 9 of 17 barring this temporary blitz which happens long term there is a robust demand situation and robust margin situation in this business . So, therefore from a long -term perspective, you are right , there is a good growth possibility there in this .

Riddhesh Gandhi : This soda ash supply has come ahead of the solar supply and as the solar glass supply comes in , we would expect more of a balance in market ?

R S Jalan : Yes, Riddhesh ji, if I can say in a way like I said in China which is the largest producer 40 % of the global production is happening there . Only the real estate which is kind of a slightly on the lower side and the Government of China has taken some initiatives on that, some stimulus has been announced , so hopefully I think once that demand of the real estate improve you will see a kind of a surge in the demand in China as well and in a way if I can say so this kind of a small gap between the demand and supply for the short period of time will surely happen and that will kind of impact some time for the oversupply situation, but that will get neutralized very soon .

Riddhesh Gandhi : Got and the other question was we have reasonable amount of cash on books and our business also despite slowdown will still generate a large amount of free cash flow just wanted to know is the intent to just keep the free cash flow for the Greenfield expansion or are you guys looking to do some sort of a buyback ?

R S Jalan : No, buyback will definitely be considered on appropriate time , because we always believe in rewarding the shareholders and you know that in the last few years two buyback has been done and this definitely will happen , timelines will be very difficult for me to kind of

outline the timeline , but at an appropriate time definitely it will happen . Because as you rightly said cash flow wise or the Greenfield project wise, we are well positioned to fund that capex and for that we do not have to kind of have a big reserve of the cash generation at this point of a time to kind of a preserve for that , so surely this will happen .

Riddhesh Gandhi : Thank you. I will just join the queue.

Moderator : Thank you. We have a next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead .

S Ramesh : Good evening and thank you very much. So going back to the numbers you shared on the decline in revenue and the decline in volumes , so if you are looking at 11 % decline in revenue and 13 % decline in sales volume to ensure prices are up to go to 2% Y -o-Y, so that does not add up with the kind of decline in price , so can you just explain if you look at the GHCL Limited
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Page 10 of 17 decline in revenue in Q1 2024 on a Y -o-Y basis , can you break it up in terms of the impact of the change in volume and change in price ?

Raman Chopra : Your question is on the revenue side if I have understood correctly ?

S Ramesh : Basically , I want to know what is the split in terms of the impact of the change in volume and change in price leading to the 11% decline? So what is the....

Raman Chopra : If you look at the decline in the revenue compared to the same quarter of last year largely it is driven by the volume reduction, because the volumes have declined by 13%, okay so the large impact of that or I would say that is the only reason of decline in the revenue because of that . If you look at compared to the previous quarter, Q4 the decline is on account of the impact is both in terms of the volume as well as reduction in the prices and realization so it is a combination you can say 60% volume impact and 40% realization impact .

S Ramesh : Okay . Now the second thing is now if you look at the current trend and then in terms of your cost structure , when do you see the cost getting

aligned with the current prices for your energy and freight so that in terms of the decline in prices you have taken, you will be able to report an improvement in margins on a per tonne basis so if you can just share some thoughts in terms of when you expect to get the margins per tonne back to normal levels based on the benefits of the savings in input costs and energy costs and freight which is not fully calculated in the first quarter ?

R S Jalan : I would say if you look at in terms of both we have some advantage even in the selling side also at this point of a time , because some of the contracts are for a longer period of time and to that extent whatever the raw metal inventory impact which we have has been compensated on that . So, in a way you can say that the margin of this kind of the margin what we have currently should be in a position , we should be in a position to kind of a maintain , so the prices of the soda ash does not go down very significantly from here .

S Ramesh : Okay that means these are able to increase the volume to normal level and back to the normal margin trajectory , is that the right way to understand ?

R S Jalan : Yes. If you look at in terms of the percentage, yes, you are right on that .

S Ramesh : Okay . Looking at the long term structure in terms of the cost structure for the industry in terms of cash costs your solar based capacity cash costs used to be around \$150 perhaps gone up to \$ 200 based on whatever you see, so is that going to be a challenge in terms of GHCL Limited
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Page 11 of 17 getting further price increases even if the demand goes up especially because if you are looking at the Chinese capacity addition we do not know what the cash cost is going to be , but what is the sense in terms of the overall cost structure for the industry going forward to what extent it will give you that confidence in terms of the pricing power and improvement in margins if the demand supply where to get tighter , what is the sense on that ?

R S Jalan : Basically , if you look at this way , today you rightly said the cash cost of the green soda which is your basically the natural soda ash, their costs along with the supply chain cost to the consumption center probably we are closer to the cost what we have versus the cost what they have . Any upside into the demand and as you know that the soda ash capacity does not get built on a quickly basis . Any upsurge on the demand side probably will definitely give a benefit of increase in the soda ash pricing as well as the margins .

S Ramesh : Okay . Thank you very much, I will join the queue.

Moderator : Thank you. We will take a next question from the line of Resham Jain from DSP Asset Managers . Please go ahead .

Resham Jain : I have few questions . First one is in terms of existing intra you are doing several initiatives in terms of salty yield , some solar capacity or solar power you are adding up and sodium bicarbonate also capacity increasing , so once all these three things come up and in case if there is anything else which you can do in the existing plant . If you can just help to

understand what kind of improvement in EBITDA could happen because of all those initiatives ?

R S Jalan : Like you rightly said if you look at the salt is the improvements which I have given the indication in the past also probably that the numbers are significant and some benefits you will see during this year as well because some benefit has started , but in the overall achievement I would say that it will take another one -and-a-half to two year s' time from now and we will get the total benefits approximately Rs. 100 Crores will get added to the bottom line because of that . Vacuum salt which is again very big initiative we have taken and this will get completed by December 2024 to March 2025, the project has already been given basically this has been give

n to a world's largest technology company on this where I would like to highlight is one of the biggest advantage s we are going to get in this project is. We are going to produce the vacuum salt fr om the waste heat and that would have a very significant advantage to gain with our bottom line approximately around Rs. 50 Crores to Rs.60 Crore s will be the number which will get added to the bottom line once that project gets completed . So as you rightly said sodium bicarbonate will also have a significant
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Page 12 of 17 advantage; however , currently your flue gas treatment , some projects of NTPC has already been started . They are now adding two more p ower plant into that even we have recently came to know that even som e of the three private power producers in the UP also is getting added , so probably I would say that next year probably you will see a significant advantage of the sodium bicarbonate and again that number could be in the range of around Rs. 30 Crores to Rs.40 Crores will get added to the bottom line and in terms of other initiatives , one of the biggest initiative we are taking is we are challenging all our costs and I think on the energy and that also of course probably again Rs. 30 Crores, Rs. 40 Crores will get added because of those initiatives . We have hired a global experts on that and he is helping us to challenge the various costs on th is existing plan . Probably all these things will get added some benefit you will see will be coming into the next year .

Resham Jain : Okay, u nderstood sir. Just to clarify sir, even if let us say price has to come down from current level , all these initiatives are in addition to what we are doing currently , what you mentioned . Now if you add up everything it is close to Rs. 250 Crores to Rs.300 odd Crores over let us say two years or so, is that a fair thing to consider ?

R S Jalan : 100%. I think you will start getting some benefits this year itself number one and larger portion will come as you rightly said like vacuum salt y ou will be getting 2025 -2026 entire amount will come in and salt I said some benefits maybe after one -and-a-half to two years you will get the full benefit of the s alt and this cost of project some benefit will come this year and some portion will come next year also . As you very rightly assumed in next two years this kind of amount will get added into the bottom line .

Resham Jain : Sir, my second question is on capital allocation . If I just add up , the cash flows over the next three years , large part of your Greenfield capex I understand will happen in the second half of your three year period which means that the substantial cash flow generation has to be like what will be the , will you build up cash so that you are not required to borrow or you will keep your historical like 50 % , 60% debt and 40% cash, how will the funding happen for the new project a nd the cash will be substantial so dividend buyback and any inorganic acquisition also in case if you are planning , your past track record has been quite good so just trying to understand how should one think about this ?

R S Jalan : No, as you rightly said three things which are important which I have always been maintaining on that . We have to keep a balance between three things . Growth , your debt equity and return to the shareholders and the similar line will continue to have that we are very clearly articulated our debt position one is to one and by all this imagination of this project which is happening we will maintain that one is to one ratio. Surplus cash of course
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Page 13 of 17 inorganic as you rightly said is on the table, we are looking at various opportunities . Unfortunately , till now we have not been able to lay hands on a kind of a project which we believe we can create a value for the shareholders , but the se

arch is on that and by that I

have already said dividend you know our track record in the past will continue to maintain that buyback and dividend to reward the shareholders. So these three will continue an d will keep a very fair balance on the capital allocation to ensure that we achieve all these three objectives together .

Resham Jain : And sir last part is some of the non-core assets which we had in the combined entity earlier ,

has it gone to G HCL Textile or is it a part of G HCL Limited only ?

R S Jalan : It has gone to the G HCL Textile.

Resham Jain : Okay . Understood and we are going to host separate calls for G HCL Textile, right ?

R S Jalan : Not this time , we will have next time. This time we are not planning to have any call on that. So if you have any question on that probably I do not mind answering here one or two questions , but we will have a call next time .

Resham Jain : Okay , great . All the best. Thank you sir .

Moderator : Thank you. We have a next question from the line of Saket Kapoor from Kapoor Company . Please go ahead .

Saket Kapoor : Yes, sir. In continuation to your reply, sir, if you could give us some color on how the textile has performed so that will suffice the numbers are there now , so if you could give us some color and the trajectory which you are carving out for the remaining nine months of the year ?

R S Jalan : As you rightly said the numbers at this time has not been good if you look at on a standalone basis , but if you compare this with probably the industry I think numbers are not bad. This industry has been on an upsurge in the COVID period and you have seen that 2021- 2022 as well as some portion I would say the first two quarters of 2022-2023 was also very good . Subsequently , there was a downward trend demand has disappeared if I can use the right word. On the other side , the cotton prices was on the peak , because of that the margin has been kind of almost came to the level of zero . Now things are a little bit improving now I would say that . This is a rock bottom because on one side , the cotton prices have stabilized now and inventory in the pipelines are almost zero, because the

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Page 14 of 17 people were expecting that the prices will go down and therefore there was kind of a keeping a minimum inventory of the yarn , so that is also now that people are getting a confidence that now these prices are only on a lowest level . Demand for the global place also some uptrend we are seeing in that therefore, so probably after one or two quarters I think you will see a kind of a significant improvement into the textile business .

Saket Kapoor : So going ahead, Q2, Q3 should be on this same mode this is what we envisage looking at what the environment is with the destocking and other parameters is getting in I think your margins are low, because disproportionate expansion also taken in content?

R S Jalan : Like I said you will start seeing some betterments in the Q2 also then some betterment in the Q3 also was full potential probably will happen after that by the time we are assuming that the demand revival will happen . Basically , it is mainly impacted by the U.S and the Europe demand. Indian demands are now recovering and probably I would say that after two quarters you will see a significant improvement .

Moderator : Thank you. We have a next question from the line of Rohit Nagraj from Centrum Broking . Please go ahead .

Rohit Nagraj : Thanks for the opportunity and apologies I have joined the call late , so the question might have been discussed earlier . Sir, first question on the power and fuel cost , so have we started gaining the entire benefit of lower coal prices or fuel prices from current quarter or will there be any further benefit which will be there Q2 as well ? Thank you.

R S Jalan : Definitely , benefit will be there because we have

not been able to capture the entire benefit

of the lower prices and I think after two quarters because generally these kind of raw material you keep for six months so probably you will see that and the prices has continuously fallen . So probably after two quarters you will see the full potential coming into the place , but yes some benefit has been captured .

Rohit Nagraj : Right . Second question is from the imports perspective and particularly from China , so have we seen any different set of dynamics over the last three couple of months in terms of overall imports and anything new which is happening in China , because we have seen across the board China has been dumping the material in the global market . So, what is your friends on soda ash? I am sorry if I am repeating the question again .

R S Jalan : No problem . Basically , as you rightly said in soda ash, we are not seeing if the China is a very aggressive player even in my opening remark also I have said that Chinese inventories

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Page 15 of 17 has a very low level and their demand and supply is almost like a balance, so therefore at this point of a time we are not seeing very aggressive import coming in from China . The major increase in the import, which is happened to India in the first quarter , in this quarter it is primarily from Turkey and U.S and some portion from Russia as well .

Rohit Nagraj : Got it Sir. Thanks a lot for answering the question. If I have any I will come back in the queue. Thank you so much.

Moderator : Thank you. We have next question from the line of S Ramesh from Nirmal Bang Equities . Please go ahead .

S Ramesh : Good evening and thank you very much for the follow up. So, if you are looking at the basic drivers for growth and profits in FY 2024 and then FY20 25 apart from the benefits you expect from your cost savings which is fair enough. Is it any growth and volume we can build in so it is FY2024 and then FY2025 or will it be mostly driven by improvement in realization in soda ash and then some of the costs savings reflecting in the P&L with a lag effect , how do we see the growth trajectory in terms of the P&L based on these key drivers ?

R S Jalan : Like I said in terms of the overall the cost initiative saw the new project what you call your vacuum salt or the salt yield sodium bicarbonate which we have just discussed. You will see as compared to 20 23-2024, 2024-2025 will have a jump into the volume primarily because as you know some of the volume we have lost in this year and we have an annual shutdown also in October 2023 and that will also have some impact on our volume ; however , we will not have these issues in the 2024 -2025, so therefore there could be around 50 000, 60000 tonnes which is almost around you can say 5% to 6% of the volume growth will happen in 2024-2025.

S Ramesh : FY2025 volume growth?

R S Jalan : 2024- 2025.

S Ramesh : Okay and so in terms of the lagged impact of the reduction in energy cost and freight cost , should we wait for the fourth quarter , will you see some of that occur in the third quarter because you said to take about two months for you to get the benefit of the new inventory at the current cost ?

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Page 16 of 17 R S Jalan : Like I said energy is a basic raw material where some benefits will start, you are seeing in this quarter , also some benefit has come. This benefit will be there in the next quarter , but full potential will come only in the fourth quarter .

S Ramesh : Okay , just one last thought if I may in terms of your capital cost for the Greenfield expansion for sale at 25 000 I understand about 3000 Crores, so if you were at based on the current EBITDA per tonne I am getting a return on capital at the EBITDA level of around 10% so, how do you see the economics of that project based on the capital cost

and the

return on capital , what is the kind of target you have in terms of ROC there?

R S Jalan : As you are very right question you have asked. When we have taken this calculation of the Greenfield project we have taken on the basis of a long term EBITDA margin which has been generated on the existing project and based on that we have done that and the IRR is coming around 17%. Because in this project please understand one thing we have to kind of look at this project of a life cycle of more than 100 years so keeping everything into mind the return on IRR is coming to around 17% and like I said we have taken a long term EBITDA margin on that, we have not taken in upside on the margin whereas historically if I go back if I look at the 15 years of the data of our numbers you will see that the EBITDA per tonne has gone up year by year . We have not factored that also into account so keeping everything into mind, you have to be always in the business and you have to keep on investing into the business which we have been doing , we have seen that I think we are the only player where we have continuously made an investment into our business and we said given a kind of a number of the profitability what we have . So keeping that into mind I think this project definitely justify of an investment .

S Ramesh : Thank you very much and all the best.

Moderator : Thank you. I now hand the conference over to the management for closing comments . Over to you sir .

R S Jalan : Thank you very much. Basically , I just wanted to kind of close my comments with a remark that in this business we have seen the last 15 , 20 years , this business has been quite stable, some small blip has happened in quarter -to-quarter basis , but in the long run , the margins are very range bound margin which is ranging from 28% to kind of a 34%, 35% kind of a margin , very consistent margin in this business in spite of a lot of volatility , of course in this business we have not seen major volatility in last 15 , 20 years . This volatility or the reduction which you are seeing is primarily , because after 20 21-2022, 2022-2023 there was a kind of an abnormal period and in that abnormality , the supply chain was completely

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Page 17 of 17 globally disturbed that has given a kind of enhanced margin which is now in a way I would call it is coming to the level of natural margins and this kind of a margin will be maintained in this business and I am sure that we will be able to do the good work on the cost side , on the supply chain cost wise and on innovation and keep on investing the money into the

business to grow the business and that initiative will continue to create a value for our shareholders . With this word , thank you very much for participation .

Moderator : Thank you sir . On behalf of Emkay Global Financial Services that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Nov 2023

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1st Floor, New Trading Ring, Rotunda Building, P.J
Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Code: 500171

Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on November 7, 2023
In continuation to our earlier communication dated October 30, 2023 and November 7, 2023 regarding Investors' conference on November 7, 2023 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on November 7 , 2023 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).
You are requested to kindly take note of the same.

Thanking you
Yours truly

For GHCL Limited

Bhuvneshwar Mishra
Vice President - Sustainability & Company Secretary
(Membership No.: FCS 5330)

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"GHCL Limited
Q2 FY'24 Results Conference Call "
November 07, 2023

MANAGEMENT : MR. R S JALAN – MANAGING DIRECTOR – GHCL
LIMITED
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER
AND EXECUTIVE DIRECTOR – FINANCE – GHCL
LIMITED

MR. MANU JAIN – FINANCE – GHCL LIMITED
MR. ABHISHEK CHATURVEDI – FINANCE – GHCL
LIMITED

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL
SERVICES

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Moderator: Ladies and gentlemen, welcome to the GHCL Q2 FY '24 Results Conference Call hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation.

Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Meet Vora from Emkay Global Financial Services. Thank you, and over to you, sir.

Meet Vora: Thank you. Good evening, everyone. I would like to welcome the management and thank them for giving us this opportunity to host them. We have with us today Mr. R.S. Jalan, Managing Director; and Mr. Raman Chopra, CFO and Executive Director, Finance.

I shall now hand over the call to the management for their opening remarks. Thank you, and over to you, sir.

R S Jalan: Thank you. Good afternoon esteemed investors, and welcome to GHCL Earnings Conference for the Second Quarter of FY '23 -24. Please note that results and accompanying presentation has been uploaded on the stock exchange and on our corporate website. Joining me today is our CFO, Mr. Raman Chopra and also Manu Jain and Abhishek from our Finance division.

The global product market is soft as the global economy is grappling with some macroeconomic challenges. Europe and U.S. are undergoing higher inflation, whereas rebound in China's real estate market is lower than expected. However, regions such as Latin America, Southeast Asia and the Indian subcontinents are exhibiting growth with a stable demand. The market is in oversupply situation due to this soft demand scenario, at the same time, operational commencement of the new production capacity in China and the U.S. This is exerting downward pressure on prices.

Looking ahead, we anticipate the global economic environment will remain in its current state in the near future as we approach the end of 2023. There is a cautious optimism that the year 2024 will see a decline in inflation and increase in the real disposable income, resulting from less stringent monetary policy. This could signify a revival of soda ash demand from various end use segments. The need for carbon emission reduction is growing across the globe. The soda ash industry is no exception and we'll gradually adopt energy transformation through use of sustainable energy sources, including biomass, renewable energy and other innovative methodology.

The landscape of soda ash supplies is evolving with the natural sources gaining traction. Nevertheless, synthetic soda ash will remain relevant and continue to play a crucial role in meeting the global incremental demand, which stands at an approximately 2 million metric tons annually. Domestically, we are witnessing a more resilient demand scenario compared to the global market. However, oversupply is caused by increased imports, primarily from U.S., Russia and Turkey resulting in price challenges. Going forward, these increased imports may persist until we see a recovery in the global market. Yet, we are optimistic that demand from Indian

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detergent sector will revive after the monsoon season and some of the new solar glass capacity will be commissioned in the H2 of FY '24.

Moreover, recent downtrend in the input cost will somewhat offset the previous price reduction and support our margin. Due to this global situation, higher imports into India will continue, and there will be an oversupply situation in near future. The domestic prices may remain soft with a risk of further price cuts and also margin may remain soft. However, in the medium term, we believe the business will remain strong.

We have undertaken

a planned maintenance shut down during the month of October. While this resulted in a production shortfall approximately around 20,000 metric tons, it is not expected to adversely affect our sales in a later half of the year. We remain committed to implementing our

strategy for growth. The greenfield project is moving forward with the basic engineering tasks currently in progress, efforts to enhance the vacuum salt production, salt yield improvement and digital transformations are advancing as planned.

I will now hand over to Raman, who will provide you detailed financial performance, after which, I look forward to engaging with you, your questions and insights.

Raman Chopra: Thank you, sir. Good evening, everyone, and a very warm welcome to our Q2 FY 23-24 earnings call for the quarter ended 30 September 2023. The performance for the current quarter came in at lower than our expectations at the beginning of the quarter due to various factors covered by Mr. Jalan in his opening remarks.

And consequently, the revenue for the quarter came in at INR817 crores as compared to INR1,183 crores in the corresponding quarter of last year and INR1,029 crores as compared to Q1 of this year. The reason of this fall is mainly due to reduction in soda ash realization and due to lower sales volume from the same quarter of the last year as well as previous quarter. This is largely due to prevailing market conditions and increased imports.

EBITDA for the quarter stood at INR224 crores compared to INR413 crores in Q2 of FY '23 and INR310 crores in Q1 of current year. For the quarter, EBITDA margin was at around 27.5% as compared to 34.9% in the corresponding quarter of last year and 30% in Q1 of FY '24. Our margins, as I explained earlier, have been adversely impacted due to lower realization and lower volumes or sales volume. But this has been partially offset by a reduction in input costs but the overall impact of lower realization is much higher than the reduction in the input cost.

PAT from the continuous operation stood at INR143 crores as compared to INR291 crores in Q2 FY '23 and INR426 crores in Q1 FY '24, including exceptional items. For the half year ended 30th September 2023, we generated INR426 crores in cash profit after tax. We are a net debt-free company at the end of the second quarter. Our gross debt stood at INR268 crores, and our cash balance stood at around INR612 crores. And therefore, there is a net cash of around INR343 crores. This is after the payment of INR166 crores as dividends to our shareholders during Q2. With this, I'll conclude my comments and would now request the moderator to open the forum for question and answer. Thank you.

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Moderator: Thank you very much. The first question is from the line of Mr. Kunal Sukhwani from Indvest Group.

Kunal Sukhwani : My first question was on realization and EBITDA per ton. Can you give us a number of realization and EBITDA per ton for this first quarter?

R S Jalan: See Kunal, giving a specific number of realization probably, I think I can give you the margin, which is like Raman said, 27.5% EBITDA margin. And I can also tell you that the realization is down as compared to the last quarter by almost around 15%.

Kunal Sukhwani : Sure, sir. My next question is on the new Chinese capacity which has come in, Inner Mongolia. Any sense of how much capacity is operational at this point? And when is the next bit of capacity expected to come then?

R S Jalan: See, almost as per our information, 3 million tons of capacity has already been coming, and it is likely to be 3 million only in the near future.

Moderator: The next question is from the line of Mr. Jatin Damania from SVAN Investment Managers.

Jatin Damania : I just wanted to understand, I mean, a few good quarters ago, I mean, before the capacity of Inner Mongolia came on stream and now si

nce new capital is likely to hit in U.S., we were quite confident that the prices will continue to remain stable in the global market and also in the domestic market. However, scenario has changed because of a lower global demand. So just wanted to understand from you, how would be the demand supply situation going ahead? And what was the import situation and the pricing difference in the domestic market between import and domestic manufacturers?

R S Jalan: Well, Jatin, you are 100% right. Honestly, like Raman said, in his opening remarks, that we never expected this kind of a scenario change 6 months back. And I think in my career of long years, I have not seen this kind of volatility in my such a long career. It has gone beyond our expectations. Just to clarify that, yes, though I was clear, and we have said in our earlier call that the market is going to be soft. But we never thought that the prices or the import will change to this scenario.

Even if you remember last time, somewhere we have kind of indicated that China is in a soft supply and some of the export has gone to China, means import has been landed into China. And there was some rumour in between that the prices will go up and things like that. So a lot of volatilities happened, which was not expected. So you are right that this kind of downward trend was not expected.

Now coming back to specific question of how do you see the next 2 quarters? As I said in the

opening remarks, market looks to be soft because oversupply situation persist. And till the Chinese recovery of the real estate and the Europe recovery, particularly Europe, I would say. Europe recovery does not happen, so that means the market is going to be soft. And let me tell you a little bit, basically, as you all investors know that U.S. and Turkey, they have like U.S. has added a capacity of 1 million tons and Turkey has added a capacity of 0.4 million tons. And

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demand in Europe has softened. So because of that, primarily the import or the dumping, if I can use the right word, into India, it happens from these 2 sources along with Russia. China : we have not seen any major imports coming into India. And the way we are looking at slightly medium term, probably maybe some few quarters, probably China could be a little aggressive in the global market. Because recently, we have attended the World Soda Ash Conference, there the Chinese presentation was also there. And they very clearly articulated the way they would like to run this business. And our assessment at this point of time is, barring maybe 1 more year, after that, they will go into a demand -supply situation balance. They will not be a threat to the global export market. This is what is my understanding. And just to add something here, so that a lot of people you will have some kind of questions on this. I'm just pre-empting that question. I know that this quarter result has not been as per the expected line. And if you remember, last many years of presentation, we have very clearly said, some short -term blip will happen. And this blip is that if you take a slightly longer -term view and we have a data in front of me, we have a data of almost around 8 to 10 years. And we have seen in that data a few things, which is very important to kind of highlight. Since 20 years, the EBITDA per ton has grown by 8% CAGR, very important to note. 15 years 6%, 10 years 6%, 5 years, 4.5%. So if you take a slightly longer -term view, so that EBITDA per ton, which is the most important measurement of any performance has been continuously growing. That in between some small blip will happen, like this has happened. Last year, if you look at '22 -'23, you will find that company has abnormal profitability. And obviously, that was because of certain circumstances.

Now the supply chain cost has gone down. Your raw metal pri

ces are also softening. Supply has increased in China and U.S. and Turkey. So all these factors kind of bring short -term blip into the business, which probably maybe 1 or 2 more quarters will persist. And after that, in the long run, we are very bullish on this business. Same your solar, lithium carbonate, sodium bicarbonate, flue gas treatment. They all still stand for this. And we are very confident that the margin will kind of grow in the similar fashion which has happened in the last 20 years, 10 years or 5 years.

Jatin Damania : So sir, if you look at the domestic market, probably in 2023, I mean the domestic market about 4.3 million tons. So if we want to probably project the infrastructure growth demand that you are seeing and the greener initiatives, which you indicated, what could be the production growth rate, the demand growth rate one can assume for the next 2 to 3 years, probably FY '24, definitely will be a softer year, but if I look from an FY '25 -'26 perspective, what will be a steady state annual growth rate one can assume from a domestic market perspective as well as a global market perspective?

R S Jalan: See, global market at this point of a time, guessing is becoming a little difficult for us, honestly, because it's geopolitical system, which is happening, it is really becoming very difficult for us to kind of predict for a longer term. We never realize that how the Chinese real estate will recover because that's the largest consumer of the soda ash. So that is number one.

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Second, the geopolitical, like I said, this kind of a war, which has happened, which was unexpected to all, all these things will create a lot of uncertainty into the market. But everything remains the same, so that we can say that the global demand should be in the range of around 2.5% to 3% kind of a demand growth will be there and that's a substantive number. And our view of 2030 of 80 million of the demand from 60 million to 80 million will stand if everything remains same.

Okay, coming back to the India, if you remember last time also I have said that, today, it's around 4.3 million, which will go to 7 million by 2030. So there is a potential for demand and particularly if you say percentage terms, India, probably, I would say, not less than 5% to 7%. This could be higher than that. So if you're looking for 2, 3 years, I would say things are very good for this business.

Jatin Damania : Sir, agree on that 2, 3 years. But if you look from the import perspective also given the lower demand, I mean, we will also see an import increasing in the India, which we have seen in the last 6 months because of the subdued global demand. So looking at this, how shall one look at the pricing and in terms of our EBITDA per ton or EBITDA margin perspective, because 27.5% that we reported in the last quarter will be probably one of the lowest since 2016, which we have done. So can you help us in understanding the trend for the EBITDA margins in the inorganic chemical business?

R S Jalan: I think very clearly I have associated in my opening remarks as well as in the discussion which we had just now, that this margin is going to be soft in the next 2 quarters. If you're looking for next 2 quarters, it's going to be same. Maybe it can go down from 27.5% by even 1% or 2% lower than this. I think, I have answered your question.

Jatin Damania : Sir, I'm not looking from a 1 or 2 quarters perspective, but I'm looking for at least another 2 to 3 years, whether will be again back to 30% or probably now the new norms will be back to this 27%?

R S Jalan: So that we will rest assure of 30% because if you look at us, again, I have the data of EBITDA margin over the last 20 years, okay. I can give you the data from 2004 to 2024, okay. It has been ranging, if you take an average, it will be more than 30%. Barring 2004, 2005, which

was 24%.

After that, it was continuously 35%, 36%, 34%, 32%, 30%, 31%, 30%, 30%, 33%, 36%, 39%, 35%, 35%, 36%, 29%, 30% and now it's 27.5%. So this number clearly indicates to you that 30% is a very sustainable number. And without this number, no new capacity will also come in. Let me tell you that also that EBITDA per ton will improve. If you look at the EBITDA per ton, I am giving you the historical data, the EBITDA per ton of last 7-8 years, of course, that moved from INR7,000 to maybe INR13,000 in 2023. So roughly that average of 8 years is around INR9,800. So if I change the formula which I told you that the EBITDA pattern growth of 5% also from here, you can imagine what kind of EBITDA margin will be there in the next 2, 3 years of time.

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We have trend also, of course, it cannot be set to be authentic or 100%. If the similar trend of 20 years remains where the EBITDA per ton has improved after 2, 3 years of the gap, and we have done a trend analysis by the computer, probably the EBITDA margin will be in the range of around INR9,000 to INR10,000 kind of a thing minimum. So these kind of numbers of 30% EBITDA margin, if you're not looking at 1 or 2 or 3 quarters, should maintain.

Jatin Damania : Yes, sure. And sir, one question on the volume front. So now given the demand subdued, what can be the volume guidance, if there is any for FY '24-'25, if you can help us?

R S Jalan: Very difficult at this point of time. But obviously, as you know, that import will be the driving force of the entire thing. But I'm sure that we will be able to sell what we produce in '24-'25 that 4% to 5% growth will be there.

I hope I've been able to answer your question. And I'm trying to kind of pre-empt some of the questions of the investors. I'm sure that some of the questions have been answered.

Moderator: The next question is from the line of Ms. Riya Mehta from Aequitas Investments.

Riya Mehta : My first question is in regards to the volumes. So what was the kind of volumes? Because I think last quarter, there was some backlog because of the incident that happened.

R S Jalan: Yes, we are. If you look at we have approximately around lost the production, if you look at the same quarter of last year versus this quarter, we have lost around 7% production. Now that issue is now more or less resolved. And compared to the first quarter, we are up by 6%. That means in this quarter, our performance has been better in production terms as compared to the first quarter. However, we are lower by 7% as compared to the same quarter last year. In the sales, we are down by 13% in this quarter as compared to same quarter last year, and we are down by 4% as compared to the first quarter of this year.

Riya Mehta: Got it. So my second question is in regards to the China capacity of Inner Mongolia, how much capacity has been on stream?

R S Jalan: 3 million

Riya Mehta : 3 million, the entire 3 million, how much, there were some industry inside this, there were some issues in this slowdown and the ramping up of this. So how is it so far?

R S Jalan: Very difficult to kind of give you an accurate answer on that, but as per our information, they have some quality issue kind of a thing, but they are running reasonably at a good capacity.

Riya Mehta : Also in terms of demand, how are you seeing demand in detergent and glass in India, specifically over the, say, next 1 year?

R S Jalan: See, if you look at detergent, we are clearly seeing detergent demand will continue to grow the way it has been growing in the past, around 4% to 5% growth will be there within certain demand and all it depends on how our economy grows in the future, but generally 4% to 5% growth in

the detergent demand will be there. Container glass are doing good. My understanding, they have been

in good. Flat glass there was some kind of fizz recently, earlier they were good. But recently, I have been heard, that some of the imports are coming on the flat glass. Because of that, of course, they are producing 100% of this quantity capacity, but they are also under pressure.

Riya Mehta : Got it. And what is your current capacity utilization for our quarter 2?

R S Jalan: Quarter 2 is 91%.

Riya Mehta : 91% capacity utilization, okay. And after the August, have we seen any more further cuts in realization?

R S Jalan: Sorry?

Riya Mehta : After the last cut in August, have you seen any further more price cut?

R S Jalan: I said, Riya, that we definitely see a slightly further reduction in the pricing going forward. However, like I said, some of the cost is also slowing down. So maybe some impact will be there on the EBITDA margin as compared to the current quarter, there may be some impact even on the EBITDA margin. But yes, price also will be little softer and even the cost is also going to be a little softer.

Riya Mehta : Right. And what will be the import parity cost which is coming, what would be the difference between our and maybe the Tata Chemical versus that coming from U.S. or Turkey?

R S Jalan: Riya, see, we are in the commodity space where we have to kind of match with our import price. And of course, there is some kind of a premium, general acceptable premiums are being offered. I think this is inbound, the prices will be range bound. Either we or our competition or the import, everything will be range bound.

Riya Mehta : And we have around 70% spot sales, right?

R S Jalan: Yes. Roughly around 70% is our spot sales.

Riya Mehta : Got it. My second question is in terms of sodium bicarbonate. So what kind of volumes and revenue that we see from that, considering it is working in double capacity?

R S Jalan: See, right now, we are running almost, I would say, same capacity what we have been running in the past because of this breakdown, which had happened. Because of that, we have not been able to produce because there we need the CO₂. CO₂ was not available to us. Going forward also, I personally feel that we'll not be able to utilize the 100% of the new capacity because the demand pickup of the flue gas treatment is happening gradually. There's a lot of activity happening in that space. But the real demand has not yet been come into stream. So gradually, the benefit of this expansion will happen to us.

Riya Mehta : Okay. What is the current capacity realization on the 120,000?

R S Jalan: 120,000 if you look at it will be roughly around 65% kind of a thing. 65% to 70%.

Riya Mehta : Okay. And what will the realization rate?

R S Jalan: Almost same range because the prices of sodium bicarbonate and the soda ash remains at kind of the same level. Only advantage you get in sodium bicarbonate is you soda ash usage is only 2/3 or maybe 66%. So because of that, your overall realization part of soda ash improves.

Riya Mehta : Right, right, right. My second question is in regards to the cost aspect. So what kind of savings have we seen in coal? Coal or briquettes, whatever we use.

R S Jalan: See, Riya, in the coal, definitely, there was a kind of a big reduction in the last, I would say, 2, 3 months, particularly the Indonesian coal, which we are buying. And of course, the benefits will be slightly because we have always had some kind of inventory. We're almost, I would say, from \$160 the coal price has come to roughly around \$130, \$135. So \$25 drop has happened in that. So that's a good significant drop has happened.

Riya Mehta : Right. So current quarter, what we will be buying would be at \$135?

R S Jalan: Yes, approximately that level.

Riya Mehta : And in terms of limestone?

R S Jalan: Limestone are stable. Freight purchases are not there. Only freight prices sometimes, for eight

difference of \$1, \$2 because limestone prices are almost around \$18. And in that, there may be \$1 or \$0.50 kind of freight variation happens. But the prices of the limestone which we import are the almost fixed. That doesn't change.

The change is only, Riya, in only 2 things. One is the energy, which I said energy has 2 components: one is the coal; and the second is anthracite, I would say, right word of metallurgical coke. Metallurgical coke in last 1 or 2 months, there's not much change. Prices remain stable. Coal I have already briefed you. And secondly, the salt. So salt, as you know, that the advantage which we are getting this year, is because of our production of the captive has been better than last year. That advantage we are getting and the prices of the salt is also slightly soft, looks to be slightly soft for the next season, which will start in the month of January. So that salt prices will also give some benefit to the cost.

Riya Mehta : Got it. So we are seeing around 15% improvement because of coal prices is my understanding.

R S Jalan: In terms of the cost per ton of soda ash probably we need to kind of work out. This we can give you offline on that. Otherwise, price trend, I have already given you because you don't require 1 ton of coal into 1 ton of soda ash, so we have to work out that and we'll let you know offline.

Moderator: The next question is from the line of Mr. Saket Kapoor from Kapoor & company.

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Saket Kapoor : Sir, as in your presentation, you outlined about the key growth drivers and wherein you have outlined about these vacuum salt from waste energy and salt yield improvement program. Salt yield improvement, I think so we are already reaping the benefit. If you could just throw light on this vacuum salt part of the story? And are we building a consumer brand from this vacuum salt part or if you could just outline to us?

And also, sir, in the key growth drivers you have outlined other factors like the focus on the greenfield soda ash project. Where are we in terms of that? And then again, on the backward integration for enhanced cost control, all the points which you outlined, if you could throw some light on where are we in mid and what kind of capex have we spent already and what is left to be done? And then I have 1 more question after this.

R S Jalan: Thank you, Saket. And I think very pertinent questions you have asked. Let me give you some of the vacuum salt. Vacuum salt going as per the schedule and like you rightly said, this is going to be a kind of a green salt because we are going with the waste heat recovery, complete waste heat recovery will be utilized for this. And even frankly speaking, we are looking at how to even deliver that product to the customers on a green initiative kind of a thing.

Okay. So that project is on stream and basic engineering has started, and the salt clearances have started. Of course, capital investment has not been done. The machines are getting kind of orders, some machines will come from imports. So by March '25, this project will be on stream, that's number one.

The second project, which you spoke about the salt yield, you are rightly said they have started benefit of that and probably in the time to come, we will further get the benefit on this project further because our yield is even going from more than what we have already assumed. That is in salt. Now let's come to the greenfield project. Greenfield project, of course, I have briefed to the investors in the past.

Definitely some challenges we are facing. However, I would say that at this point of time, all the approval for the environmental clearances has been reached Delhi. And hopefully, by next few months, we will be getting clearances from the Ministry of Environment. And on the other side, we have started working very aggressively on other things, like

your basic engineering, detailed

engineering, your pipeline, all those work has started. So probably things will be as per the schedule, what we have envisaged.

Coming back to the backward integration, as you know that we have acquired some of the limestone mines in the past. And hopefully, next year, we will start doing some mining of the limestone from those reserve also. I think backward integration and I think I've also highlighted last time that Green initiatives also we have set up some solar as well as wind put together of 6.7 million.

That will also give some benefit to the company. In terms of the cost reduction strategy, a lot of initiatives are there. There are some I would say, out-of-the-box thinking also under discussion. Of course, I'll not be able to share those details on the call and that's a continuous journey on the

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cost reduction project where we are also looking at some kind of an out-of-the-box kind of cost reduction concepts.

Saket Kapoor : Sir, when you mentioned about the utilization levels being 91% for the second quarter. So taking into account the disruption in the first quarter, what is the H1 average, sir? And going forward,

depending upon the current market conditions, what should be our exit rate for H2, sir?

R S Jalan: Saket, like I said, in terms of first half was 89%, complete 6 months put together. And probably, we'll be reaching to the around 91%, 92% kind of utilization for the year as a whole.

Saket Kapoor : Sir, as you just mentioned that we are still stuck with the clearance part, I think so from the Environment Ministry. So can this project is going to be delayed by the time we get the clearance, I think so this clearance part of the story is still there in the annual for a couple of quarters. And so if more clarity where are we stuck? And the time line pattern is not being understood by us, where exactly can be looked at, that will be the threshold? Or is it the bureaucracy part that wherein because the next year, we will be entering in 2 months -- 3 months from down the line into the general elections also.

And the next point was again to the utilization of cash now going forward. As you have always articulated that your purpose has always been rewarding your stakeholders, and again, you alluded to the fact that we are looking for the opportune time to communicate to our investors in terms of the buyback or returning cash. But taking into account the current scenario, in terms of the changing dynamics of the soda ash market, what's the message to your investors in terms of the buyback part, whether the opportune time has arrived or still the circumstances does not give us the right signal?

R S Jalan: Saket ji, first, let me tell you about this greenfield project, what you have rightly said. See, envisaging the time line in the entire process, as you know, that this kind of massive projects some hiccup happens, okay? And I can only tell you that if you look at across India, you won't find this kind of size of the project, many projects are coming. And so definitely some challenges are there.

So therefore, I will not be able to tell you that when this from Ministry of Environment, we will certainly get that approval. But we are hoping that in the next few months, we will get it because all the formalities have been completed.

Coming back to your buyback, you are our shareholder for the long years, we have been continuously rewarding our shareholders. Even last year, we have given INR166 crores as a dividend in July '23. Okay. Now in terms of your question about the buyback, as you rightly said, at an appropriate time, we will do it, slightly the market dynamics have changed in the soda ash market. So we have to be looking at the long-term objective of the shareholders value creation. We will be doing the judicious decisions about the buyback. And then

as soon as we

decide, we will definitely come back and kind of inform to our shareholders.

Saket Kapoor : Correct, sir. And sir, last point, if I may add, sir, in the change in inventory part, we have seen that, that number going up to closer to INR89 crores. Even the similar number was there for the GHCL Limited

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first half for the last year. But when we look at the cash flow, we find the inventories positive at INR23 crores. So if you could explain to us what kind of inventory in days or in tonnage are we carrying currently as of 30th September? Closing inventory.

R S Jalan: Saket ji, I would say that this number, you can always take offline because these are accounting numbers and you can always take offline.

Saket Kapoor : Okay, sir. I'll join the queue, and wishing happy Diwali if I don't get the opportunity. So I would convey my regards and we wish for prosperous new year ahead. And I hope the moderator gives me an opportunity for a follow-up.

Moderator: The next question is from the line of Mr. Chandramouli Jagannathan from Paterson Securities Private Limited.

Chandramouli J. : Sir, actually this is regarding there is a recent announcement from the Tuticorin. There is a green soda plant that they have put. What is your take on that?

R S Jalan: Sorry, your voice is not very clear. We are not able to hear you. If I've understood correctly, you are talking about green soda ash by Tuticorin, this is what your question is?

Chandramouli J. : Yes green soda ash.

R S Jalan: Tuticorin. That is different. They are producing the soda ash, which is a completely different technology and there they have kind of done some kind of a carbon capturing and based on that, they are talking about that there's a green soda ash. That's more like a Hou process. I would not say 100% Hou process, but slightly different technology, a combination of Solvay and Hou process, they don't use the limestone and things like that. Very small capacity, yes. But you are right, there have been kind of going into that model of green soda ash.

And I would not say that we will be able to produce the green soda ash, but our journey about creating a kind of much better environmental norms though we are better than the competition as on today also on those norms, but we have a journey and there we have a lot of global partners. We have aligned with them that we are looking for and particularly this greenfield project you will find that we will be very carbon friendly or the environment friendly so that we'll be able to

produce.

Moderator: The next question is from the line of Mr. Saket Kapoor.

Saket Kapoor : Sir, in your opening remark also and in the presentation, you did spoke about this product basket expansion part of the story also. So sir, I think a lot of work has been done. So taking into account, again, the current scenario in the soda ash market, the changing dynamic, what's the message to us in terms of this product market expansion?

R S Jalan: Saket ji, you are 100% right, and we are really working hard on that. And I think in last many calls, I have indicated this point very clearly. We are not in a rush to kind of select something.

A lot of evaluation is there, a lot of discussion is happening . And once in appropriate time,

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definitely when something fruitful or something which is more certain, we'll come back to you people. But it is not that we are keeping quiet on that. I only tell you to that extent.

Saket Kapoor : And sir, you did allude to some Chinese presentation on an international forum. So can you just repeat for the sake of repetition, what was the message from the people in the soda ash international conference, I think the month of October that happened.

R S Jalan: Yes. I think good point, Saket ji. Basically, the message is few. One, in the medium term

to long

term, they would not like to be supplying to the world. On one side, they have added the capacity or they're likely to add the capacity. However, on the other side, either they will run at the lowest utilization or they will be closing the inefficient or the smaller plants, which are not environment - friendly. Barring a few quarters or maybe 1 year kind of a scenario, balance they would like to be in that range.

Second -- this is the 1 message. Second message is that their solar and the lithium carbonate capacity has been phenomenally been expanded, phenomenally. And they will continue to have this journey in the future. Probably the one of the message, which they have not said, but I'm reading between the line is they would like to be the global supplier of our solar project to the global scale. So they have built that kind of a capability.

That's number two message. Their real estate at this point of time is really struggling. How serious it is going to be, there are two things which are very serious in China. One is their real estate and second is their financial system. These two things definitely have a kind of a serious implication can happen on the Chinese economy. How that pans out to be on soda ash, yet to be seen.

Saket Kapoor : Right, and for the European part also in your presentation, you did mention about some capacity will be reorganized. So what are you trying to communicate, so you did alluded to the fact that especially for the European market, the soda ash demand, the situation is weak there.

R S Jalan: See, as you know that you must have read in the paper that Solvay has closed one out of the soda plants, some around 300,000 tons of capacity plant they have reduced. They are trying to realign their production and trying to kind of stop the production inefficiency . We are not seeing any new investment coming into soda ash in Europe. And once this inflation scenario is behind us, probably the demand pickup will happen. So that definitely will give an opportunity for other players and probably, the U.S. and Turkey. That is people who will be exporting the volume to the Europe.

Saket Kapoor : Right, sir. And last point on the EBITDA question. You mentioned in your presentation that quarter 2 EBITDA stood at INR224 crores. And as mentioned by you that there is softening in demand and also softening in prices. So the margins will be lower in the coming 2 quarters also. So just to work on a ballpark understanding that even going ahead, what should be pressing in terms of the H2 EBITDA closer to INR200 crores or in the vicinity of INR150 crores to INR200 crores?

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R S Jalan: It is very difficult to talk about this number. We have given you the overall view of ours. Now for this number you have to wait and see the actual result when it comes.

Saket Kapoor : Right, and Raman sir, last point on income tax paid. Yes, just a small point and then I'll join the queue again.

Moderator: There are other participants. The next question is from the line of Ms. Riya Mehta from Aequis Investments.

Riya Mehta : Currently, what percentage would be used in solar glass making?

R S Jalan: In India?

Riya Mehta : Yes.

R S Jalan: Right now it is around 5%.

Riya Mehta : It is around 5%. And globally?

R S Jalan: China is 15%. Globally 7%.

Riya Mehta : Globally 7%. So going forward with all the capex announced in renewable, especially solar, do we see this percentage increasing or have you seen further inquiries in solar

R S Jalan: Significantly. Riya, this will be going to be significantly, we have a kind of a data which projects -- is just let me open that number and show you . This number is going to I think more than 15%.

Raman Chopra: Yes. And on the higher demand. It's like incremental capacity that we're talking over the next 7 years by increasing by almost 18 million to 20

million tons, half of that will come from solar

and EV segments, basically. Largely solar and smaller portion EV, so almost 9 to 10 million tons additional demand is likely to come from the solar increase.

R S Jalan: So we have a data -- we'll just tell you, your solar at this point of time is 5% globally. Sorry we have said 7% and it is going to be 11% on the increased demand, which is significantly higher.

Like Raman said, the total new 18 million to 20 million capacity which is coming in, out of that

50% will be only in solar and lithium carbonate. Lithium carbonate, right now, it is up to 6% .

So 4% increase there on 80 million and 6% in this. So 4% plus 6%, 10%. So half will come from this 80 million. We can say broadly 80 million of 10% will be around 8 million tons. 8 milli on tons demand will come only from lithium carbonate and solar panels.

Riya Mehta : Right. So I think currently also a good amount of solar installations are happening. S o what is it that our uptake of volume is lower in this current quarter and going forwa rd, our commentary is a little on a softer side?

R S Jalan: Solar glass investment in India has been kind of slightly delayed. Some of the people who are coming with the solar glass project, some delay there. The next quarter or next 6 months

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probably, tho se plants will come into stream, okay? So at that time, the demand from the solar will increase. This capacity has to be built, otherwise just imports are happening from China and other parts of the world. In India also we have data, Riya. At this point of time, you have a data of soda ash, which is roughly around 1%, which is going to be 5% by 2030. And again, from 7 million, 5% comes to around 3.5 lakh tons.

Riya Mehta : Correct. And for lithium -ion, what would be the percentage, less than 1%, I mean, curr ently?

R S Jalan: Yes. Lithium carbonate is almost zero in India. In India, there is no production which is again like a flue gas treatment, which is zero , which will go to 2%, that means roughly 7 million 2% will be the new dema nd which will be coming from FG T.

Raman Chopra: 1.5 lakh tons.

Riya Mehta : But actually, there are a lot of FG T installations, which are already happening. I was just wondering why the volumes have not yet come across the soda ash players?

R S Jalan: So right now, FG T really only happening in NTPC. There are a lot of other project, the installations are happening. And maybe next 6 months, you will see some of the demand coming in from those areas, including even NTPC also is ready, adding a few more si tes also into the FGT. So that demand also will come.

Riya Mehta : So 1 gigawatt of FG T would require how much soda ash?

R S Jalan: I right now don't remember. I'm not recollecting that number. So maybe offline I will give you that number.

Moderator: So we would take that as our last question. I would now like to hand the conference over to the management for the closing comments.

R S Jalan: Thank you. Thank you, everyone, for participating and being the value partner into our journey of value creation for a ll our stakeholders. We will do our best to kind of create value and deliver the results and your suggestions and feedback definitely matters a lot to us. Thank you, and happy Diwali to all of you, and wish you all New Year also, of course, the calendar ye ar. But from our side, we consider Diwali also as new year. So happy Diwali to all of you. Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect y our lines.

Call: Feb 2024

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February 12, 2024 ■■■■ – ■■■■■■ ■■, ■■■■■■
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Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on February 5, 2024

In continuation to our earlier communication dated January 25, 2024 and February 3, 2024 regarding Investors' conference on February 5, 2024 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on February 5, 2024 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you
Yours truly

For GHCL Limited

Bhuvneshwar Mishra
Vice President - Sustainability & Company Secretary
(Membership No.: FCS 5330)

MANAGEMENT : MR. R. S. JALAN – MANAGING DIRECTOR , GHCL LIMITED

MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER & EXECUTIVE DIRECTOR (FINANCE), GHCL LIMITED

MR. MANU JAIN – FINANCE – GHCL LIMITED

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL SERVICES

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Moderator : Ladies and Gentlemen, Good day and we welcome to Q3 FY24 Results Conference Call of GHCL hosted by Emkay Global Financial Services.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation . Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Meet Vora from Emkay Global Financial Services. Thank you and over to you, sir.

Meet Vora : Thank you. Good evening everyone. Thank you for joining us on GHCL Q3 and 9 Months FY24 Results Conference Call.

I would like to welcome the Management and thank them for giving us this opportunity to host them. We have with us today Mr. R. S. Jalan – Managing Director and Mr. Raman Chopra – CFO and Executive Director of Finance .

I shall now hand over the call to the Management for their “Opening Remarks” . Thank you and over to you, sir.

R. S. Jalan : Thank you Mr. Vora. Good afternoon esteemed investors and welcome to the GHCL Earnings Conference Call for the 3rd Quarter of FY24. Please note that the Results and the accompanying Investor 's Presentation have already been shared.

I'm pleased to be joined by Raman Chopra – CFO and Executive Director and Manu Jain from the IR and Finance Team .

Before we discussed about the details of our financial performance, let's take a moment to assess the current market conditions . The global product market continues to face challenges with the oversupply situation resulting in higher exports to Asian regions including India and impacting prices. In Europe, high inflation has dampened the consumer sentiments leading to weaker export from Turkey to Europe. Further, the real estate market in China remains subdued, along with the additional 4 million metric ton natural soda ash capacity coming into operation.

Despite these challenges, during 2023 China's import of soda ash exceeded its export , indicating strong domestic demand uptick from emerging sectors such as solar glass and lithium carbonate. This is expected to drive China 's growth by 5 % to 6% for 2023.

Looking ahead while we anticipate the global market to remain challenging in the near terms a potential decline in inflation could spur demand recovery in 2024. In India while demand is relatively stronger compared to the global scenario , higher imports have resulted in oversupply
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and pricing pressure. This trend may persist for some time impacting domestic prices and our margin accordingly.

Regarding our operation, the previously announced maintenance shutdown was undertaken in October 2023. This has resulted in the production shortfall of approximately around 20,000 metric tons in this quarter.

Despite the current market challenges our current realization is better than pre -COVID period.

However, it is lower than FY23 performance when we have experienced extensively a strong business tailwind with the peak realization and margin. Looking ahead, our EBITDA margin may remain at the current level for next few quarters due to temporary disruption in the global business cycle,

In the medium-term we expect prices and margin to recover, which will add our performance with a strong balance sheet significant corporate actions and disciplined capital allocation approach, we remain well-positioned to face these challenges. Our growth momentum will reignite once demand rebounds and we are committed to implementing a strategy that will drive our growth trajectory.

Our Greenfield project is facing some delays due to pending approval from the authorities. However, we are confident of securing these approvals at the earliest. Despite this

, we are

making progress with basic engineering and other project-related activities. Additionally, our expansion initiatives focusing on vacuum salt production, enhancing salt yield and digital transformations are underway, which will enhance our capabilities over time.

Now I will hand it over to Raman who will provide further details on our financial performance.

Following that, I will look forward to addressing any questions you may have.

Raman Chopra: Thank you sir. Good evening, everyone and a very warm welcome to our Q3 FY24 Earning call for the Quarter and 9 months ended December 31st, 2023. The performance for the current quarter reflects the global soda ash and chemical sector sentiments in India. These factors are very well covered by Mr. Jalan in his opening remarks. I will now share the impact on our financial performance.

Revenue for the quarter came in at Rs. 813 crore compared to Rs. 1107 crore in the corresponding quarter of last year and 817 crore compared to Q2 of this year. The reason for this fall is mainly due to the reduction in soda ash realization from Q3 FY23 on account of prevailing market condition and an increase in imports.

In FY 23, we had witnessed exceptionally strong business tailwinds leading to peak realization and margins. EBITDA for the quarter stood at Rs. 165 crore compared to Rs. 372 crore in Q3 FY23 and Rs. 224 crore in Q2 of the current year. For the quarter EBITDA margin came in at GHCL

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20.3% compared to 33.6% in Q3 FY23 and 27.5% in Q2 of FY 24. Lower realization has now primarily impacted the margins.

Also, in Q3 we have incurred additional repair and maintenance costs due to the planned shutdown. PAT from the continuing operations today at around Rs. 100 crore compared to 254 crore in Q3 FY23 and Rs. 143 crore in Q2 FY24. For the 9 months ended 31st December we generated cash of around Rs. 511 crore in cash profit after taxes, we have utilized around Rs. 131 crore for repayment of debt and Rs. 86 crore towards the CAPEX. CAPEX for FY20 24 is lower than anticipated levels due to slower progress in Greenfield project which will now be shifted to early FY25. Our working capital has reduced by around Rs. 210 crore mainly due to raw material and stores and spares optimization. Our net cash surplus stood at around Rs. 625 crore after reducing a debt of around Rs. 217 crores.

With this I conclude my comments and would now request the moderator to open the forum for question and answer. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Simranjeet Bhatia from Elements Financial Solutions. Please go ahead.

Simranjeet Bhatia : Sir. I just want to understand till how long your EBITDA margins of 19% will remain in the upcoming quarters and when we can expect the revival in the margins going forward?

R. S. Jalan: You see basically, at this point of the time giving the timeline will be very difficult. As I had mentioned in my opening remarks, currently there is an oversupply situation in the global market and primarily in the US and Europe.

So, the moment the Europe recovery happens, or the inflation goes down and the demand picks up there that will have a trigger point for the upside into our business outlook. Second also as you know that and I just indicated in the China there is a very spur demand into the solar and the lithium carbonate and we are hoping that kind of a demand also picks up in the Indian scenario because a lot of new projects are underway for solar plants and so once that comes into stream so roughly that will also spur the demand of soda ash and that will ultimately likely we can improve the market situation of soda ash.

Simranjeet Bhatia : And what percentage of GHCL revenue came from the Europe region?

R. S. Jalan

an: Our revenue comes only from India, but basically because of the slowness into the demand into the Europe the material is flowing from Turkey and USA which are one of the major suppliers

in Europe that material getting diverted in the Asian countries and India is approximately 100,000 tons of the import is coming every month into India and that is reflecting the price.
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Moderator: The next question is on the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir, as you alluded to this awaited import. So, you maintained 1,00,000 per month is the current run rate of import?

R. S. Jalan: Approximately Saket ji the current import is coming around 1,00,000 ton up to this stage of around 60,000 tons the Indian demand do required beyond 60,000 tons the materials are in excess supply to India and that is definitely kind of leading to a pricing pressure in India.

Saket Kapoor: Taking into account the annual shutdown we took for this quarter, what were our utilization level sir Qo Q if you could give the number for September quarter and December quarter?

R S Jalan: Sorry can you repeat your question again.

Saket Kapoor: Sir, I'm looking for the utilization levels for this quarter.

R. S. Jalan: Saket ji as you know other than this 20,000 tons broadly our utilization remains at a normal level. So, there is no kind of a production cut other than the annual shut down and generally if you look at the whole year as a whole 9 months so roughly will be in the range of around 90 % to 93%. And if you remember that in the early part of the first one or two quarters, we had that breakdown if you remember that I had mentioned in my earlier call. So, because of that this year as of now in 9 months approximately 91 -92% kind of the utilization is there which is likely to kind of in next quarter which is the fourth quarter this will improve.

Saket Kapoor: so this number of 91 , 92 will be in 96 , 97 vicinity for the fourth quarter 4 % to 5%?

R. S. Jalan: See very specific number it will be difficult for us to give you the exit number generally yes.

Saket Kapoor: So, just to hop in over the point since it is an annual shutdown quarter, is it likely to be comparable on year -on-year meaning last year December quarter say volume terms may say compare sir?

R S Jalan: No Saket ji because last year we did not have the annual shut down because annual shut down normally we take in 18 months' time . So, it cannot be compared.

Saket Kapoor: So, volumes were higher for December '22 this is what my point?

R S Jalan: Yes, December '22 the production was higher as compared to December '23 .

Saket Kapoor: What should we look the n into the increasing inventory? Is it the raw material inventory that we are holding on or the finished goods to the tune of 770 crore for the 9 months what does this indicate?

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R. S. Jalan: See if you look at in terms of the last year December FY 23 versus December FY24 primarily inventory of finished goods definitely has gone up, but if you compare as compared to the last quarter of Q2 of FY 24 the inventory is almost on the same levels.

Saket Kapoor: Come again sir I missed your point.

R. S. Jalan: What I'm saying Saket ji that if you are comparing with Q3 FY 23 inventory , the inventory of Q3 FY24 has gone up because the market was very different into the FY22-23 because of that the inventory was much lower. However, if you compare the same with the Q2 of FY 24 the inventory is almost at the same level.

Saket Kapoor: And sir you did also alluded to the fact that the benefit of lower raw material prices will be accrued in the quarters ahead. So, for this quarter the raw material prices are not aligned to the decline, that understanding is correct?

R. S. Jalan: Yes, I will say two things Saket ji. One

side because of the annual shutdown lot of cost gets

built up because of low production your cost goes up either in the terms of maintenance cost, even the power cost also goes up because your production is lower whereas it is not a direct variable cost. So, that's one reason and second as you rightly said the full benefit of the lower value of the raw material will accrue in the coming quarters.

Saket Kapoor: Sir last point before I join the queue when we heard you today in two of the interviews to the leading news channel you did allude to the fact that now we are looking at this EBITDA margin of 20% going there. I think because in my recent memory these are historically the lowest EBITDA margin.

So, firstly, on this front if you could give that, is it the mean reversion since you are also referring to pre COVID margins and those levels, so are these permanent mean reversion used which you are observing and now it is going to be 20% and during this bracket only or what are we trying to explain by this ?

R. S. Jalan: I will explain Saket ji. First and foremost, if you look at our EBITDA margin in terms of the per turn probably if I look at last couple of years you will find that the EBITDA margin are on a

normal level, but when you compare in terms of the percentage since our realization is elevated at this point of time and because of that the margin percentage looks to be lower.

So, however the margin percent is almost at the same level what it was pre COVID level just now what I said number one. Number two as I said my oversupply situation is there definitely that is putting a pressure on the margin also and once this pressure gets released by once the European demand picks up automatically the price the margin will also improve.

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Historically, we had an EBITDA margin of around 30% and I am sure that after a few quarters maybe end of 2024 -25 probably you will start seeing the improvement due to the margin percentage as well.

Saket Kapoor: And for the volume part for the next year, you alluded that we are looking for a volume growth of 5% to 7% on what we will be exiting this year since there will be no impact of?

R. S. Jalan: Yes, there are two things we'll have Saket on one side the annual shutdown will not be there including, but the small we are assuming that there will be no breakdown and because of that our production should be higher which we have achieved in '22-23 we have achieved higher production than what we are likely to achieve this year.

So, we are assuming that a similar volume we will be able to achieve next year in '24-25 and that will give you a 5% to 6% kind of volume growth into next year. We think if the prices improve which should according to me then probably this will help in terms of the revenue growth as well as the margin growth, but for that maybe probably few quarters we have to wait.

Saket Kapoor: Sir you have in your presentation articulated the fact that for European players we are expecting some reorganizing the capacity. So, for China you have very correctly mentioned in previous calls also that China will not be affecting the world market, their capacity and their expanded capacity will be met internally consumption to be renewables that has worked, but what are we trying to explain in terms of this European players getting reorganized the capacity if you could throw some light?

R. S. Jalan: If you look at in the last call also, I have mentioned that that Solvay has reduced one line into European factory. We are assuming that the likely scenario that Europe because of all environmental issues in terms of your carbon cost and things like that probably some reorganization will happen further into the European market as well.

Saket Kapoor: There will be further reduction in capacity utilization permanent we are expecting that will balance the

market?

R. S. Jalan: Yes, it should happen that is what our understanding about the business.

Saket Kapoor: Last point about utilization of cash sir. I think so earlier when we were at the peak of the cycle at that time you did alluded to the fact that because of the corporate action due you were unable to return cash to investor and then came the reversal in the prices and today's current environment where the vision ahead and is alluding to lower margins, so what should be investors penciling in now in terms of I think so we have a cash reserve of around closer to 800 crore and net of the working capital debt it is around 625 crore. So, what is the current thought process and what would be the opportune situations or the factors that will allow you to proceed with the buyback

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since you have very well explained to us that buyback is always a tool which will be used by the management to reward its investors.

So, one was an extreme point when the margins were superlative, huge cash flow today we are looking at lower margins we are looking at a big CAPEX also going ahead, but still, we are debt free. So, if you could give us some understanding whether buyback is there going ahead in the near future, whether the things are aligned, or we should look for the growth trajectory for the company for the coming 2 years to 3 years and that's what should investors anticipate in terms of this sector?

R. S. Jalan: Saket let me say two, three things. One I am sure that investors like you must have seen the journey of our rewarding to the shareholders in the over the period of time to buyback, liberal dividends. And we are very means we are very clear in our mind is that our shareholders must be rewarded, but in the case of reward I would only say that is it the right way of returning the capital to the shareholder is the right way or whether we should deploy these resources in a meaningful manner so that we can generate extra buzz for the shareholders.

Keeping that into mind we are looking at many opportunities and it is a matter of time, something where this opportunity of growth is because see ultimately growth is something which every investor would like to have from us. Of course, last couple of quarters we have not been able to do that, but in a hurry we don't want to take any decision of returning the money to the

shareholders and compromising on growth. I am not talking about the Greenfield project only. I am also talking about inorganic growth.

So, keeping that into mind we are just keeping patience on the process, but if you don't find any opportunities in the near future probably we will go back to our board and go back to the shareholders as rewarding the shareholders. So, the rightful decision will be taken in the longer term interest of the shareholders that will be my objective.

Moderator: Thank you. We'll move on to the next question that is on the line of Ridesh Gandhi from Discovery Capital. Please go ahead.

Ridesh Gandhi : So, I just a question so is this slowdown which you're seeing in terms of prices is it all the demand let or is there also some amount of incremental supply which has come on stream because there were a few articles about some incremental supply in China etc, but I guess you're indicating that that may not have happened, so I just want to understand if it's only a demand issue or also or it's supply issue?

R. S. Jalan: So, Riddhesh ji as you rightly said it is a combination of demand as well as supply. Now let's come to the first is the supply side in the major expansion which has happened is only in China major, some expansion also has happened in Europe, but that was that is not a very major one. In spite of such a large capacity coming into China in spite of that they had this year they had GHCL

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importers as compared to the exporters in last 9 months. So, this indicates a demand and the demand growth till 9 months is around 7 % to 8% in China. So, keeping that into mind supply to that extent I would say is not kind of a big concern at this point of time.

However some supply in Turkey has increased, some supply in US has increased a demand because of this combination and the slowdown in the demand in Europe and some part of Southeast Asia and some part of South America also like Brazil these countries the demand slackness has seen. So, because of this there is an oversupply so a little bit of which is coming into India is primarily from Turkey and from us out of this 1 lakh ton which I'm saying most part is coming from these two countries. So, once the Europe demand slightly picks up after this interest the inflation becomes lower then things will become normal again.

Ridesh Gandhi : And given the excess supply which has come on stream and other announcements which may have happened what's giving us the confidence to go ahead with the Greenfield actually expansion?

R. S. Jalan: No Riddhesh ji you are 100% right and let me tell you we are very optimistic about the long-term demand of soda ash and because being an Indian player because one thing which we realize is in the long-term domestic demand has to be made by the domestic supply because that's the most competitive way of supplying or servicing to the customers.

This is a short-term pain which is happening because of access or the demand slowdown into Europe and the US or Southern America. The way like if you remember last time also I mentioned to that in India we are looking for the demand growth from 4 million ton to 7 million ton in next 6 years to 7 years' time and that's for sure.

You know that the big players like green hydrogen, your green ammonia you talk about your solar investment by many players or recently in the Government of India in the budget interim budget they have announced the rooftop solar in a big way and I would say that the way I personally believe that demand will pick up very significantly in India and we have to be ready for that. We cannot wait for the demand just to happen and after that we start talking about the supply because supply takes time that last few years we are working on this project our Greenfield projects still some approvals are still pending on that.

So, we are preparing ourselves to be ready for the demand uptakes is going to happen and I'm very sure that that's the reason this year we have signed another investment with the government of Gujarat and now we have announced a million-ton capacity of that location and this will happen by 2020 of course we will be going in a modular form. First, we'll go for half a million tons then we will go for another half a million tons, but we are raising ourselves for this opportunity to capture by us.

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Ridesh Gandhi : Sir with the other question is that given like large increase in freight rates and given imports is what is ultimately impacting the prices and therefore landed prices should logically go up, are you now starting to see certain amount of uptake already I mean just given by freight let's leave everything else aside?

R. S. Jalan: Yes, I would say that that some amount of uptake in the freight has been seen and this probably has two impacts on us. On one side as you rightly said the import will become little costlier and

that we are seeing at this point of time and therefore some slowness barring the already the concept that which has already been done by the buyers in India from import that is happening and maybe some kind of a slowness may be seen in the end of February onwards. So, that's one, but on the other side there is a negative part also lot of our glass manufacturers which are getting exported like a fashion glass though

these kind of things which are getting exported to Europe and other countries there's also some demand impacted there because of this freight increase, but still overall net this will definitely have some positive impact on to our demand in the soda ash.

Ridesh Gandhi : Last question I had for the Greenfield I know you guys have alluded to the previous calls about exploring other areas and it's not only now it's been over the last few years is there anything even in because then otherwise I mean in the absence of that I mean better use of capital would be as per your policy to sort of at least do 25% payout either in the form of having done the buyback. So, in the absence of anything given there isn't anything appearing to be happening, would that be appropriate or how should we be looking at that?

R. S. Jalan: See talking about very specific numbers will be difficult because this will be all be subject to the board approval, but yes we are going to be what you call mindful of rewarding shareholders in appropriate time either in the form of dividend or in the form of buyback and we will always be taking the feedback from you people and recommending the board accordingly.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Managers . Please go ahead.

Resham Jain: So, just two questions. First is on the timeline for the Greenfield facility because we have seen a significant amount of delay there. So, in terms of timelines where are we if you can just highlight on that front and the second question is on inorganic front if you can highlight what kind of inorganic kind of opportunities you are looking at is it to do with similar salt based chemistries or that would also be helpful. Just directionally how much chemicals you're looking at or is it not to do with chemicals, any color on that would be helpful?

R S Jalan: Resham ji first and foremost I would say that it is good that we have started this Greenfield project and in a way I would say that in spite of that we were not expecting this kind of a delays, but I think it was good that we have started this process and there are certain things which are GHCL

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not in your control you will understand that. But we are vigorously pursuing this or this downward trend into the soda ash business is somewhere kind of it is also that probably is also I would say that probably is, but yes in timeline I would say that hopefully in next few months probably all those approvals are likely to be in place maybe next few week end of this thing probably that should happen and then the zero debt will start.

So, we are not much uncertainty now I would say that. In terms of the new inorganic which you are talking about mainly we are focusing more on of course on halogen chemistry is the area which we are exploring the possibilities lot of opportunities are in our radar and we are working on that.

Resham Jain: And sir from the sizing perspective of the inorganic acquisition given that we have a large Greenfield capacity also lined up, how do you think about capital being deployed in the new inorganic front, what could be the quantum of that?

R. S. Jalan: If I can look at recently on this angle that we are talking we are not talking about a very, very large investment into the inorganic chemicals that's number one. Second, we have this one million ton which we have envisaged.

So, 1 million ton to the half a million ton I think our current based on our debt equity ratio of 1 is to 1 we will be able to manage both these things together because right now we are almost around 600 crores of surplus cash in the balance sheet and plus going forward next 2 years the sufficient cash will be generated and then including debt within the limit of the 3 is to 1 we will be able to manage both inorganic as well as this.

And beyond

that, of course, depending upon how we are successfully inorganic, and another half a million ton probably could be kind of a thinker can be done on that for one or two years till we get the cash generation. We are very clear on one thing Resham ji our debt equity ratio we will never cross more than 1 is to 1. That's as a philosophy we agree and both these things together up to half a million ton and in organic chemicals we will be able to manage within that.

Moderator: Thank you. The next question is on the line of Riya Mehta from Aequitas Investment . Please go ahead.

Riya Mehta: My first question is in regard to the volume levels. So, apart from the 20,000 which was under maintenance what kind of capacity utilization did we see for the quarter?

R. S. Jalan: You see in terms of like I said in the previous question that if you remove this 20,000 our

utilization will be in the range of around 94 %, 95% kind of utilization which is kind of utilization which we envisage. So, barring this other than this 20,000 I think balance everything is as the normal utilization what we have.

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Riya Mehta: And Genesis Alkali is also coming with a new incremental capacity. So, you think that would lead to higher import?

R. S. Jalan: You are talking about the US Genesis .

Riya Mehta: Yes.

R. S. Jalan: As I said in the past also the demand if you look at in the global scenario Riya there is a very clear -cut demand growth of around 20 million from 60 million to 78 to 80 million. So, new capacity has to come in and this is only a short period of time because of this what you're seeing at this point of time oversupply situation. Otherwise, we don't see any kind of oversupply situation for a longer period of time. So, a new capacity has to come in.

Riya Mehta: And currently in China the incremental 2 million ton which was supposed to come in December has the ramping up started or how is scenario there ?

R. S. Jalan: They have already started the volume. The three lines is already operation, but their demand into the solar and the lithium carbonate is exponentially happened and because of that their overall in spite of the people say world say that globally the demand is down, but in China the demand growth is around 7 % to 8% in 9 months period and the moment the real estate picks up again which is at this point of time is underplaying if that recovery of the real estate happen, then this growth of 7 % to 8% can go much more and therefore what we globally we realize is that China is not likely to be a major player into the global trade of soda ash .

Riya Mehta: And what would be the next portion of auto million ton which would come for Inner Mongolia when would that be?

R. S. Jalan: I think that will happen in 24 and onwards right now we don't have a timeline on that. They have just started that process that may take around 12 months to 18 months' time as per our information.

Riya Mehta: That will be Phase -2, right?

R. S. Jalan: Yes Phase -2.

Riya Mehta: Phase of Inner Mangolia and that would also be total 4 million capacity ?

R. S. Jalan: Yes.

Riya Mehta: Also, in terms of our Greenfield capacity which we are setting up or what are the kind of hindrances we are finding it right now like where is it stuck?

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R. S. Jalan: Basically, it is a government approvals as such those government approvals require some kind of some time the process does takes longer time and that is what it is not something which stuck is not the right word. I would say it is taking more time.

Riya Mehta: If I'm right it will take 2.5 years from the day we get all approvals, right?

R. S. Jalan: Yes, you are right on this.

Riya Mehta: And for sodium bicarbonate what kind of capacity utilization did we pay for the quarter?

R. S. Jalan: I think we have a very valid question

Do you ask about this sodium bicarbonate. Now we are seeing the traction of uses of the sodium bicarbonate into the flue gas treatment and if you look at in the current month which is current and just passed on January. Our utilization was something around 75 % to 80% which was also used to be around 57 %, 58%. So, there is kind of an upsurge has been seen into the demand of sodium bicarbonate by the flue gas treatments and a lot of new investments are coming into the flue gas treatment and PPC alone are having on two locations. They have already started. There are many other locations where they are setting up the infrastructure the same way private players are also setting up. So, a lot of investments are happening on the flue gas treatment even by the private companies also are doing it. So, probably in the next few quarters you will see the fully utilization of the sodium bicarbonate going forward. Frankly speaking, we are looking at the possibility of can we increase the further production into the sodium bicarbonate at the current location.

Riya Mehta: So, entire this will be on a increased capacity like 1,20,000 tons?

R. S. Jalan: Yes, currently we have 1,20,000 ton which we are seeing that possibility by doing some small debottlenecking then we increased to 200,000 kind of a numbers. Currently, at this point of time, we are exploring that possibility.

Riya Mehta: And what would be the kind of revenues or margins which we are doing in sodium bicarbonate?

R S Jalan: See margin if you look at in terms of sodium bicarbonate, we will be in the same range of around 27% to 30% kind of the range should be there on the sodium bicarbonate.

Riya Mehta: And revenue currently what will be the revenue coming from that?

R. S. Jalan: I don't have a specific number on that the separate revenue number.

Riya Mehta: Percentage of the total revenue would also do?

R S Jalan: You can just calculate that out of my total 100,000 tons of soda ash you have 7.5% kind of number is coming from there.

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Riya Mehta: Coming to the cost side of it this quarter we saw an increment till rise in the raw material prices, so where was this coming from, is this just related to the shutdown which happened in basically higher fixed cost which could not get allocated or there is actually in increase in raw material prices?

R. S. Jalan: This is primary because of the lower production and because in the annual shutdown lot of stores and maintenance cost are required even then some of the semi variable cost percent goes up because of shutdown in the particular month otherwise the cost are on the downward trend, you will see that especially in the next quarter.

Riya Mehta: Q4 onwards do we expect a 5% reduction in the cost overrun?

R. S. Jalan: See percentage again very difficult at this point of time, but yes definitely in spite of the soda ash prices may softened from here because of all the new concepts are getting implemented and because of that still we will be able to maintain the margin at the same level and that is primarily because of the cost reduction which will happen in the next quarter.

Riya Mehta: Also coming to the EBITDA per ton so what would be a break -even realization for us for at the current cost level?

R S Jalan: Our EBITDA margin if you can look at our numbers as you find that my fixed cost is not a very significant amount and because of that breakeven we are far ahead of the breakeven.

Riya Mehta: But on a per ton basis what would be the fixed cost?

R S Jalan: Maybe around Rs. 2000 -2,500 that kind of a number.

Riya Mehta: And total cost?

R S Jalan: Very difficult Riya at this point of time total cost to calculate and give you maybe offline we will give you.

Riya Mehta: And so over a period of the last 5 to 6 quarters you have seen a significant reduction in your employee cost also. So

, have we rationalized it to the maximum, or do we see a further scope in reduction?

R. S. Jalan: No. Personally I don't think there is any big opportunity into that reduction of the manpower cost, of course, we'll continue to look at the various opportunity in all the areas of cost reduction, but a significant opportunity we don't see in that area.

Moderator: Thank you. The next question is on the line of Rohit Nag raj from Centrum Broking. Please go ahead.

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Rohit Nagraj: The first question is in terms of domestic demand, so which are the pockets you are seeing sub-judice demand or how is the environment across different sectors in domestic markets?

R. S. Jalan: If I can say look at sector by sector in the glass I would say that because of some import of glass is happening and because of that there is of course the demand growth is there in the glass sector, but because of import of glass is also happening because of that the last industry are under some pressure that is number one.

On the detergent side, I would say that demands are good actually recently I had a meeting with one of the big players, a big consumer of soda ash into the detergent. They are very optimistic of a demand growth of around 4 % to 5% and that is kind of a continuing and particularly here the smaller players are playing a major role, a lot of conversions are happening from a soap through the detergent or the bar to the detergent.

So, I would say detergent is doing good chemical also because of some import which is coming and as you know that is the chemical industry is passing through a difficult time. So, consumption in the chemical sector is also somewhere getting impacted in terms of the demand. If I come back to now on some of the silicate manufacturers and things like that there because of some conversion or the very cheap price of caustic soda some conversion has taken place into the caustic soda side and because of that also some demand of soda ash and that sector is slightly, in spite of all these things still the soda ash demand has grown by 2%.

Had this situation would have not been there the demand would have been around 5% to 6% because some improvement in the demand has happened in the solar glass side in India some new players had come in and because of that demand growth is seen there. So, in this 9 months the demand growth in India is around 2%.

Rohit Nagraj: Second question in terms of the exports from Turkey. So, are there any incremental capacities or incremental debottlenecking that has happened or just that earlier the exports were routed across different geographies including Europe and the demand from Europe is lower, so it is getting directed. So, just your thoughts on this?

R S Jalan: So, you're right there are two things, both the things that happen. On one side, they have increased the marginal capacity into their production. However, the major impact which is coming only because of the Europe demand has gone down.

Rohit Nagraj: And just last question on the Greenfield project. So, if we get approval in the next 6 months by FY27 end our project will be up and running, is that a fair assumption?

R. S. Jalan: I think so yes Rohit I completely agree with you that once we get this approval in next few months after that 2.5 years kind of a number should be there and surely because see on one side
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what we are doing is we are not only waiting for these approvals on one side we are working on these approvals on the other side we have already started a lot of work, basic engineering is already awarded, work is almost completed detailed engineering we have identified the vendors we have identified the equipment vendors also we have identified the technological partner also, lot of things we have already done like we have to put the pipeline

we have identified who will

be doing a more or less kind of situation where the moment we get an approval we can award the contract. We are kind of a situation where we are ready with everything just, we have to blast once the approval comes.

Rohit Nagraj: And the MoU that we have signed with Gujarat government, is there any timeline that you have given or one with Greenfield project is completed we will start working on the next?

R S Jalan: See this investment which we have signed into the Gujarat government is primarily to add on the capacity of the Greenfield project from half a million to 1.1 million ton right and there we have given a timeline this will be the Phase -2. First phase like you said 27 we will complete and the second phase we will start after that and maybe once this project gets closer to the kind of starting, we'll start working on that and the next 2 years we will be trying to complete that project. By 29 probably we will be completing both these projects and obviously we will be getting some benefits, or I would say some subsidy or some benefits from the government of Gujarat on both these accounts once we implement the project.

Moderator: Thank you. The next question is on the line of Jenam Gilani from Swan Investment. Please go ahead.

Jenam Gilani: Sir just wanted to understand that in your opening remarks you indicated that the domestic market import is almost around 100,000 ton and requirement is 60,000 ton. So, just want to understand how is the domestic demand in terms from the detergent market and the greener initiatives which we used to indicate in the previous call and what are the current realization as compared to the exit run rate of the last quarter?

R. S. Jalan: See two things. One like I said the import is more than what it should be and because of that the prices are under pressure. On the other side I also said that the demand growth in India in 9 months is around 2% and of course some of the volume, of course, some of the competition has also kind of that volume is lower.

Keeping that into mind and some inventory buildup is also happening into the system and many means including us we are also exporting a larger volume to the export markets like a nearby market. So, this is what the scenario is happening and in terms of the pricing as I mentioned to you prices are as compared to last quarter or I would say that the prices are down by almost around 7% to 9% and again I want to highlight that the likely prices further reduction
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will be there in the next quarter. However, because of the cost advantage probably we will be able to maintain the margin at a similar level in the next quarter.

Jenam Gilani: So, that means you want to say that whatever the cost saying that we will be having in addition to the operating leverage of the 20,000 ton that we lost during the last quarter the impact that will get nullified by the cost savings of near about in the power and fuel cost, right?

R. S. Jalan: Yes, that's right.

Jenam Gilani: So, sir if you can help us what was the coal cost consumption in Q3 and in Q4 and what was in Q4?

R. S. Jalan: The coal consumption percentage remains the same I don't think coal consumption changes only except like I said in terms of the tonnage if you are talking about, but I think I don't have a right now the real number on that, but like I said including all costs put together we will be able to maintain the similar kind of margin going forward.

Jenam Gilani: But sir given the industry trend that we are seeing and probably even you are guiding that the current range of the margin of 18 % or 20 %, 22% will likely remain in for next couple of quarters. So, just wanted to understand the broader view probably by end of FY25 -26 as per your interaction with the industry players how do we see the growth coming

kicking in so that the at

the end of the day demand supply gets balance and we might see a margin going back to 27 %, 28%?

R S Jalan: See if I can give you a larger picture on this probably based on our understanding or my understanding generally our margin historically has been in the range of around 28%, 30%. If you look at the slightly longer term average last year, we have seen our margin has gone to 36 %, 37% also, but prior to that if you look at, you'll find that similar kind of a margin on longer term basis.

So, my expectation is this kind of a margin should come back in years' time of course in this volatile market geopolitical situation which you understand some thing with certainty cannot be said, but the way we are looking at the business and the way we are looking at the global demand and supply situation hopefully 2024 -25 end probably the third or fourth quarter improvement will start looking into and probably '25-26 definitely should be there because we have a very rationale behind this.

Without this kind of a margin a long-term investment into this business cannot happen and therefore these kind of a margins are much for the new capacity or new supply to come in to the business and everybody when we start, they are putting the money into the business. They are expecting that this margin will be coming and therefore this margin will likely to come.

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Jenam Gilani: Sir, last question as you indicated that the current price of the soda ash is 7 to 9% lower than the exit run rate of Q3. I mean as an industry are we anticipating further cut in month of February, March or probably you see that prices should somewhere hover around this level given the current demand?

R. S. Jalan: No, I said to you that we don't see any further price reduction into soda ash business at this point of time, but surely some of the contract which was earlier done at a higher price now that they are getting renegotiated and things like that and that will have some impact on the pricing also. So, overall if you look at realization person, we'll definitely have a lower realization in the fourth quarter as well. However, that will be compensated for by that cost reduction also.

Moderator: Thank you. We'll move on to the next question that is on the line of Riya Mehta from Aequitas Investments . Please go ahead.

Riya Mehta: My question is what were the generally European market, how much will the import demand for Europe and market and how much decrease are we seeing in there?

R. S. Jalan: Riya sorry I don't have a specific number on that. Therefore, I will not be able to give you a correct number on that.

Riya Mehta: A few months back we were seeing some consolidation which was happening in China a few players shut their shop. So, are we seeing that continuation of the trend somewhere globally?

R S Jalan: Definitely Riya that will have a consolidation, but it will take some time. See basically in China what will happen is some of the small players they will shut their doors and the new capacity like you say you have seen which has come in in Mongolia . So, smaller capacity plants will get closed because Chinese Governments are very sensitive about the environment and therefore all those plants which are between the city means synthetic base soda ash plant so roughly gradually, they will be able to kind of, but of course it will take some time.

And I think the one of the thing which our understanding on the base on the global input which we are getting from the global soda ash conference, the China in a longer run they've taken a decision that they would not like to be a world supplier of soda ash and therefore they would like to have of course in a short term this could happen, but in the long run they would not like to be a supplier of soda ash to the world and therefore they will produce as much

as which is

required for their own country.

Moderator: Thank you. The next question is on the line of Saket Kapoor from Kapoor Company. Please go ahead.

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Saket Kapoor: Sir as you were mentioning about the Greenfield project my line was dropped. Sir, are we also getting any tax rebate for the setting up of this new Greenfield complex?

R. S. Jalan: The government of Gujarat has certain policies of investments which we will be getting that

benefit of that of course we will apply for that, and we'll get that benefit. There's not a tax benefit that's more on the GST side, more on the power side and things like.

Saket Kapoor: And sir you have been alluding to this fact that the requirement domestically will go up from 4 million to 6 million going ahead and major thrust will be from the solar capacity. So, taking that into account sir, how are things shaping up for the production of these solar panels?

How are the lines set up? What is the ground reality in terms of the new capacity coming up and then the incremental demand from the renewal segment kicking in?

R S Jalan: See two things on one side even if you take the basic requirement which we call it essential.

Essential demand like your detergent, normal glass, you know the way the urbanisation in India is happening, way the uses of the glass which is happening into the normal buildings as compared to the last. And historically you have seen soda ash demand has gone up by around 5% on average. If I take that number alone that gives you kind of a number of every year where you will require something around 200,000 tons of extra volume that's number one.

Now in terms of the solar I think lot of new investments you must have heard many major player Government of India has given PLI scheme also into this and a lot of land has also been allotted in Gujarat on the waste land for major players to kind of go for it green hydrogen or green ammonia.

All those investments is likely to happen in the next 2 years, 3 years of time and that will hurt the demand. In the meantime, like and those people will set up the glass manufacturing setup also. Lot of capacity is already coming in like one of the companies like Vishaka they have already put 3 megawatt of solar then Borosil, Gold Plus, Triveni they are the people they are making an investment. Borosil has already put that investment into that all those things are happening. There is a company called Gopal Glass. They're also kind of jackpot. So, lot of new investments are coming on this area, of course at this point of time they're also facing some difficulty because of the import of Chinese solar glass are happening into India and because of that they are under pressure, but I am sure that the Government of India will take care of their interest going forward and they will be able to produce fully on their new capacity which they're putting in.

Saket Kapoor: So, there will be new dedicated glass lines for solar manufacturing. These are not going to be Greenfield projects and they are not to be with the existing glass line. Is that understanding correct the entire setup will be at Greenfield?

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R. S. Jalan: Almost a Greenfield, but in the current location if they have a space, they will put the new line for the solar because solar requires a different kind of a line.

Saket Kapoor: And sir in your presentation also in the growth drivers you spoke about our the salt yield program and the vacuum salt from waste energy. So, where are these in terms of that benefits getting accrued and sir you also mentioned that because of the annual shutdown there were some incremental costs. So, can you give a ballpark number of what would have been factored in our P&L because of ASD and that is not going to continue for the next quarter, any ball

park number

you'd like to share?

R S Jalan: I don't think I have that ballpark number at this point of a time but let me tell you a couple of things which you asked me about the vacuum salt. Vacuum salt I said in my opening remarks, vacuum salt project is as per scheduled and that is likely to be March 25 likely to be completed. When you come to the salt there will be improvement. In this year itself in 23-24, we have seen a significant improvement into our production of salt almost around 30% volume increase has happened into the salt production and that has added to the bottom line or in the way cost has been reduced because of that, that is also one of the reasons that we have been able to kind of lower our cost. So, that benefit is there and going forward also the work counter because in my initial earlier discussion also I've said this salt improvement will happen gradually because we are keeping an investment on a regular basis and that will require some 3 years of time, but some benefit like I said 30% productivity has gone up and this will continue going forward and we will achieve our objective what we have defined for ourselves and this will have a significant benefit to our bottom line.

In terms of the vacuum salt, I would also like to mention the vacuum salt at this point of the time our project will be on a B2B model. We are not envisaging any B2C model at this point of time. Once we stabilize this business because we will have a significant advantage of cost because of the use of the base energy for producing the vacuum salt. We will later on see should we venture into the B2C model or not.

Saket Kapoor: So, what would be the revenue from the vacuum salt segment only to continue ma'am that's point?

R. S. Jalan: Yes, basically Saket ji roughly around if I can say this 125 crore kind of a top line will be there where the margins will be something around 30%.

Saket Kapoor: Hundred and I missed your point?

R. S. Jalan: You see broadly I said 125 to 160 crore kind of additional revenue will be generated out of that and maybe EBITDA margins will be something around 30 % to 40%.

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Saket Kapoor: When FY25 -26 will be the full benefit we will get this year we will be just putting up the capacity?

R. S. Jalan: Yes.

Saket Kapoor: And sir the last point was about the dividend payout part sir although mentioned in our presentation that dividend payout is in the vicinity of 15 % to 20%, but we have always been using dividend at 15% and since you have in the earlier participant look for feedback, so a humble feedback from investing communities that this year because of the lower profitability, we should try to look forward to distribute 25% of the profit rather than sticking to only 15% that this is the humble submission from my side?

R S Jalan: Saketji I have mentioned already on that that we are always sensitive to our investors expectation and we will accordingly see and discuss with our board and then we'll come with the decision which is in a longer term interest of the shareholders because we always believe longer term interest is more meaningful than the short term interest so just keep that into mind.

Moderator: Thank you. Ladies and gentlemen that was the last question I now have the conference over to the management for the closing comments.

R. S. Jalan: Thank you very much for all the participants and investors for your feedback and you're trying to understand the market scenario. I have tried my best for my ability to give you a right feedback on to the business and our journey of our growth for the investors or our passion to create a value for our soldiers will continue. This is a small dip into the margin.

It happens in the business, but our long term objective of creating a value for the shareholders will remain intact and I am very optimistic

about this business going forward because we are

seeing structural changes into the demand of soda ash because of this new avenues of solar glass and globally lithium carbonate as well and once our Greenfield Project comes on the screen we will have a huge opportunity of a growth into the business because there we have visualized a 2 million ton capacity going forward.

We will have the infrastructure ready; we will have a land parcel ready and whenever the demand growth happens in India and which we are seeing which will happen and we will be ahead of the competition in terms of setting up our business and we remain as one of the largest players of soda ash in India between these words. Thank you very much.

Moderator: Thank you members of the management team. Ladies and gentlemen, on behalf of Emkay Global Financial Services, that concludes this conference call. We thank you for joining us and you may now disconnect your line. Thank you.

Call: May 2024

May 10, 2024 ■■■■■■ – ■■■■■■ ■■, ■■■■■■
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National Stock Exchange of India

Limited

“Exchange Plaza”

Bandra – Kurla Complex,

Bandra (E), Mumbai – 400 051

NSE Code: GHCL

BSE Limited

Corporate Relationship Department,

1st Floor, New Trading Ring, Rotunda Building,

P.J. Towers,

Dalal Street, Fort, Mumbai – 400 001

BSE Code: 500171

Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors’ conference held on May 7, 2024

In continuation to our earlier communication dated April 30, 2024 and May 6, 2024

regarding Investors’ conference on May 7, 2024 and pursuant to requirement of

Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said

Investors’ conference held with the management on May 7, 2024 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited

(www.bseindia.com/corporates), National Stock Exchange of India Limited

(www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same .

Thanking you

Yours truly

For GHCL Limited Bhuvneshwar Mishra

Vice President - Sustainability & Company Secretary

(Membership No.: FCS 5330)

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“GHCL Q4 FY-24 Earnings Conference Call”

May 07, 2024

MANAGEMENT : MR. R.S. JALAN – MANAGING DIRECTOR, GHCL LIMITED

MR. RAMAN CHOPRA – CFO & EXECUTIVE DIRECTOR (FINANCE), GHCL LIMITED

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL SERVICES

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Moderator: Ladies and gentlemen, welcome to the Q4 FY24 Results Conference Call of GHCL Limited hosted by Emkay Global Financial Services.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I would now hand the conference over to Mr. Meet Vora from Emkay Global Financial Services. Thank you and over to you sir.

Meet Vora: Thank you. Good evening, everyone. Thank you for joining us on GHCL Q4 and FY24 Results Conference Call.

I would like to welcome the Management and thank them for giving us this opportunity to host them. We have with us today Mr. R.S. Jalan – Managing Director and Mr. Raman Chopra – CFO and Executive Director of Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward looking and a disclaimer to this effect has been included in the Earnings Presentation shared with you earlier.

I shall now handover the call to the Management for their "Opening Remarks". Thank you and over to you sir.

R.S. Jalan: Thank you Meet. Good evening, everyone and welcome to GHCL's Earnings Conference Call for the 4th Quarter 31st March 2024. Kindly note that our Results and Investors Presentation has been uploaded on the Stock Exchanges and the Company's website.

I am joined by Raman Chopra – ED and CFO and Manu Jain from our Investors Relations and Finance.

Our Results for Q424 were in line with our expectation and better on a sequential basis on back of higher volume and lower input cost. This resulted in higher sales and margin. In 2024 our revenue and EBITDA were lower than 2023 but higher than each of our previous 5 years. We grew by 9% CAGR and 6% CAGR over FY2019 till 2024 for revenue and EBITDA respectively. In India demand is relatively stronger as compared to the western world and grew by 2.7%. Demand in end user segments such as detergent and chemical improved. Though solar glass faced challenges from import. Higher import from Turkey, US and Russia has resulted in oversupply situation and exercising the pressure on the pricing and margin. However, there is some disruption in the global supply chain due to geopolitical uncertainty and may delay some
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of the imports. Demand for India is likely to be better next year on account of healthy growth recovery. As a result of this, improvement in market sentiment will benefit.

We will continue to enhance our production and cost competitiveness through better efficiency and cost control measures. We are making good progress on our planned growth endeavors. In greenfield soda ash project, we are making progress and expected to obtain final approval soon. The vacuum salt project is progressing as per the plan. We are conceiving a new bromine project at our existing salt works. Our salt improvements project is underway, sodium bicarbonate increased capacity has headroom for increasing sales and margin. Further in FY24 we have successfully completed installation of 6.7 megawatt of renewable energy which demonstrates our commitment to strengthen the sustainability efforts. We believe these steps will enhance our growth trajectory and accelerate our profitability in the future.

The global demand for soda ash excluding China fell by 3.2% in year-on-year in Calendar Year 2023. Demand in the US and Europe fell due to high inflation and weak demand. China was an outlier as demand grew strongly by around 10% on year-on-year into Calendar Year 2023 driven by solar glass and lithium carbonate segment despite continued weakness in the real estate sector. As a result, global demand including China grew by 2.7%

year-on-year in Calendar Year 2023.

Globally there is a capacity addition of around 9 to 10 million metric tons in Calendar Year 2023 and till now in 2024 combined, driven by 6.5 million by natural soda ash and 2.5 million by synthetic process. As a result, the global soda ash market is oversupplied, and sentiment remains weak putting pressure on realization and margin.

Calendar Year 2024 is likely to be dull year, but I believe it should not be worse than Calendar Year 2023 and growth will be similar of Calendar Year 2023 at about 2.5%. In Calendar Year 2025 and 2026, there will be no major capacity addition across the globe. This along with the global recovery will rebalance the demand supply situation. We believe that Indian market may remain range bound with an option for upside as and when scenario improves.

Now I will hand it over to Raman who will provide further detail on our Financial Performance.

Following that I look forward to addressing your questions if you have any. Thank you.

Raman Chopra: Thank you, sir. Good evening, everyone and a very warm welcome to our Q4 and the year ended the 31st March 2024 Earning Call. The performance for the current quarter came in at lower than Q4 of last year. However, some recovery has been observed from Q3 of this year.

Revenue for the quarter came in at 840 crores compared to 1,140 crores in the corresponding quarter of last year and Rs. 813 crores compared to Q3 of this year. The reason for this lower revenue is mainly due to increased imports from Turkey, USA and Russia thus putting a pressure on the realization. In Q4 volumes increased from Q3 which resulted in higher revenue.

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EBITDA for the quarter stood at 201 crores compared to 371 crores in Q4 of FY23 and 165 crores in Q3 of the current year. For the quarter, the EBITDA margin came at 23.9% compared to 32.5% in the corresponding quarter of last year and 20.3% in Q3 of the current year.

Sequentially, the improvement in margin is mainly on account of increased sales volume and reduction in input costs. PAT from continued operations stood at 124 crores compared to 251 crores in Q4 of FY23 and Rs. 100 crores in Q3 of this year. For the year ended the 31st March '24, we generated 662 crores in cash profit after tax which was utilized towards payment of CAPEX of 107 crores and loan repayment of 152 crores and dividend of 166 crores. Also, working capital got reduced by 157 crores mainly due to the reduction in input costs. This resulted in an overall cash surplus of around 400 crores for the current year.

We are a net debt-free Company and our gross debt stood at 197 crores with cash and cash equivalent of Rs. 898 crores resulting in a net cash surplus of around 701 crores at the year end. Board has recommended a dividend of Rs. 12 per equity share of Rs. 10 each which is 120% of the paid capital and 20% of our net profit.

With this I conclude my comments and would now request the moderator to open the forum for question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Gaurav from Capital Farming Consultants.

Gaurav: My first question, considering that the market is already struggling with oversupply and subdued realizations. So, our proposed expansion of 5.5 lakh ton per annum will cost us approximately Rs. 4,000 crores rupees, how is it justified considering the oversupply and subdued organizations? That is my first question.

R.S. Jalan: So, basically Gaurav, this short-term situation which you are seeing in oversupply situation is not likely to continue. Second in India if you look at today also there is approximately around 25% to 26% of the product which is coming from outside the world. Pricing could be a challenge, but every producer has been able to sell the product into the domestic market. And long run if you look at sligh

tly medium terms maybe 3 to 5 years from now, every year you need another 200,000 tons of extra volume demand growth happening in India itself. If you take that into account, there is a kind of a projection which we have is the demand which is around 4.3 million tons which is likely to be around 7 million tons in next 5 to 7 years of time. So, there is a kind of a demand growth of around 3 million tons from here. And this 500,000 tons will get absorbed without any difficulty.

Gaurav: So, related to this only on the capital allocation, like we are saying that 5.5 lakh tons, it will cost us Rs. 4,000 crores and if I am not wrong. So, what I was saying that considering the 5 lakh tons we are going to spend almost Rs. 4,000 crores and considering if I am not wrong our current

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capacity is 12 lakh tons per annum. So, our replacement most of the setup turns out to be somewhere around Rs. 8,000 crores whereas the market is valuing our Company less than Rs. 5,000 crores. So, from capital allocation point of view does it make sense that rather than going and spending money as of now, we should go and do the buyback so that the internal rate of return of the money because when you are taking up the project, I am sure that you are evaluating the internal rate of return that how much that is going to give you as a Company. So, if you correlate that vis-à-vis the buybacks isn't it that cheap valuation you can go for the buyback of the existing shares and then the free cash flow is there, maybe 1 year, 2 years down the line, then we can continue with the planned project. That is my second question and the last.

R.S. Jalan: Gaurav let me respond to this. You see basically the capital allocation the way we look at the capital allocation is coming slightly longer-term perspective. In terms of the market capitalization which you are talking about is a kind of a phenomena which depends on the many other things as well, current market situation and so on. So, therefore, keeping that into mind the growth of the Company is also very important because ultimately the growth which gives the

shareholders valuation. So, as a management we always believe the right allocation of the resources in the growth and the reward to the shareholders has to be kind of looked at and like you know that we are in this business for the last 35 years. Still in this business the return on capital employed is more than 25%-26%. And even the projection which we are having for the greenfield project, our IRR is coming more than 16%. So, keeping everything in mind we should not get our thoughts modified every now and then because the market situation gets changed every now and then. We have to always look at slightly from a longer-term perspective. Our belief is a combination of a reward to the shareholders either in the form of a dividend or the buyback or on the other side the growth of the Company. Like you know, in addition to the soda ash expansion of half a million tons, we are also looking at the bicarb, your bromine, vacuum salt and so on. So, as a Management we believe that the growth is also equally important. And you know that last couple of years we have grown from 7 lakh tons to now 12 lakh tons. And we would like to continue with the journey of growth of the volume because ultimately we have to become a kind of a relevant player into the soda ash business when the demand growth kicks in.

Gaurav: Just to follow up on this if you don't mind, how we are going to fund this is it going to be debt to equity ratio of 80:20, 50:50? What exactly is going to be ratio for this expansion?

R.S. Jalan: Basically, as you know that today also, we are on the balance sheet of around 900 crores. And by the time this project gets completed another 3 years is there and almost the bottom line. Even in this market situation we have something around 500 crores of net cash after paying the divid

end and everything, so very comfortably we will be having a very balanced debt to equity ratio. Right now, we have a negative debt to equity ratio, but I think our peak is coming even less than 1. It is coming 0.5. It is not going to be more than 0.5 and funding as you rightly said
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will not be more than maximum to maximum is going to be something around 2,000 crores maximum to maximum.

Moderator: The next question is from the line of Jainam Ghelani from Svan Investment.

Jainam Ghelani: Just wanted to understand now as you indicated that the pricing in the domestic market is getting impacted by a higher import coming from turkey. But can you throw some light in terms of the demand because if you indicated in the opening remarks, that solar glass demand has been seeing a little bit of pressure. So, for '24-25, '25-26 how shall one look at the overall demand in the domestic market?

R.S. Jalan: As you rightly said a couple of things, let me first clarify before I answer your question directly. First and foremost, Turkey supply which you are getting into the Indian market is a temporary phenomenon. Because for them the natural market is the Europe market. The moment the Europe recovers all the volume or majority of the volume of Turkey will go to that market. Because ultimately in this business the most important thing is where do you supply because of the supply chain cost. So, that's one. Second now coming back what you rightly said about the solar glass investment. As you know there are many large players in India has announced massive solar investments or the green hydrogen investment into India. And there solar investment becomes very important for green hydrogen. And these are getting now saved up. Yes, some imports are coming right now for the government since they have kind of a mandate of growing the carbon footprint reduction and therefore, they are allowing the solar glass import. But subsequently when the capacity gets built into India of the solar glass, automatically that incentive for the import will get reduced and therefore the demand will get recovered onto the solar glass as well. So, one side, the huge amount of opportunity on the solar glass. Second even the import of solar glass will also get tapered down once the capacity gets built into India. So, we see a clearly a kind of a path for good growth into the solar glass.

Jainam Ghelani: But this will be there from the medium to longer term perspective. But looking from the near term, in last quarter we did see a good volume growth for GHCL. But do we continue to see the same volume numbers for FY25 or probably there could be some pressure on that as well?

R.S. Jalan: As I mentioned in my opening remark, the demand growth in 2023-24 was 2.7%. The way we look at it and of course you know that in this current geopolitical situation and the overall uncertainty across the globe, something with a clarity speaking about is very difficult. We definitely see that next year '24-25 the demand growth will better as compared to '23-24. So, therefore, we definitely see in detergent, in chemical and other consuming sectors, we see a kind of a slightly better demand growth in India in '24-25.

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Jainam Ghelani: Secondly now since you indicated that the global industry's oversupply and given the current

prices, definitely there won't be a majority of the Company will be obtaining at a good level of profitability. So, are we seeing any rationalization of the capacity in the industry?

R.S. Jalan: I have not understood what you said.

Jainam Ghelani: Given the current pressure in the overall margins of the soda ash business, for the domestic as well as a global Company, are we seeing any rationalization of the capacity in the industry?

R.S. Jalan: I don't think at this point of a time. See with even this margin, we are comparing our performance

as compared to '22-23. And like I said in my opening remark also if you look at our same performance after eliminating the '22-23 that was an abnormal year margins are still very healthy. So, keeping that margin which we are talking about even 23%-24% at this point of a time is a very healthy margin on this. So, therefore, I don't see any rationalization at this point of time in the business either in domestic or in the global space.

Jainam Ghelani: The last question from my side is on the CAPEX that the board has approved, and board has also shown an interest in setting up a bromine project also. So, if you look from a near term 3 to 4 year perspective, what is the total CAPEX that GHCL will be spending if you consider a greenfield project your vacuum salt and the bromine one?

R.S. Jalan: If you look at the investment into the bromine project which is very hardly around 115-120 crores kind of a thing and in vacuum salt is roughly around 150 to 170 crores. So, put together both, we are talking about 300. So, the major growth investment which is coming into the greenfield project which is around 4,000 crores and that also will be happening in next 3 years of time. Whether the most major expenditure will happen in the rear end of the project completion. So, broadly this is like 4,300 crores of investment will be there which will incur in next 3 years of time.

Jainam Ghelani: And for this greenfield we have already acquired land, right?

R.S. Jalan: Yes, we have got a major portion of the land that has already been acquired, lot of work has been done. Basic engineering has been completed, retail engineering is working, environmental clearance is on the last leg of that. So, we are very close to a kind of a situation where we have to just start kind of in next few months. So, probably physical activity should start.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking Limited.

Rohit Nagraj: The question is, during FY24 what is the volume growth throughout the year? And given that we had a couple of setbacks because of the operational challenges and next year beyond the soda ash volume growth will there be any additional revenues coming from the new project?

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R.S. Jalan: Rohit, as you rightly said, in terms of our overall volume production, because of some of the technical issues which we had last year, our volume was slightly lower than the earlier period.

But that is now settled and therefore this year the volume production volume will be better than last year. So, that's sure. And the second I said if the demand projection which we are talking about, definitely the sales number should also be slightly better as compared to last year.

Rohit Nagraj: And any other revenue streams from the newer projects which are likely to contribute in FY25 or those will predominantly from FY26?

R.S. Jalan: One is the sodium bicarbonate as I mentioned. That capacity expansion has happened last year. Now we are seeing a kind of demand growth in the sodium bicarbonate. So, the volume growth in the sodium bicarbonate will also be good in this year '24-25. So, that will also add to the revenue and in addition to that like I said, our efficiency, our cost control measures, so there are many things we are doing which will add to the bottom line.

Rohit Nagraj: The second question is in terms of Chinese demand where the growth was almost 10% as you mentioned last year. So, is it total consumption led growth or probably there is some inventory of even solar blocks in the global system and that may have some repercussions during the course of 2024 in terms of the soda ash additional demand?

R.S. Jalan: Last year the demand growth in China was primarily because of the very high growth into the solar and lithium carbonate. And they were the net importer as I mentioned in my opening remarks, they were the net importers last year.

Probably at this point of time projecting what will happen because of the global situation is very difficult. But I have just given an update of last year and second the real estate, which was lagging in the last year, how does that shape up next year, that is also to be seen. So, let's hope that the journey of China continues the way they have done in the last year.

Moderator: The next question is from the line of Ria Mehta from Aequitas Investments.

Ria Mehta: In terms of volume for Q4, we mentioned that it is higher than Q3 but in terms of realization per ton and EBITDA per ton was that also higher than Q3 or we are seeing some flat?

R.S. Jalan: In terms of the volume, it was marginally up as compared to the last quarter. Almost I would say in the same range, not much significant. Volume growth was something around 5%. The volume

growth was around 5%. And in terms of the realization yes, the realization was lower as compared to the last quarter, Q3 of '24, it was lower. And EBITDA was slightly better because of the better cost control.

Ria Mehta: Also, in terms of demand supply scenario. So, globally you said that we had seen a global demand decline of 2.3%. That would be majorly coming from Europe.

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R.S. Jalan: Overall as I said if you look at excluding China the demand degrowth was around 3.2%. And that is primarily the demand degrowth into Europe as well as in the US.

Ria Mehta: And we have seen a natural soda ash capacity in US also being commissioned last year. So, how is the ramping up happening there?

R.S. Jalan: That has already come in line and currently those expansion is fully at the utilization. So, like I said in my opening remark, in the last 18 months I think around 9 to 10 million tons of the new capacity has been built. And let me also tell you one thing that every year even if we go with the 3% of demand growth globally, you require almost around 2 million tons of extra demand every year. Like I said in '25-26 and '26-27 we don't see any global new capacity coming in. This will get absorbed as the supply chain or the demand supply rebalance will happen in the after 1 year. This is what the way we look at it.

Ria Mehta: In terms of Inner Mongolia plant the Phase-II has also commissioned.

R.S. Jalan: No Phase-II will come. I think Phase-I is fully completed and Phase-II most likely will come after 2 years of time.

Ria Mehta: Phase-I was 2, 50,000 tons, right?

R.S. Jalan: No, in Mongolia was more than 5 million tons, Phase-I.

Ria Mehta: And over there how are we seeing net imports? Are there a lot of shutdowns of plants that has happened?

R.S. Jalan: You are talking about in China?

Ria Mehta: Yes.

R.S. Jalan: China some of the plants was at the shutdown because of the operating issue or the environmental issue. Yes, there was some shutdown.

Ria Mehta: Are you also seeing some shutdowns in Europe and US?

R.S. Jalan: Very difficult at this point of time Ria to project on those things. Let things be a little bit clear then probably we will be able to tell you better.

Ria Mehta: Also, Tata Chemical just commissioned its capacity and going forward also they have mentioned about the brownfield expansion. So, that will come prior to our expansion. So, will we see some kind of volume impact?

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R.S. Jalan: Like I said overall demand in India will grow as per our projections by around 5% and that itself will require another 200,000 tons of extra volume. And because of the supply disruptions because of the Red Sea probably we don't see that kind of a challenge in the coming quarters.

Ria Mehta: And in terms of our full capacity utilization, how much more can we do as compared to the volumes done in Q4?

R.S. Jalan: I think we are on full capacity utilization at this point of the time.

Ria Mehta: So, Q4 would be the highest possible volume we can do?

R.S. Jalan: Yes

Ria Mehta: And in terms of raw materials, how are we seeing a power cost over a period of time do you think power cost being reduced, so how is it for us?

R.S. Jalan: Ultimately, we will also be led by the overall global supply chain pattern is. Currently I think prices are more or less stable into the energy prices. I think at least at this point of a time and of course, you know that because of the global uncertainty it's very difficult to predict what will happen. But currently we are seeing stability in energy prices.

Ria Mehta: So, there is no decrease in prices as such?

R.S. Jalan: Yes.

Ria Mehta: Also, our greenfield capacity, where are we in the approval stage, like where is it pending?

R.S. Jalan: I think I have already said Ria in my earlier this thing that we are in the very last leg of our approvals.

Ria Mehta: How much time if you could help us estimate?

R.S. Jalan: Very difficult Ria. We cannot predict the timeline.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: If you look at the current global supply situation if you are saying that the new capacities are operating at full capacity, there is still I think the bulk of the industry capacity is possibly

operating only 80%. The question is, do you see material reduction in capacity or reduction in capacity utilization particularly in Europe where they are facing a lot of pain and when do you see that happen and what is your sense of the current cash cost for the new toner based natural soda ash?

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soda ash and the new capacities based on synthetic solvay route? Any sense you can give on these two?

R.S. Jalan: Mr. Ramesh, I think very pertinent questions. But at this point of a time our understanding is like I said very difficult to predict that any change or the rationalization into the European capacity will happen and when it will happen. On a logical basis what you are saying is right. But when it will happen, we don't know right now. In terms of China, I would say where the major expansion has happened. There I think they are balancing themselves into their supply demand situation and we are not seeing at least at this point of a time a major disruption happening from China to the other part of the world. So, that's the way we look at the China at this point of time. So far as your question on the cash cost, as you know that natural soda ash is much cheaper in terms of the cash cost. However, because of the supply chain cost from a location of a production to the port and from port to the consumption centers, I think significant amount of the benefits get away from there. And therefore, in terms of the cost competitiveness, the people who are closer to the location where their consumption is, definitely they are competitive in the competitive landscape. Therefore, I don't see any major worry on those accounts for the new capacity to kind of justify expansions or coming into the field. And India particularly as I said, India is in a sweet spot because you know that the globally India is a few countries where the growth of the overall GDP growth or consumption growth are likely to be good. And therefore, we clearly see that the opportunity of an investment into Indian space in soda ash.

S. Ramesh: So, if you see the outlook for say over the next four to eight quarters. So, when do you see the industry getting back its pricing power and some improvement in per ton margins given the balance between the cost structure and the demand and supply and the pressure from Turkish import, you take everything into consideration? When do you expect some kind of recovery in the outlook for the industry pricing for a margin on a sustainable base?

R.S. Jalan: Mr. Ramesh, two things I just want to highlight here. You see at this point of the time, and I think you will agree with me, such an uncertain environment and probably we have not

seen this

kind of uncertain environment anytime in the near future. So, much of uncertainty, Red Sea, your geopolitical tension in the various countries and the energy moving up and down. So, predicting any kind of a situation at this point of a time is very difficult at this point. So, what we are focusing more on slightly longer-term situation number one and number two, we are seeing the sweet spot where we have. Like one of the things which we are doing in GHCL is how do we become more competitive, how do we focus on our cost so that we become more competitive than what were yesterday. Second is what are the sweet spots into the small investment like I just said bromine. Now in the existing salt field we are going with technology where we will be able to create a kind of product out of our existing salt field. Similarly, this vacuum salt, generating from the waste energy and produces the vacuum salt. So, these kinds of initiatives, how to improve our productivity on production of soda ash or including the cost like

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as I mentioned to the captive salt production enhancement on that or even the opportunity of a sodium bicarbonate. So, these are the initiatives which we are doing Mr. Ramesh, to kind of remain ahead of the curve into the business. What will happen in the next few quarters is very difficult at this point of a time. I can tell you what has happened based that probably I think we have to leave it on that time.

S. Ramesh: Just one last thought. If I can get your perspective. This is very important. On the lithium carbonate and solar panels, there is a view that there is certain amount of front ending of the capacities and that is also squeezing demand for soda ash. So, what is your reading in terms of the incremental mapping of consumption in these two segments? Are you really seeing on the ground consumption growth in lithium carbonate and solar glass panels and the excess capacity buildup there is not an issue right now?

R.S. Jalan: As you rightly said so far as the lithium carbonate is concerned, in lithium carbonate definitely the front end has happened. And therefore, the lithium carbonate prices are softened. But again, like I said Mr. Ramesh if you look at it, we have to look at everything on a slightly longer-term perspective. We definitely see that the future of lithium carbonate will continue to be robust and maybe the demand supply misbalance will happen for a short period of time. But we are positive

on that segment as well. So, far as the solar is concerned, we are very positive on the solar side in India as well as globally because as you know that the carbon footprint and the kind of forecast of the globe is there. So, we clearly see, this is the sunrise industry and definitely that will lead a significant amount of growth into the soda ash consumption in this segment which is a kind of a very small at this point of a time.

Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: So, few from my side is, as we have commissioned our sodium bicarb capacity last year, so how is the capacity utilization there and where we can expect I mean the kind of full peak utilization in that? And secondly since we have announced this bromine investment, so what sort of revenue we would be expecting, what kind of margin we would be expecting and when we should expect the final commissioning of this project?

R.S. Jalan: Rohit, first question what you said about the sodium bicarb, but the good news is that there is a kind of usage of the sodium bicarbonate with the Flue Gas Treatment has been started. I think many of the projects have started using the sodium bicarbonate and therefore the good news is that you will see in '24-25, the demand expansion happening into the sodium bicarbonate. And probably '24-25 we will have a significant amount of growth into our utilization of '24-25

and

hopefully the full utilization and probably maybe we will be looking at a few more expansion into the sodium bicarbonate in next year probably. So, that's a sodium bicarbonate situation.

Now let's come to the bromine project. The preparation was going on in this and just to kind of give you like I said, approximately the investment is around 120 crores, and we will be producing

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something around 2,800 tons and our IRR will be roughly around 18% to 20% kind of IRR will be there and probably this will be because India's bromine growth is something around 6% to 8% and we hope that and even China has a large importer of bromine. So, there's a good growth globally also, if you look at globally you will find that the globally the demand of bromine is something around US\$3.5 billion demand is there. The growth is something around 6% globally led by China. And so therefore in a way I would say that 2,800 tons, approximately the price realization is Rs. 250,000 around Rs. 60 to 63 crores rupees kind of a top line will be there on this.

Rohit Sinha: And IRR.

R.S. Jalan: I think Rohit answered this.

Rohit Sinha: Once all these plants commissioned sodium bicarb and bromine are also coming. How diversified our revenue should be looked at? I mean currently I think more than 90% is still our soda ash, so anything there we can see more contribution from other segments with the better margins.

R.S. Jalan: First and foremost, Rohit, I think in the soda ash itself is a good margin. And we have a kind of expertise on that business. As you know, in terms of cost competitiveness, in terms of our efficiency, the way we do the business of soda ash, I think we are in a much better position on that business. We will continue to focus on that yes, but as you like you said product basket expansion is required and you have seen that journey in the last few years. We are gradually expanding our product base. So, at this point of time, we have added to the sodium bicarbonate, we have double the capacity. We have a plan to kind of go beyond that double the capacity. We have added vacuum salt. Now we are adding the bromine also and we are also looking at some more product into the basket. So, we will keep on growing our basket of the product. Even our focus on expanding on the bromine side also we are exploring that possibility also. We keep on doing that growth. But it will take some time to kind of create a fair amount of product basket expansion where 90% dependence is on soda ash

Rohit Sinha: So, this bromine is largely for domestic or export?

R.S. Jalan: No, we have both opportunities. Rohit, on one side we have an opportunity on the domestic market. As I said the domestic market is also quite large and the demand growth is happening something around 6% to 8% in the domestic market. And on the other side even the China is a large importer of bromine. So, we have that opportunity also.

Moderator: Next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Firstly, when we are envisaging better utilization and contribution from sodium bicarbonate, it is directly proportional to the realizations for soda ash moving up. Our margins for soda ash on

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a combined basis will improve since greater usage of sodium bicarbonate. That is what the understanding because the raw material for sodium bicarbonate is soda ash itself.

R.S. Jalan: Yes, Saket ji, definitely the volume growth into the sodium bicarbonate will definitely improve

the overall margin of soda ash. Yes, you are right.

Saket Kapoor: And one more clarification on the bromine part. You mentioned the peak turnover will be 60 to 63 crores on a 2,800 tons capacity. In that realm of things that is a very small project. We are trying something on it, and this is only a baby step in that direction.

R.S. Jalan: Like Saket ji you said, ul

timately what we have to do is kind of build up this over a period of time and this all in a way you can say we have created a value out of nowhere. Because we are already positioned this salt from those salt fields and just by putting a small amount of money, we are creating almost around a business of something around 60 to 70 crores revenue for that. I think these kind of initiatives where the return on capital is very good. So, our focus is to look at these kind of opportunities like vacuum salt I just briefed in the earlier calls also, that we are doing process where the entire energy is a waste energy. Keeping that into mind I think this is the way we are going.

Saket Kapoor: And one small point on the Salt Yield Program. The benefits of Salt Yield Program will be accrued for the Financial Year '24-25?

R.S. Jalan: No, it started happening like last year also we got some improvement, this year we will get another improvement on that, and this will be journey like I said in the past also 3-4 years of time. Gradually things are happening, and this benefit will accrue over a period of time.

Saket Kapoor: I have one question for Raman ji. We have seen the other expenses for Q-o-Q moving up significantly from 128 crores to 145 crores. So, is there any one-off item in it or if you could explain and then you did mention that the dividend payout has been 20% of net profit. So, earlier we have kicked to the band of 15% on a consistent basis. So, can investor now penciling in a 20% payout or due to the lower profit for this year, the management has kept to rewarding its investors and it is only one of 20% payout?

Raman Chopra: So, first of all I will give you another brief on other expenses. Yes, the other expenses are higher because of the higher freight costs during the higher freight expenses because the volumes have gone up. So, around 12 crores on account of that and the rest is on account of the CSR expenses. So, this is a broad breakup of increase in the cost and there has been some increase in the donation also during the quarter. So, these are the three things which are there.

Saket Kapoor: So, what should be the numbers that we will be penciling in on a quarter basis, if you remove the one off?

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Raman Chopra: So, it's largely because the operational freight is higher by almost Rs. 13 crores compared to the previous quarter.

R.S. Jalan: Saket ji let me add what Raman is trying to say that the volume as well as the material moving closer to the customer, this cost has been there which probably will not be get kind of repeated every year. Of course, if the volume goes up then definitely this cost will go up otherwise no.

Saket Kapoor: And on the dividend part?

R.S. Jalan: The dividend part is a part of depending upon how the board takes the view of the growth opportunities or the way your overall profitability happens. But as you know that over a period of time, we have demonstrated our reward to the shareholders by way of two buybacks, we have already done in the past and will continue to have that kind of allocation for the shareholders depending upon how the situation pan out at that period of time.

Saket Kapoor: And to conclude on the EBITDA per ton part, the EBITDA margin of closer to 25% is a sustainable number for this year taking into account the improved number from sodium bicarbonate, the advantage of the Salt Yield Program, the lower input cost, all these factors will cumulatively add to the margin? I am just making my conclusion. No question ma'am just a conclusion so that sir can just revert.

R.S. Jalan: Saket ji, very difficult at this point of time to give a guidance on any percentage and things like that. I have given you kind of an overall how do we see the business? And as I said, these are the assessment at this point of time, how the scenarios shape up in the next few quarters probably because of the very lo

t of uncertainty. It will be very difficult to kind of speak about any numbers.

Moderator: The next question is from the line of Sangeeta Purushottam from Cogito.

Sangeeta Purushottam: My question related to the global supply demand situation that you have put one of your slides which is Page #13. Now there basically we're seeing the global capacity at 80 million metric tons and production at 66 which means there's still a fairly large gap about operating at global 80% capacity. Now even if the global demand grows by say 2 to 3 million tons, would that capacity not be enough to just take care of the demand for the next say 4 years at least? And therefore, is it likely that the prices may remain under pressure for longer than we think or may not rise very much?

R.S. Jalan: As you have seen that the major expansion of the capacity which has happened in China. What

our understanding is in a slightly longer terms time, this rebalancing of the capacity in China will happen because there are many plants in China which are likely to be kind of having a headwind on because of the location, because of the cost competitiveness and things like that. Like I said beginning of my comments, that we see '25-26 and '26-27, this rebalance will happen. And second in terms of the capacity probably like you said at this point of time is 80%,
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probably that can go to around 90%. But things will not be very significantly different than what it was in '23-24 or likely to be in '24-25. This is the way we look at it.

Sangeeta Purushottam: Would it be fair to say that you know prices may have bottomed out now because the impact of the new capacities has been felt but it is difficult to predict when they will start rising. It could be 12 months from now it could be 18 or 24 also.

R.S. Jalan: Again, predicting what will happen in the future will be very difficult to kind of predict. But I can only tell you based on the current assessment what we have, I think prices of that trajectory has bottomed out. This would be in the range bound kind of a situation on this pricing. This is a way we look at this point of time. How it will happen after two months we don't know right now.

Sangeeta Purushottam: Andre has one more question.

Andre: This is Andre here, Sangeeta's partner. Just a follow up question to what Sangeetha was saying. You know we've been talking to a lot of companies about what the demand situation across a full category of goods is in Europe and no one seems to be seeing a trend for some higher demand. If Europe is going to remain slow, will this phenomenon of Turkish companies dumping soda ash in the market continue to affect our realizations? So, it's possible that there may be some demand growth in India, but the realization of soda ash would remain poor because of the weak demand in Europe linked to Turkey and all dumping.

R.S. Jalan: As I said in my earlier answer also, that predicting how the shape up of Europe will happen, how the domestic industry of Europe will shape up, will they be sustainable on the current demand supply situation, will they be cost competitive on those costs and if the demand of the Europe does not recover? These are the questions which need to be answered and we don't know right now at this point of time. But one thing we reasonably kind of believe is that a kind of a regionalization of the demand supply situation definitely will happen. Like China in spite of such a huge growth of the supply, they balance themselves into that demand supply situation. Same way the same things would happen in Europe also. So, at this point of time, I can only say that we see that yes, 2024-25 probably will be in the similar range bound situation. How that will step up in '25-26, we don't know right now.

Andre: My only comment was that there are no chances of revival in Europe.

R.S. Jalan: I agree with you that there are no chances o

f revival but if you ask me that if there will be slowdown of demand then that also we would not have predicted. We never knew that there will be degrowth of this much big demand. No one would have thought that China will see so much demand growth. So, all this uncertainty at this point of the time, to predict on those uncertainties will be very difficult. But like I said I am repeating that if you look at slightly longer-term situations, we are very confident in this business that the way the demand of the solar or the
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lithium and other consumptions, probably demand supply balance will happen. And it's nothing to worry on that side.

Moderator: The next question is from the line of Shubh Shah from Ratna Traya Capital.

Shubh Shah: I have broadly three questions. We can go one by one. So, first is on the greenfield capacity, roughly is there a time from which we can think that the volumes from this capacity will start coming in maybe 2 years, 5 years anything like that?

R.S. Jalan: I think the projection at this point of a time is likely to take around 3 years of time from now onwards to complete this kind of a massive project. So, that's the timeline we have in our minds.

As you know we have announced that half a million tons of the customer.

Shubh Shah: Given 3 years for this to kick in and we are already at high utilization usually around 90%. Do you think we might lose some market share?

R.S. Jalan: As you rightly said at this point of a time, we have the highest capacity utilization. Probably some volume growth will have in '24-25 because last year we have lost some volume because of our technical issues which we will gain this year. And on the other side, we are expanding on the other product. But yes, in terms of the soda ash probably we may not have kind of a new volume coming in next 2 years of time. Of course, '24-25 it will be but '25-26 or '26-27 probably we may not have that volume.

Shubh Shah: And next question is, what would be our split in terms of dense and light soda ash? And the reason I ask this is, solar glass would be mostly dense or soda ash, so how do we think about that?

R.S. Jalan: We are definitely very clear about the demand growth which is likely to happen into the dense more than the light soda ash. Of course, in the light soda ash also in the Indian typical situation, the detergent demand will grow. But as you rightly said dense production will be high. We have currently full capacity almost around 60% of the volume can be generated for the dense and in the new location also we are going on the same ratios and probably we will not have any difficulty because of light and dense combination.

Shubh Shah: My last question is on, if you have any outlook on realizations going forward for the next 6 months or couple of years?

R.S. Jalan: Very difficult at this point of a time to talk about any prediction about the realization. But I just said range bound of the bottom out for the prices at this point of the time and should be in the at least near term we see a range bound of realization. But yes, if any opportunity comes then definitely there is a possibility of upside into the margin.

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Shubh Shah: I just missed a point on the CAPEX front. Out of the 4,000 crores how much have we spent?

R.S. Jalan: We have a very meager amount we have only spent which is only on what you call on the land acquisitions and things like that. Slight expenditure will start once we start the physical activity of that project. Maybe some amount will spend during '24-25 and the major portion will be happening after that.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking Limited.

Rohit Nagraj: Just two quick follow ups. One is the CAPEX for FY25 and '26 excluding the greenfield CAPEX. And second given that the market is oversupplied, in your assess

ment is there any inventory situation across the globe which is on a higher price?

R.S. Jalan: So, Rohit, it's a last question. This inventory built up at this point of the time not a very significant inventory buildup into the system because of the China is on a low inventory situation. And the first question frankly speaking I have not understood what your question is about.

Rohit Nagraj: The barring the greenfield CAPEX what will be the CAPEX for our expansion? I mean the regular expansion plans during FY25 and '26, the maintenance plus smaller expansion plans.

R.S. Jalan: As I said overall if you see we are talking about the '25 basically two projects which is a vacuum salt and bromine and some small amount on the regular side. Next year also '25-26 other than the greenfield project completion of vacuum salt and bromine and some maintenance. This will be in the range of around 250 crores kind of a situation every year kind of a situation.

Moderator: The next follow up question is from the line of Gaurav from Capital Farming Consultants.

Gaurav: The follow up question is that like we have announced the capacity extension. So, any other player in Indian geography specifically who has announced capacity expansion in next 2-3 years or 4 years down the line?

R.S. Jalan: Yes, as you know that some of our competition has announced those capacity. And I have given you kind of a scenario the way we look at the growth into India. So, definitely there is a room for all of us to kind of grow our business.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Follow up question from my side is on the utilization levels of the Company for the year and the import number for the country for the whole year. If you could give these two data points.

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R.S. Jalan: This year in '23-24 the total import was around a million ton and the utilization was I think almost at the peak level, in the first few quarters slightly low. But overall, it was in the peak level in the last quarter.

Saket Kapoor: The average utilization number you can give? For the year you are contemplating 5% volume growth. So, is it okay that 95 will be the number and we will be just aiming for 100% utilization level for the next year. That translates into 5% volume growth.

R.S. Jalan: Actually, I think I have given you the indication of the full utilization is at this point of time.

The first two quarters we had some setback because of the technical issues and next year probably we will have that number which will be better than this year's number will be there. I think you can always calculate this number. You have all the data.

Moderator: The next follow up question is from the line of Ria Mehta from Aequitas Investment.

Ria Mehta: In the balance sheet your intangible asset has gone up by 20 crores, so what would that be?

Raman Chopra: That is during the year we acquired Ajmera Cement who is a lease reserves, lease mines reserves

are there, also lignite there. So, that is classified as an intangible asset. Limestone sorry.

R.S. Jalan: We have acquired one business for the captive limestone and that is that account.

Ria Mehta: And what was the total payment done to them?

R.S. Jalan: I think the total payment is around 27 crores.

Moderator: The next follow up question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So, if you look at this captive limestone, for the expansion what is your target in terms of the internal production of limestone and in-house production of salt, what would that percentage be?

R.S. Jalan: Mr. Ramesh, at this point of the time we are looking at the salt field that we have. We are using some 800,000 there. We are definitely trying to enhance our capacity there. In addition to that we are trying to get some more captive salt acquisition or some government lease on the salt

field. And hopefully the way we are planning probably we will be able to take care of the requirement of the new greenfield as well as of the current requirement of our plant. Probably we will be in a much better position as compared to what we are today in terms of overall salt requirements of this initiative which we are doing. And in terms of the limestone, that limestone as you know that the major portion of the limestone in India by all across the industries are being imported. And there we are kind of distributing that limestone supply from a different geographical location and largely we will be more dependent on the import of limestone even in the greenfield project. Yes, some percentage will come from the domestic as well.

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S. Ramesh: Now when you say domestic, I am asking about the Company. Will the Company be able to increase the production or share of captive production of limestone and salt? So, when you say imports, you're talking about import from outside India, right?

R.S. Jalan: So, Mr. Ramesh, like I said captive production we will not be able to increase in a very significant manner in the limestone. But yes, in salt as I mentioned to you we are doing some initiative on that area and probably there we will be able to increase the salt production captive.

Moderator: Thank you. Ladies and gentlemen, due to time constraints that was the last question. I now hand the conference over to management for closing comments.

R.S. Jalan: Thank you everyone for your all the support you have been given to us. As I always mentioned, we will always do best of our ability to kind of grow the business, remain competitive in the business and do everything possible to kind of create value for our shareholders. And we will also be very vigilant on our capital allocations to ensure that the capitals are being properly utilized for the value creation of our shareholders. Thank you for all your support.

Moderator: On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

August 6, 2024 ■■■■■■ – ■■■■■■ ■■■■, ■■■■■■■■
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National Stock Exchange of India Limited
"Exchange Plaza"
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Code: GHCL
BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring, Rotunda Building, P.J
Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Code: 500171

Dear Sir / Madam,
Subject: Filing of Transcript regarding Investors' conference held on August 2, 2024

In continuation to our earlier communication date July 27, 2024 and August 1, 2024 regarding Investors' conference on August 2, 2024 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on August 2, 2024 for your reference and record.
Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.
Thanking you

Yours truly
For GHCL Limited

Bhwneshwar Mishra
VP-Sustainability & Company Secretary
Membership No.: F5330

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"GHCL Limited
Q1 FY'25 Earnings Conference Call"
August 02, 2024

MANAGEMENT : MR. R.S. JALAN – MANAGING DIRECTOR – GHCL
LIMITED
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER
AND EXECUTIVE DIRECTOR, FINANCE – GHCL
LIMITED
MR. MANU JAIN – GENERAL MANAGER, INVESTOR
RELATIONS AND FINANCE – GHCL LIMITED

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL
SERVICES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY'25 Results Conference Call of GHCL Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Vora from Emkay Global Financial Services. Thank you, and over to you, sir.

Meet Vora : Thank you. Good afternoon, everyone. Thank you for joining us on GHCL's Q1 FY'25 Results Conference Call. I would like to welcome the management and thank them for giving us this opportunity to host them. We have with us today Mr. R.S. Jalan, Managing Director; and Mr. Raman Chopra, CFO and Executive Director of Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward-looking, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I shall now hand over the call to the management for their opening remarks. Thank you. Over to you, sir.

R.S. Jalan: Thank you very much. Good afternoon everyone and welcome to GHCL Earnings Conference Call for the First Quarter of FY 2025. Kindly note that our results and investor presentation has been uploaded on the stock exchange. I'm joined by Raman Chopra, ED and CFO; and Manu Jain from Finance and IR.

We believe we have delivered an operationally strong performance where volumes continue to grow, and we continue to increasingly have better cost efficiency. As you are aware that soda ash and various other chemicals have seen moderation in pricing given the global dynamics at play. But within that, we remain encouraged with our performance.

Going forward, as an industry, scenario stabilized and pricing revert to the normal range, we believe our strong operational performance will be supplemented by strong financial performance. While in the short to medium-term, the current operating environment may continue, we remain encouraged with the volume outlook, cost outlook and the growth initiatives that we have planned.

In the mid to long term, we are developing a greenfield soda ash plant with a 500,000 metric-ton capacity. We continue to work towards increasing manufacturing productivity through various initiatives lined up. To reiterate, we will benefit from completed sodium bicarbonate capacity expansion and ongoing salt yield improvement in the present year, whereas over the next year, we shall be seeing the contribution from vacuum salt and bromine-related projects.

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Beyond 2026, we are on track to commissioning the first phase of our greenfield facility for which significant groundwork and approval are in place. In addition, we have been allotted 6,449 hectares of lease land at Zara Zumara, Kutch for salt production for a period of 30 years. This is a significant milestone for GHCL and will cater to our salt requirement and also for the bromine expansion.

I would like to spend a few moments to cover my thoughts on the prevailing industry situation. The global demand scenario for soda ash remained mixed. While in certain pockets, demand had stayed strong, the pricing overall is moderated. In India, we continue to see Y-o-Y increase in consumption, whereas in the consumption of volume, import is declining due to supply chain disturbance.

Despite the global and domestic challenges, our Q1 FY'25 results demonstrate our operational excellence performance was better on a sequential basis on the back of higher volume and lower input costs. I believe that the GHCL is well positioned for

the future. We believe our initiatives will enhance our growth metrics and lend support to the profitable performance in varying market environments.

Now I will hand over to Raman, who will provide you further details on our financial performance. Following that, I look forward to addressing any questions you may have. Thank you.

Raman Chopra : Good afternoon, everyone, and a warm welcome to our Q1 FY'25 earning call. We have maintained focus on operating excellence, given the scale of our operations. There is a consistent, constant focus on driving better utilization and more efficiency. This is visible in the profitability traction in the business. This will become clear as I share thoughts on the financial highlights.

Revenue for the quarter came in at INR849 crores compared to INR840 crores in Q4 of last year. Last year first quarter was exceptionally strong, and we reported a revenue of INR1,029 crores in the corresponding quarter of last year.

EBITDA for the quarter stood at INR235 crores and margins at 27.7 %. This is an increase of nearly 4% from Q4 of last year. In the value terms, this is a jump of 17% improvement in EBITDA compared to Q4 of last year. This increasing trend is visible from the last two quarters. And this is mainly due to higher volume and reduced cost impact. We believe that this trend will sustain in the current year.

PAT before exceptional items stood at INR151 crores compared to INR125 crores in Q4 of FY'24 and INR207 crores of Q1 FY'24. Our balance sheet remains robust with gross debt of INR177 crores and a cash surplus of INR853 crores, thus leaving us with a net cash surplus of INR676 crores.

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For the quarter, 30th June 2024, we generated INR209 crores of cash inflow after tax which was utilized towards capex of INR121 crores -- INR141 crores and a loan repayment of INR20 crores. Capex includes expenditure on greenfield project for acquiring government land and for vacuum salt to a tune of almost INR90 crores.

These initiatives that we have lined up address both our long-term and short-term strategy goals. India remains a market that will sustain healthy growth of soda ash while providing us opportunities towards scaling of ancillary products in which we are carrying out capex. We are looking at higher pace of execution in these areas, and therefore, once these investments start contribution, our bottom line will show the results for these initiatives.

With this, I conclude my comments. And I would now request the moderator to open the forum for question-and-answer.

Moderator: Our first question is from the line of Jainam from Svan Investments.

Jainam : Sir, could you please quantify in percentage terms the volume growth that we've seen this quarter?

R.S. Jalan: In terms of the volume growth as compared to the same quarter last year, around 8%.

Jainam : Sir, what are the imports for this quarter and the previous quarter, please?

Raman Chopra : If you look at the Q4, is approximately around the GAAP is something around 15% -- minus 15%.

Jainam : So sir since you're already operating at our optimum utilization, in terms of incremental volume, could you please guide us for revenue growth for FY'25 and '26?

R.S. Jalan: See, as I said in my opening remarks, in terms of the volume growth, definitely, we will have something around 5% to 6% volume growth in terms of your, what you call, in the chemical soda ash. As long with that, we will also have some volume growth into the sodium bicarbonate. Sodium bicarbonate volume growth in terms of the tonnage will be very significant. It will be something around 20%, 25%.

Jainam : Sir given the current oversupply in the global market and subdued demand, sir do we -- where do we see the prices moving forward?

R.S. Jalan: See it's a very dynamic situation at this point of time because you see that in the globally, you know so

much of volatility is happening. On one side, China growth are phenomenal in the soda ash demand side, whether it's Europe and U.S., the demand has slowed down. So all depends on how the dynamic situation changes. And therefore it's very difficult at this point of the time to predict in this current year.

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However, personally, what I believe is that the India will have a significant advantage next year, primarily because of a lot of this solar glass investments are getting planned into India. Now the government, as you must have noticed in the budget earlier, there was a duty exemption for the soda -- for solar glass imports. Now that duty has been reinforced at 10%, that will encourage the investment into the solar glass investment. So that will lead to kind of a good amount of growth next year.

Jainam : So in the last quarter, you had mentioned that a few facilities in China had shut down. So if you could just -- in the current status of their operations and given the sharp reduction in the profit ability, have you seen any rationalizations in the capacities globally?

R.S. Jalan: See, there are a few things I just want to highlight one is in the China, in spite of that, the new investment, which came into the Mongolian location, in the Mongolia because of the demand

and because of that they have been able to just manage the balance between the demand and supply, they are almost like a net importer. They have been net importer in 2023. Even in the first quarter also, there were the net importer of soda ash. Now how would this pan out in the -- going forward will largely depend on two things. One, how does the growth of the significant growth continues. And second, again, this will be very important. It's how the housing sector -- some signs of recovery we are seeing in the housing sector also. So if these two things happen, probably, I think the journey of very relevant into the export market of soda ash should not be seen much on that.

Jainam : Sir we have commissioned a sodium bicarbonate capacity last year. So sir, what could be the capacity utilization at peak levels? And what could be the peak revenue contribution from the same?

R.S. Jalan: See if you look at in terms of, as I said, my growth into this revenue this year would be something around 25%, okay? But still, we will have a headroom for -- on this. Approximately from here also, we will be looking at something around 20% to 25% further growth going forward into, probably that should happen in next year.

And in terms of -- because this is happening because of now what we have been talking over the last couple of years about this flue gas treatment, a lot of plants have started using the sodium bicarbonate for the flue gas treatment. And because of this demand growth, which you are seeing into the sodium bicarbonate. We have a headroom of 25% this year and maybe 25% next year on this growth.

Jainam : Just one last question. So what is the IRR that we are expecting on our greenfield project? And what is the expected time line of commissioning for Phase 2 ?

R.S. Jalan: See, at this point of time, I will give you -- based on the long -term view which we have taken, the IRR, which is coming something around 16% to 17%, of course, it will depend on the

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quarter -to-quarter how the dynamics of the pricing happens. But we have taken a longer -term view and very -- in a way, I would say a little conservative or the realistic number.

Probably the [6 to 7] 16% to 17% through the IRR. Phase 1, as I said, the initial hiccups brought there gradually getting resolved. And we are more or less in a kind of a planning stage at this point of time on the second phase. For first phase, we will be going for the 0.5 million ton. And in the second phase, we will be going for another 0.5 million ton. Our vision at this

point of time

is by 2030, we should be having a capacity of around 1.1 million ton there. Now all this, all depends on how the -- it's a long periods of time, but that's the way that GHCL is planning at this point of time.

Moderator: Our next question is from the line of Rohit from Sunidhi Securities.

Rohit : Congratulations for this land allotment. So first question is just on the sodium bicarb. Currently, what percentage of our total revenue is coming from sodium bicarb. And basically, is there also pricing pressure as we are seeing in soda ash segment?

R.S. Jalan: See, if you look at -- in terms of the percentage, I don't think it's a very significant percentage at this point of time. It is almost, I would call it as a 6% to 7% kind of right now, okay? And this will gradually increase, like I said just now, 25% increase will happen this year and the next 25% should happen next year so gradually this -- because this sector is now opening up, okay? And we are also looking at a possibility of how can we expand on this asset. Even in the greenfield project, we have a plan for a significant amount of growth into this segment as well. Second, you said about pricing pressure. I think prices are now more or less stabilized, okay, or even on this side also. Of course, these prices are -- adding the soda ash, these prices are also lower than the long -term average. But if the soda ash situation improves, this situation will also improve going forward.

Rohit : And secondly, on this land allotment. So as we are planning for the salt and bromine expansion, so how basically and when we should be expecting the progress to basically look into shape in next 1, 2 years, especially from the bromine side?

R.S. Jalan: I think, as I said, it's a significant milestone for the GHCL history, because this is the large parcels of land, approximately around we can convert into the acres is something around 16,000 acres of land. And this will definitely help us in a big way in terms of our capital consumption of salt. So this is going to be a very significant milestone on that.

And along with that, this will also help us to kind of expand our bromine project, as you know, that next year, we are opening on our existing salt field the bromine project. So this will add to our -- in our basket of a significant amount of bromine capacity. Now as we know, and we are seeing a good amount of growth because of the global situation in growth into the bromine project -- bromine demand going forward. This will definitely help us in a big way.

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In terms of the time line, as announced in the stock exchange, we have got yesterday only this approval, the plants are getting ready. But yes, likely it will take 2 to 3 years of time to kind of develop, because a large portion of land, you have to develop the salt field and infrastructure will be required. So if we -- and we will try to build some kind of a benchmark in this industry as this will require some kind of a time on that.

Moderator: Next question is from the line of Riya Mehta from Aequitas .

Riya Mehta : I am Riya from Aequitas Investment. So my first question is in terms of the industry. So how has the glass demand being this quarter? And could you specify in terms of specific flag, solar and how was the industry dynamics?

R.S. Jalan: See, at this point of time, the Indian demand for glass, I would say, is not a very significant growth is happening and including the solar glass also because a lot of import is coming from China because of this the import exemption -- import duty exemption. But now from 1st of October, this duty is getting reinforced. So that will help with investing.

And similarly, there are many, many large players are coming into the solar glass. As you know, that green hydrogen is one of the big ticket kind of investment which is happening in India, and that will require

the solar glass. So a lot of new investments are coming into this. So hopefully, you will find a significant amount of growth into the solar glass next year. But this year, we are not seeing that big demand from the solar. Similarly, for the glass side also, things are improving now. But in this year, in the first quarter, the demand growth of Indian soda ash is around 2% to 3% only.

Riya Mehta : And in terms of imports, sorry, if I missed out, what was the reduction in imports that happened this quarter?

R.S. Jalan: We have said, I think, around 16% compared to the Q4 of last year.

Riya Mehta : So now how much tons of imports are happening? And do you see the oversupply situation still there?

R.S. Jalan: Very difficult, Riya, at this point of the time to predict because there are a lot of things, global dependency there. As I said, 3 things which are important. One, on one side, how the China works out to be; second, the supply chain disturbance, which is happening. And the third, how the global demands are getting shaped up, like I said, Europe and U.S. and South America also on the path of recovery. If that recovery happens then this situation will drastically change. But at this point of time, if you talk to me today, the way we look at that the surge in the import is not likely to happen at least for next 2, 3 months. To that extent, I can tell you.

Riya Mehta : And in terms of total amount, could you help me what would be the total quantity imported by India?

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R.S. Jalan: Import, you're talking about?

Riya Mehta : Yes.

R.S. Jalan: I give you the number. Largely, the numbers are around 16% drop into the import. And in the similar range of the imports would likely to happen.

Riya Mehta : Okay. And in terms of realization, have you seen any realization growth this quarter on a Q-o-Q basis?

R.S. Jalan: Not really. Of course, there are some positive indications are there. But because of -- I would say that this quarter, it's almost as compared to the last quarter, it's almost flattish.

Riya Mehta : Q1 is similar to Q4?

R.S. Jalan: Yes.

Riya Mehta : And going forward, also you anticipate more or less this aims to consolidate at these levels?

R.S. Jalan: I think I said it's a very global dynamic situation. It's very difficult to kind of predict. Like I said, we believe that it's more like a bottom out situation.

Riya Mehta : And there will be Europe and U.S., you mentioned that the demand has slowed. So what kind of growth percentage are we seeing there?

R.S. Jalan: See, right now, the demand are on a negative zone. But now how the things shape up and when it shape -up, it has to be watched out. See actually Riya, I would like to focus more on only one thing. Our focus is on the three things. One is, how do I become more cost competitive? How do I -- my efficiencies, our productivity, our cost measures are there.

In spite of such a difficult market situation, we've seen our results in the first quarter. I was -- one -- because other things are all depends on which are not -- we don't have much of the control.

The second is, how do we grow from here? And that's why I said, we -- our capital allocation is

more focused towards on how do we grow from here? And that said a lot of projects we have in our hands.

We have a vacuum salt which is coming next year, then we have a bromine coming next year, then we have -- now it is the salt field, which we have got an allotment, where we will be having a significant cost advantage then other areas of the cost optimization, greenfield project. So these are the areas where our focuses are, and predicting how the things will happen into the global state will be very difficult at this point of time because you know that dynamics are changing every day...

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Riya Mehta : And what kind of revenue potential do

you see to vacuum salt project?

R.S. Jalan: Sorry, Riya?

Riya Mehta : On the vacuum salt project, what kind of revenue potential do we anticipate in FY'26?

R.S. Jalan: FY'26, that will happen in the, I think, second quarter of next year. And after that, gradually that will happen, and we are roughly around -- approximately now INR100 crores kind of -- on the peak level, we will have INR100 crores kind of a top line on that.

Riya Mehta : And bromine will also come Q2 FY'26.

R.S. Jalan: Sorry.

Riya Mehta : Bromine will also come Q2 FY'25 -- sorry '26?

R.S. Jalan: What -- your voice is not very clear, Riya. I'm sorry...

Riya Mehta : Bromine. The bromine will also come at a similar time that Q2 FY'26?

R.S. Jalan: I think that will come into Q3 of next year.

Moderator: Our next question is from the line of Rohit from Sunidhi Securities.

Rohit : Just missed out on this margin side from Q3, Q4 was better and Q1 was better than Q4 also. So now we are around 26% kind of EBITDA margin. So going forward for the rest of this quarter, can we expect 25% to 28% to sustain? Or is it still -- because last 2 quarters were somehow impacted by some shutdowns and issues. So I hope no shutdowns are expected for rest of the quarter. So this kind of -- 26% plus kind of margin would be sustainable?

R.S. Jalan: So Rohit, I think it's very difficult at this point of a time to predict what will be likely to happen because of so much of dynamic changes in the global scale. When this supply chain -- how the situation of supply chain will continue, whether it will continue, not continue, we don't know right now, okay? But I would say that at least we believe that the prices are kind of a bottom out. This is what our belief is. But again, very difficult at this point of a time. Costs are almost like kind of a flattish situation. In the way you can say that situation should not -- should be better than this kind of situation.

Rohit : So in terms of volume, we are pretty much sustaining and realization, we don't see any further correction. So ideally, I think margins should sustain as coal prices are also not that much on the higher side. So if sort of margin should sustain that is what, broadly, I was expecting.

R.S. Jalan: I think that we have already concluded it.

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Rohit : And next thing, just on the volume side, I mean, for FY'25, you have guided for the a 5% to 6% kind of volume growth. So for '26 since no addition in capacities there, so in '26 also we would be low single-digit kind of number? Or can expect around 8% to 10% kind of volume growth.

R.S. Jalan: Rohit, I've already said that a couple of things will happen. So it's very difficult to talk about the number. Sodium bicarbonate growth will happen next year. You will see that bromine will be coming into the line. You will see that the vacuum salt will be coming into line. And those things will happen, okay? And how much this percentage will be that has to be kind of seen.

Rohit : But in soda ash, especially on soda ash, I mean volume of soda ash should be a bit higher from FY'25 or it will remain in that kind of range only?

R.S. Jalan: My understanding it should be the same flattish kind of a situation. I don't think it is -- because we are almost full capacity utilization. Like I said '24-'25 -- it will be there as I told you in the '24, '25 growth will be there, which I have already said to you. In terms of '25-'26, I think the growth will be coming from sodium bicarbonate. The growth will be coming from vacuum salt, growth will be coming from higher bromine.

Moderator: Our next question is from the line of Vignesh Iyer from Sequent Investment.

Vignesh Iyer : Regarding the salt projects. So I remember back, if I'm not wrong, quarter 2 FY'23 or quarter 3 FY'23, you have guided of around INR100 crores that will be spending on salt project. So I mean, now

we have a very large line partner. So what has changed from then to now when it comes to this specific project and what would be the total spend that we will be doing for this project?

R.S. Jalan: Two things, Vignesh. One, this is -- the project which you're talking about INR100 crores that is on the existing salt field we were, and we are getting the advantage of that. The cost -- competitive advantage is coming because of that. Last year also so we got some advantage and this year also we'll be getting that advantage.

The productivity enhancement on those projects on the existing salt field. So that was the one. So that's a different. And that is we are going as per the -- it is completely as per the schedule and we are getting the benefit also. This project is in addition to that, we have got this land, which, as I said in my earlier answer, that we will require 2 to 3 years of time to kind of double up this.

And once that happens, today, we are buying a lot of salt and the new greenfield projects also we did not have a kind of a captive facilities to supplement that project from the salt requirement. So this land will help us to kind of mitigate those 2 things and make us more cost competitive.

In addition to that, on this project, on this land, we will have a significant amount of growth opportunity on our bromine project. In terms of the cost and in terms of -- it will require some

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time limit to kind of work out how much cost, because like I said, yesterday only, we got the final approval on that. Now the team will be working on that, and we will be implementing it.

Vignesh Iyer : So what is our captive percentage as of -- for salt? As of now, it is around 40%, 45% for our existing projects?

R.S. Jalan: Yes. In a way, I would say that approximately based on the current number, it should be something around 35%, roughly -- 35% to around 37%, broadly which we have a plan to increase to around 40%, 45%, like I said, on the expansion or the productivity improvement that is under way. And -- but this -- once this happens, this project happens, probably we will have a very significant amount of -- again, this will be very difficult at this point to time to what percentage. But yes, definitely, there is a significant amount of capacity will increase.

Vignesh Iyer : Sir, to your earlier comment to one of the analysts asking, you said around INR100 crores of top line probably is expected starting from Q2 of FY'26. So this is like external things, understand to what some amount that would come to captive, right?

R.S. Jalan: This project is completely different, because that's what we were talking about your vacuum salt or the bromine or this captive expansion or the productivity enhancement which is salt field.

These are completely different projects and this project is a completely different again. So definitely, this project, which is, yesterday, we have announced will add to our cost competitiveness and also to our bromine footprint, and that will have a significant amount of value creation. So that's a specific chemical we will be moving to of.

Vignesh Iyer : So basically, there is an exclusively towards vacuum salt and bromine. And I mean, not related to the current structure, right?

R.S. Jalan: Yes.

Moderator: Our next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor : Congratulations , sir, firstly on a very improved set of numbers, steady set of numbers, and we are back on the track and hope for the continuity. Sir, firstly, on this salt allotment that -- which we have got, sir, this will attribute as explained by you, firstly, to our bromine project. and also will be our backward integration for the greenfield for which the final load is pending. Is that understanding correct?

R.S. Jalan: Yes, Saketji , I would say that this new salt field, which we have got will also

to a great extent

will support to the existing soda ash plant as well. It will support the existing plant as well as it will support the greenfield project. And it should also -- we will have a kind of a bromine opportunity there.

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Saket Kapoor : And sir, how much and for what percentage integration will it add up to? Or what is our plan cropped out with this land being allotted? What are we eyeing in terms of the salt, the raw materials have been integrated with the 2 facilities?

R.S. Jalan: That is a little bit too early to speak about that. Like I just said that the land has been allotted only after a long time. So we are working on this, and it will all depend on, first, we have to see that how the development takes place. And it is -- like I said, two, three years of time. So it is too early to speak about the percentage and the capital cost and all this little too early.

But yes, like I said, it had a significant amount of cost competitive advantage for us and it will have a significant amount of growth opportunity on its bromine, which is kind of a --. Our journey towards a specific chemical we are moving towards. But we have started this bromine project and the existing location. And now that we are increasing our footprint into that line. And gradually, we will build that portfolio for our bromine footprint.

Saket Kapoor : Sir, just to drag more, two points. Firstly, sir, is this the precursor to the green -- the nod, which we are -- which is pending from the environment ministry. It's the first allotment and now we will be expecting the nod going ahead and secondly, the bromine portfolio, which you have articulated earlier, had a very small proportion. So with this land allotment for salt, are we concentrating a bigger price in the bromine project?

R.S. Jalan: That's what I said, Saket, I said that this bromine project on this new location will definitely have a significant amount of footprint it is the bromine portfolio. Scale will be much larger than what currently we are talking about.

And the second one is that environmental clearances in terms of the bromine project yes, environmental clearances will require, not for the salt production, but -- as per my understanding, but bromine project, definitely the environment clearances both the locations are required. And hopefully, we will get, because that is a chemical, which you are expecting out of the sea water and that helps to kind of grow your footprint into the green initiated sort of this bromines are required in many chemicals. That is required. So I think -- I don't think any major terms would be there in getting the environmental clearance.

Saket Kapoor : No, sir, my question was the environmental clearance for the greenfield soda ash project that is pending till now, is it the precursor move now with salt brand allotment, the next step would be the final go for the soda ash plant 5 million -- sorry, 0.5 million tons, which we are emphasizing as of today?

R.S. Jalan: Saket, you are right. The environment clearance on the green soda ash project still had not been the same, but we are very close, I would say that, we are very close to get it. And this project, like we are talking about the salt field is a completely different project, and this has nothing to

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do with that project. It's a completely different location. And different salt means -- everything will be different -- separate.

Saket Kapoor : Sorry to hop upon it, but the release mentioned that it is contemplating with the greenfield project, that was my reason why I have been asking, the release...

R.S. Jalan: No, release strategy is talking about this will help in augmenting that salt requirement of the greenfield project. Hypothetically, you are saying that the support we don't get the approval. This salt will be there.

That salt will be -- can be used for somewhere else.

Saket Kapoor : God forbid, sir, that happen, but it is -- I got your point. And sir, lastly, about the -- you mentioned that, volumes have remained in similar from what Q4 and Q1 is. So our utilization is also in the higher 90% level? Or are we less than the 90%?

R.S. Jalan: And the prices are 90 -plus.

Saket Kapoor : Utilization levels of 90% plus?

R.S. Jalan: Yes.

Saket Kapoor : So the bottom line has increased only because of the imports that has gone down? Because I think last quarter, we also did export some of the material at lower prices and before which we have also incurred some shipping costs, if I'm -- correct me there. So I was just trying to understand what has led to this improvement in margins? And are these factors sustainable?

R.S. Jalan: Saket, two things. One, as I said, this margin expense is primarily because of our various initiatives on the cost measures, right? The volume growth as compared to the Q4 of last year versus this year, it is not very significant investment. Even our realization person is also on almost flat kind of a situation, okay? So this -- all this has happened because of our various initiatives on the cost.

Saket Kapoor : And these are sustainable. These initiatives are the -- only cater momentum going ahead?

R.S. Jalan: Initiatives are sustainable.

Saket Kapoor : And last point is...

R.S. Jalan: In this quarter, I want to clarify Rakeshji -- sorry, Saketji, I want to clarify this July to September is a rainy season, okay, historically, the chemical out of soda ash plant. This quarter, because of the rainy season, always the utilization is down, your raw material consumption is also on the side. That is historical trend, and that may get some kind of an impact on our the norm. But whatever the initiatives we have taken, that initiative will have a perpetual advantage to us.

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Saket Kapoor : And sir, you have been speaking about sodium bicarbonate investment, and now we will be accruing the benefit of it. So one can state this understanding that sodium bicarbonate, where the raw material is soda has. So we can only see our margins expanding with higher contribution from sodium bicarb. This understanding is correct?

R.S. Jalan: 100%, you're right on this.

Saket Kapoor : Okay, sir. And last point, one more point was about the -- I spoke about the other expenses part to that INR15 crore s reduction is also sustainable because I think it was one -off item only for the March quarter?

R.S. Jalan: Of this -- Saketji these other costs are depending upon on various previous things. At this point of time, it is very difficult to kind of comment on this. But I can only assure you and all the investors, our big focus are there on the cost control.

Moderator: Our next question is from the line of Riya Mehta from Aequitas.

Riya Mehta : My question have been answered.

Moderator: Our next question is from the line of Shubh from Ratna Capital.

Shubh : So I have broadly two sets of questions. First is on the capex . So number one, for the greenfield capacity expansion the -- it's a huge number, INR3,500 crores, INR4,000 crores. When will this expenses or capex come? And number two, how will this be financed?

R.S. Jalan: I think, Shubh, two things we have said in the past also. We have a very strong balance sheet. Right now, we have almost around INR1,000 crores of cash sitting on the balance sheet. We are a completely debt -free company. And you know that our cash generations or the bottom line generation every year how the number is. We personally believe that keeping that discipline of 1:1 debt, equity ratio will have a large resources to kind of decline into the growth gap.

Shubh : Okay, sir. And when do you plan to spend this money?

R.S. Jalan: Sorry when do you plan? So see depending on like I say p

progress on the project. All this progress

which is happening like greenfield project just now we spoke about the environmental clearances and similarly, like I said, in this new salt field, which we have got allotted, we have to plan it.

And so that will also require kind of a time frame and things like that. But whenever -- the other two capital projects like the vacuum salt and -- this is underway, we have already spent some amount of that and a significant amount will get spent during this year. And similarly, the next year also, the balance amount will get spent on that.

Shubh : And second is, sir, again, on the margins front. As I understand, you mentioned the margin improvement is primarily because of some of the cost initiatives we have taken. And it's still

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closer or slightly lower than your long -term average EBITDA margins. So that should imply that these margins are sustainable. Is my understanding correct?

R.S. Jalan: Shubh I think to clarify this, so far as our initiative on the cost competitiveness, the journey continues. We have done some good amount of progress in last year as well as in the first quarter itself and we'll continue this journey. So that benefit will be there. How do market shape up, how the global situation happens? This all will depend on ultimately that will add on to your overall margin.

But like I said in the earlier comments also, the way though in spite of that, the global market is very volatile. But the way we look at this point of a time, if everything remains the same as it is today, I think this kind of a bottom line or this kind of a margin or this kind of what you call pricing stability so this should be visible.

Moderator: Next question is from the line of Ankur from Axis Capital.

Ankur : First question on the cost -cutting initiatives, which you alluded to in the earlier remarks. So is large part of these cost -cutting benefits already there in Q1? Or there are more that you are working on going ahead?

R.S. Jalan: So Ankur this is one thing which will continue. The journey will continue. There are many opportunities which is coming in, in our line. As a culture, we challenge our all cost every day basis. And like I said, last quarter also, we got some advances. Still the journey is on, on various cost initiatives, and this journey will continue. And I personally believe that this is a kind of an endless journey. That is the reason, we are a market leader in this business. And this journey will continue.

Ankur : Sure, sir. And just a clarification, I think you did mention earlier, the percentage of captive salt that we are using currently. I missed that number. If you can repeat that one, please?

R.S. Jalan: I think I said around 35% is the number at this point of time. We are working towards making to around 40%, 42% from this number because of our initiatives on your new -- sorry, the old productivity improvement into our salt field and subsequently, when we get this land doubled

up -- the land, which has been allotted, this number should be significantly increased. How that number, how much percentage will be there at this point of time, it will be difficult.

Ankur : Second bit on the cost curve and the capacity shutdowns or maybe some scale down in production on the soda ash side globally. Any thoughts there at the current realizations? How should one look at it? You did mention that pricing has largely bottomed out. Where does this confidence comes from? Is the cost curve taking in? Or any insight there would be helpful?

R.S. Jalan: Two things, Ankur. A very valid question. Two things, on these cost or -- on these margins, a lot of expansion will not happen. Because as you rightly said, the margins are at this point of a

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time, based on the capital costs, which we are going to incur for the new expansion

will definitely

have a kind of a rethink on the decision.

Second, it is very important. And this is again our understanding. The way we look at the China, because they're global players and they were kind of disturbing the market, which we are seeing, this is getting in spite of more than 6 million tons of the new capacity coming in, they are not disturbing the market. Because on these prices, they would also like to kind of have a reasonable return on their capital. And therefore, they are balancing. The third again, and this is again our thoughts. The way the -- what you call -- there's a new -- all the technology in China, which is called Hou process.

Gradually, whatever we are understanding from the experts is that, that segment it's primarily a little bit kind of -- having a lesser margin than the Solvay process. Probably -- and the fourth, which is again very important. In China, there are a lot of capacities, which are very old. And probably, the talk is there that how do we kind of make those irrelevant for the -- in the supply chain. So these are the few initiatives which is happening should help to kind of continue. And that is the way I consider kind of our confidence. But short term turn, as you rightly said Ankur, short-term that's kind of more dumping can happen in any part of the world. But in the medium - to long-term, I don't see such kind of situation happening.

Ankur : Sir, just one data point there. The Inner Mongolia capacity from China, where -- what is the number right now? And any time lines if the next phase when they are getting it commissioned?

R.S. Jalan: Right now, whatever we are hearing you know that it's not too much of data that are available from that plant, but whatever we are hearing at this point of a time, around 6 million -- approximately around 5 million to 6 million is already online. And I think next 2, 3 years -- after 2, 3 years, they will be coming first, another, I think 5...

Ankur : 2.5 million.

R.S. Jalan: 2.5 million.

Ankur : So 5 million to 6 million already operational and another 2.5 million maybe in the next 2 to 3 years?

R.S. Jalan: We are hearing. So like I said, it's very hard to kind of validate those numbers.

Ankur : And just last question. For us specifically, what sort of capex are we looking up over the next, let's say, '25, '26, '27 over the next 3 years? That would be helpful.

R.S. Jalan: Ankur, like I said, a couple of things will depend on how the new greenfield projects gets shaped up. And of course, there are three things which are very -- which are under already under implementation. And in the greenfield project also, the large portion of the capital allocation will

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be more towards the end of the period. So if I can tell you, broadly my understanding is that in next 5 to 6 years, the way we are looking at is your 1 million ton. So probably INR7,000 crores to INR8,000 crores kind of a number should be visible on the overall 6 years' time. And how this will shape up in year wise is bit difficult to think about.

Ankur : And INR8,000 crores will include the INR3,500 crores, INR4,000 crores capex for the greenfield, which will be back ended as you suggested?

R.S. Jalan: It will be complete like 1 million ton of the plant in, what you call, in the new location. And plus along with that what I said, the bromine and greenfield, new salt field, which we have been allotted. I'm talking about everything put together kind of...

Moderator: Next question is from the line of Nirav from Anvil Research.

Nirav : I have one question. So basically, when we speak that we have achieved some sort of cost benefits in Q1 and some more to follow. Was it more towards the improvement in the yields for our soda ash production like predominantly for the limestone and the salt what we consume for soda ash? Or was it more because of the mix of power w

hich we have used this quarter and one of the statements what you have mentioned in our investor presentation is that we have innovated to briquette coal instead of the pet -coke, which we were earlier using on and some mix of renewable power also coming into our kitty. So if you can just help us understand this and how much of the cost benefit is still left to be accrued based on the kind of i nitatives we have taken? R.S. Jalan: Two things. Let me clarify this, and I have been saying this. It is very difficult to kind of aggregate the segment -wise, segment -wise benefits. There are many uses and everything is interlinked with each other. Now li ke I said, one is like salt yield improvement. That's the cost competitive advantage.

Talk about power consumption, production of soda ash is in consumption or production of soda ash or the usage of the production of raw materials like your salt, limestone . Mix of the -- as you are right, it's a mix of the energy is required. Now again, like you said, how do we convert our waste, like you said, anthracite, briquette, which we are -- earlier not been -- briquette we were making for long years. But all these challenging -- innovation cost challenge, all these mix are leading you towards the kind of cost advantage. We cannot segregate these few things, all these things.

The second, like I said in the earlier answer, this is a journey, this journey continues. We continue to challenge our costs. We continue to focus on every cost which we are incurring, be it the fixed cost, be it a variable cost and we continue to do that, and that will definitely bring sometimes a little lesser advantage, sometimes more advantag e. Sometimes we get a break like you said, anthracite, we got a breakthrough advantage. We go that advantage. But this definitely will

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continue. And that will lead us to categorize more cost competitive or more margin leader into this industry going forward also.

Nirav : And just a small clarification, sir. Based on our current capacity of soda ash, our requirement of power will be close to 45, 50 -megawatt?

Management : Yes, current is around 41 megawatts. For the new, it will be around...

R.S. Jalan: Current ly it's around 41 kind of megawatt.

Nirav : An entire lease to the captive source?

R.S. Jalan: Yes, everything is captive.

Moderator: Our next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh : Sir, if you're looking at global capacities now on U.S. capacity utilization is in that 82% range, and that seems to be a challenge. And if you look at the plans announced by CCM, they are talking about in another 4 million tons in the next three, four yea rs. So you're talking about 85%. So in terms of growth and demand, which is only where you can see capacity utilization go up to levels where margins can improve. What is the kind of realistic percentage growth you can expect, say, in the next 3 years? And what is the kind of capacity utilization you will see for the industry globally in the next 3 years?

R.S. Jalan: So Mr. Ramesh, you very rightly said, in terms of the overall, you look at the new capacity, which we have said in the past also, the new capa cities are getting announced into the U.S. But look at the demand which grows as this -- in the kind of a pessimistic situation also, there are 2 million to 2.5 million tons of the demand every year growth is happening, number one.

Number two, solar invest ment and I'm talking more on the domestic side and even on the global side also. The way the green energy initiatives are happening globally and more particularly in India. So this will lead to kind of my believe this growth of the 2 million to 2.5 million should also expand it. The same way, lithium carbonate, batteries also, the way we look at that also will grow. So even in the 5 million to 7 million getting added and this

lesser utilization, we personally believe this will balance out.

China, which is a very significant part of the mobile global demand supply situation, they are in a range bound of -- but they are not disturbing the global market on the front.

Last but not the least, which is again very, very important, reliability and the cost -- loss o f the cost of supply chain. India, one of the biggest challenge at this point of time Mr. Rameshji, we are not fully -- we don't have a full capacity to kind of meet the demand of the Indian consumers.

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And the way the Indian demands are likely to grow up b ecause of green hydrogen. So this kind of growth will be required into the Indian space as well. And that's the reason we are going on our plan of this 1.1 million tons.

S. Ramesh : So in terms of the Indian realization and margins, do you see any strength coming back, say, by

the second half of this year, assuming that you've not taken any pricing in the last few months, and what is the outlook you see for the Indian demand supply, say, for FY'26? And can you see some improvement in the overall realization in margins next year?

R.S. Jalan: Mr. Ramesh, if you talk about the demand growth, I am very positive on that. And I talked about next year, I said in my earlier answer also because of a lot of new work is coming on, in solar investments and the kind of inquiry we are getting from the solar glass investment. So we are confident that the next year, things will be in terms of -- and at least, we can talk about 5% to 6% demand recovery or maybe more than that recovery will happen next year.

In terms of the pricing, Mr. Ramesh, like I said, it all depends on how the global situation happens and how the new capacity coming in, very difficult to tell. But like I said in my earlier answer again is that we, as for our understanding, these are the prices which are bottom out prices, things would be looking at from here better. How much better, we don't know.

S. Ramesh : Just one last thought, if I squeeze in. Just talk about the auto sector seeing some slowdown. So do you think that will kind of be an overhang for the growth in demand from the auto glass segment?

R.S. Jalan: Mr. Ramesh, I personally believe no, because somewhere, the demand slowdown is there, somewhere the demand growth is there. So these kind of things such as change will happen. But overall, you see it in the real estate. Real estate, the demand goes up and India is good. These kind of a segmental ups and downs will happen. But medium to long-term, I don't see any concern on this.

Moderator: Our next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor : I got cut out. Sir, if we take firstly, the demand destruction that is -- the permanent demand destruction that has happened in the European geography. And I think so there -- then the gap of 1 million tons where it was alluded to has been there, that is the spare capacity, and that is where Turkey and other geographies, which have expanded are pushing their material into the Asian country. So what is the scenario likelihood from Europe demand fall out? And how will this get invested and balance get utilized going ahead? What's the thought process?

R.S. Jalan: See Saketji, as I've been saying that, again, this all depends on how the -- and very difficult to kind of predict, okay? However, currently, at this point of time, I would say that as you rightly said. But currently, the natural market is in Europe. Two things likely to happen as for my understanding, again, is all subject to kind of how the things shape up, I don't know.

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One in Europe, demand should gradually improve. Second, it does not improve the pressure on the European manufacturers to kind of a scale down, like you know that in the recent past, Solvay has announced

one closure in Europe. So those kinds of scenarios should come, because they are highly cost -- costly operations there. So these kind of restructuring could happen. And again, it is my understanding how much is going to happen, we don't know.

Saket Kapoor : Thank you for all the elaborate answers. We hope for the green now coming soon and be embarking on the new journey, the extended journey of higher capacities, which we have been articulating or in the drawing board for a very long time. And I wish the best the team going ahead. A lot of hard work has gone into the efficiency building partners, which you have stressed upon in this call also, and we can get an understanding that these are the measures that will be there for our margins to remain in this level even if there is a volatility in the soda ash market. I hope my understanding is correct, sir.

R.S. Jalan: Saketji, thank you very much. Let me kind of to sum up the whole thing. Sum up -- basically in terms of the demand supplier, the industry timings will keep on changing. In the long run, we believe that this is the one business will continue to drive the performance depending upon how you manage your business. And we have been a track record of highly efficiently managing our business, and we will continue to do this journey.

Now our journey is more towards the growth. Now as you rightly said, we are -- we had built up over a period of time, our strong foundation in all the fronts, which we have been able to build and now our journey of capital allocation towards the growth is happening.

A lot of new excitements are there, bromine, vacuum salt, new greenfield projects -- expanding the new greenfield project to the second level, new salt field, bromine expansions, lot of things are under consideration. And these things will definitely add to kind of a value for our stakeholders. And we are trying our best. And we will always remain competitive and we will always try to challenge our costs, challenge our performance day in, day out to remain leader in this business.

Saket Kapoor : Thank you for summing up the thing and guiding us, giving us an idea of how the trajectory for our company looks going ahead and all the best, sir. Namaskar and thank you, sir.

R.S. Jalan: Thank you.

Moderator: On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

November 5, 2024 ■■■■■■■■ – ■■■■■■■■ ■■■■■■■■, ■■■■■■■■
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National Stock Exchange of India Limited
"Exchange Plaza"
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051 NSE Code: GHCL
BSE Limited
Corporate Relationship Department,
1
st Floor, New Trading Ring, Rotunda Building, P.J
Towers, Dalal Street, Fort, Mumbai – 400 001 BSE Code: 500171

Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on October 30, 2024

In continuation to our earlier communication on date October 9, 2024 and October 29, 2024 regarding Investors' conference on October 30, 2024 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on October 30, 2024 for your reference and record. Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

Bhuvneshwar Mishra
Vice President - Sustainability & Company Secretary
(Membership No.: FCS 5330)

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"GHCL Limited
Q2 FY '25 Results Conference Call "
October 30, 2024

MANAGEMENT : MR. R.S. JALAN – MANAGING DIRECTOR – GHCL
TEXTILES LIMITED
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER
AND EXECUTIVE DIRECTOR, FINANCE – GHCL
LIMITED
MR. MANU JAIN – GENERAL MANAGER, INVESTOR
RELATIONS AND FINANCE – GHCL LIMITED

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Results Conference Call of GHCL Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Vora from Emkay Global Financial Services. Thank you, and over to you, sir.

Meet Vora: Thank you. Good afternoon, everyone. Thank you for joining us on GHCL's Q2 FY '25 Results Conference Call. I would like to welcome the management and thank them for giving us this opportunity to host them. We have with us today Mr. R.S. Jalan, Managing Director; and Mr. Raman Chopra, CFO and Executive Director of Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward-looking, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I shall now hand over the call to the management for their opening remarks. Thank you. Over to you, sir.

R.S. Jalan: Thank you, Meet. Thank you very much. Welcome to GHCL's Earnings Conference Call for the Second Quarter of FY 2025. Our results and presentations are available on the stock exchange. I'm joined today by Raman, Executive Director and CFO; and Manu Jain from the Finance and Investors Relations.

In the near term, we expect the current operating environment to persist with pricing likely to remain range bound due to the ongoing global industry challenges. We are watchful on the current geopolitical uncertainties, which may potentially have adverse impact on the demand and pricing worldwide.

At the same time, China has recently announced economic stimulus aimed at revitalizing the real estate sector, along with US and Europe, reducing interest rate, which could revive economic activities and offer stability to the soda ash market.

In India, recent discussion with the Planning Commission and NITI Aayog have raised considerations around study of FGD, flue gas desulfurization, at existing thermal plant, and pausing new installations. If implemented, this could impact the high demand growth for sodium bicarbonate from this segment.

Looking ahead, our new project initiatives remain on track, which contributions from our vacuum salt and bromine projects expected in the next fiscal year. Beyond FY '26, we are

actively pursuing growth initiatives, including 2 phases of greenfield soda ash facility with a capacity of 5.5 lakh ton each, and the development of Zara Zumara land parcel in Kutch to benefit from salt and bromine operations.

So this dynamic market condition, our Q2 results continue to demonstrate resilience maintaining robust operational performance while planned maintenance temporarily impacted volumes, our continuous focus on efficiency helps us reduce the input costs.

We have been consistent with our performance on the back of consistent and best-in-class operations. We are confident that GHCL is well positioned for the future. And as the industry and economic activity picks up, our performance shall further improve.

Thanks for your continued support and confidence in GHCL. In this festive season, we extend our warmest wishes for the celebration filled with light, prosperity and joy. I will now invite Raman to provide further details on our financial performance.

Raman Chopra: Thank you, sir. A very warm welcome to our earnings call for the second quarter ended 30th September 2024. As you are aware, there is a constant focus on operating excellence by the

company, driving better utilization and cost controls. This is visible in the profitability of the business despite challenges faced by the chemical industry and the soda ash market dynamics. Revenue for the quarter came in at INR810 crore s compared to INR817 crore s in the corresponding quarter of last year and INR849 crore s compared to Q1 of this year. As communicated earlier, we advanced our plant maintenance activities to September from October, resulting in temporary volume loss in this quarter. This resulted in lower revenue compared to the previous quarter. However, going forward, we'll have a normal volume for H2 of this year.

Also, despite the challenging market condition and higher imports, our realization remained similar compared to Q1 of this year. EBITDA for the quarter stood at INR228 crore s compared to INR224 crore s in Q2 of last year and INR235 crore s in Q1 of current year.

On year -to-year basis, this is an increase of 2% due to lower cost. While on Q -on-Q basis, this is a drop around 3% due to maintenance activities. As a result, EBITDA margin for the quarter increased to 28.2% compared to 27.5% in Q2 of FY '24 and 27.7% in Q1 of FY '25.

PAT from the continuing operations stood at INR155 crore s compared to INR143 crore s in Q2 of last year and INR151 crore s in Q1 of FY '25. For the half year, we generated INR389 crore s in cash profit after tax. We spent around INR172 crore s on capex on growth, INR42 crore s on the repayment of loan, while working capital was released by INR82 crore s.

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Also INR114 crore s has been paid to the shareholders as dividends. We are a debt -free company.

And our gross debt was around INR156 crore s, whereas we had net cash surplus of around INR861 crore s at the end of the quarter.

With this, I conclude my comments and wish everyone a very prosperous festive season. I would now request the moderator to open the forum for questions and answers. Thank you.

Moderator: The first question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Sir, my first question is on to the soda ash. Sir, any idea on to the cycle in terms of the per ton spread? So where we are standing today, are we at the mid -cycle or at the bottom cycle? And what are the triggers like which can help us with spreads to move upwards? And while we are on a journey on improving the spreads, how can the Chinese consumption weakness into the soda ash market, can that impact the Indian market also? Sir, your thoughts on the same?

R.S. Jalan: Yes, Aditya, at this point of a time, it is very difficult. As you know that the geopolitical situations are so uncertain. Things are changing very differently. But as in the past, if I go on the base of the past experience what we have, I think broadly, I would say that we are on the bottom of the cycle based on the data, based on the past experience.

And any volatility into the global market, yes, definitely, that will have an impact on the company. But the company's focus has always been to be the best in class, to operate the best efficiency and focus on the cost and the best performance even to the customer serviceability also. So we continue with that. And you've seen that in this difficult market of entire chemical, we have been performing consistently on its best -in-class kind of situation.

Aditya Khetan: Sir, my second question is also the bromine part that is on to the newer businesses. Sir, what would be our existing salt capacity into our existing salt parcels which we are having? And the new land parcel which we have acquired, how much sold capacity we will be expanding over there?

R.S. Jalan: Yes, Aditya, currently, we have almost around 0.8 million * ton kind of capacity. And once we go with a new land which has been acquired, it can go almost around 3 million put together. That means extra

2 million tons can be produced out of the new land parcel which we have got.

(* kindly read as 0.8 million instead of 800,000 million)

Along with that, on the current location on the salt field, we have approximately around 2,800 tons of the bromine project, which is under implementation. And likely, our understanding is 10,000 to 12,000 will be the bromine new capacity, which will get added into the new location.

Aditya Khetan: Got it. Sir, you mentioned the existing salt land parcel, we are having is 8 lakh tons of capacity of salt, right?

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R.S. Jalan: Yes, 8 lakhs to 10 lakhs in a way.

Aditya Khetan: And sir, with this expansion of 20 lakh tons, are we confident so we could be completely using that salt for captive because we are increasing by almost around -- into the soda ash also? So that completely will be used captive or we would be selling outside also?

R.S. Jalan: No, no we will be using completely for captive because in the current location itself, we require another, I would say, 1 million in a way, 1 million extra demand consumption is required in the existing location.

Plus, the new location also, even if Phase 1 itself will require 1 million ton of the salt. So put together both 2 million extra production will be required. When we go for a 1.1 million ton in the new location, then probably, the additional 0.5 million ton of the production of soda ash, we will have to source the salt from outside.

Aditya Khetan: Got it. Sir, any idea from the -- so from these newer businesses, how much additional EBITDA

we can contribute from this bromine business?

R.S. Jalan: See, at this point of time, it will be difficult to give you the numbers overall. But as you have seen, that the bromine business has a competition. See, our target is, Aditya, is basically to look at how do we become a kind of a significant player in the bromine business and bromine derivative business, right? And for that, after this -- both the plants being put together, we will be having around 15,000 tons kind of production.

So probably, I think we will be fourth or fifth largest bromine producers into the country. And we are not going to stop only at the bromine. We are very actively working on bromine derivatives. Of course, the plans are still under discussions. So I will not be able to give you a clarity of which segment of the bromine we are going, but a lot of strategies are going on. And based on that, we will be going for a bromine derivative projects.

Aditya Khetan: Got it. Sir, just 1 last question. Sir, this new salt land parcels which we have acquired, when are we planning to start the commercial production of bromine?

R.S. Jalan: See, broadly, it will take around 3 years of time from now.

Aditya Khetan: And sir, what would be the maximum potential or the maximum capacity we can expand into that location, considering that 6,500 hectares which we have got, what would be the peak capacity wherein we can expand without any, you can say, significant capex?

R.S. Jalan: I think the capacity which I've mentioned to you is approximately around 2 million tons of the salt and bromine is around 10,000 to 12,000 tons. That's the peak capacity I've told you.

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Aditya Khetan: Okay. So we are expanding, sir. So if suppose in future also, if we want to expand on to that. So how much part of that reserve would be utilized for this, that 6,500 hectares which we have acquired?

R.S. Jalan: Like I said, this 6,500 of the entire hectares, so this is 16,000 acres of land, will be completely developed and completely fully utilized for the purpose of bromine as well as the salt.

Aditya Khetan: Okay. So fully, we can -- okay. So peak capacity would be -- so 16,000 tons only from that. Okay.

R.S. Jalan: Correct.

Moderator: The next question is from the line of Jain

am Ghelani from Svan Investments.

Jainam Ghelani: So sir, would you be able to quantify the amount of volume loss due to our shutdown in this quarter?

R.S. Jalan: I think we have already communicated while around 14,000 tons, but I think broadly, we have lost around 7,000 to 8,000 tons of the volume.

Jainam Ghelani: Sir, what was our blended EBITDA per ton for this quarter? And what could be the sustainable levels going forward, please?

R.S. Jalan: I think, if you look at the sustainable level is the number which I said in my opening remarks also, so it's in the same range. And see, again, it all depends on the market dynamics and our focus will always be the best-in-class and our always focus will be more on how to optimize the cost, which we have been demonstrating for the consistent period of long period. We'll continue to do that.

Jainam Ghelani: And sir, with the continuing capex going on around the world in soda ash, are we seeing any delay in capex anywhere or most of them are on track globally?

R.S. Jalan: See, so far as the China capacity is already coming, okay? Now the US capacity definitely, the new capacity of 5 million tons, at this point of time, we don't have a clarity, but our understanding is this should get some delays.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, firstly, on the FGD issue, sir, if you could just elaborate the thing, what is the current status of the procurement of sodium bicarbonate or the existing capacity? And if you could just throw some more light where -- what does the observation from the -- is all about?

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R.S. Jalan: See, Saketji, if you look at the NITI Aayog has recently come out with a paper, which they are in the process of recommending to the government. And the current -- and this is what our understanding, the current FGD plant, which has already been installed, should be studied further and should be observed that whether the kind of a benefit which we are talking about in the flue gas treatment is are we going to really get a benefit of that into the complete environment. So because of this, there is a cost escalation into the power cost. So they are in a kind of a recommendation more to the government that we should -- for the time being, we should install

the future expansion or the future addition of the flue gas treatment, which is a new plant or the existing plant, which has not yet been installed with flue gas system.

So my understanding at this point of a time is, the current consumption will continue of the FGD, however, that new capacity may get delayed, or the new growth into FGD may get delayed after and they will be giving a kind of a clearances only after the proper study that may take some time. Till the time this grows into the sodium bicarbonate may kind of not slow down.

Saket Kapoor: And sir, this FGD phenomenon is a global story or has this been conceived only domestically for our country?

R.S. Jalan: See, FGD has been widely used into the global market. In the Europe, it is very widely used.

And therefore, we are a little surprised also that this kind of a recommendation. But yes, after the proper evaluation sort of they may also come back and then they can revise it.

Saket Kapoor: And sir, second point was about we have been harping on the solar demand feeding the incremental demand for soda ash. So we hear about a lot of solar capacities coming up in our country. And I think there some duty protection has also been some -- duty protection is also there. So what is the pillar for the incremental demand, especially for -- so from solar manufacturers, sir, for Soda Ash, if you could throw some light on the same?

R.S. Jalan: Yes, Saketji, we're very bullish, honestly, on the solar glass new consumption, as you know that a lot of new capacity are getting built

up under the, what you call, green hydrogen. And

obviously, that will require the soda ash for the solar glass. So we are very optimistic on that, and we are seeing some kind of a sign of consumption getting increased into that.

Saket Kapoor: No, sir, my point was a lot many solar lines are up for this financial year, when we look at your conversation, say 2, 3 quarters back on the last fiscal we were contemplating that a lot of new lines would be starting for this financial year. So we are H1 done for this financial year. So how much have the new lines being and how have their demand being there in the system? I wanted a color on the same, sir.

R.S. Jalan: See, as you know, Saketji, that in the past, because of the significant I would say, import coming from China, the solar glass investment which is already coming in, that capacity has not been fully utilized. However, the new lines are also getting added by all the largest groups. Hopefully, GHCL Limited

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in the last quarter, January, March, probably, you will see a significant amount of new capacity getting added into that.

Saket Kapoor: Sir, one point on the salt part of the story, wherein the new fields which have been allocated to us is totally would be for the bromine story, but sir, we have been working on the salt yield program also. I think so we did a capex of closer to INR150 crores or INR200 crores.

So those benefits are currently being reaped by us for the existing in the new fields, which we will be developing, we will be -- I mean, how will that factor -- what should we factor in, in terms of the salt deal program benefit that goes also for the new field, which is -- which we have been allocated?

R.S. Jalan: See, Saketji, if you look at the current operations, our focus on the cost optimization, one of the components is the salt yield improvement into our salt fields, okay? And we are getting some advantage out of that. And this journey will continue.

That's why if you note my earlier question where I've answered, 8 to 10. So currently from 5 to 8 we have reached, our target is to reach to 10 on the current location, okay? So that will also -- this means this benefit will further enhance from here.

The second in the new salt fields, clearly as I mentioned to you, we will be completely -- on this existing location, we'll be completely captive, what you call, captive salt availability and that will have a significant advantage of our cost structure.

Saket Kapoor: Last line, I missed that, sir. That will have a ...?

R.S. Jalan: That will have a significant advantage to our cost structure.

Saket Kapoor: Right, sir. If I may add one more point, sir, when we look at the P&L line items, especially for power fuel and water expenses, we find Q-on-Q, there is a 10% saving from INR156 crores to INR143 crores. And year-on-year, the savings is significant from INR169 crores to INR143 crores. So if you could just explain to us this first half saving of INR60 crores, what led to this? And whether this is a permanent saving or what have we factored in, in this INR60 crores savings for the first half?

R.S. Jalan: See, Saketji, there are 2 components of it. One is the efficiency improvement, that's very significant. We have a lot of focus on our energy consumption in every location, every machine, okay? A lot of work has been done. That is going to be permanent to us. And the journey of that also continues going forward as well, right? That's number one. Secondly, market dynamic of the pricing. The combination of these 2 will continue to play out in to the benefit of this.

Saket Kapoor: So this is a permanent saving, sir. This is not one-off any item that we have not booked or -- this

R.S. Jalan: Yes.

Saket Kapoor: Right, sir. And lastly, sir, for sodium bicarbonate

part of the story, there are also pharma grade application for sodium bicarbonate. So if we are seeing a dent in demand, I think so we have doubled our capacity from 60,000 to 120,000 for sodium bicarbonate very recently. Are we looking at other avenues wherein we can use our current facility to the optimum use in diversifying the product profile on account of the dent which may happen from the FGD issue?

R.S. Jalan: See, Saketji, so far as our current capacity of 120 is concerned, we don't have any concern because the current consumption pattern itself indicates that kind of a capacity utilization will happen, okay? So on that capacity, we don't have any major concerns.

Because see, 2 components. One is FGD, which has already been started consuming that itself will be sufficient to kind of take care of this capacity along with the demand -- natural demand growth into the normal sectors, right? So therefore, there's no issue on that. In the current run rate, also, it's a similar nature.

Saket Kapoor: Okay. But for future capex or future incremental capacities will be developed only when we get a clarity on FGD.

R.S. Jalan: Yes.

Saket Kapoor: Okay. And I have a question for Raman sir. Sir, for capital work in progress, sir, if you could give us for the first half, how much have we capitalized since the depreciation has gone up by 10%? And what is pending to be capitalized for this current year, we have a closing balance of INR105 crores as on 30th September?

Raman Chopra: Yes, Saketji, in fact, there are a lot of work, which is currently going on in the existing locations. There is seawater pipeline work, there is a compressor work, then there is a power backup work which is going on. So depending upon the completion, these things will be capitalized. Overall, for the full year or for the first 6 months, we have closer to spend INR172 crores on capex in terms of the cash flow, of which greenfield is around INR63 crores and INR109 crores is towards the -- for the current operation. So it depends how much when it will get completed, our target looks like for the full year as a whole, we are looking at around INR200 crores to INR250 crores kind of number.

R.S. Jalan: See, Saketji, let me add to what Raman said. One is this INR109 crores, which is in primarily on 2 components. One is the vacuum salt project, bromine project and the regular. So far your capitalization question is there, so depending on the like Raman rightly said, whatever the project has been completed, that has been capitalized. And whatever the work in process like bromine and vacuum salt projects are under the implementation that has not been capitalized.

Saket Kapoor: Sir, you mentioned what figure for the greenfield projects, sir? How much have we spent on greenfield for this first half?

R.S. Jalan: Roughly around INR60 crores.

Saket Kapoor: Okay. And sir, where has this money being spent?

R.S. Jalan: Saketji, we can talk on this off-line, okay? Because some numbers are -- okay?

Saket Kapoor: Okay, sir. But -- right, sir, when can we expect, sir, the final node? I think the last 2 quarters, we have been anticipating the same. Now the government being formed, and I think the system being in place, where are we, sir, in terms of the final green node awaiting?

R.S. Jalan: I would say, Saketji, at this point of time, we are on the last leg, it should happen any time now.

Saket Kapoor: Sir, I will join the queue for my follow-up. And best of luck to everybody. I only -- my remaining point or question was, sir, the EBITDA number have remained more or less now stable and this INR225 crores to INR230 crores bracket -- INR230 crores for the last 2, 3 quarters. So taking into account the global market perception also the Chinese stimulus and then the European market in balance, can we take into account that the systems

being in place, we can report this steady set of numbers for H2 also?

Barring any unforeseen circumstances, can we worked out with that number for H2, sir? Because H2 is generally better in terms of the offtake also and the market is, as you mentioned, also with solar demand also for the fourth quarter anticipated. So can we work out with that number or it is early to say that?

R.S. Jalan: See, 2 things, Saketji. First and foremost, I would say that you must -- you will appreciate that in this difficult market conditions, the kind of a performance that your company has been able to deliver, okay? And that is possible in spite of such a depressing market conditions of the soda ash globally. So this has been able to -- we have been able to achieve only because of our consistent persuasion on the cost optimization and remain in the best in class.

And that we will continue. That we will continue, the journey will continue. Like I said, even our focus for the future of the captive, 100% captive consumption of salt, all those things are online. The second thing which we are doing, already we are doing is expanding our growth baskets or the product basket also, bromine, bromine derivative, your salt -- means your vacuum salt, so that journey also continues.

So far your third part is concerned, like you very rightly yourself, you said it's a very volatile market. But our endeavor will always be to perform on a consistent basis as we have been performing and remain, kind of deliver the best results which is possible.

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Saket Kapoor: Correct, sir. I will not take more time, but I will join the queue for that international forum that happened, the soda ash conference, if you could have given some color on how the global players -- what is the thought process for the global community on the same? I'll join the queue, sir.

Moderator: The next question is from the line of Naitik Mody from OHM Portfolio.

Naitik Mody: Sir, could you please share the sales volume number for the last 2 quarters?

R.S. Jalan: We are not sharing those quantitative numbers, but you can see our revenue numbers, where you can see that the revenues are almost on the same level as compared to the same quarter last year.

And you can see that numbers as compared to the last quarter, which is what we call Q2 -- Q1 of '25, we are almost around 5% down.

Naitik Mody: And sir, can you give us some sense on what is the demand per megawatt of -- soda ash demand per megawatt of solar glass?

R.S. Jalan: It's broadly our understanding, as you know, it's roughly (around for 1 megawatt) is around 15,000 tons per gigawatt.

Naitik Mody: 1 gigawatt is 15,000 tons of -- it will require 15,000 tons of soda ash, correct? And what is the -- what percentage of our sales goes towards the solar glass industry?

R.S. Jalan: At this point of a time, insignificant, it's not very high. But this all -- the ways that the new capacities are getting built, so roughly you will see that significant amount of number in next 2, 3 years of time.

Naitik Mody: So here, for this particular industry, we're targeting the domestic market itself, right?

R.S. Jalan: Yes. For everything, we're targeting either the domestic market or is a natural market, which is closure by, if anything is there. But of course, in the solar, we are talking with only domestic market.

Moderator: The next question is from the line of Nirav Gandhi from Sunidhi Securities.

Nirav Gandhi: So I would like to understand that what were the realizations during this quarter? And what should be the realization going ahead for the next couple of quarters?

R.S. Jalan: See, first and foremost, Nirav, I've already said that it is very difficult at this point of time to talk about what is the likely realization in the next few quarters because the market is very volatile.

Our focus is more on how do we k

ind of optimize our cost efficiencies?

And market dynamics will play out quarter-by-quarter. But I also said that in terms of our past experience of the past data, probably we are on the bottom of the cycle. And so far as the

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realization per ton is concerned, it's almost on the same level what it has been in the past -- in the last -- means, first quarter of this year.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Yes, sir. Sir, you were mentioning about the resurfacing of the increased import from other continents. So if you could give us some color of how the numbers have been, the import numbers and which part of the world is facing surplus that is getting exported to our country.

R.S. Jalan: See, if you look at this quarter, this number has been significantly lower as compared to the same quarter last year. However, it is slightly higher than the first quarter.

Saket Kapoor: Okay. Can you quantify? I think the 1 lakh was the number which you -- 1 lakh ton was the number you mentioned last time for the quarter.

R.S. Jalan: Yes, Saketji, on the same range it is there. Like I said, some increase is there in this quarter. So exact number I don't have.

Saket Kapoor: And sir, on the ADD part of the story, where are we, sir, in midst of that is getting implemented or any color on the same?

R.S. Jalan: It is under the initial stage of, I would call it, the investigation by the Ministry . And once the results will come out, we will definitely report to the shareholders.

Saket Kapoor: Okay. Sir, but here, sir, do we see that underpricing or the pricing being lower or it is only the quantity on what promises have we laid down for a request for the same since the availability of material across the globe is higher because of dent in demand in some parts of the world. So are they selling below cost or how are they providing an injury to the domestic industry? So that was the...

R.S. Jalan: It is a very defined process, Saketji, on the antidumping duty, which has many components. One is your margin, second is your dumping and they compare that dumping with the other wherever they are selling in other geography also. There are many . It's a very scientific process. So obviously, when we are going for the duty to the government, we're going with all these points.

Saket Kapoor: Right. Sir, for the last 2 quarters, we have putting our trust on the increasing product basket, especially for bromine and today also, you mentioned about bromine derivative as having -- we would be spending on the same, so what has been our, sir, work?

Because I think so, the product profile and the management bandwidth, what are our preparatory work for entering into this domain. And what kind of capex have we envisaged for the coming 3 to 5 years, especially for being -- as you mentioned about the capacity for bromine and its derivative, so what can we anticipate in terms of the capex ?

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R.S. Jalan: Saketji, at this point of time, like I said, we have a 3 -pronged strategy on the overall, what you call, growth onto the GHCL. One is the soda ash where we have already kind of a defined the kind of a capex , which we'll be planning to invest into the -- up to 2030, which is almost 6 years from now.

So far as the bromine, bromine also kind of where we have defined at what kind of a bromine volume will get in that. And similarly for the salt production. Last is your vacuum salt that also we have defined and we have reported to the shareholders at what kind of capex will be required for the existing vacuum salt and the existing, what you call, bromine investment which we are doing, which we will be completing next year. The balance investment into the bromine on the new salt field and, what you call, bromine derivative,

the figures are yet to be under study. Once we have that number, we will share with the shareholders.

Saket Kapoor: Right, sir. And sir , lastly, since we have gone through this process where we have seen the peak and trough for soda ash prices. And as you are alluding to the same for the last 2 quarters that we have, we are at the bottom or we have already moved up from the bottom, prices will remain here because of other factors affecting the volume?

So our EBITDA per -- the percentage of 27%, 28%, which was also -- this is our historical averages also do you think that taking into account the current factor these numbers, barring any unforeseen circumstances are stable, and we can look for continuity of the same in terms of the percentage margin?

R.S. Jalan: I think, Saketji, I have said on this call also and the earlier also in my opening remarks also. But our focus is to remain best in the class to remain focused on to get the best out of the existing environments, okay? Second point I've already said that based on -- of course, we can't predict what is likely to happen because geopolitical situation is so uncertain, we can't predict what will happen. However, I have also said that if you look at the last all experience of and the data which we have seen, we believe these are the kind of on the bottom of the cycle. Anything should be better than what we are currently.

Moderator: The next question is from the line of Miten Lathia from Fractal Capital Investments.

Miten Lathia: Just want to understand the supplies for the solar glass manufacturer, will be on a spot basis or on a contract basis, both volume and price tied up?

R.S. Jalan: You see, basically, Miten, this will be depending upon the customer by customer. But generally, what happens in the current context what we are seeing globally, the long -term contracts are getting now is not established, means basically because of so much of uncertainty in everything, periodical contracts are possible, maybe 6 months, maybe 1 year, maybe 3 months kind of a situation. And being a large consumption, you can't have a completely 100% spot also. So you

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can assume that it will be on an average of around 3 to 6 months kind of a situation on an average

contracting of the volume and the price will be there.

Moderator: The next question is from the line of Meet Vora from Emkay Global.

Meet Vora: Wanted to understand what is the demand outlook for soda ash in Europe and China currently? And given that what is the export scenario for Turkey and China both?

R.S. Jalan: See, Meet, as you rightly highlighted that the demand into the Europe at this point of a time, is not improving and hope our understanding again, this is very subjective, we don't see, at least for next 2 quarters, there is likely to be a very significant improvement in the demand.

But yes, 1 positive sign is the interest rates are getting softened. So probably that will trigger the demand growth maybe next year. So far as the China is concerned, China demand still up till now was good. But I have said already in my opening remarks also that slight softness is being seen into the Chinese demand on one side in the solar side.

However, on the other side, as I mentioned, that stimulus, which has been given into the China may trigger a kind of a recovery into the real estate. Probably that can lead to the kind of again reviving the complete demand. Keeping all these into account, and like I said, based on the experience, probably the kind of situation should continue the similar kind of a situation, which is continuing at this point in time.

Meet Vora: Understood. Also, can you throw some light on the freight cost from China to India and Turkey to India in terms of land cost and seaborne cost?

R.S. Jalan: See, so far as the China and Turkey costs are concerned, these has softened.

Now it is not as

high as it was earlier. It has come to the normal level, right? Roughly from China is around \$40 to \$50 and Turkey is also in the same range, \$40 to \$50 kind of a situation.

Meet Vora: Noted. So over the period, like what I've understood the EBITDA per ton of soda ash has improved from 6% to 8% roughly over 10 years. So going forward, what will be the key triggers for improvement in this EBITDA per ton? And will it improve subsequently?

R.S. Jalan: Yes, Meet, as you rightly said, if you look at the last 15, 20 years of the data of soda ash EBITDA per ton, you will see around 8% to 9%, 8% if my memory is correct, 8% growth has been seen.

Periodical -- and this is kind of on an average basis, right, on a CAGR basis, okay? But periodical, this may happen, which is happening right now. I believe it's a similar situation, should continue longer term. And trigger point is basically is a demand recovery of Europe and the demand recovery into the US market -- US and the South, what you call, South American markets.

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Moderator: Ladies and gentlemen, we'll take this as the last question. I now hand over the conference to the management for closing comments.

R.S. Jalan: Thank you. Thank you, everyone. And like I've always been saying, our focus will always be to the best-in-class to perform on all the parameters of efficiencies and the cost and to deliver on the best performance results into the industry segment. That focus will continue. And I'm sure that the moment the recovery into the industry demand of the soda ash, this benefit of this work which we are doing will signify the value creation for the shareholders. Thank you very much, and Happy Diwali to all of you.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

February 6, 2025

National Stock Exchange of India Limited
"Exchange Plaza"
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Code: GHCL
BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring, Rotunda Building, P.J
Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Code: 500171

Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on February 3, 2025

In continuation to our earlier communication date January 14, 2025 and January 31, 2025 regarding Investors' conference on February 3, 2025 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on February 3, 2025 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

Bhawneshwar Mishra
Vice President - Sustainability & Company Secretary
(Membership No.: FCS 5330)

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"GHCL Limited Q3 FY25 Earnings Conference Call"

February 03, 2025

MANAGEMENT : MR. R. S. JALAN – MANAGING DIRECTOR
MR. RAMAN CHOPRA – CFO & EXECUTIVE DIRECTOR

OF FINANCE
MR. MANU JAIN – GENERAL MANAGER, INVESTOR
RELATIONS AND FINANCE

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL
SERVICES

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Moderator: Ladies and gentlemen, good day and welcome to the GHCL Limited Q3 FY25 Earnings Conference Call hosted by Emkay Global Financial Services.

As a reminder, all participants' lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*”, then “0” on your touchtone telephone. Please note that this conference is being recorded.

I now have the conference over to Mr. Meet Vora from Emkay Global Financial Services. Thank you and over to you, sir.

Meet Vora: Thank you. Good afternoon, everyone. Thank you for joining us on GHCL's Q3 FY25 Results Conference Call. I would like to welcome the management and thank them for giving us this opportunity to host them.

We have with us today, Mr. R.S. Jalan - Managing Director; Mr. Raman Chopra - CFO and Executive Director of Finance; Mr. Manu Jain, General Manager, Investor Relations and Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward-looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. I shall now hand over the call to the management for their opening remarks. Thank you and over to you, sir.

R. S. Jalan: Thank you, Meet. Thank you very much. Good afternoon, everyone. Welcome to the GHCL Earnings Conference Call for the third quarter ended 31st December 2024. Our results and presentations are available on the Stock Exchange. Along with me, I have Raman - Executive Director and CFO and Manu Jain in Finance and Investor Relations.

Q3 has been healthy operational performance as we deliver in a moderating external environment. Our business approach prioritizes the operational excellence across procurement, production and marketing. We have reported better production volume and have seen better cost control outcomes following our focus on efficiency. This has transpired into healthy financial performance in Q3.

Let me share a brief perspective on the environment:

In India, demand growth for Soda Ash has been better than the global markets. Concurrently, we have seen higher volume of cheaper imports coming into India. We expect the domestic demand and pricing scenario to be at bottom. And demand should improve going forward due to the combination of following factors; MIP, minimum import price on soda ash, which will provide price protection from unchecked cheaper import coming into India; the second, GHCL Limited

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imposition of duty on import, price of solar glass boosting domestic production; and the third growing force for renewable energy Union budget 25-26 has increased allocation towards solar power sector. This has benefited the demand of soda ash, which is an essential for manufacturing solar glass.

In the external context, the Western Economy faces suppressed demand for soda ash owing to the adverse consumption spend and poor business sentiments. China has witnessed strong demand growth of 10% in 2023 and 19% in 11 months of 2024. This has now started moderate. As a result, prices have been subdued. Through all of this, we continue to focus on our strength in order to deliver optimized performance. We are confident that the GHCL is well positioned for the future and as the industry and economic activity picks up, our performance will further improve.

On the growth initiative, our strategic projects are progressing well. We have received environmental clearances for the Greenfield project. Work on this and our new salt field in Gujarat is underway. This project will take around 3 years of completion. Commissioning of both our vacuum salt and the initial bromine project is as per plan. In 2026, it will get completed which will diversify our product mix. These

programs has been planned to strengthen our ability
to deliver a healthy performance in all operating environments and to drive predictable

momentum. As always, we are committed to driving shareholder's value through strategic action and consistent execution of our plan.

Thank you for your continued support and confidence in GHCL. I will now invite Raman to provide further details on our financial performance.

Raman Chopra: Thank you, sir. Good evening, everyone and a warm welcome to our earning call for the third quarter ended 31st December 2024.

We have reported strong results on the back of higher utilization, operational excellence and cost control measures. This has resulted in better margins, higher profitability and a strong and healthy balance sheet.

Revenue for the quarter came in at around Rs. 807 crores, which is more or less the same as compared to Rs. 813 crores in the corresponding quarter of last year and Rs. 810 crores compared to Q2 of this year. The operating revenues were impacted by cheaper imports into India.

EBITDA for the quarter stood at Rs. 259 crores as compared to Rs. 165 crores in Q3 of FY24 and Rs. 228 crores in Q2 of this year. For the quarter, EBITDA margin came in at 32% compared to 20.3% in Q3 of last year and 28.2% in Q2 of FY25. Our margins increased due to higher production, operational efficiency, reduction in input costs resulting in overall lower costs.

PAT from continuing operations increased from Rs. 168 crores compared to Rs. 100 crores in corresponding quarter of last year and Rs. 155 crores in Q2 of this year.

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For the 9-month period ended 31st December 2024, we generated Rs. 556 crores in cash profit after tax. Out of this, we have spent around Rs. 240 crores on CAPEX, around Rs. 114 crores on dividend to the shareholders, around Rs. 82 crores towards the repayment of loans while working capital released around Rs. 20 crores. We are a debt free company with our cash and investments stood at around Rs. 1,036 crores and a net cash surplus of Rs. 920 crores as at the end of the quarter.

With this, I conclude my comments and would now request the moderator to open the forum for questions and answers. Thank you.

Moderator: The first question comes from the line of Aditya Khetan from SMIFS Institutional Equities.

Please go ahead.

Aditya Khetan: Yes, hello, sir, and thanks for the opportunity. Sir, my first question was on to the soda ash side.

As there is an imposition of MIP into the domestic soda ash market, sir, if you can help us understand out of the total imports, how much imports like were below the MIP and with this imposition, you think like the pricing itself will come up or the imports quantum also can go down?

R. S. Jalan: Yes, Aditya, you have two questions. One is that whether any import which was coming below the MIP price, number one? Number two, whether this will help to improve the price or that will improve the quantum of reduction into the import of the volume. See, at this point of the time, our understanding is that definitely this MIP will help to kind of taper down the import volume. And this will be getting reflected in next maybe one or two months because some of the import which has already been kind of a contracted, some of the country from where this volumes are coming cheaper than this MIP prices will definitely get kind of reduced. I personally believe that improvement in the price may take little longer time, but the volume benefit should start accruing going forward, maybe in a month or two.

Aditya Khetan: And how much proportion of the total imports was below the MIP earlier?

R. S. Jalan: Aditya, at this point of time, we don't have a data that whether the volume was kind of below the MIP price, how much volume was there because these prices were very volatile and therefore it is very difficult to predict that how much volume was there below the MIP price.

e. The benefit

which we will be getting because of this MIP, the price will get stabilized now.

Aditya Khetan: Sure, sir. Sir, on to the numbers, if you look so, this quarter, improvement in your gross margins and the EBITDA margins is largely led by the reduction in the raw material prices only. Any ideas are like which is the major raw material, like I believe salt is the major raw material and is there are others like, so which raw material has seen a big dip in this quarter?

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R. S. Jalan: See, Aditya, there are two or three reasons for this improvement in the margin. One is that if you look at quarter-on-quarter as compared to the last quarter to this quarter, one is the volume of production has gone up. That is number one. Second, it is not the price of the raw material, this is all our operational efficiency, which we have been able to build. Though it is not a question of price reduction in the raw material, it is primarily because of the efficiency of the operation and the various measures which we have taken in improving our cost efficiency.

Aditya Khetan: But sir, the volume jump is not reflected in the topline? I believe topline is subdued only when we look on Y-o-Y and quarter-on-quarter basis, but the raw material definitely like there is some change which has happened. Is it largely because the improvement in the product mix you mean to say like the product mix towards sodium carbonate has improved, bicarbonate and that is why it has improved?

R. S. Jalan: No, Aditya. Like I said, if the volume of production goes up, obviously, the efficiency and the other measures which we have taken for improvement into the efficiency had led to the deduction in the cost. However, the volume, as you rightly said, volume quarter-to-quarter, small variation will be there, and volume has not dropped also. This is primarily because of the cost reduction measures, the margin has improved.

Aditya Khetan: Just one last question, on to the Bromine business, sir, we are maintaining from the salt, so from the recently acquired salt parcel that would be completely used for captive and what is the outlook on to the bromine business for the next 2 years?

R. S. Jalan: At this point of the time, we have the process of the new land which has been allotted to us. The work has started on the survey side, and it will take around 3 years of time to get completed that project and this will primarily being used for our captive consumption. Then number two, you said bromine outlook. See bromine, at this point of the time, our bromine setup, which is a very small volume of approximately around 2500-2800 tons which will start by September, October. We are in the process of marketing of those products and obviously we will be selling mostly into the export market.

Aditya Khetan: Got it. Thank you, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Nasir Hussain from Fintrek Research Advisors Private Limited. Please go ahead.

Nasir Hussain: Hi, sir. Thank you for taking my question. I just had two questions. One is, could you help me with EBITDA per ton for this quarter and capacity utilization?

R. S. Jalan: See, Nasir, broadly, we are almost 95%-97% kind of utilization and EBITDA per ton, we don't have a specific number of EBITDA per ton. We have given the numbers on the basis of on the percentage of EBITDA, Nasir.

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Nasir Hussain: Alright, sir. Another question is that since we are already maxing out our current capacity, when can we expect to further expansion or is there any plan for debottlenecking?

R. S. Jalan: Yes, the plans are already there, like I said, Bromine project is there, the Vacuum Salt project is there. In terms of the soda ash also, we are trying to maximize the volume if it is possible. The team is working on that and hopefully, something will come out o

f that and as soon as it comes out, we will report back to the shareholders.

Nasir Hussain: Thank you. That is it for my side.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Namaskar, sir.

R. S. Jalan: Namaskar, Saketji.

Saket Kapoor: In your presentation, you have alluded to the key drivers going ahead, growth drivers, if you could dwell more further into the same, what are they and how are they going to improve the EBITDA in the long run, presentation page number 12, you have spoken about Vacuum Salt, Bromine project, the Greenfield project and the Raw Salt production, if you could just spare a minute and explain the benefits which the company and organization would derive going ahead in the near future?

R. S. Jalan: Saketji, as you rightly said, the Vacuum Salt and the Bromine project, we have already explained in the earlier calls as well that these are the two value drivers which are in the near future.

Particularly, if you look at the Vacuum Salt, we are going to produce this Vacuum Salt from a waste energy that means the convergent cost of that where lot of energy is required will not be there. The margins are reasonably good in that. So, as far as the Bromine project is concerned, that also work has started, that also on the existing location, which is kind of, I would say, either trying to take gold out of the existing processes. So, that project also will add to the kind of a good EBITDA margin or addition to the total value. Of course, the Greenfield and Rock Salt production is a slightly longer-term view and that will happen in next 3 years of time. And all put together, definitely this will improve the margin, and overall business margin will improve. How much it will all depend on, when this gets executed and how much kind of a market situation at the time, all this will get added, but definitely this will give you a better basket of the product and this will also add some additional margin to the business.

Saket Kapoor: Sir, for Vacuum Salt and the Bromine project, just to conclude for this part, for Vacuum Salt, that will get commissioned for FY25-26 itself or both these projects will be benefited in FY26?

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R. S. Jalan: No, both the projects will get commissioned in FY25-26. One will be approximately around July and the second one approximately around September.

Saket Kapoor: Like 25 and September 25.

R. S. Jalan: Yes.

Saket Kapoor: Sir, and when you are making about the efficiencies that had been factored into our numbers and the improved EBITDA, so first you said, these are the permanent efficiencies that we have built into the system or there is any one-off because we see our other income also contributing significantly. On a Q-on-Q basis, it has gone up from Rs. 17-Rs. 29 crores. So, this is actually used for the operations?

R. S. Jalan: Yes, you are right on that. Let me explain two points, one, like I said, the cost initiatives, lot of work has been done and you know that last couple of years, the way the management has worked on the cost efficiencies, that has definitely given us a benefit on overall our margins. And that journey or the sustainability of those cost initiative will be permanent in nature. In terms of the other income, as you rightly said, other income has two components, one is what you call, one office in what you call in Mumbai we had that we have sold that added to 1% on the EBITDA margin. So, that is one time. The second is your treasury income and that was also added. Treasury income will be more like a kind of, it will continue for the time being till the new Greenfield project comes in. So, maybe you can say 1% of the other income which is a onetime can be lower on this. But other cost initiatives will continue. How much that will get translated into the margin and how the market dynamics will

I be there in the coming quarters that we have to watch out. You know the volatility in the market overall, but our execution and our initiative on the efficiencies will continue.

Saket Kapoor: Just to complete it, for the Mumbai office, how much have you realized and what have been the gain?

R. S. Jalan: There was a small office which I think around Rs. 8-Rs. 9 crores kind of a number we have got what you call benefit out of that right, Raman?

Raman Chopra: Right. Approximately around.

Saket Kapoor: Rs. 8 crores, we have realized out of the field?

R. S. Jalan: No, Rs. 8 crores is the benefit we got.

Raman Chopra: It is gain.

R. S. Jalan: It is gain.

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Saket Kapoor: Sir, although it is evident that the cost efficiencies for which we are working perpetually, we have started reaching benefit, but when we look at the power and fuel, what all expensive line item, there is fluctuations in the same, sir, if our volumes have remained flat Q-on-Q what excludes the?

R. S. Jalan: Saketji, number has to be looked at from the production perspective. Production in this quarter has gone up.

Saket Kapoor: Okay, so that is if you are getting inventory currently then, sir because the inventory side has gone up, that understanding is correct?

R. S. Jalan: Yes.

Saket Kapoor: And lastly, sir, you have.

Moderator: Saket, I am sorry to interrupt you, if you can please rejoin the queue.

Saket Kapoor: I will join the queue again.

Moderator: Thank you. The next question comes from the line of Sangeeta from Cogito. Please go ahead.

Sangeeta: Yes, hi. Good afternoon and thank you for taking my question. And sir, what I wanted to understand is that our Greenfield soda ash project will I think commission in about 5-6 years, right? Is that correct?

R. S. Jalan: No, it is 3 years.

Sangeeta: 3 years, and Raw Salt will be in 3 years also?

R. S. Jalan: Yes.

Sangeeta: So, for the next 3 years, therefore, our volume growth drivers are going to be any bottlenecking that we do in our existing capacity plus the Vacuum Salt and the Bromine projects, right?

R. S. Jalan: Yes.

Sangeeta: So, sir, is there any indication you could give as to how much, let us leave the debottlenecking aside because that may be difficult to predict immediately, but how much is the Vacuum Salt and Bromine likely to add to our EBITDA will be commissioned fully?

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R. S. Jalan: See, our understanding at this point of the time is that the Bromine will give us approximately around 40%-50% EBITDA margin in the revenue of the bromine. The revenue will be in the range of around Rs. 60 crores, broadly, I am just giving, Rs. 50-Rs. 60 crores kind of a number.

Sangeeta: Rs. 50-Rs. 60 crores per annum or per quarter?

R. S. Jalan: No, per annum. This is a small volume, 2800 tons. We are talking about only for this existing 2800 tons what we are planning to produce in the current year 25-26. Vacuum Salt will give approximate around Rs. 100-Rs. 120 crores once the fully operations are being established, around Rs. 100-Rs. 120 crores and the EBITDA will be in the range of around 30%-40% on this volume.

Sangeeta: 30%-40%, okay. So, that means roughly we are looking at, say Rs. 40 crores coming in from the Vacuum Salt project and maybe about Rs. 20-Rs. 25 crores coming in from the Bromine project?

R. S. Jalan: I think so, yes, broadly.

Sangeeta: So, that means our growth in our profit is really going to be dependent on the price increases that happen in the soda ash, right, largely, is it?

R. S. Jalan: Yes.

Sangeeta: And sir, compared to where we were a year ago and 2 years ago, if our prices of soda ash are say 100 today, what was the price a year ago and what was it about 2 years ago?

R. S. Jalan: See, Sangeeta, if I can say, in terms of the soda ash since you are talking about little bit of a medium term, let me give you some

perspective of how do we look at this business and how the margin has been over a period of last many years. First and foremost, EBITDA per ton has been growing every year by year, except maybe in last one or two years is because of the volatility in 2022-23. Because of that abnormal situation, the EBITDA percentage of EBITDA per ton was significantly higher. But if you look at FY22 versus FY24, we are significantly higher in terms of the absolute EBITDA, in terms of the percentage of EBITDA also. In FY22, our EBITDA was approximately around Rs. 740 crores. Roughly, I am just giving the number. In FY24, it was Rs. 900 crores. And if you look at FY21, it was Rs. 400 roughly, I am giving again numbers, roughly around Rs. 500 crores, so Rs. 500 crores to Rs. 750 crore and then to Rs. 900 crores. That will be the number. If I remove this FY23, which was an abnormal period, this is the way the number has gone.

Sangeeta: Right.

R. S. Jalan: I hope I am clear on this.

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Sangeeta: Yes. So, sir, here, there was also some element of volume growth that you would have seen right in this period. My question was that now, we are at about 90%-95% capacity utilization, so whatever volume growth we get from here cannot be very large, right? Because we are going to try to get back some brownfield expansion or efficiencies, etc., so it is likely to be I am just guessing, maybe 2%, 3%, 4% or under 5%. So, our key driver and given the fact that we have seen pricing pressure on the soda ash also, would it be fair to say that our main driver will now be a recovery in soda ash prices?

R. S. Jalan: Ma'am, there will be two possibility and there are two points where the recovery will happen. One, as you rightly said, recovery in the pricing of the soda ash which likely should happen because overall globally the way the pricing at this point of the time will not be a long-term sustainable prices. That is number one, but the second, which is again very important, which is in our hand, which we have been driving for over a period of time, like you have seen in this quarter also there was a kind of significant cost optimization and that will be another area of kind of expanding your margin per ton or the percentage of margin.

Sangeeta: Right. No, that I appreciate, and I think congratulations to your team that you have been doing this consistently year after year. So, I do understand that. What I was trying to understand was that see, from an external environment point of view, if say the volumes recover hugely in soda ash, we may not be able to participate completely because we are kind of maxed out on our capacity, right, so what benefits us from any improvement in the external environment is really the pricing?

R. S. Jalan: Yes, very right.

Sangeeta: And when prices go up, does that also lead to a commensurate increase in raw material prices?

R. S. Jalan: No, these are not the two interrelated things. Cost has a different what you call different equation, and the pricing of soda ash has a different equation.

Sangeeta: Right.

R. S. Jalan: Two things like one of the understanding what we have is today, the Chinese soda ash prices are below the cost of production of China.

Sangeeta: Right.

R. S. Jalan: So, this is a kind of understanding that the recovery in the soda ash prices should happen and the benefit to us will definitely come. Of course, in terms of the volume, it will not come, but in the overall margin, definitely this will happen.

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Sangeeta: Right. And sir, what about the imports Turkey remained sort of subdued right? And that is where a lot of the imports were also happening, so how do you see the scenario from those markets?

R. S. Jalan: See, our understanding is that at this point of time the imports are happening in a major way. And as I mentioned in my opening remarks, this MIP

definitely will put a kind of a roadblock

on the larger volume. Of course, the volume will be coming in, but overall, if the global soda ash price is because China is a kind of 40%-45% of the volume, right.

Sangeeta: Right.

R. S. Jalan: China has a kind of some recovery into the pricing. Definitely, that will have an impact on the global pricing and that will help us.

Sangeeta: Thank you.

Moderator: Thank you. The next question comes from the line of Gaurav from Capital Farming Consultants. Please go ahead.

Gaurav: Thank you for giving me an opportunity. I hope my voice is audible.

R. S. Jalan: Yes, Gaurav, we can hear you loud and clear.

Gaurav: Thanks a lot for confirmation. So, just building on the last question that member was asking, so if we say that the current ongoing prices in the Chinese market is far below the cost of production and as a supplier, as a manufacturer, you also feel that the ongoing prices are not sustainable in the medium to long term, so just a hypothetical question, just to get a sense of the expectation and as a producer, what do you think that the sustainable prices could be vis-a-vis the ongoing prices? That is my first question.

R. S. Jalan: So, Gaurav, I don't think I will be able to answer these questions in a rightful manner because hypothetical question, I would be restrained to kind of answer that question, but like I said, hopefully the things should start recovering because of the overall one scenario in India as I mentioned, the demand growth likely in 25-26 should be significantly higher because of the solar glass consumption will increase, the overall demand in India should increase significantly and even globally since the soda ash are being sold at this point of a time below the cost in China, that should also lead to kind of some increase in the pricing. But how much, I don't think we will be in the position to answer that.

Gaurav: No worries. Thanks a lot. Sir, my second question is, since most of our production is being sold in domestic market only, right and now MIP in place, right so based in your study, how much more market share we can gain because now since you are saying that MIP being in place,

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probability of imports in our country would go down right and there might be an opportunity that we might gain the market. So, what is our current market share and to what level it can go?

R. S. Jalan: Gaurav, as you rightly said, our volumes are not going to go up and therefore the market share cannot increase. The market share will remain almost same.

Gaurav: So, volume wise, you are saying that market share wise due to this MIP, no much benefit is expected to us. Only benefit that we can expect is that increase in price, right?

R. S. Jalan: Right.

Gaurav: That is great. Last question from my side. Since we have expanded our capacity of sodium bicarbonate from 60,000 ton per annum to 120,000 ton per annum last financial year, so in current financial year reporting 9 months numbers, what would be the revenue contribution from sodium bicarbonate capacity in terms of percentage?

R. S. Jalan: Like you rightly said, our number will be likely to be around 100,000 this year in terms of the volume.

Gaurav: In terms of percentage of revenue share?

R. S. Jalan: I don't have a ready number right now.

Raman Chopra: Around 9%-10%.

Gaurav: Last one, just to understand, in the emerging applications, we have also mentioned that the battery manufacturing for electrical vehicles, but we have seen that most of the electrical vehicle batteries are around the lithium-ion technology only, right, so any major development or research that is happening or which gives us a promising maybe for somewhere down the line, 1 year, 2 year, 3 year down the line that which can boost consumption of soda ash in a significant manner. And any such thing you have heard about, and you would like to share with th

e investors and analysts on this call?

Moderator: Ladies and gentlemen, we have lost the line of the management. Please stay connected while I rejoin the management. Ladies and gentlemen, we have the management reconnected. Gaurav, if you can please ask your question once again. Thank you.

Gaurav: Yes, sure. Thanks. Sir, I was asking like in emerging applications we have mentioned that soda ash is also used in battery manufacturing for electrical vehicles, but most of the batteries used in electrical vehicles, specifically in India are around lithium-ion technology. So, any major development or research that you have heard about which can boost significant consumption of soda ash in electrical vehicle batteries in maybe 1 year, 2 year, 3 year down the line?

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R. S. Jalan: Gaurav, I would say that the two things, I would like to comment on this, one, this lithium-ion major consumption will be globally. India at this point of the time, we don't see any major this thing, but however, this time in the Government of India, the budget, they did announce some incentive for the lithium-ion battery. How that will pan out, we have to see that. But, if the lithium-ion battery consumption globally improves significantly, that will also help in its better demand supply balance globally and that will have an ultimately impact on what you call the benefit to the Indian producer as well.

Moderator: Thank you. The next question comes from the line of Jainam Ghelani from Svan Investments. Please go ahead.

Jainam Ghelani: Hi, sir. Thanks for this opportunity. Sorry, I joined the call a bit late, so pardon me if my questions are repetitive. Sir, what is the volume sold during this quarter in terms of growth?

R. S. Jalan: See, we normally don't give the number of the volume sold, we only give the revenue.

Jainam Ghilani: Yes, but sir, in terms of the year-on-year, if you look at our revenue per se which we repeated at most?

R. S. Jalan: Yes, I am saying this numbers are almost flat. That is the point I am trying to say. The revenue numbers are flat.

Jainam Ghilani: Yes, the numbers are flat in terms of quarter-on-quarter, so are probably if you look on the year-on-year also, we are down by Rs. 27-Rs. 30 odd crores. So, can you help us understand whether this decline in the revenue by Rs. 30 odd crores is largely due to volume, or it was because of bit of realization?

R. S. Jalan: Primarily because of realization, primarily in the realization.

Jainam Gilani: The volume has largely remains flat?

R. S. Jalan: Yes.

Jainam Ghilani: Now, with the MIP in place and the new segment of the soda ash consumables coming up in place, how do you see your volume growth going up from the current level?

R. S. Jalan: So, obviously in this quarter, some improvements should happen, but yet to be kind of the impact of this MIP will take few, maybe 1 or 2 months and after that definitely some improvements will happen in the budget. However, we have a limited volume, so therefore there cannot be a very significant improvement in the volume.

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Jainam Ghilani: But sir, it is back to 29%-30% margin, is this margin a sustainable margin for us now, we can see some pressure here as well?

R. S. Jalan: See, depending upon the volatility, you know the volatility in the market, our efforts are there on the what you call cost optimization that we are doing very nicely, and that journey will continue marginal here and there. Margin can happen on a quarter-to-quarter basis, but in a longer term, if you look at definitely this margin should improve.

Jainam Ghilani: And sir, any update on the Greenfield CAPEX as to when do we expect it to commence operations?

R. S. Jalan: We have started the initial work on the CAPEX after the environmental clearance has been received and the things will progress now.

Jainam Ghilani: Sir,

thank you.

Moderator: Thank you. The next question comes from the line of Sanjana from FWC. Please go ahead.

Sanjana: Hello, sir, thank you for taking my question. So, tentatively, our completion date for the Greenfield project is somewhere around Feb or March of 2028. Can you give us a CAPEX schedule till then? Like what will be our annual CAPEX number?

R. S. Jalan: Sanjana, at this point the time, I will not have the answer on this, but overall in 3 years of time, approximately the number will be and that will be largely in the 26-27 and 27-28, the medial portion, I would say 80% of volume will be, the number will be coming from that. Is it Raman?

Raman Chopra: Yes, actually right.

R. S. Jalan: 80% will be coming from that number, but the number in the 25-26 will be in the range of around Rs. 300 crores.

Sanjana: Understood. Sir, one more question I had on the MIP is the government exploring an extension for the MIP considering that it was announced in such a short period of time?

R. S. Jalan: See, generally what happens they announce for a period of time and then we have to apply for another extension and generally you get that extension.

Sanjana: So, when do we apply for this extension?

R. S. Jalan: After maybe 2-3 months, because this period is up to June, so we have to apply maybe in April, May.

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Sanjana: Understood. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Thank you for the opportunity, sir. I wanted to understand what percentage of limestone and salt have you backward integrated for the soda ash facility as of now, what percentage if backward integrated and what percentage do we procure from outside?

R. S. Jalan: See if you look at the salt it is around 30%, we have backward integrated and one, the new land which has been allotted that number will significantly go up. In terms of the limestone, I would say it is probably around maybe 20% approximately around 20%-25%.

Vignesh Iyer: And when does this new salt capacity start? When will the new salt capacity start and how much percentage of our older facility of soda ash that is 12 lakh ton would be shattered into from the new capacity?

R. S. Jalan: At this point of the time, our understanding is that approximately another around 30%-35% of the current capacity will get feed up from the new salt field and the balance will go to the new soda ash plant which we are putting in the Kutch area.

Vignesh Iyer: And for limestone, do we have a long-term contract to procure it or is it on, how is the arrangement with the supplier?

R. S. Jalan: It generally happened on a year-to-year basis.

Vignesh Iyer: Fine, sir. That is all from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, we have the next question from the line of Khushwant Pahwa from KPAC. Please go ahead.

Khushwant Pahwa: Yes, hi. Thanks for the opportunity. Am I audible?

R. S. Jalan: Yes, good.

Khushwant Pahwa: Yes, so I have a couple of questions. The first is around cost optimization. I see margin improvements quarter-on-quarter happening because of cost optimization and that is good to see. I just wanted to understand that if I keep the price fluctuation aside, purely from a cost optimization perspective, do you think we will continue to see benefits flowing through in the quarters ahead or are we largely there in terms of the journey where we wanted to reach? So, that is my first question, just some trajectory on more on cost optimization we can see over the next 2 to 3, 4 quarters?

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R. S. Jalan: See, first and foremost, Khushwant giving a number will be very difficult because this is a journey.

Khushwant Pahwa: I am not asking exact numbers, but I am saying generally, are we there in terms of whatever the management aspir

ation was? Are we there largely or we have midway through, just some perspective?

R. S. Jalan: So, Khushwant, our aspiration changes every year. Once we achieve one milestone, we go to the another milestone and we keep on shifting our goal post on the higher side and this journey will continue. And you must have seen in last many quarters that has been delivered by the management and that is where our strength is. And that strength we are leveraging to the maximum extent, and we will continue to have that.

Khushwant Pahwa: Understood. So, you say that current level of margin keeping the price fluctuations aside are maintainable?

R. S. Jalan: It should be.

Khushwant Pahwa: My second question is, I remember the last conference call, you had mentioned that as the expansionary monetary policy cycle starts there should be some improvement in the prices that we should see. I am not asking for any quantum, I don't want any specific guidance there, but in your experience, we have seen US embark on the expansionary monetary policy cycle, there have been rate cuts. So, in your opinion, typically how much lag is there before we start seeing

some improvements in pricing? Again, I don't want any numbers. I am just saying in terms of timelines, what is your thought process broadly?

R. S. Jalan: Khushwant, as you know that the way that overall the world is in such a volatile scenario at this point of the time and you have seen in a couple of policy decisions which has happened in the recent past after the leadership change into the US, how that will shape up into the global market?

It is very kind of unpredictable at this point of the time. But as I just said logically, it looks to be that once the demand scenario improves overall and since ultimately the business makes sense only when you have a margin or your prices are lower than the cost, like in China, I said that the people are selling at this point of the time lower than the cost. So, this lead to kind of a belief that some improvement will happen. How much it will happen and when it will happen, it is very difficult at this point of the time to kind of guess on that.

Khushwant Pahwa: Understood. If I can just ask one more question, in terms of cost of production vis-a-vis China, purely from a cost of production perspective, how much does it vary in India vis-a-vis China, means do they have a significant advantage over us in terms of the cost of production?

R. S. Jalan: Khushwant, I would like to put the two kind of process of production, one is the natural soda ash. Natural soda ash in terms of the cost of production, they are cheaper whereas the synthetic

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soda ash, in China particularly there are two what you call processes, one is the Hou process, and one is the Solvay process. Hou processes are costlier than the Solvay process at this point of the time because there is pricing of the ammonium chloride, which is a fertilizer, is much below and therefore, the net soda ash cost is much higher. We as India vis-a-vis China, our costs are very significantly competitive in terms of China that means they don't have any major advantage in terms of the cost of production in the Solvay process.

Khushwant Pahwa: Understood. Thank you so much, sir, and I wish you all the best.

R. S. Jalan: Thank you.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Thank you, sir once again for the opportunity. Sir, as mentioned in our presentation also and earlier announcement also that the global market for soda has grown at a rate of 2.5%-3%. That is generating the incremental demand of 2 million metric ton per year. So, sir, currently what kind of capacity addition globally are we looking into the various geographies, who are the major players?

R. S. Jalan: Saketji, the new global capacity has almost come in, like t

he Mongolia plant has come in. In

China, another soda ash plant has also come in. We are not seeing very significant amount of new investment coming in near future. Of course, in the longer term, some of the plants have been announced in US and hopefully I think that will kind of lead to some new.... but that will take few years of time, so it is not likely to happen in one or two years.

Saket Kapoor: And sir, your presentation also speaks about the capacities getting reorganized in Europe? So, there will be some capacity that will be off the table because of the high cost, it will be a balanced market going forward, or maybe a deficit market also, sir, if the demand outlook was --

R. S. Jalan: Let us hope Saketji that happens.

Saket Kapoor: And sir, as you mentioned that MIP part being imposed on soda ash, there is also some duty protection for solar glasses, I think so. So, that is also going to be, for anti-dumping duty for texture, tempered, coated and uncoated glasses from China and Vietnam was also imposed in the month of December for another six months?

R. S. Jalan: So, Saketko, two developments has happened on this glass, as you rightly said, there is anti-dumping duty on China and Vietnam and that is very significantly higher and that will definitely give a much better levy to the solar producers in India and that is the reason we see a good amount of growth in 25-26. And in terms of earlier, basic duty was removed on the import of solar glass that has been re-imposed a few months back and that will also, so overall solar glass

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environment in India has been significantly improved. And that will definitely improve the soda ash consumption going forward.

Saket Kapoor: Sir, just to conclude on the point of solar glass production. You earlier also alluded in 2024 also that a lot of capacity are in the annual from the large corporate who are trying to set up big solar lines in the country. So, where are we in terms of the incremental demand that was envisaged from them? Where are we in midst of their capacity coming up, they were boosting the demand and then the ecosystem getting a boost in terms of pricing?

R. S. Jalan: They are happening as per the plan Saketji and hopefully you will see that the benefit of that will

be coming in the next year.

Saket Kapoor: And lastly, sir, this Rs. 350 crores CAPEX for the salt field work, sir if you could just explain, this is because of the reasons for that raw material security that we alluded earlier to and also for the Bromine project or what is the significance of this Rs. 350 crore CAPEX for the salt field and when are we going to spend this money, sir?

R. S. Jalan: Saketji, this is for the new salt field, which we have been allotted. This amount is only for that and that will get spent over a period of next 3 years.

Saket Kapoor: And that could be taken to our requirement for salt or for the bromine project, this is pertaining to which project, sir, the new one or the existing soda ash facility?

R. S. Jalan: This salt will be consumed for both the allocations.

Saket Kapoor: Right. And thank you, sir, once again for elaborating and answering to our questions. And so just to conclude, sir the EBITDA jump which we have seen Q-on-Q even excluding the other income impact, these numbers on the consistent environment and the factors that contributed to it are looking sustainable going ahead and quarter 4 being a very strong quarter in terms of demand and signally also good quarter, a reasonable understanding that the investors can take into account that these EBITDA numbers are sustainable at least for the near future?

R. S. Jalan: Saketji, I have very clearly articulated this that we are working towards the cost optimization or on the efficiency improvement. In terms of the volatility, in this current market scenario, it will be very difficult to predict what is the sustainable

margin will be there going forward, and in the longer term, I have already said things are looking better.

Saket Kapoor: Correct, sir. Thank you and all the best to the team, sir.

R. S. Jalan: Thank you.

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Moderator: Thank you. Ladies and gentlemen, that was the last question and we conclude the question and answer session. I now have the conference over to the management for their closing comments.

R. S. Jalan: Thank you very much. Thank you very much all shareholders and the participants into this call. We draw a lot of strength from our investors and our journey towards cost optimization will continue and we will ensure that our executions are being done in appropriate way and create a value for our shareholders. That is the endeavor of the management, and we will try and deliver on this day in day out. Thank you very much for participation.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

May 12, 2025 ■■■■■ – ■■■■■ ■■■■, ■■■■■■■■
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National Stock Exchange of India Limited
"Exchange Plaza"
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Code: GHCL
BSE Limited Corporate Relationship Department,
1
st Floor, New Trading Ring, Rotunda Building, P.J.
Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Code: 500171
Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on May 8, 2025

In continuation to our earlier communication dated April 24, 2025 and May 8, 2025 regarding Investors' conference on May 8, 2025 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on May 8, 2025 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

Bhuvneshwar Mishra Vice President - Sustainability & Company Secretary (Membership No.: FCS 5330)

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"GHCL Limited
Q4 FY 25 Earnings Conference Call "
May 08, 2025

MANAGEMENT : MR. R.S. JALAN – MANAGING DIRECTOR
MR. RAMAN CHOPRA – CFO AND ED, FINANCE
MR. MANU JAIN – SR. GM, IR AND FINANCE

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to the GHCL's Q4 FY '25 Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Vora from Emkay Global Financial Services Limited. Thank you. And over to you, sir.

Meet Vora: Thank you. Good evening, everyone. Thank you for joining us on GHCL's Q4 FY '25 Results Conference Call. I would like to welcome the management and thank them for giving us this opportunity to host the call. We have with us today Mr. R. S. Jalan, Managing Director; Mr. Raman Chopra, CFO and Executive Director of Finance; Mr. Manu Jain, General Manager, Investor Relations and Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward-looking, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I shall now hand over the call to the management for their opening remarks. Thank you. And over to you, sir.

R.S. Jalan: Thank you, Meet. Thank you very much. Welcome to GHCL's earning conference call for the fourth quarter and year ended 31st March, 2025. Our results and investors presentation had been uploaded on the stock exchanges. Joining me today are Raman, ED, CFO, and Manu from Investor Relations.

We witnessed a strong operational performance amidst a challenging and evolving external landscape. At GHCL, our philosophy continues to be anchored on driving excellence across the value chain, right from procurement and production to marketing and distribution.

Our production volume during the quarter were largely in line with the previous quarter, supported by slightly better sales volume. Our continued focus on efficiency and cost optimization yielded meaningful savings during FY '25, enabling us to deliver better margin over FY '24 despite pricing pressure caused by increased imports. These efforts have translated into a resilient financial outcome.

Let me now offer a brief overview of the market environment. On the global front, Western economies continue to grapple with weak demand for soda ash, primarily due to subdued consumer spending and muted business confidence. In contrast, China witnessed robust demand growth of 10% in calendar year 2023 and 18% during calendar year 2024.

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This strong momentum, however, has now begun to moderate. The global macro setup has been marked by rising uncertainty and volatility, influenced by recent imposition of tariffs by the United States. These events have had broader implications on global trade dynamics, economic activities and market sentiments.

In contrast, Indian soda ash market remained relatively strong and registered around 5% growth during FY '25 over the previous year. However, owing to the subdued demand in Western economy, India witnessed higher influx of lower price imports, leading to softer price realization compared to the previous quarter.

While the near-term outlook remains sensitive to global development, we believe that structural tailwinds are in place to support domestic demand over the medium to long term. Specifically, the imposition of duty on imported solar glass will promote local manufacturing along with government increasing focus on renewable energy. These sectors are likely to fuel incremental demand for soda ash in India.

Amidst this dynamic backdrop, GHCL remained focused on its core strength to ensure optimum outcome. We are confident

that our strong fundamentals and disciplined execution places us in a solid position to benefit if macro-economic conditions improve.

With respect to our growth plan, execution remains on track. Our greenfield soda ash project and the new salt field project in Gujarat represents long-term strategic investments and that will deliver significant operational and financial gain over the next 3 years.

Commissioning of our vacuum salt and bromine project remain scheduled for FY '26. We expect these projects to begin contributing to our growth from FY '26, while enhancing our product portfolio and competitive positioning. These initiatives have been thoughtfully designed to

reinforce GHCL's performance across market cycles and to establish a long -term growth trajectory.

We are very bullish on what we are doing. We are setting up projects which will give us benefits in medium to long term. We have achieved significant operational efficiencies in FY '25. While challenging time is transitionary, these actions will be permanent. We remain committed to creating suitable value for all our stakeholders through strategic foresight and consistent execution. Thank you for your continued trust and support in GHCL.

I'll now hand over the call to Raman to walk through the financial highlights.

Raman Chopra: Thank you, sir. Good evening, everyone, and a warm welcome to our earning call for the fourth quarter and year ended 31st March, 2025. We reported strong results on the back of operating excellence, innovation and cost control measures. This has resulted in better margins and higher profitability.

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GHCL has very consistently delivered on performance parameters. As I share financial highlights with you, I wish you to bring in certain insights into how we maintain this momentum. Revenue for the quarter came in at INR807 crores as compared to INR840 crores in the corresponding quarter of the last year, at INR807 crores compared to Q3 of this year. The operating revenue was affected by global scenario and cheaper imports into India, putting pressure on our realizations. As we progress into FY '26, we'll see contribution coming from our vacuum salt and bromine initiatives, which truly is a testament to how we have leveraged low incremental capex to create a positive value addition delta.

EBITDA for the quarter stood at INR244 crores compared to INR201 crores in Q4 of last year and INR259 crores in Q3 of this year. EBITDA margin came in at strong 30.2% compared to 23.8% in Q4 FY '24. For the full year, EBITDA came in at INR966 crores, which is an increase of 7% year-on-year. Our margins remained resilient due to higher production, operational efficiencies and innovation resulting in reduction in input costs. I'll highlight here that it is by design that we are able to focus on profitability through adverse and normal cycles alike due to prudent approach to business and operations management.

PAT from for the quarter increased to INR152 crores from INR125 crores in the corresponding quarter of last year and INR168 crores in Q3 of this year. For full year, our PAT came in at INR626 crores, which is an increase of 9% over last year.

Also for the full year, we generated INR725 crores in cash profit after tax. Out of this, we spent INR311 crores on growth capex, INR114 crores on dividends to shareholders and INR101 crores on repayment of loans, while the working capital increase and others were a nominal INR17 crores, resulting in a net cash generation of INR182 crores.

We have a strong balance sheet with cash and investment of INR1,080 crores as at the year end. This is a strength that we have always maintained and forms the basis behind our execution on capex and operational excellence. The business runs on a lean working capital cycle, and together with proactive management of liquidity, we are able to sta

y financially agile. The

business has an attractive headroom for growth, and I believe with our announced and planned initiative, that we are on the right path.

With this, I conclude my comments and would now request the moderator to open the forum for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please proceed.

Aditya Khetan: Sir, my first question is, so when we look this quarter margins have been relatively better when we look on Y -o-Y basis...

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Moderator: Hello? Sorry to interrupt, sir. It seems like the management's line has got disconnected.

R.S. Jalan: No, no, no, we are listening. No, no, we are listening.

Moderator: Okay.

R.S. Jalan: Yes, Aditya, go ahead.

Aditya Khetan: Yes, sir. Sir, my question was, sir, we had seen that the margins have been relatively better when we look on Y -o-Y basis, and this is largely because of the lower raw material cost. Any idea, sir, you can give in terms of cycle today where we are in terms of the soda ash? And how you see demand outlook going ahead? And also with new capacities in Inner Mongolia of soda ash coming in, has that capacities being well absorbed by the market?

R.S. Jalan: Yes, Aditya, there are 3 questions in what you have just asked. One is that margin is better and how do we look at that going forward. Like in my opening remarks and my CFO's opening remarks, we have said that our major strength is on the operational excellence. In spite of a very challenging year last year, we have been able to deliver the better results primarily because of the operational excellence. And that will be a kind of a situation we'll continue and this journey we'll continue.

In terms of the outlook for the market, I have already said in my opening remark things are uncertain at this point of a time. You know that geopolitical situations are uncertain at this point of a time. China demand is also slowing down. And so overall, at this point of a time, in a shorter period of time, it is very difficult to say how the situation will pan out to be.

Your third question was Inner Mongolia. Inner Mongolia has been absorbed in the '24, '25 itself. The volume has been there in the last year, and that has been absorbed because of the 18% demand growth in China, which happened in '24, '25 -- in calendar year '24.

Aditya Khetan: Got it. And sir, in terms of cycle -- like I believe because of the decline in prices of soda ash, I believe the cycle has been tilted downwards. Any idea, sir, like when we look in the last 10 years, when we are -- so where we are standing in terms of the cycle?

R.S. Jalan: Aditya, if you look at last 10 years, 15 years of the data, I can only tell you how the situation has been happened in the last 14 years, 15 years. In that, what we have seen is that soda ash prices on an overall basis has gone up around 7% to 9% broadly, right, 7% to 9% on a CAGR basis, okay. And EBITDA per ton has also gone up.

In terms of this situation, which is currently where are we at this point of cycle, very difficult because of geopolitical situations. And therefore, I would not like to comment on that, how -- whether on the -- what stage of the cycle we are.

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But if you look at -- there are 2 things I just want to highlight again and again. See, what is our strength? See, market dynamics will keep on changing, sometimes good, sometimes situation will be different. However, our excellence or the demonstration which we have done as a management is operational excellence. And in spite of such a challenging period of last year, '24, '25, we have been able to give a better result than the '23, '24. So that journey will continue for us.

Aditya Khetan: Got

it. Sir, on to the bromine and salt. How is the work going on? Since we have acquired that land, are we able to get the desired quality of salt and bromine like what was required? And how are we planning to tap the customers in this space?

R.S. Jalan: See, in terms of bromine, we are doing this bromine, current bromine, which is likely to be commissioned in FY '26, is on the existing salt field, and that project is going as per the schedule. Likely production, means commercial production, will start in third quarter. Vacuum salt also likely to be in the third quarter, and that is also happening on the current plant what we have. So these are the 2 investments which are under implementation, and that will get -- the benefits will start coming in FY '26.

Aditya Khetan: Got it. Sir, just one follow-up on this. Sir, recently in 2025, some new salt players have also entered the market. How you see the competitive intensity going ahead? So we have also done -- we have also outlined a INR350 crore s capex into the Zara Zumara plant. How do you see competitive intensity? Once our plant production also starts to kick in, how things will behave?

R.S. Jalan: See, Aditya, this Zara Zumara which you mentioned, this is a new greenfield -- new area which has been allotted to us for normal salt, which will be used for our own internal consumption on the new plant which we are setting up, including some of the volume will be coming to the current location also. And this will definitely have an advantage over what we are buying from the market because this will be our own source.

Aditya Khetan: Okay. So that would be captive used. Okay.

R.S. Jalan: Correct.

Moderator: The next question is from the line of Madhav Marda from FII.

Madhav Marda: Just wanted to understand on a couple of areas. One was, could you give us some sense on how much new capacity of soda ash is expected to come in the next 2 years in different markets, including China, U S, Turkey, etc.? So if you could give us some sense there? That's my first question.

R.S. Jalan: See, a couple of things, Madhav, which is happening because of this geopolitical situation and because of the demand being -- all those projects are getting now reworked and are getting delayed. Even yesterday also, we got a feedback that in China some of the plants which were

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supposed to commission in next year has been kind of postponed. One of the plants, which was a Poland plant, which has also announced to be closed. So all this change -- because of the economic situation some of the change is happening.

And enough capacity has been built in '23 and '24. But still, I think if you look at globally, in spite of such a low demand, still you require roughly around 2 million tons of extra volume. Even if you take 2%, 2.5% of the global growth, you require 2 million tons of the soda ash extra every year.

Madhav Marda: Okay. So currently, you're saying even if there was a project which is very advanced in the construction, there's no new expected commissioning in the next 12 months globally?

R.S. Jalan: Sorry? Madhav, can you repeat your question?

Madhav Marda: No, I'm saying if there was any project which was in very advanced stages, there is no new capacity expected to come online in the next 12 months?

R.S. Jalan: I'm sorry, Madhav, I'm not being able to hear you properly.

Madhav Marda: No, I'm asking some projects might have been very advanced in their construction. Do you expect any new plant to be commissioned in the next 12 months globally, any soda ash new plants which can come in the next 12 months?

R.S. Jalan: Yes, roughly around -- yes, 2 million, 3 million tons of the plant -- 2 million definitely will be coming if we look at across the globe. China will be roughly around 1.1 million tons and other China -- rest of the world will be around 0.9 million. So r

oughly around 2 million tons.

Madhav Marda: 2 million tons. Okay. Got it. And then also wanted to check on your outlook for soda ash pricing in the coming year. Any sense in terms of how the pricing could trend given there has been some demand softness and I think some bit of extra exports of soda ash from markets such as US into Asia? So do you expect some softening on soda ash prices in the next few quarters?

R.S. Jalan: Madhav, like I said, it is very difficult at this point of a time to kind of predict what will happen. But yes, like I said, China is softer. Globally, Europe is also softer. Even US demands are also not picking up. So the prices will be softer.

Madhav Marda: Okay. Got it. And the last question was on the -- there was a minimum export price which was in place in India. I think that is up for revision next month, if I'm not wrong. So any views on that? Do you expect that to be re-implemented? Or how could that policy continue?

R.S. Jalan: See, Madhav, we -- definitely, the industry will apply for the extension of that, and we will definitely try that gets extended. But in a real sense, the major benefit out of that minimum support price, I don't know whether any major benefit has been accrued because of that. Industry

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is also trying for the ADD, anti-dumping duties. Application has been filed. The matter is under investigation. So the industry's focus will be definitely to get some government support on that.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations on your results in such a tough environment. So when you mentioned that China had absorbed the entire capacity in Inner Mongolia, are you basing that on the full utilization of that 5 million tons which has been started in Mongolia? Or was it operating at just 25%, 30%, which is what we had heard last time? So what is the capacity that has been absorbed in terms of the installed capacity there?

R.S. Jalan: So Ramesh, definitely, as per our understanding, they were almost fully utilized during the last year. And like I said, last year, they have a huge demand from the solar and lithium carbonate, and -- 18% demand growth on such a big number. And because of that, they have been able to absorb the entire quantity. However, this year, '25, the demands are a little softer and maybe slightly negative could also happen because of the geopolitical situation. So that could lead to some kind of a surplus in China.

S. Ramesh: Okay. So in terms of your fourth quarter performance, it looks like you've been able to improve your gross margins. So is there any carryover of low-cost inventory? Or have you been able to get some improvement in your higher-value products? How do you explain this improvement in gross margin?

R.S. Jalan: I have already said, Ramesh, in my opening remarks that operational excellence, there are a lot of innovations, a lot of, what you call, optimization of our resources, efficiency of the plant.

These are the things which were the highlight of '24, '25. And because of that, we have been able to generate -- in spite of such a challenging pricing pressure, we have been able to deliver the better price. It is not because of the low-price raw material. It's primarily because of the efficiency in our system.

S. Ramesh: Okay. So in terms of your plan to expand your soda ash capacity, given the current excess capacity and the pricing pressure, you don't have any second thoughts in terms of the timeline?

You may still go ahead. Is there any thoughts in terms of possibly staggering there in terms of execution? Or would you stick to the current timeline and allocate capital for that?

R.S. Jalan: See, Ramesh, like I said, we are very bullish on what we are doing. We are really bullish on what we are doing and the way we are doing, okay? Our ability to have the b

est capital

investment or the lowest capital investment per ton of soda ash, our operational excellence, and these are the things which are permanent in nature.

The market dynamics will be slightly up and down, and this will be transitional. And therefore, our understanding is these projects are all long-term projects. We are talking about 100 years of -- these projects get set up -- or the life cycle of these projects are 100 years.

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I think in terms of the overall plan for the company, we would like to be proud of what we are doing in terms of operational excellence or the way we are spending the capital. On the second side, we are also allocating the capital on the area, like I said, bromine, vacuum salt. Those allocations are also being done to kind of optimize on that area also. So we will continue to kind of focus on our investments.

S. Ramesh: Okay. On the Indian demand, if you look at the end-use segments, automobiles are facing a slowdown. So do you see that reducing the pace of growth in soda ash demand this year? How do you read the different segments of growth in India for soda ash?

R.S. Jalan: See Ramesh, I'm looking at the other way around. If you look at the solar glass, we are seeing the solar glass there is a huge demand which is likely to happen in '25-'26, and major benefit will be coming in '26, '27, okay? A lot of new -- you know that in the solar government has given the ADD advantage, the duty of 10% has been re-imposed, and a lot of new investments are getting -- Borosil is investing, Visaka is investing, Reliance is investing.

And there is a likely significant demand of -- is coming. And frankly speaking, this -- even if you look at like your normal glass, normal glass also are doing good in India. Even detergent is also -- there's 3% to 4% of the growth in detergent because of the rural population's growth or the urbanization which is happening.

So my sense is -- 15 years, 20 years if you look at the growth of -- 5% was a very normal growth.

So we are looking at growth more than this 5% going forward.

Moderator: The next question is from the line of Nasir Hussain from Fintrek Research Advisors Private Limited.

Nasir Hussain: I just wanted to know what are the volumes that we have sold for FY '25?

R.S. Jalan: See Nasir, in terms of the volume, I have already said in my opening remarks that the volume was in line with what was the last quarter. And if you look at as compared to the last year also, our numbers was in line with the -- slightly better than the last year.

Nasir Hussain: Could you just give a number figure, sir, if possible?

R.S. Jalan: Nasir, number we specifically don't talk. I can only give you the sense of what -- the number growth. In the FY '24 versus '25, our growth in the volume is around 9%.

Nasir Hussain: Yes, that will help. And in terms of capacity utilization, we should be above 95%. Is that right...

R.S. Jalan: Yes.

Nasir Hussain: On an annual basis?

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R.S. Jalan: Yes.

Nasir Hussain: Just another question. So our expansion into -- sorry, our commissioning of vacuum salt as well as bromine, are they on schedule? Or is there going to be any delay? Could you throw some light on that?

R.S. Jalan: That -- as I've just said that it is likely to be in the third quarter of '25, '26, and they're going as per the schedule.

Nasir Hussain: Both of them, vacuum salt as well as bromine?

R.S. Jalan: Yes, both of them.

Moderator: The next question is from the line of Akshay Kothari from Envision Capital.

Akshay Kothari: Sir, could you attribute the reasons why our capex per ton is one of the highest? I understand it's a greenfield capacity. So just wanted to understand, would there be more scope of expansion above 11 lakh tons in the same plant?

R.S. Jalan: Yes, Akshay, our ultimate vis

ion of that location is 2 million tons.

Akshay Kothari: Okay. And sir, can you...

R.S. Jalan: Depending on the demand.

Akshay Kothari: Sorry?

R.S. Jalan: I said that growth of that going up to 2 million will be gradual. It will happen depending upon how the demand takes place. Gradually, we will do it.

Akshay Kothari: Okay. And 4,500 would be spent for first 5,50,000 and then 2,000 additional for the next 5,50,000. Is that right?

R.S. Jalan: The total number...

Raman Chopra: It's around INR6,800 crores.

R.S. Jalan: INR6,800 crores. And out of that, roughly around as you rightly...

Raman Chopra: INR4,200 crores ...

R.S. Jalan: INR4,200 crores in the first phase and the balance will be the second round.

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Akshay Kothari: Okay. And sir, can you just give a brief about how much is the U S overcapacity at this point of time? If you have any numbers, it would be great.

R.S. Jalan: See, U S capacity is always -- or US production always largely depends on the export, because they are consuming only around 40%. 40% of their production they are consuming themselves, and the balance 60%, they are exporting. And their major market is primarily Southeast Asia, Middle East and South America and things like that. India also they export some quantity to India as well.

So at this point of time, in terms of the overcapacity, I would say that I will not be able to call that as an overcapacity, that they continue to sell this product, and depending upon various markets, they keep on kind of doing the export to those markets.

Akshay Kothari: So is it because the Chinese capacity has come online? So China is importing less from US Is it like that?

R.S. Jalan: China has not been importing anything from US in the historically, except in the FY '24. Some volume had gone to China, which had got -- now not likely to go this year.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Sir, firstly, when we look at our P&L line item other expenses, we find a sequential increase from INR127 crores to INR140 crores. So what explains this 10% Q -on-Q increase?

R.S. Jalan: Saket, there are 2 part of it. One part is that because if the volume goes up, proportionately many costs goes up. And the second is that some of the -- quarter -on-quarter what happens is some of the cost gets provided in the last quarter, and that is the -- if you look at on a year as a whole, you will find that our costs are similar to last year. Raman will brief you.

Raman Chopra: Saket, if we look at -- like Mr. Jalan said, for the year as a whole, our costs are higher by INR13 crores, INR14 crores. That is purely relating to volume increase and some CSR, a couple of crores. So that is that, nothing beyond that.

On a quarter -on-quarter basis, year -end provision that we have to do. And 2 areas where the cost is slightly higher, one is insurance and one is forex . Because last quarter, there was some refund of around INR3 crores in insurance. So that impact is there, which is not there this year -- this quarter.

Last quarter, there was a forex gain of around INR2 crores. This quarter, there is a dent of around INR2 crores. So that INR4 crore extra delta is there. So these 2 impact is around INR7 crores, INR8 crores. Other than that, it is normal year -end provision that are there. I hope I'm -- I've covered both year -end as well as...

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Saket Kapoor: Yes, Ramanji. Ramanji, INR311 crores is the capex that we have done. Can you provide the breakup, where all this money has been invested?

Raman Chopra: Just a second. I'll just open that. Yes. I'll give you a brief overview. On the growth capex , we have spent around INR180 crores. That covers greenfield, vacuum salt, bromine and Zara Zumara. And then on the existing plant, the remaining

figure has been spent, of which largely is

seawater pipeline and compressor. And some expenditure has been done on salt drilling.

Saket Kapoor: Okay. And Ramanji, you mentioned that the benefits for MIP has not been accrued, I think some statement on that. So can you please elaborate how have MIP helped the industry as a whole and company also? And also how are the imports been for this quarter and for the year?

R.S. Jalan: See, overall -- MIP, I just said, the benchmark price which has been set up there, that is -- okay, one advantage definitely we got is that it has become a floor price. However, the prices overall

is slightly better than the MIP price, okay? That is number one. In terms of the import, overall this year, it's slightly lower than the last year. I think roughly around 30,000, 40,000 tons is lower than the last year.

Saket Kapoor: Okay. 30,000, 40,000 tons. But taking into account the scenario which you are currently pencilling in, in terms of the lower demand outlook for the current financial year, do you think that the pressure will again be re-emerging going ahead in terms of more imports? I think some capacity in US is also expected, around 5 million tons, to be commissioned next year in the natural soda ash. So what should be your understanding?

R.S. Jalan: I don't think 5 million tons capacity is getting added up next year. It will take another 3, 4 years of time. And the second is that in terms of the outlook going forward -- see, please understand on one side, there will be a demand growth also in India. Even if you take the number of 5 %, we require 200,000 tons of extra volume.

Saket Kapoor: Right. So that is clear...

R.S. Jalan: So obviously, we will have all those kind of a competitive advantage to kind of taper down on the import. Let's see how the situation pans out, but our efforts will always be to kind of not lose any volumes.

Saket Kapoor: Okay. Two concluding remarks, sir. You mentioned that from Q3 onwards, our both the growth projects of vacuum salt and bromine will come. Then for the first half, we are almost flat in terms of any incremental volume benefit because everything is now flown into the system in terms of the volume. That understanding is correct, sir?

R.S. Jalan: Sorry. Can you repeat first half?

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Saket Kapoor: Sir, as you mentioned that from Q3 only our vacuum salt and bromine projects will get commissioned, and we are running at optimum capacity utilization level. So for the first half, we do not see any volume growth. The first half looks flat in terms of we getting any volume growth.

R.S. Jalan: I think so. Yes, you're right.

Saket Kapoor: Okay, sir. And lastly, sir, we also made provision for some INR50 crores for our new office. Have we anything on the same? What's the timeline we have set for that?

R.S. Jalan: Yes, we are taking an office in Ahmedabad, a new office in Ahmedabad. And the work is going on that. And last year, I think we've spent INR20 crores on that.

Saket Kapoor: INR20 crores already we have spent?

R.S. Jalan: Yes.

Saket Kapoor: Right. Last point was, sir, you have always been cautious and being guiding us as per the market position is, sir. Taking into account the Chinese part of the story where they are the dominant player, sir, can we take into account that the EBITDA numbers which we have been displaying for the last 4 quarters, that we have been very consistent, that can be -- given the variability, that can be a base on it? Or we can -- there is also a chance of the same declining? I think so given the current price scenario, what should investors be pencilling in going ahead, sir?

R.S. Jalan: I think, Saket, I have already very clearly articulated on this, that the way the global economic situations or the geopolitical situation is there, anything predicting will be very tough at this point of time. And

I have already said that our strength lies on excellence. What we can do, we are doing the best. You have seen -- you are our investor for a long period of time.

You have seen that we have demonstrated our ability of, what we call, cost optimization, efficiencies in every area, be it production, procurement, utilization, plant efficiencies, plant -- all those things. And we will continue. And that's a permanent benefit which we get. In terms of the market outlook, it can be kind of ups and down. But definitely, this benefit which we are accruing is the ultimate value driver for any organization, and that we are continuously doing.

Saket Kapoor: Congratulation to the Board for declaring 120% dividend, maintaining the dividend payout, taking into account -- looking after all your stakeholders as has been the vision been.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang.

S. Ramesh: So when you refer to the demand from solar panel glass, while the potential is there, last year in the Soda Ash Conference, it was mentioned there is a lot of excess capacity for solar panels and photovoltaic cells that's already built in China. So to the extent that there could be a time lag in

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terms of the incremental demand for soda ash material, whether it's in India or overseas, what is the actual consumption of soda ash in solar glass that you can share with us in FY '26 and '27

for additional glass manufacturing for solar panels, if I may ask?

R.S. Jalan: See Ramesh, if I can say at this point of time, currently, the plant which is already running, there is around 11,000 tons of the soda ash demand per month, okay? And that will likely to be doubled in '26, '27. That means we are talking almost around 1.23 lakh tons of extra volume coming in '26, '27. Because the plant which has already been announced by the various stakeholders in India, that extra demand of 1.23 lakh tons will be coming in '26, '27. Some of that, maybe 50%, will be coming this year, '25, '26, and the balance will be coming in '26, '27.

S. Ramesh: Okay. And in terms of capacity rationalization and your own thoughts on inorganic acquisitions, do you see a lot of -- or do you have any line of sight in terms of any soda ash capacity closing down globally? And are you looking at acquisitions based on your current cash flows and internal generation?

R.S. Jalan: See Ramesh, in terms of -- in Poland, there is a plant of 6 lakh tons which has already been announced to close, okay? And like I said, some of the plants which was likely to be commissioned or which were under the planning, including the U S, are all getting postponed. So therefore -- of course, we have not heard any other plant to be closed. But I have also said the Chinese prices, which at this point of a time, are below the cost. So obviously, that will hit their bottom line also, and ultimately, that will lead to kind of either their lower capacity utilization or new capacity not coming in. So this balance out will happen.

S. Ramesh: And any thoughts on inorganic acquisitions?

R.S. Jalan: Not, Ramesh, because we are not looking at any acquisition outside India. And I've been just told -- I don't know whether -- to what extent -- this UK plant, one of the competitors of ours, they have also announced to close 4 lakh tons -- or they have already closed this plant.

Moderator: Ladies and gentlemen, I take that as the last question. I would now hand the conference over to the management for closing comments. Over to you, sir.

R.S. Jalan: Thank you very much. Like I said in my opening remarks, we'll continue to our journey on excellence, and we really believe that we are doing what we are supposed to do in terms of the operational excellence. We have done a good job in '24, '25, and we'll continue this journey. Your support will definitely encourage us to do this journey going forward. Thank all of you for your support.

ourney going forward. Thank all of you for your support.

your support.

Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 6, 2025 ■■■■– ■■■È■ ■¢, ■■■■■■
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National Stock Exchange of India
Limited
“Exchange Plaza”
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Code: GHCL
BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring, Rotunda Building, P.J.
Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Code: 500171

Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on August 1, 2025

In continuation to our earlier communication dated July 19, 2025 and July 31, 2025 regarding Investors' conference on August 1, 2025 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on August 1, 2025 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

Bhwneshwar Mishra
Vice President - Sustainability & Company Secretary
(Membership No.: FCS 5330)

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“GHCL Limited
Q1 FY '26 Earnings Conference Call ”
August 01, 2025

MANAGEMENT : MR. R.S. JALAN – MANAGING DIRECTOR
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER
AND EXECUTIVE DIRECTOR , FINANCE
MR. MANU JAIN – SR. GENERAL MANAGER , INVESTOR
RELATIONS AND FINANCE

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL SERVICES

GHCL Limited
August 01, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to GHCL's Q1 FY '26 Earnings Conference Call, hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Vora from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Meet Vora: Thank you. Good afternoon, everyone. Thank you for joining us on GHCL's Q1 FY '26 Results Conference Call. I would like to welcome the management and thank them for giving us this opportunity to host them. We have with us today Mr. R.S. Jalan, Managing Director; Mr. Raman Chopra, CFO and Executive Director of Finance; Mr. Manu Jain, General Manager, Investor Relations and Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward-looking, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I shall now hand over the call to the management for their opening remarks. Thank you, and over to you, sir.

Ravi Jalan: Thank you, Meet. Thank you very much. Hello, everyone. Welcome to GHCL's earnings call for the first quarter ended on 30th of June 2025. Our results and investor presentation has been uploaded on the stock exchange. I would now like to share some of my thoughts about the global soda ash scenario, domestic scenario as well as the GHCL performance.

First, let me take the global scenario. Overall, globally, the demand is muted and there is an oversupply situation. Prices are under pressure worldwide. Global uncertainty because of the tariff and other geopolitical situation are uncertain.

In last 2 years, 10 million tonnes of the soda ash capacity has been added, mainly led by China. And this year, 1 million has been added. Of course, 1 million has been closed in the Europe also, and there is a likely chance of 1 million further getting added in the remaining period of this calendar year '25.

U.S. demand and Europe demand are volatile, whereas in China, the demand last 2 years has been very robust. In '23, the demand growth was 10%. In last year, '24 calendar year, it was 18%. However, current demand in China is muted, almost flat.

The second point which I want to highlight here is that at this point of time, across the globe, and I would more specifically talk about China and other parts of Europe, the synthetic soda ash

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producers, they have not been able to cover their cost - cash cost on the prices which they are selling.

So this also indicates that there is a small risk of synthetic soda ash plant, small synthetic soda ash plant with a high cost at the risk of closure. Our understanding at this point of time globally is at least next 2, 3 quarters is going to be challenging. And U.S. -- of course, on the other side, the U.S. economy is looking good. And further clarity will come once your tariff clarity comes into the situation.

Now come to the Indian scenario. Indian demand of soda ash growth has been good last year as well. And in this first quarter also, the demand growth is good. We expect the demand growth in this year should be around 5% to 6%. And as you all know, solar is one of the contributing factors in that.

However, because of the global oversupply situation and price under pressure, overall, the market is oversupplied. Even some of the domestic players has also added some of the capacity and both this put together high import as well as the domestic production increase, overall, there is

an oversupply in India.

And as per our understanding, initial understanding at this point of time is, '26 -'27 is likely to be

a challenging year. Our understanding for the Q2 for us looks to be challenging. Of course, because one is the [sustainability] and second is prices are going to remain under pressure. However, slight change in the global scenario can change the domestic scenario as well. Now let's talk about the GHCL. As I said, GHCL has also got impacted because of the oversupply -- overall supply situation and the market price. However, because of -- in spite of this, I just want to say that in last 2 years, '23-'24 versus the current scenario, the prices have dropped by 19%, whereas our bottom line has been impacted less than 5%. This shows that the gap of this has been -- we have been able to cover by 2 -- mainly by the 2 reasons. One is the internal efficiencies which is around 50% of the benefits, and the balance 50% is the price drop in the raw material.

This internal efficiency, which we have been able to build has definitely is going to be sustainable, and this will give us a huge advantage going forward once the market situation becomes a normal situation. Our USP in GHCL, we have a customer serviceability as a uniqueness in our supply chain, our strategic arrangement with the customers, our cost optimization, which I just mentioned to you and innovating and building raw material efficiencies, each one of the USP we have. And as you all know, the balance sheet, we have a strong balance sheet.

We believe that these cycles of soda ash will -- we have seen in the past also, and we believe that we will be able to sustain this cycle very efficiently. And once an upside happens in this,

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definitely, this will give us a huge advantage going forward. So far as the future prospect is concerned, I mentioned about the market outlook. In addition to that, as you all know, that we are focused on product diversification growth, sustainable and future financial prudence for the GHCL.

Looking forward, we are very optimistic about India. Soda ash demand is likely tied to India's robust growth story. As our economy grows, so will demand in the core sector like detergent, glass will also grow. We also see accelerated growth coming from new solar glass facilities, which is a key part of India's green energy mission. Our strategy at GHCL is about decisively building that what comes next.

Our diversification and growth plan updates our agenda - our initial bromine and vacuum salt projects are underway and likely to be commissioned in FY '26. Greenfield projects are also moving in this thing. Long-term strategic investments, this greenfield project represents our long-term strategic investments and will deliver significant operational and financial gains. These projects are the pillar of our growth. These initiatives have been thoughtfully designed to reinforce GHCL performance across market cycles. For our people, we are a great place to work for the ninth year in a row. We are very bullish and confident on what we are doing. We have achieved significant operational efficiencies.

While challenging time is there and is likely to be there for a few quarters, but our operational efficiencies and diversification will be permanent for our benefit. We remain committed to creating sustainable value for our shareholders through strategic foresight and consistent execution. Thank you for your continued trust and support in GHCL.

Now I hand over the call to Mr. Raman for his financial update.

Raman Chopra: Thank you very much, sir. Good afternoon, everyone, and a warm welcome to our earnings call for the first quarter ended 30 June 2025. We have shown consistency in delivering a performance on the back of our operational excellence and manufacturing efficiencies, despite the unfavorable market pricing trend at

the industry level. As I share financial highlights with you, I wish to share certain insights.

Revenue for the quarter came in at INR823 crores compared to INR849 crores in the corresponding quarter of the last year and INR807 crores compared to Q4 of the last year. Although the MIP mechanism has been extended till the end of the year, Q1 reflected the impact of cheaper imports. As we progress into FY '26, we'll see revenue diversification and contribution coming from vacuum salt and bromine initiatives.

EBITDA for the quarter stayed within a range of INR225 crores compared to INR235 crores in Q1 FY '25, and INR244 crores in Q4 of the last year. EBITDA margin remained trend on a Y-on-Y basis at 27.3% compared to 27.7% in Q1 of last year. On a Q-on-Q basis, the EBITDA

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margin showed a decline of 290 bps, reflecting a reduced spread between realization and

seasonality, which was partially mitigated by our focus on operating efficiencies.

I will highlight here that it is by design that we are able to focus on profitability through cycles due to prudent approach to business and operational management. Our savings on raw material prices -- raw materials are sustainable and will continue to give benefits.

PAT from the for the quarter decreased to INR145 crores from INR151 crores in the corresponding quarter of the last year, and INR153 crores in Q1 of the last year, thus demonstrating our ability to realize savings in overhead costs and mitigate the impact on profitability due to softer realizations.

For the quarter, we generated INR191 crores in cash profit after tax. Out of this, we spent INR121 crores on growth capex, including bromine and vacuum salt. And INR12 crores on the repayment of loans, while the reduction in working capital by INR4 crores, resulting in a net cash generation of INR63 crores.

Our balance sheet remains strong with INR1,142 crores in cash and investments at the quarter end. This financial agility is the base for our strategic CapEx execution and operational excellence, supporting significant growth headroom. Leveraging this robust position, we are proud to have paid dividend of INR115 crores on July 24. Uniquely, in India, this payout coincided with our AGM, demonstrated our unwavering commitment to immediate shareholder value. GHCL is firmly on the right path for continued financial strength and growth.

With this, I conclude my comments. I would now request the moderator to open the forum for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nigel from Leo Capital.

Nigel: What are the key sources of our cost advantage? And how would our cost compare versus peers in India and globally in synthetic soda ash? And how much cheaper is natural soda ash to make?

Ravi Jalan: Yes. Mr. Nigel, 3 things you have asked. One is what are the lever of our cost optimization. Second is how do we compare with the local players? And the third is, how is this compared with the natural soda ash. Am I right in understanding?

Nigel: Correct.

Ravi Jalan: Yes. So first and foremost, on the internal efficiency, which I spoke about, is primarily driven by the 2 things: How effectively you use your raw material? And how -- if I can define this in this way, that how much value out of that raw material you can generate or how do you reduce GHCL Limited

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your wastages in the entire process is one of the USP we have, either be it a salt, be it a limestone or be it all energy and everything. Our efficiencies and our utilizations are the best-in-class.

In terms of the peer, I don't have a number of the peer. And therefore, I will not be able to comment on that. Coming back to the third point of your natural soda ash. In natural soda ash, if you look at in terms

of the -- at the location where it is getting produced, it is definitely going to be cheaper.

But if you compare that landed to the consuming center, the gaps are going to be reduced significantly. We just compared some time back, we compared that with a new natural soda ash plant is being produced and if you take all the cost, all cost of means capital cost, depreciation and everything, I think we are -- the synthetic soda ash in India will be competitive to them as well. I hope I've been able to answer your question.

Nigel: Yes. Got it. And if I can squeeze in another question. By when do you expect Phase 1 and 2. Phase 2 of the new soda ash plant to be operational? And how will the cost structures be in this new plant versus our existing plant?

Ravi Jalan: See, Nigel, very rightly, you said, first and foremost, as you know, that any new large-scale plant when you set up, you do face some challenges, okay? In the past also, we have faced some challenges and some small challenges are still continuing there. Hopefully, we are expecting that both Phase 1 and Phase 2 gets commissioned in the next 3 to 4 years of time. So it is going to take some time. That's number one.

Coming back to the cost when you spoke about the cost competitiveness, of course, initially, the interest and depreciation cost will be on the higher side. However, if you look at the operating costs, operating costs are definitely going to be much better than even the current location what we have because we are using a lot of new technology, if I can say so, the way we are designing the plant, definitely, the cost competitiveness will be better for us in the new location.

Nigel: If you have to quantify, sir, by how much do you think our opex cost in the new plant would be compared to our existing one?

Ravi Jalan: I don't think, Nigel, I will be able to comment on that at this point of time, but I can only tell you that it's going to be definitely much better than the existing plant. And then the second thing is I can only tell you the ballpark number that IRR on this new investments will be in the range of

around 18%, 17% to 18% kind of a number will be there on the new plant.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Firstly, sir, just to take forward the previous participant question on the new asset. Firstly, I'm audible, sir?

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Ravi Jalan: Yes, you are audible.

Saket Kapoor: Sir, on the greenfield asset, how much have we spent as on date? And what do we envisage or budget for the same for this financial year?

Ravi Jalan: See, Saketji, at this point of time, tentatively, we have spent around INR160 crores to INR180 crores. Broadly, I'll just give you the number. And we are not expecting a very significant amount of expenditure during the current year balance period. Maybe marginal, maybe INR10 crores, INR20 crores can be there. The major spend on this will happen when the physical activity starts, maybe '26, '27 onwards. However, again, the larger portion of that investment will be on the back end of the commissioning of the plant.

Saket Kapoor: Since you mentioned about 2029 -'30, we will be ramping up to the Phase 1 and Phase 2. So what should be the gap between Phase 1 and Phase 2 commissioning? Because we have given a cumulative number now that by 2030, the 1 million tonne capacity will be ready to -- on stream. So if you could just give the gap between them.

Ravi Jalan: Yes. So Saket, I just want to give you some -- before I answer this question, let me give you one perspective what we have. First and foremost, India is still an importer of around 1 million tonne. The second, Indian demand growth, the way we are seeing or the way historically, you requires 2.5 to 3 lakh tonnes of the extra volume every year. You can imagine the next 5 years, you will require another

1 million tonnes. That means the overall gap is around 2 million tonnes. And this I'm talking about only on the numbers, which are the conservative in a way, I would say that.

Now even if I take other players growth into the account, we are clearly seeing a significant amount of gap between the demand and supply. Keeping that into mind, the Phase 1 and Phase 2 gap would be very minimal. We have a gap of only 1 year. First, we complete that. And immediately, we start the process for the second this thing, and we try to complete both in a gap of 1, 1.5 year kind of a thing. I hope I've been able to answer your question.

Saket Kapoor: Yes. Sir, in the presentation, which has been revamped very well and kudos to the team for elaborating all aspects. Sir, the MIP part has been mentioned and not only you, but the other major player has also mentioned that MIP has not yielded the desired results.

So if you could just explain what was anticipated from the introduction of MIP and now with the extension? And how are -- how is this MIP extension going to change or affect the margin and the import trajectory going ahead?

Ravi Jalan: First and foremost, as you rightly said, Saketji, we have mentioned in our presentation, MIP has been implemented, has been extended, but we did not get any significant advantage out of that.

We are not seeing at least significant advantage.

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The second thing, which I said in my opening remarks, we personally believe the softness has happened in the soda ash prices, maybe slightly more, may likely to happen in the next 1 or 2 quarters. But we don't see a very significant amount of drop beyond that.

Keeping both these things into account, I would say that you can assume very well that overall, you don't see a very big down cycle in the soda ash going forward. Whether this MIP will in the future will give some benefit or not, we don't know. We are also pursuing the antidumping duty. Let's see what happens to the antidumping duty as well.

Saket Kapoor: Yes, sir, I was coming to that. On the antidumping duty part also, I think some -- whatever is available in the public domain, there was some meeting that concluded sometime in the last week of July. So are the results awaited, the permissions being done by both the parties? Or what is the latest on the same? And when can we hear something on that?

Ravi Jalan: Meeting has been done where all the stakeholders has been called. The authority has listened to all of them, and they are taking a view on that. As you know, that the antidumping duty has a process, and that will take, what you call, some time. And once the results are known, we will definitely share with our shareholders.

Saket Kapoor: Right, sir. So sir, just to -- going ahead, as you have very well articulated in your opening remarks. So this 300 basis point reduction, which we have seen in the EBITDA margin Q-on-Q,

that will -- that is another mix of some more margin compression that we are expecting going ahead?

And also, how do H2 shape up in terms of now the bromine and the industrial salt getting being commissioned? And what -- how well are we prepared to commercialize or sell these 2 new products going ahead? What is our preparation for that?

Ravi Jalan: So Saketji, 3 things. One, as you rightly said, second quarter and the '25, '26 numbers, as I mentioned in the opening remarks also, Q2 looks to be challenging. Maybe some price drop will be likely to happen in the 1 or 2 months. That -- and second is the seasonality. So definitely, Q2 number will be a little challenging. How much it will be? We don't know right now because the market is very volatile.

The second, you said about the new product. As I said, new products are likely to be commissioned in this year, '25 -'26 and the second part of the -- late second part of '25 -'26. And we are well prepared in terms of supply chain and things like that. But these are the 2 projects

which are new for us. We are entering into this, which has a long growth story for us, and we are very carefully nurturing these 2 projects. And definitely, you will see the major advantage of this coming in '26 -'27.

Saket Kapoor: And last point, sir, if I may, when I join the queue was regarding the China participation in the global soda ash space. Earlier, sir, as you mentioned and as we have seen that China was

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consuming the -- all the enhanced capacity from the new natural soda ash which they commissioned. And there were very less material that was getting floated in the other geographies.

And taking now into account the recent hearing that China is carrying a huge inventory closer to 1.8 million or 1.9 million tonnes, what are your understanding that the threat of Chinese material now coming and putting more pressure is more the likelihood than the reversal?

Earlier, I think so the domestic demand there was well to take care. And lastly, sir, the green energy participation from the country -- our country, India, how much of our total sales is currently moving towards this -- the solar glass manufacturer, sir? And what kind of uptick we can expect?

Ravi Jalan: Saketji, first and foremost, China scenario. There are 3 things which I would like to add. One, as I mentioned, the China demand growth has been phenomenal. '23, it was 10%. '24, it was 18% demand growth on such a large scale. And -- but this year, at this point of a time, the demand is muted. When this will get recovered? We don't know right now. That's number one. And this also led a kind of a 10 million tonnes of the extra capacity, largely 10 million of capacity out of that 8 million, 8.5 million tonnes has been added in China itself, including the Inner Mongolia. So therefore, this is one scenario, which at this point of a time, we are of the view that the moment the Chinese demand recovery starts happening, the surplus situation of China will disappear. And very significant change is not required, a very small change in the Chinese demand will kind of evaporate.

Second, if you remember, last year, China was a net importer. So my personal belief is China can be -- temporarily, can be kind of a high inventory and what you call -- and some exports happening to the other part of the world. But in the longer run, I don't think this can be kind of a big threat to the other producers.

The second point, I think people must have heard it also, Chinese government is also somewhere kind of structurally changing the landscape there, and this will also help us to kind of contain.

The third point, as I mentioned in my again, opening remarks, that some of the small uneconomical soda ash players in the synthetic part will have a risk of closure if this situation does not reverse. So hopefully, as I mentioned, in the medium term, we don't see any big challenge because of China.

Saket Kapoor: And sir, the incremental demand from the solar, how are you seeing things shaping up? We have been working on this story that there would be good demand from the solar glass manufacturer.

And I think so many of them, Borosil have also come up with 600 tonne fresh glass making manufacturing, which they are envisaging to come up in the later part of this year or maybe 9

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months from now. So a big demand is expected and our utilization levels, we are running at the industry levels of 95%. If you could just comment on the same?

Ravi Jalan: See, first and foremost, I think in India, almost all the industries are working on a 90%, 95%

kind of a capacity. At least we are working on that. That is number one. If you're talking about the solar glass, I think, yes, all the solar glass producers are running at a full capacity. The second part, which you said in t

erms of -- just give -- let me give you the perspective, okay?

Currently, around 116 gigawatt of the solar glass capacity is there in India. The government has an aim to make it to 300 gigawatt by 2030. Current consumption in this 116 gigawatt is approximately around 130,000 tonnes of soda ash requirements. We can -- you can just multiply this by 3 -- broadly, okay, to that extent, the demand growth will likely to happen.

The second, again, very important is that a lot of large players, including like you mentioned, the company, other players as well have announced and some of the capacities are coming on stream in the next few months. Major benefit of this expansion you will see in the -- either in the last quarter of this year or full benefit of that will happen in '26, '27.

Saket Kapoor: I join the queue for 1 bookkeeping question for Raman, sir. May I ask now only or join the queue, sir?

Ravi Jalan: You can ask.

Saket Kapoor: Yes, sir. For the other income part, do we have any one -off element? Or is it the treasury gains, Raman sir, that has attributed to the sequential improvement also by 10%? And what's the likelihood run rate for this contribution now we are up to INR27 crores, closer to INR27 crores?

Raman Chopra: Yes. This is -- there is no one -time gain. This is a treasury income, major.

Saket Kapoor: Okay. And on the power fuel, there is an increment of around 6%. That is -- what will we attribute that to, sir? From INR154 crores to INR162 crores, INR163 crores?

Raman Chopra: That is largely due to the price increase in one of the components. That is largely due to that.

Saket Kapoor: Which component, sir?

Raman Chopra: It's the petcoke price, which went up.

Saket Kapoor: Okay. So that is likelihood to continue to put pressure on the margin?

Raman Chopra: As of now, it is, but you never know, there is so much of volatility. So how the prices will play out, it's -- we are monitoring it on a day -to-day basis. So yes, the impact was due to this price increase.

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Saket Kapoor: Sir, on the tax front, how much have we budgeted as an advanced tax number for this quarter, June quarter?

Ravi Jalan: I don't think we have at this point in time, we have any such kind of a number which we can share with you.

Moderator: The next question is from the line of Aatur from ICICI Prudential Mutual Fund.

Aatur : Sir, if you can just help understand versus Q1, how would be the domestic pricing currently as we speak?

Ravi Jalan: Aatur, like I said, the current prices are almost maybe around 2% lower than the -- of Q1.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Sir, you mentioned to an earlier participant that China demand growth was 18% to 20% in the last 2 to 3 years. But sir, what we have seen like in terms of the construction sector was actually struggling in China. So largely, the flat glass and all these segments is for the construction segment only. So how come like this end user segments have performed well when the construction segment has been weak? If you can, sir, quantify with some data like what has actually changed in China and now what has changed?

Ravi Jalan: Yes, very right question. First and foremost, as I mentioned, in 2023, the demand growth was 10%. In 2024, the demand growth was 18%. And this was primarily led by the solar glass investments. It was a large capacity expansion has happened in the solar glass along with the lithium. So these are the 2 sectors which has kind of -- done this kind of a growth.

Aditya Khetan: Got it. Sir, if you can please highlight like what is the overcapacity in the industry today compared to demand? And how we look like we knew that some capacities have been built up in China. So when will this capacity is likely to operate at peak like -- so will it take 5 to 6 years do

wn the line or will the demand growth will be so good enough so it can cover in a 1 - to 2-year time frame only? Any outlook, sir, if you can give?

Ravi Jalan: See, I can give you my thoughts on this. First and foremost is that, like I said, the overall capacity, which has been built mainly in China is around 10 million tonnes. If you look at overall globally, approximately around 2.5 million to 3 million tonnes are required a growth because approximately around 80 million is the total demand globally. If you take 3%, you are talking about 2.5 million tonnes of approximately extra requirement every year.

And the second point which I want to highlight is last year, in spite of a major portion of this expansion, which has been commissioned in China, still they were a net importer. So the moment

this 2%, 3% of the demand growth happens in China, probably I think this balancing out will happen. This is what my broader understanding.

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Aditya Khetan: And in terms of a cycle, like of a soda ash cycle, we knew like the peak was somewhere around 2023. And thereafter, the prices and spreads have been continually declining. Sir, what we have seen like most of the commodities like after a 2-year time frame of decline, there has been a bottom, which has been made. So similar is the case with soda ash and how you see like these numbers to be stabilizing? And are we at the bottom of the cycle today?

Ravi Jalan: See, 2 things. First and foremost, if you look at the soda ash and particularly our number, you will see that the margins are not a very significant ups and downs. If I give you the number of 4, 5 years, you will find that on an average, the margins or EBITDA margins are in the range bound, okay?

And 30% -- if I take a few years, I'll see that around 30% of the average EBITDA margins we have been able to achieve. So therefore, there is not -- of course, '23 was one of the exceptional year, if I can say. So don't compare that as a kind of a normal case. If you look at 2 years before 2023, you will see that number, one of the outlier numbers.

Now second question, which you spoke about in terms of the bottom out. See, I already said in my opening comments also that we personally believe maybe a few quarters may be challenging. But because of the -- many of the soda ash producers globally are not been able to cover the what you call cash cost. So definitely, this indicates somewhere we are closer to the bottom of the cycle.

Aditya Khetan: Got it. Got it. Sir, just 1 last question. Sir, if you can share the incremental EBITDA numbers which we will generate from bromine Phase 1, Phase 2 and from the salt business? On the base EBITDA, how much incremental EBITDA we can make from these businesses?

Ravi Jalan: I think on this number, I would like to give you the number, maybe let the plants be operational. You see what happens. We are going in this journey first time. Of course, we have the plan which we made was a kind of a good number, good what you call EBITDA number will be there. However, let the plant be operational. Maybe we have to look at all those things. And probably I will be able to give you a better number maybe once -- maybe in the third or fourth quarter. I think that would be good.

Moderator: The next question is from the line of Rini Mehta from Kotak Securities.

Rini Mehta: Sir, my question is, can you share the volume growth for soda ash during this quarter? And what is the outlook for the rest of financial year '26?

Ravi Jalan: Rini, first and foremost, I mentioned that demand growth in India last year was also 5% and this year likely to be around 5% to 6%. So far as we are concerned, almost, I would say that some small increase in the volume are there in this quarter as compared to the earlier quarters. And as you know that we have a capacity limitation. So therefore, in the coming quarter, you c

an't see

a kind of a significant volume growth into the GHCL.

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Rini Mehta: Right, sir. And sir, with solar glass, lithium carbonate and sodium bicarbonate as you have cited as emerging demand drivers. So are you seeing any meaningful offtake yet in these segments?

Ravi Jalan: See, basically, we are very optimistic, let me tell you. We are very optimistic on the soda ash journey going forward. Like I mentioned, even if you look at the per capita consumption of the soda ash in India vis-a-vis the globe. If you look at the percentage of uses in India, the glass usage percentage are very insignificant or very small as compared to the global space.

The way the urbanization is happening, the way the, what you call, cleanliness are being pursued and the way the GDP growth of India is happening, we are very bullish that the soda ash consumption per capita will also go up and led by your green energy, be it the green energy in terms of the solar, be it in terms of the lithium carbonate, all those things. So we are very bullish, and I mentioned already that this will lead and the journey of our greenfield project, we will be able to capture these benefits significantly.

Moderator: The next question is from the line of Jatin Damania from Svan Investments.

Jatin Damania: Sir, just wanted to understand our revenue decline that we have reported year-on-year. So what percentage of this decline can be attributed to a fall in realization because you indicated in the last quarter also that in Q1, the realization was down as compared to Q4 and our current realization is also lower by 2% to 3%. So in Q1, I mean, the 4.5% decline in the revenue, could you -- what sort of decline in the realization we have seen in the soda ash?

Ravi Jalan: It's primarily because of the price only.

Jatin Damania: Okay. So that means our volumes were flat year -on-year?

Ravi Jalan: Yes. Volume is slightly up, as I mentioned, slightly up if you're talking about year -on-year basis or slightly down, maybe very small down. But on a quarter -on-quarter basis, it is yes, slightly up. However, mainly, I would say that this drop in the volume is very small. The major drop which you are seeing in the revenue is primarily because of your realization only.

Jatin Damania: Now since you're already operating at the rated capacity and likely to remain muted. So definitely, we won't see any significant jump in the soda ash performance. But what sorts of revenue are we expecting from a bromine and vacuum salt, which we started on the pilot project for FY '26? Or let me put it the other way, at the current realization, what sorts of revenue one can expect from a bromine and the vacuum salt, which is likely to come in second half of FY '26?

Ravi Jalan: Jatin, as I mentioned to you that these projects are likely to be in the last quarter of this year. So you won't see any very significant amount of -- because once the plant start operating, it will take some time to kind of a stabilization, quality, getting settled with the customers. All those things will take some time. So I don't think you'll see a very significant amount of marginal

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increase could be there in the last quarter. However, not a very significant improvement. But yes, the benefit of the -- both these projects, you will see in the '26, '27.

Jatin Damania: But sir, can we quantify at current realization, what could be the incremental revenue we can get it from both these projects?

Ravi Jalan: Very difficult at this point in time. I'll come back to you maybe in the second quarter, we'll come back with the number.

Moderator: The next question is from the line of Renuka from FWC.

Renuka : So to a previous participant, you had mentioned an IRR of 17% to 18% in the new greenfield soda ash facility. So my question is, can you please highlight

based on like what internal

assumptions on margins are you arriving at this number? And also, how much of the capex are you envisioning that will be funded by debt?

Ravi Jalan: See, Renuka, 2 things, as you said. First and foremost, the assumption of the projects. See, what we are always seeing the soda ash in a longer -term play. So I cannot go on the base of what is the current margin. We have to always look at the number on a slightly longer terms first. But we are always being very conservative when we assume our projections. And therefore, these numbers which we have said to you are conservative, but looking at a longer -term view on that. The second point, which you spoke about, what was the second point? I'm sorry, I missed that second point.

Renuka: How much of the capex are you envisioning will be funded by debt?

Ravi Jalan: Yes. See, Renuka, today, as you know, that our balance sheet is a very strong balance sheet. We have almost more than INR1,000 crores of kind of a treasury in our head. And we are almost generating a significant amount of cash. So we personally believe even after this -- both these phases have been completed, still our debt -equity ratio will be less than, I would say, that 1 is to 5.6 kind of a scenario.

So we will be very well -- maybe probably around INR2,000 crores to INR3,000 crores which could be the number. Probably we will be going for a one -time debt, which can gradually can be repaid. And maybe once after the project is completed, maybe another 2 years, we will be again coming back to the same situation of no debt situation.

Renuka: Okay. And just another question. In your opening remarks, you have mentioned that in this calendar year, 1 million tonnes has already been added globally and another is expected. So can you just highlight as to where are these coming online?

Ravi Jalan: See, basically, it is all led by the China. Last year also, if you look at -- Renuka, you will see that all this volume, which has come in, I'll just give you some numbers. It is all -- one second.

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If you look at 10 million tonnes, it is almost out of that, except I would say that 1.5 million tonnes, around 8.8 million tonnes has been added in, in China in the last 2 years. If you look at this 1 million tonnes, it is primarily China, 1.1 million tonnes.

And second is your China -- other -- one unit has put 1.1 million tonnes and rest of the company, small company, 0.9 million tonnes. So 2 million tonnes and 1 million has got closed, led by U.K. player and one is the Poland player. So 1 million has got closed. So net -net, 1 million has been

added during this '25.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Ravi Jalan: Thank you very much. As I've always been mentioning that GHCL is doing what is in their control, operational efficiencies, cost optimization and building the company for the future -- capturing the future growth of the company. And we'll continue to do that.

And our very clear target is how do we service or how do we create a value for our shareholders.

We thank you for all the support which you people have and have a trust on us, and we'll keep honor of those trust and your faith on us. Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 7, 2025 ■■■■[■■■■]– ■■■Ç ■ \$, ■■■■■■■■
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National Stock Exchange of India
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Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on November 3, 2025

In continuation to our earlier communication dated October 29, 2025 and November 1, 2025 regarding Investors' conference on November 3, 2025 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on November 3, 2025 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

Bhuwneshwar Mishra
Vice President - Sustainability & Company Secretary
(Membership No.: FCS 5330)

"GHCL Limited
Q2 FY '26 Results Conference Call "
November 03 , 202 5

MANAGEMENT : MR. R.S. JALAN – MANAGING DIRECTOR
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER
AND EXECUTIVE DIRECTOR , FINANCE
MR. MANU JAIN – GENERAL MANAGER , INVESTOR
RELATIONS AND FINANCE

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

GHCL Limited
November 0 3, 202 5

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Moderator: Ladies and gentlemen, good day, and welcome to GHCL's Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all the participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Meet Vora, Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Meet Vora: Thank you. Good afternoon, everyone. Thank you for joining us on GHCL's Q2 FY '26 Results Conference Call. I would like to welcome the management and thank them for giving us this opportunity to host them. We have with us today Mr. R.S. Jalan, Managing Director; Mr. Raman Chopra, CFO and Executive Director of Finance; Mr. Manu Jain, General Manager, Investor Relations and Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward-looking, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I shall now hand over the call to the management for their opening remarks. Thank you, and over to you, sir.

R.S. Jalan: Thank you, Meet. Welcome to GHCL's Earnings Conference Call for the second quarter and half year ended 30th of September 2025. Our results and investor presentation have been uploaded on the stock exchanges on our website as well.

I shall commence with the thoughts on the soda ash market. The domestic market demand growth remains healthy, and we saw year-to-date demand growing by around 5%, driven by various end user sectors. However, the market continued to be oversupplied. This is primarily due to high volume of cheap imports, which are continuing at a run rate of similar to the Q1 at approximately around 85,000 tons per month. This has impacted realization for the domestic industry for the moment. We, therefore, maintain a cautious price outlook, therefore, in the next 1 or 2 quarters.

On this front, a significant development is the recommendation of antidumping duty on soda ash by the DGTR. This is now awaiting clearances from the Finance Ministry. While it is early to comment, this may provide some respite and help restore a level playing field against predatory import pricing.

Moving on to the global soda ash market dynamics. The overall supply situation that we highlighted last quarter has continued. Moreover, China's domestic year till date demand has declined by around 2% year-on-year, and it has started to export soda ash, adding to the existing global supply.

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Demand in the most of the Western markets remain volatile and uncertain due to the ongoing geopolitical situation. As a result, price continue to remain under pressure worldwide. Through this adverse market conditions, we have maintained focus on our driving best-in-class operation. In the medium-term, we are diversifying our business mix, where you will see the positive contribution to earnings from initiatives in the bromine and vacuum salt. We have placed

favorably in the long -term as well with plan to commission Greenfield expansion soda ash. In the immediate term, we continue to benefit from the structural operational efficiencies and focused cost optimization efforts we have previously established. These measures are sustainable and continue to support our margin even in this difficult pricing environment. I must also appraise you that the company undertook a planned maintenance shutdown, which started in the last week of September and has been successfully completed in early October. While necessary for the long -term health, this did have

some impact on the production volume and added to our overheads in the Q2 results.

Reflecting our confidence in the long -term value, strong balance sheet and commitment to shareholders, the Board has announced a shareholders buyback program for INR300 crores under the tender offer route. We believe this will optimize the capital structure and create further value for our shareholders.

Finally, on our future prospects, we remain very optimistic about India. Soda ash demand is directly tied to India's robust global story. We also see accelerated growth coming from new applications like solar glass, which are expected to ramp up starting next year. On our diversification and growth plan, bromine and vacuum salt projects are progressing and commissioning is on track to happen in the early 2026 quarter 4.

For our Greenfield soda ash project, the progress has been slower than our expectation, and we are taking appropriate steps to address this. This remains a significant long -term strategic investment that will deliver substantial operational and financial gain .

While this challenging transitionary, our operational efficiencies and diversification will be permanent. We have built a solid leadership position, and we are confident in our ability to navigate today's challenges while building long -term sustainable value. Thank you for your continued trust and support in the GHCL.

I now hand over the call to Raman to walk through the financial numbers.

Raman Chopra: Thank you, sir. Good afternoon, everyone, and a warm welcome to our earnings call for the second quarter and the half year ended 30th September 2025. Our performance demonstrates resilience and the benefits of our structural operational efficiencies which helped us navigate significant pricing pressure seen across the industry.

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I will now walk you through the key financial highlights. Revenue for the quarter stood at INR739 crores compared to INR810 crores in the corresponding quarter of last year and INR823 crores compared to Q1 of current quarter -- current year.

This decline reflects the tough market condition worsened by increased cheap imports, which adversely impacted our realization. EBITDA for the quarter stood at INR175 crores compared to INR228 crores in Q2 of FY '25 and INR225 crores in Q1 of this year. We reported an EBITDA margin of 23.8% in the current quarter.

On a Q -on-Q basis, the EBITDA margins declined by 360 bps, mainly due to the fall in realizations. Our overhead costs were also slightly higher due to plant maintenance activities, and we expect these to normalize going forward.

Our ability to protect profitability even in this environment is a direct result of our deep -rooted philosophy of cost control and operating efficiencies. PAT for the quarter stood at INR107 crores compared to INR155 crores in the corresponding quarter of last year and INR145 crores in Q1 of this year. This demonstrates our ability to respond dynamically to market conditions and partially mitigate the impact of softer prices on our bottom line.

Next, our half yearly cash flow. We generated INR313 crores in cash profit after tax. We deployed INR185 crores towards growth capex , mainly for our new diversification projects of bromine and vacuum salt. We also paid INR115 crores as dividends and repaid INR22 crores in loans. A reduction in the working capital released INR57 crores, thus resulting in an overall net cash generation of INR43 crores for the first half of the year.

Our balance sheet remains very strong with a net cash surplus of INR1,047 crores at the end of half one FY '26. This financial agility supports our strategic capex execution and provides significant growth headroom.

GHCL has announced its third share buyback program to buy back equity shares from its shareholders for INR300 crores under the tender offer route. This shall

increase value for

shareholders by distributing surplus cash and by improving the EPS and the return ratio.

With this, I conclude my comments and would now request the moderator to open the forum for question -and-answer. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question

comes from the line of Jainam Ghelani from Svan Investments.

Jainam Ghelani: Sir, I just wanted to know what was the volume loss that we had due to the shutdown that we had taken at the end of September?

R.S. Jalan: See volume loss, primarily this will happen. Some amount -- small amount has happened in the last -- in the second quarter, but some volume loss will be there in the October. So most of the volume loss will happen in the third quarter.

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Jainam Ghelani: Sir, would you be able to quantify like what would be the quantity for the same, please?

R.S. Jalan: Approximately around 22,000 -- approximately 21,000 to 22,000 approximately.

Jainam Ghelani: Okay, sir. And sir, as you mentioned that we are going to commence our capex, so what could be the contribution that we could expect in FY '27 from the bromine and vacuum salt plants as well as what could be the margins for the same?

R.S. Jalan: Basically, both these projects put together, we are expecting that the full benefit should come in the next year. And that probably will give us around 40% to 45% of the EBITDA margin in this. An absolute number should be in the range of around INR70 crores to INR80 crores of extra EBITDA will be there.

Jainam Ghelani: Okay. And sir, what is the decline in pricing year-on-year for us in soda ash?

R.S. Jalan: Around 9%.

Jainam Ghelani: When we indicate -- you started with the indication that the domestic soda ash growth has been in the range of 5%. And despite the MIP in place, we haven't seen any significant benefit of the overall realization. So how shall one look at the near to medium-term demand growth, which segment will probably be banking on? And in terms of the pricing, do we still feel that the pressure will continue or the current prices are more or less stable?

R.S. Jalan: See 3 things I just want to highlight here. One, like I said in my opening remarks, so far as the Indian demand is concerned, that is very healthy. And like I said, run rate approximately around 5%. That will get accelerated in the period to come because of the new renewable energy push, which is happening in India. But on the other side, like I said, the global situation in globe, because of the 3 regions.

One is China, the demand has slowed down. The second, overall Western countries, the demands are also not growing. And that has led to the oversupply situation globally, and that has led to the higher import into India. And that is putting a pressure on the pricing of the domestic market. However, the third point, we continued our journey on the cost competitiveness and serviceability to the customers.

So in spite of a drop of the price, which I've just mentioned, we have been able to kind of navigate some of them through our, what you call cost competitiveness and customer services. Going forward, see, 2 things I just want to highlight here.

One, so far as the pricing is concerned, that period the time will tell us because in this global uncertain environment, it is very difficult to speak about. However, our efforts on the cost competitiveness, our focus on optimizing our cost will continue. And just want to highlight here one thing.

Historically, this kind of a down cycle we have seen in the past also. And every time when this down cycle has come, the second time our margin has improved. And because that is primarily

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because of our journey towards the cost competitiveness and customer serviceability. So our journey of the

at will continue, and we will be able to navigate this challenge, which we have done in the past as well.

Jainam Ghelani: Can you highlight in terms of the cost optimization activities that have been undertaken which are the levers that we are working on?

R.S. Jalan: See, like I said, there are many components into the cost optimization. On one side, your raw material. The second is your efficiencies. And the third is how do you use the different product -- raw material product mix into your equity. And last, how do you service the customers that also helps you to kind of have a better margin. So these are the 3, 4 things which helps you to navigate your cost competitiveness.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, when you mentioned about realization being down by 9%, this is the Q-on-Q realization down or year-on-year effect you have given? And that is on account of our contracts getting renewed that led to it or this is the spot prices that have declined? Sir, some color on how we

should read this 9% downward revision in realization?

R.S. Jalan: Saket, as you rightly said, this 9% down each year -on-year basis. And this is the realization what we lost into the quarter -to-quarter basis on the year -on-year basis, right? So that's number one.

So keeping that into mind, the drop of 9% has happened on our realization on quarter -to-quarter basis -- on a year -on-year basis.

Saket Kapoor: Okay. So what is then the -- even when we look at the quarter -on-quarter basis, our revenue is down in the similar number only from INR796 crores to INR721 crores. So that is another 9% to 10%?

R.S. Jalan: So let me highlight that also, Saket ji. There are 3 things. One, quarter -on-quarter basis also the price has dropped by around 3% okay, number one. Number two, in this quarter, like I said, some volume loss also because of the excess supply, some volume loss has happened as compared to the quarter -on-quarter basis.

Saket Kapoor: Okay. In tonnage terms, sir, can you quantify, as you mentioned, it is not significant, but the impact is significant, that is what is to be seen flowing through the P&L?

R.S. Jalan: See, there are 3 things which happens, Saket ji, on the quarter -on-quarter basis, the Q1 is always kind of beyond the seasonality. That means there's a peak period for every customer as well, whereas the second quarter is a lean period for the customer as well. So that's number one. So because of that, obviously, the volume on a Q -on-Q basis historically has also been in the Q2, the volume will be lower, right.

Saket Kapoor: Right, sir. Sir, on the second point, when you mentioned about the -- we are awaiting the final word on the antidumping by the Honorable Finance Ministry. So what have been the recommendations there, sir? And if those are implemented, how will it impact the unabated

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import from the geographies where this is to be implemented? In simpler understanding, sir, you mentioned that we may be benefited.

So when we are projecting -- as you have told earlier that MIP did not serve the purpose. So are you hinting to the point that even antidumping will not serve the purpose it has been implemented on? Correct me there, sir.

R.S. Jalan: Saket ji, like I said in my opening remarks also, so far as the antidumping duty is concerned, that has been recommended by the Commerce Ministry or by the designated authority of Commerce Ministry, right? And that is waiting for the Finance Ministry approval.

Now whether this will make an impact on the bottom line, we don't know right now because this always will be dependent on the -- how the market dynamics looks to be in the future and the second is, once this gets approved by the Finance Ministry.

But if I say in terms of the perception, definitely, this will help us in terms

of the overall industry

by reducing or I would say that by giving a playing field for the domestic industry to play with the international supply. So surely, that will have an advantage. How much advantage at this point of time, very difficult to articulate that.

Saket Kapoor: Sir, very small point, and then I will ask my next question because sir, every time when we have heard about this antidumping, there is some impact on the import price and a duty is also structured. So the report did speak about per dollar -- per ton basis duty.

So we can very easily get an understanding that if that comes into play, what would be the minimum price for which -- or what will be the duties paid. So why is this ambiguity that it will not serve the purpose? I'm unable to understand that, sir, if you could just...

R.S. Jalan: So Saket ji, I've never said that it will not serve our purpose. I've said it will serve our purpose because this will give an advantage or this will give a level playing field to the domestic industry, right? That's number one. In terms of quantification, at this point of a time, why we are saying that we should not be able to -- or we will not be able to quantify that because everything depends on the few things. One, how does the demand -supply situation pan out going forward, okay? What kind of a pricing because of this duty, the importing -- exporting countries take their -- on their account, okay? The third is once this gets approved by the finance, then only the impact will be felt. But definitely, some impact will be there. How much? It will be seen.

Saket Kapoor: Right, sir. One small point on the, sir, global soda ash Summit happened in the first week of October. So if you could just share some key highlight on how the major players globally, especially the natural soda ash players and the other players who hold a substantial volume are looking into the time ahead. And then one question on buyback, sir?

R.S. Jalan: Saket ji, like you rightly said, recently, the World Soda Ash Conference has happened. And the summary of this, I have already said in my opening remarks. First and foremost, there is oversupply situation. The pricing are under pressure globally. And the second is right now, we

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are seeing some kind of a slowdown on to the new investment of the growth or the new projects. And the third is the focus on the sustainability of the industry. These are the major 3 highlights. Saket Kapoor: Right, sir. Sir, as you have spoken that whatever improved demand has happened for soda ash globally also and for the country, we are -- what we are anticipating is from the investment in the solar panel line for the solar investment. So in order to reduce our cost of energy, sir, are we also looking for any renewable energy tie-up in the open access or which is mandatory now for all the corporates?

How are we going to take advantage of the same? And sir, on the buyback front, sir, although if you could just allude to us how did the Board concluded at a price of INR725 crores and INR300 crore s amount being envisaged since, sir, because of the change in the tax incidence now on your investors would be on the realized value.

That is we need to pay tax on INR725 and claim the losses on our investment. So that does not hold true for the -- our shareholders having investment above INR2 lakhs. So had the Board deliberated on the merits of going through the process? How will your shareholders benefit out of the buyback, sir?

R.S. Jalan: Yes, Saket ji, you rightly said the Board has deliberated all the relevant provisions of the new tax law, which has been implemented. And based on that, they have taken the decision. You must -- if you go back and you see that many of the companies in the past after this regime has changed or these tax laws has changed, has successfully has implemented the buyba

ck, and this

has been successfully been accepted by the shareholders. So that's number one.

Second, as you rightly said, in terms of the amount, you see depending upon the resources and depending upon the market pricing, the Board has deliberated various options. And based on that options, they have decided about this amount.

And the last point I would just want to add here. See, like I said, the small investors, as you rightly said, small investors, institutional investors, they will directly get the benefit. And the other investors like you will get indirect benefit because t he capital allocation will become better. This money is going back to the shareholders. Therefore, the EPS will improve. Overall, intrinsic value of the company will also improve.

Saket Kapoor: Right, sir. And our investment in solar energy and other renewable source of energy, sir, what is our thought process?

R.S. Jalan: Yes. So 2 things, Saket ji. First and foremost, solar energy requires the solar ash. And one of the major advantage which we are going to get is the demand outlook or the demand growth in India will be very good. Let me reiterate this point again. See, like I said, even in this turbulent time, Indian soda ash dema nd has grown by 5%, number one.

Number two, the kind of Indian government's region is for the solar glass or solar investments.

Today, around 119 gigawatt solar establishment is there in India. And the government wants this to go to 300 gigawatts. A lot of large houses are setting up the solar glass production.

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Out of them, some of them are likely to be starting in this year's end, maybe February, March and the next year, the full production will come. Similarly, the other players also, they are starting, and that will also happen next year, maybe a few more -- after 1 or 2 quarters. So next year onwards, probably th e soda ash demand will improve.

Now let me also tell you one more thing here. In next 5 years, in India, at least we require an extra 1 -- more than 1 million ton of soda ash requirement -- demand will grow. So that means from the Indian perspective, this is a very kind of a positive environment for the industry which we are operating.

Saket Kapoor: Right, sir. But my question was particularly on how are we going to reduce our cost of electricity, which we use through our investment in solar energy. Means many corporates, we are seeing that they are going to the open access route wherein they are gett ing solar power at a much cheaper rate and then supplying it to the grid and thereby reducing their power cost. So how are we going to take benefit of the same? That is what my question was pertaining to say?

R.S. Jalan: Yes. So Saket ji, so far as our usage of the renewable energy, we have already invested in the last year renewable energy to the extent which we can utilize, number one. Because please understand in the soda ash industry, there is the process of steam and power, both are required, okay?

And that has to be produced in a manner so that you can get both the things from the same process. So for us, going very significant way into the solar energy investment for the uses of the power into our system may not be that great. But we will be significantly getting an

advantage because of this what you call your renewable energy demand going up.

Saket Kapoor: Correct sir. And one question for Raman. I'll join the queue, sir. I have taken lot of time. I'll join the queue and let me speak again.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: The first one was actually on these antidumping duty recommendations themselves. So from the perspective of the uncertainty that we are still seeing regarding the impact of those measures, is it coming primarily from the low duties imposed on one of the Turkish suppliers itself, where

I

believe the duty is only about \$17 or so.

Is that the main reason for the uncertainty Or could it -- is it that there are other countries that are outside the ADD net such as maybe China who could potentially start to become more aggressive in terms of supplies into India? So I would appreciate your perspective on that?

R.S. Jalan: No, very valid, Abhijit, the question which you have raised. See, why we are a little kind of not quantifying the benefit, I have said this, the benefit will be there. How much we are -- at this point of a time, we are not quantifying, number one. Number two, rightly, you said that China is not included into the antidumping list because there was no imports coming from China. That's one.

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The second is still the process is underway. The Finance Ministry has not yet put their signature on this. That's also very important. The third, as you rightly said, in Turkey, one company, but we don't see that as a major because there are certain countries where the current imports are happening, they will probably get eliminated in the entire process. So once this gets implemented, definitely, this will have a benefit. How much? Only time will tell you.

Abhijit Akella: And just one other point with regard to our expansion plans for soda ash. You mentioned that in your opening remarks that maybe the Greenfield project is running a little bit behind our initial expectations. So is there a revised time line sort of that we can indicate regarding by when Phase 1 might be commissioned?

And would also be eager to hear your perspective on just at the global level, what are the significant capacity addition and reduction plans that you are seeing for soda ash over the next few years? That would be great to know?

R.S. Jalan: Yes. Abhijit, thank you very much. Let me first give you my perspective about our Greenfield project. First and foremost, as you know, this Greenfield project is a very significant long-term strategic advantage to us. And also, that executing a large hydro project definitely have many complexity, right?

Various approvals are required and we are in that process. We have got all the major approvals like we got the environmental clearances, we got all other approvals. Only the land clearances are pending or land -- some portion of land and some portion of the land means what we call regulatory approval from the government is pending. We are working on that.

The third point I just want to highlight is that, our plan at this point of time is very clear that we want to complete our both the expansions within the defined time line, which we said. Maybe the Phase 1 will get slightly delayed. But overall, March 30, the vision which we have of around 1.1 million tons, we would like to complete.

Now just now I've given to the other person that the demand growth, which we see the way we see, the demand growth are significantly going to be much higher. And therefore, the need of the Indian producer to cater to the demand, I think we are on a much advantageous position at this point of time. So we would like to pursue that.

Your last point was more on the -- how do you see the global perspective of this thing. See, first and foremost, last 2 years, '23, '24, I would say, '23 calendar year and '24 calendar year, China has added almost around 10 million tons. Broadly, I'm giving you the number, okay? A little bit here and there, but overall capacity -- global capacity has been added around 10 million to 11 million tons.

Current, my understanding is all the synthetic soda ash producers, particularly China, they are losing money. And therefore, our belief at this point of a time is the new capacity addition will get slowly down. However, some new capacity will also get closed over a period of time in China.

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And China

will be in a position of more of like a balancing the demand and supply for the domestic production and maybe a little bit of a quantity to further import to the country, which are natural market for them. This is a slightly longer-term view. One more important point here is the new capacity which is getting added is more on the natural soda ash side.

So gradually, in the U.S., once the demand grows, the new, what we call natural soda ash capacity will get added in the U.S. and some portion in the China as well. However, like you know that 80 million to 90 million tons of the total demand is there globally.

And even if I take 2%, 2.5% or 3% of kind of a demand growth globally, that requires around 2 million tons of the extra production, and that will cater over a period. I don't see for a long period of time, Abhijit, a very kind of an oversupply situation globally.

Abhijit Akella: That's really helpful. Just one last clarification, if you'll permit me, sir, a quick one. You mentioned a short while back that we are expecting at least 1 million tons of additional demand to come up in India over the next 5 years, largely driven by solar. And our Greenfield also by March 30 is 1 million tons or slightly more than that. So is it correct to interpret that we are basically aspiring to capture the entire -- pretty much the entire incremental demand coming up in the country by then?

R.S. Jalan: Abhijit, if you look at today, approximately around 1 million tons is getting imported also number one, right? And the minimum 1 million ton. Because if you look at historically, also the demand growth has been around 5%. Even for a minute, if I don't take a solar, your demand in next 5 years is going to be around 1 million ton extra. And solar will get added to that, right? Some of the competitors also are going to put up some capacity. And the second is your natural market. There are certain markets which are closer to the India, which will also need to be serviced from the -- by the Indian producers. All put together, we will be able to supply. Of course, our market share will improve. How much? That all depends on how the overall demand growth happens.

Moderator: The next question is from the line of Darshita from DSP Asset Managers.

Darshita: One, is it safe to assume that our volume was flat on Y-o-Y basis? You mentioned there was some volume loss. If you could just put a number to it, that would be great?

R.S. Jalan: Yes. Darshita, like I said, in terms of the production, our number has been higher by around 5%. However, our sales was down by approximately around 2% -- sorry, 2% in the first half. In the complete first half, our production was up by around 5%. However, the sales was down by 2%.

Darshita: That's clear. And secondly, on the INR70 crores to INR80 crores of incremental EBITDA that we'll get from the capex that we are doing, will that entire INR70 crores to INR80 crores be reflected in our FY '27 numbers or will it be more in a phased manner?

R.S. Jalan: No, that will happen in the '27. Maybe some percentage here and there, but largely that will accrue in '26, '27.

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Darshita: Got it. Okay. And our capex will commercialize from some time in the second half of FY '26, if I'm not wrong?

R.S. Jalan: Yes. I think both the plants are under commissioning. And I think in the last quarter of this year, both will start kind of commercial production.

Moderator: The next question is from the line of Saurabh Jain from HSBC.

Saurabh Jain: Pardon me, I joined the call just now. In case you have answered these questions, it would be great if you can repeat those, please. My question is on the antidumping duty, which I think GHCL has been talking about in the media before also.

So I'm not asking if this is going to happen or no, but my question would be, if ADD sees an execution and implementation, w

ould you believe that the pricing in the Indian domestic markets can increase meaningfully? And if it happens, then is it possible to quantify what could be the possible price increase? That is my first question.

R.S. Jalan: Yes. Thank you, Saurabh. Let me -- like you rightly said, we have responded to that, but let me repeat that. See, 2 things, as you rightly said, first and foremost, that is underway. It is still to kind of get implemented and needs a signature of the Finance Ministry.

The second is, yes, that will have an impact on the overall Indian pricing as well as the demand outlook. How much? It is very difficult at this point of a time to quantify. And the reasons of that quantification, first and foremost, how the global pricing will seem to be in the next few quarters. Number one, China is not included into this at this point of how the China -- because till now China was not exporting anything into India.

So China is not included in that. So that's the second, that's how the China works out. But positive part is there are certain countries where probably the imports are happening that may kind of taper down in a significant manner. So all put together, benefit will be there. How much benefit that only once it gets implemented, we will be able to quantify or we will be able to give you some guidance on that.

Saurabh Jain: Yes. That is useful. But what could be the quantity of China imports that are seeing through into the Indian markets as of now? Because I believe the overall imports are somewhere about 1 million tons or so?

R.S. Jalan: Yes. So at this point of time, 1 million tons is the right number, which is given. In that China business is almost negligible. And because of that only, the name is not included into the antidumping list because unless you have an import from that country, that cannot be considered for the antidumping duty import season.

Saurabh Jain: That's right. But I think that is more like looking into the history because how imports were coming into the India in the last 2 years, that has decided what all country should be looked at. But currently, are you saying that there are virtually negligible China imports flowing into India because I thought the China imports have increased?

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R.S. Jalan: I think marginally, it has increased in last 1 or 2 months. But if you look at in '24, '25 or maybe the first quarter, you won't find any very significant amount of imports coming from China. How that will shape up in going forward because China till '24, they had a kind of -- themselves they had a significant demand growth. In '24, they have grown by around 16%. The demand growth has been 16%. But however, this year, the demand growth is almost slightly 2% minus than the year-on-year basis.

Saurabh Jain: Sorry, how much is the demand growth this year?

R.S. Jalan: This year is minus 2%.

Saurabh Jain: Minus 2%, okay.

R.S. Jalan: First 6 months. So because of that, I would say that -- not 6 months, 9 months, I would say that, because their year starts from the calendar year, right? So the demand degrowth is around 2%.

How this is going to shape up in the future. But one positive thing there is their construction industry is a little bit reviving. Of course, not very significant at this point of a time, but people are still positive about the construction industry.

Saurabh Jain: Understood. Okay. That is useful. My second question is, there is a minimum import price that is already into play. And we saw some sort of margin improvement for some of the other industry players in the first quarter?

However, 2Q, again, there have been commentaries that there are pricing headwinds and there are challenges in terms of reduction in prices. So what is leading to this price reduction, if there is already a minimum import price that is into play, what's causing that?

R.S.

Jalan: See, the purpose, Saurabh, for the minimum import price has been more like -- this was the price, which was more of a rock bottom prices. And that's a very short-term benefit, which has been kind of visualized by the Commerce Ministry. I would say, Finance Ministry not the Commerce Ministry. The prices was very significantly lower than that. So therefore, the major advantage of that, of course, a little bit of a kind of -- in the first quarter, as you rightly said, a little bit of a kind of a slowdown has happened on that.

But overall, no benefit. I think this has been indicated by us in the last quarter as well that we are not seeing any significant advantage or any major advantage out of the minimum import price. But antidumping duty definitely will have an advantage.

Saurabh Jain: Sure. Any time lines that you believe this antidumping duty, if at all, if it comes into play, what could be the broad time line?

R.S. Jalan: See generally, Saurabh, depending upon how the Finance Ministry looked at, generally, people say in the other cases, it has taken around 2 to 3 months for the Finance Ministry to kind of take a decision on this.

Moderator: The next question comes from the line of Rohit Nagraj from B&K Securities.

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Rohit Nagraj: Sir, first question is on the domestic supplies incrementally. So you also mentioned that on a yearly basis, domestic market will need about 2.5 lakh to 3 lakh tons of incremental supply given the growth rate of, say, 5% to 6%. So till the time our first phase doesn't come in, how these supplies will be met? So are there any domestic capacities which are expanding or will it have to be completely met by imports?

R.S. Jalan: No, Rohit, first and foremost, as you know that today, because of this global demand-supply situations, Indian producers needs to be exporting a lot of quantity. Obviously, when the demand growth of India happens, this will get diverted to the domestic market. Second, as you know, some of our competition has also expanded their capacity. That will also help to kind of navigate

this demand growth.

And last but not the least, I think some of the headroom to the industry will be there to ramp up their production, and that will also help to this thing. So this is what my understanding is that these are the 3, 4 steps, which will take care of this gap. And if anything is left over, then surely that will go to the import.

Rohit Nagraj: Right. Got that. Sir, second allied question to this. Now given that Chinese consumption has slowed down during this year and it may not improve to the extent of double -digits incrementally. And since they have the excess capacity, is there any possibility of China starting -- directing their material to Indian market till the time the domestic capacities -- I mean the domestic demand in India is growing.

And given that there is no history in terms of earlier imports, the ADD will happen only once there is a history of at least few years before, say, Chinese supplies can be stopped. Just a broad process from your end?

R.S. Jalan: Rohit -- just let me kind of articulate the same thing. First and foremost, China, if you look at slightly longer -term, okay, China has been -- in the past has been exporting a significant amount of volume into the global market, including in some periods to the India as well, point number one.

Second, in terms of the cost competitiveness, I can only tell you that Indian producers are very well cost competitive vis -a-vis the China. So that is also a very significant amount of -- and the third, which is again very important, till last year, there were almost like a balanced demand - supply situation, okay? Whether they have imported some of the quantity from the other part of the world.

So will they have a very significant amount of volume to export to India or other global

players?

Yes, some volume will be there, but not a very significant amount. This is what my understanding that China will not kind of come and say, okay, I'm putting a kind of 0.5 million ton or 300,000 tons or 400,000 tons to India. No, I don't see that likely to happen.

Rohit Nagraj: Sure. That's very helpful. Sir, just one last clarification. So can we assume that the Phase 1, given the regulatory process and all approvals are in place, will be commissioned sometimes by, say, mid-2028 or end -FY '28 or so.

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R.S. Jalan: I think Rohit, it should happen. But like I said, the pending point at this point of time is the land clearances or land. By the way it's all approvals, environmental kit, which is a very significant part of the entire -- such a large project has already been obtained. So hopefully, if this land clearances gets cleared, hopefully, I think we should be able to kind of go in the end of '28 kind of a number should happen. But again, it all depends on how do you navigate this land clearances.

Moderator: The next question is from the line of Renuka from FWC & Associates .

Renuka: So largely, my questions have been answered. Just a couple of them on the realization front. So you mentioned year -on-year realizations have dropped 9%. So currently, if you can give some light as to how the trend has been in the month of October and going forward? Is it a larger pricing pressure that we have seen or something similar?

R.S. Jalan: See, Renuka, like if you look at in the -- like you said, year -on-year basis, the price drop has been 9%. If you look at on a quarter -to-quarter basis, yes, there is around 3% price drop. Going forward, it will all depends on how the things happen. There are 3 things. One, if the antidumping duty gets implemented, things could be different.

If the antidumping duty does not get impacted, things could be different. How will the China work on going forward, that has to be seen. So at this point of a time, it is very difficult to kind of say that how the likely scenario because it's such a high volatile geopolitical situation to kind of give a guidance on the pricing.

Renuka: Okay. And just to clarify again. So earlier, we were guiding for the bromine and vacuum salt to come in Q3, but it has gotten slightly delayed and you have mentioned it will come in Q4 of FY '26. So just wanted to understand...

R.S. Jalan: Yes, Renuka. Very rightly you said. Yes, small delay there because of this unfavorable weather, which you must have noticed in the entire country, more particularly in Gujarat. Definitely, that has led to kind of some delay, but not a very significant delay. And hopefully, in the Q4, we will start getting accruing the benefits to us.

Renuka: Okay. And lastly, in the Greenfield soda ash project, apart from the land clearances, are there any other sort of regulatory approvals that are pending or once that is received, the construction is expected to begin?

R.S. Jalan: Yes, Renuka, I think the major at this point of time is only your land clearances, some land acquisition and land clearances. The major, I would say, that small, small things, I don't see any

major hurdle on that.

Renuka: Okay. So we shouldn't expect any other further delay like by March '28, at least is what we are hoping that Phase 1 will get commissioned?

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R.S. Jalan: Renuka, like I said, first and foremost is the zero date will be able to -- we will be able to predict the zero date only when we get the land clearances and the land acquisition, okay, which is in any of the large projects, it is kind of a complexity to happen.

And in the past also, we had -- like I said in my opening remarks also, it has not progressed the way as a management, we were expecting this to progress. But yes, if this gets progressed quickly, then '

28, '29 probably we will be able to commission the first part. And hopefully, very soon after that, we will be able to commission the second part also.

Moderator: The next question is from the line of Gaurav.

Gaurav: So regarding that bromine project, so I have a question. So given that in the presentation and you also stated that the likely margins are going to be in the 40% area. Now, Archean which is one of the largest exporter of bromine from India, their margins are 30%. So what explains the additional margins which you have forecasted? This is my first question.

R.S. Jalan: Right. See, Gaurav, let me give you our perspective on this. First and foremost, this what we are setting up is a kind of an add-on to our existing soda ash salt production facility. So all the costs which are relating to the soda ash production is already there. Whereas in the other case of the competition, we don't know the margin of the competition. But in our case, this is an add-on to the existing soda ash fill which we have. And we are reasonably confident of achieving this margin, which I've just mentioned to you.

Gaurav: Okay. The second question is regarding the ESOP policy, which you have. So 90% of the ESOP is amongst how many people? I mean -- and what was the trigger for you, the 3 -- the senior management guys to sell the shares at around INR635? And see the shareholders' return has been less than 6% on a 12-month basis. But it seems that the top management got a fair chunk of the ESOP plan and they liquidated that also at INR635?

R.S. Jalan: Two things, Gaurav, in this. First and foremost, this ESOP plan, which has been given is widely distributed to the middle level to the senior management. That's point number one, okay? And this has been decided almost around 2 years -- 3 years back, number one. The second, like you said, liquidation.

See, some of the management definitely has liquidated. And you can understand as a professional, we need the resources for our other activities as well. It is not that we have liquidated the entire ESOP what we got or whatever the holding we have, we have only a fraction of the investment which we have made into this, we have -- the senior management has sold, okay?

So therefore, it is not -- I would not -- you should not assume that the senior management has sold the entire -- even the last allotment, which has been given to the senior management. There also, some of the portion has been sold, not the 100%. And they require their liquidity for their other purposes -- other domestic needs.

Gaurav: So when you are saying that it's widely distributed, 90% is among how many people?

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R.S. Jalan: It's around approximately my understanding, I just don't have the number, but I think this is widely to roughly around how many people Raman...

Raman Chopra: 50, 55 people.

R.S. Jalan: 50, 55 people we have distributed, this is the number. This is from the middle management to the senior management.

Gaurav: And also in the past, we have -- sorry, I just want to...

Moderator: Mr. Gaurav, can you please...

Gaurav: Yes, this will be my last question.

R.S. Jalan: Let him complete.

Gaurav: I've been a shareholder in this company from last 15 years. I've been tracking this company, correct? So see, regarding in the past about 2 years back, the excess cash, we have been chatting about how the utilization of the excess cash will be used. And you had said you are evaluating inorganic opportunities for growth.

Now I think probably Saket also asked you about that the utilization of the proceeds in the buyback, correct? And when it is not taxpayer friendly for the equity holders now, correct? So

what led the decision to move away from the inorganic growth opportunities which you were evaluating where you had said in the past that due diligence has also been done, and you just

decided to pay back that money?

R.S. Jalan: See, Gaurav, 2 things. First and foremost, our inorganic growth, we have been evaluating many of the opportunities. But unfortunately, we have not been able to close to a deal, which is a value creation for our shareholders, first and foremost. Second, we -- our growth journey of either the inorganic or the organic growth will continue. You know that out of the total resources, we are only a small portion we are going to distribute.

And we are a cash -generating company. If you look at slightly medium -terms, we are generating almost around, I would say, INR500 crores, INR600 crores of the cash generation. What we thought is that -- and we have in the past also, we have done 2 buybacks. Don't forget that, okay? So we always believe that the value creation for the shareholders are very important that we try to return some re sources to the shareholders in addition to the dividend.

And this is what we have done it. In the past also, we have done it, and we have done it also. For the growth, the resource problem will not be there because we are a completely deleveraged company. We have the ability to raise a significant amount of resources from the market as well. In spite of that, we will not cross 1:1 equity.

Still, we have a lot of opportunity of taking that. Even if I distribute the yearly income, 50% or 60% of the income, we will be able to do this kind of a buyback on a consistent basis kind of a

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situation, okay? So instead of putting this money into the, what you call, into the low income on our what we call treasury, we thought let the shareholders get this money.

In terms of the tax friendliness, like I said already, there are many companies we have studied all those companies, they have successfully done the buyback after this change in the regime, and it is beneficial to many of the small investors as well as some of the institutional investors. So this will definitely have a value creation for the -- even the larger shareholders as well. This is what our Board believes, and we believe.

Moderator: The next question is from the line of Satyam Agarwal.

Satyam Agarwal: Sir, I just wanted to understand, what is the current realization per metric ton and what is the current EBITDA per metric ton?

R.S. Jalan: Satyam, first and foremost, like I've already given the number, basically, the prices are fallen as compared to the last quarter by 3% and as compared to the year -on-year basis, the 9%, okay?

And EBITDA also I have already given -- you have the number that how much EBITDA per ton or I would say the margin, which is approximately our EBITDA margin is around 24% vis -a-vis which was around 27% in the same quarter last year -- 28%, sorry, and it was 27% in the Q1 FY '26.

Satyam Agarwal: And sir, if I want to know that if anti -dumping duties are being imposed, then there will be some benefit on the realization front. And I just wanted to understand whether it will be, I mean, directly being affected to the EBITDA or some portion would be, I mean, cut down ?

R.S. Jalan: Sorry, I've not been able to understand your question, because your voice is not clear. Can you repeat your question please?

Satyam Agarwal: Sir, my question is, if there is been imposing anti -dumping duty on the Finance Ministry, there will be some benefit on the realization front. So if there is some benefit on the realization front, how much of it will be reflected in the EBITDA?

R.S. Jalan: See, first and foremost, let this to happen, first and foremost. And how much that will make an impact on to the pricing, that we'll kind of decide. But like I said, already my cost competitiveness or our work on the cost is on the way. And so therefore, I think a significant portion should get added to the bottom line.

Moderator: Ladies and gentlemen, this was the last question for today's conference call. I now hand the

conference over to the management of GHCL Limited for their closing remarks. Over to you, sir.

R.S. Jalan: Thank you very much. Just let me kind of reiterate some of the points which I have mentioned in my opening remarks as well as in the questions. As a management, and we have a kind of a history of many years, we have delivered our commitments on a consistent basis. Like in this quarter also, in the last quarter, we have already indicated the prices are challenging and the overall the industry cycle is on the downward trend.

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And I think based on that, the numbers which you are seeing are the numbers which are true reflecting to our commitment, first and foremost. Second, our growth journey on this business continues and we are here only to create a value for our stakeholders.

That's our mission, and we will continue to do the journey of a growth, journey of cost optimization, journey of better serviceability to the customers and to create a value for all our stakeholders, including the shareholders.

This buyback has been very well thought of by the Board and by the management, and this was only a kind of a step towards the rewarding the shareholders, which we have done in the past as well. The dividend and other things will continue.

We will do a very responsible capital allocation all along, and we will make sure that, that gives a maximum return to our shareholders. Thank you very much for all the support which you people have given, and we will look forward to kind of a valued questions as well as a valued input from you people so that we continue to do our journey and justify our efforts, which we do. Thank you very much.

Moderator: Thank you, sir. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2026

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February 3, 2026 ■■■■-■■■ç■■, ■■■■■■

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National Stock Exchange of India
Limited

"Exchange Plaza"

Bandra – Kurla Complex,

Bandra (E), Mumbai – 400 051

NSE Code: GHCL

BSE Limited

Corporate Relationship Department,

1st Floor, New Trading Ring, Rotunda Building, P.J.

Towers,

Dalal Street, Fort, Mumbai – 400 001

BSE Code: 500171

Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on January 29, 2026

In continuation to our earlier communication dated January 23, 2026 and January 29, 2026 regarding Investors' conference on January 29, 2026 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on January 29, 2026 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

Bhwneshwar Mishra

Vice President - Sustainability & Company Secretary

(Membership No.: FCS 5330)

January 29, 2026

MANAGEMENT : MR. R. S. JALAN – MANAGING DIRECTOR
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER
AND EXECUTIVE DIRECTOR , FINANCE
MR. MANU JAIN – SR. GENERAL MANAGER , INVESTOR
RELATIONS AND FINANCE

MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

GHCL Limited
January 29, 2026

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Moderator : Ladies and gentlemen, good day and welcome to GHCL Limited Q3 FY '26 Earnings Conference Call hosted by Emkay Global Financial Services Limited.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Vora from Emkay Global Financial Services Limited. Thank you and over to you , sir.

Meet Vora : Thank you. Good afternoon , everyone. Thank you for joining us on GHCL's Q3 FY '26 Results Conference Call.

I would like to welcome the Management and thank them for giving us this opportunity to host them. We have with us today Mr. R. S. Jalan - Managing Director ; Mr. Raman Chopra - CFO and Executive Director of Finance; Mr. Man u Jain – Sr. General Manager, Investor Relations and Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward looking and a disclaimer to this effect has been included in the Earnings Presentation shared with you earlier.

I shall now hand over the call to the management for their opening remarks. Thank you and over to you , sir.

R. S. Jalan : Thank you, Meet. Good afternoon , everyone. A very warm welcome to GHCL's Q3 FY26 Earnings Call. I hope you had a chance to look at our results as well as the Investor Presentation uploaded earlier.

Let me start with the industry landscape , the global environment remains dynamic and challenging. However, the domestic story continues to be resilient. We are seeing the healthy demand growth for Soda Ash in India, hovering around 5%. This is a positive sign for the long term. On the supply side, the market continues to be oversupplied. We have witnessed a steady influx of imports. For the first time in nine months of this fiscal year, import volume has noticeably increased by 10% compared to the same period of last year. This high level of import continues to put pressure on market reali zation. While this creates a challenging competitive landscape, our focus remains on what is within our control. We are focusing on enhancing our operational efficiencies and cost leadership to navigate these headwinds.

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Coming to our performance this quarter , I am pleased to share that we have successfully completed our planned maintenance shutdown during Q3 FY26. While this shutdown resulted in some loss of production volume, we managed the inventory and supply chain effectively. As a result, our top-line for the quarter was not impacted. This demonstrates the strength of our customers' relationships and our planning capabilities. We remain committed to creating value

for our shareholders. I am happy to report that we successfully completed our shareholders' buyback program of Rs. 300 crores. This reflects our strong cash generation ability and our confidence in the company's future.

Moving to our growth initiative, we are in the final stage of our expansion projects, Bromine and Vacuum Salt. Both projects are in the last leg of completion. We expect commissioning to happen towards the end of the current quarter, i.e., Q4 FY '26. These projects will diversify our business and provide new growth avenues. Greenfield Soda Ash project's progress has been slower than expectation. This project is a significant strategic investment and part of our long-term goals.

In summary, while external factors like import present challenges, G HCL stands on a strong foundation that is backed by strong cash flow through volatile industry scenarios and our emphasis on driving operational efficiency. Bromine and Vacuum Salt

represents a change in

product mix and diversification. With safety, sustainability and operational excellence as key drivers, we are in the position to deliver to our shareholders and all stakeholders. I would like to thank all our shareholders and our investors for their continued trust in G HCL.

I will now hand over the call to Raman to walk through the financial highlights. Thank you.

Raman Chopra : Thank you, sir. Good evening, everyone and a very warm welcome to our Earning Call for the 3rd Quarter and 9 months ended 31st December 2025.

Our performance remains steady. This is a result of our focus on operational excellence and efficient manufacturing. We achieved this despite the challenge in pricing environment in the industry.

I will now walk through the key financial highlights. Revenue for the quarter came in at Rs. 773 crore compared to Rs. 807 crore in the corresponding quarter of last year and increased from Rs. 739 crore in Q2 of the current year. This reflects the tough global market condition resulting in cheaper imports into India which has adversely impacted our realization.

EBITDA for the quarter stood at Rs. 175 crore compared to Rs. 259 crore in Q3 of last year and Rs. 175 crore in Q2 of this year. We reported EBITDA margin of 22.7% in the current quarter. On a Q-on-Q basis, EBITDA margin declined by 100 bps mainly due to fall in realization. Our ability to protect profitability even in this environment is a direct result of our deep-rooted philosophy of cost control and operating efficiency.

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PAT from continuing operations stood at Rs. 107 crore compared to Rs. 168 crore in the corresponding quarter of last year and a similar profit in Q2 of this year.

During the quarter, we have undertaken the plant maintenance shutdown which led to temporary reduction in production. Despite the shutdown and subdued domestic realization, we maintained steady quarter-on-quarter performance driven by strong operational efficiency and effective cost management. For nine months period, 31st December 2025, we generated Rs. 443 crore in cash profit after tax. Out of this, we spent almost Rs. 226 crore on CAPEX and Rs. 29 crore on repayment of loan while working capital was released by Rs. 109 crore. During the quarter, we have successfully completed Rs. 300 crore buyback. This is in addition to Rs. 115 crore dividend payments made during the financial year. In total, we have rewarded our shareholders by distributing Rs. 415 crore during the 9-month period of this financial year, which is 116% of PAT for the nine month period.

In a period of external volatility, this move reflects the strength of our balance sheet and our commitment to consistently reward the shareholders. We have net cash surplus of Rs. 890 crore as at the end of nine month period FY '26. This financial agility supports our strategic CAPEX execution and provides significant growth headroom.

With this, I conclude my comments and now request the moderator to open the forum for question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Khetan from Smith Institutional Equities. Please go ahead.

Aditya Khetan : Thank you, sir, for the opportunity. Just a couple of questions. Sir, recently we know that anti-dumping duty on Soda Ash has not been imposed. Coupled with this, we are witnessing 10 lakh tons import of Soda Ash consistently. How do you see the growth story of the company panning out in this headwinds? And considering the near-term expansions of Bromine and Salt, is this enough to diversify the company from near Soda Ash into these smaller businesses? How do you see the story panning out for the next 2-3 years in brief, sir?

R. S. Jalan : Aditya, very valid question, first and foremost

t. First and foremost, yes, you are right that anti-

dumping duty has not been confirmed by the Ministry of Finance. But the positive side of this entire Soda Ash business is that the growth story in India itself is, like I mentioned to you, growth

story has been very significant. Just to give you a number, next year what looks like is that the way the green energy initiatives are being taken, this will kind of enhance the demand perspective of the Indian Soda Ash. Last year, means the current year looks to be around 5% and this number could be better than this 5% in the next year. So demand definitely takes care of some of the import which is happening along with some of the additional capacity which has been built into the domestic industries.

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The second part, yes, at this point of time, there is a headwind as I mentioned in my opening remark as well because of the global demand supply situation. But a couple of things which are spanning out and we don't know how this will shape up in the coming forward, like the rupee devaluation versus the Chinese Yuan appreciation versus dollar. This is a kind of, I would say this is a positive sign. Second, the Chinese government's philosophy of evolution which they have introduced and probably many of the chemical and some of our consumer like what you call, solar panels, those kind of people, there will be kind of a competitive advantage to them will also happen. The third, I would say at this point of time, the way the cost structure which we are seeing globally, I see that these kind of numbers looks to be kind of pretty on the bottom of the pyramid. So hopefully in the next 2-3 years, demand growth coupled with the economic recovery of some of the economy, we see kind of a good situation should happen to this industry. And last but not the least, so far the GHCL is concerned, as I mentioned, in spite of such a high reduction in the selling price, we have been able to significantly operate our plant and efficiently operate the plant and we have been able to mitigate to a large extent our margin erosion because of the cost advantage which we have done in the operational efficiencies. And this is going to be permanent in our benefit. Once the recovery starts happening, this will have an advantage, both the advantages will have to us.

In terms of your second related question, diversification of Bromine and what you call, Vacuum Salt, see this is a strategic move and I just wanted to highlight, we started thinking about this 4-5 years back and on the continuous possibility of explaining and getting a new technology, we have been able to navigate this into the diversification first time in the GHCL. And this is a kind of, I would say, is an add-on advantage because both these projects are more of a part of the GHCL because Salt, what we are doing is we are using the waste energy and this will significantly help us to kind of improve our bottom-line. Of course, the number will be smaller, but these are the kind of strategic moves. Same way, Bromine, from the existing salt capacity what we have, we have been able to build this Bromine project and this again will have an advantage of kind of a margin and broadly my understanding is both these businesses, of course the top-line will not be very significantly higher, however, the margin percentage are going to be higher and this definitely will add on to our bottom-line, it will help us to improve our bottom-line.

Aditya Khetan : Got it. Thank you for that explanation. Sir, you had mentioned in your opening remarks that this quarter there was a shutdown. So ideally, sir, like prices are similar to last quarter or I think they are slightly lower only, coupled with lower volumes, so ideally top-line should decline on quarter-on-quarter basis. It seems to be like on a higher side, 5% up. Is there any like something

which is missing here?

R. S. Jalan : No, Aditya, I will just explain you. Though my production is down, but my revenue is higher because my volume sell to the customer has been higher.

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Aditya Khetan : Got it. So selling volumes have been higher, which is why your top-line has moved up ?

R. S. Jalan : Right.

Aditya Khetan : Sir, when we look at the financial in this quarter, sir, the cost of raw materials seems a good, a steep jump, roughly on quarter-on-quarter and Y-o-Y basis, some 20% jump we are witnessing.

But on the hillside, the top-line has only grown by roughly 4%, 2%. So is there any some component of inventory losses or like we have not been able to pass on the prices of RM ?

R. S. Jalan : No, I don't know, Aditya, which number you are talking about. If you can give me a specific where you are talking about ?

Aditya Khetan : The cost of raw materials?

R. S. Jalan : The cost of raw materials, Aditya we will always have a kind of a component of the inventory adjustment also. Like inventory adjustment, I am talking about finished goods inventory adjustment.

Aditya Khetan : Sir, what is the inventory losses figure?

R. S. Jalan : No, there is no inventory losses. I said inventory adjustment. See, cost of raw materials represents the production which we have done during this quarter, right. And the inventory

adjustment happens on the finished goods. So you have to look at the totality of both these things put together. And if you have any specific detailed question on this, we can always answer you on the offline. But rest assured, there is no such kind of inventory losses into this system.

Aditya Khetan : Got it. Sir, in your presentation, you mentioned Phase -2 Bromine of 10,000 tons. Like earlier, sir, it was some 12,000 tons capacity expansion. There is some change in that?

R. S. Jalan : Bromine, Aditya, there are two components. One component is the existing Salt Field what we have. There we have added or we have created a capacity of 2,800. In the new project which we have got, the government land, which is far off from here, there once we commission, there will be another 10,000 -12,000 tons of the additional volume will come in. That will take a few years.

Then only that will get added. On an immediate basis, it is only 2,800 tons.

Aditya Khetan : Sir, just one last question. Considering this Bromine and new Salt Field, at peak utilization, how much of EBITDA diversification we can take place from these newer businesses?

R. S. Jalan : See, newer businesses, as I said, Aditya, if you look at the current, these two businesses, Vacuum Salt and the Bromine, the numbers of the top-lines are not very significant. Though margins are significantly higher, but the top-line is not very significant. So the diversification from the revenue perspective is not going to be significantly higher.

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Aditya Khetan : Got it. Thank you, sir. I will join back in the queue.

R. S. Jalan : Thank you.

Moderator : Thank you. Our next question comes from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha : Yes. Thank you for taking my question, sir. Sir, just I missed out on listening to that ADD thing. So ROE now completely in the phase like this ADD is now rolled out completely or still there is a scope that after some time maybe ministry will consider?

R. S. Jalan : See, Rohit, so far as our understanding is concerned, the government, the Finance Ministry has to approve that within 90 days. That 90 days has already passed. They don't communicate whether they approved or they have rejected. But since the 90 days has been passed and as per the customary, we need to assume that they are not in favor of approving it.

Rohit Sinha : Got it. Sir, secondly, on the solar side, we have been quite positive on the solar industry in terms of de

mand for the Soda Ash. So how much improvement basically we have seen in last maybe 3-4 quarters or 5 quarters since we have been focusing? And from 5 or 6 quarters back, what was the kind of volume which we are going for the solar side? And now at what percent? I know it would be very small, but still, have we seen a decent improvement?

R. S. Jalan : See, Rohit, I will just tell you my understanding. See, at this point of time, there are all the projects which are getting commissioned or are in the process of getting commissioned.

Currently, at this point of time, the demand per month is around 11,000 tons. And in next one year, by March 27, that will go to 28,000 tons. That means almost around, you can say, 17,000 tons of the extra demand. And these are all projects which are final, which are under implementation. So 17,000 means we are talking about something around 2,40,000 or something of that number will these extra demand happen. Of course, it will happen on every quarter, the increment will happen. But peak of the demand in March 27 will be 28,000 tons per month. So that is a very significant demand. So what is your question of in the last few quarters, you remember that a couple of quarters back, there was a kind of a duty and there was a kind of the exemption on the duty of the solar panel and solar glass import into India. That has been removed a few quarters back, only 2 quarters back, if my memory is correct. And after that, all these new projects have started getting commissioned. But still I would say that this 11,000 tons, I don't have a specific number, but probably maybe this was around 5,000 -7,000 tons maybe a few quarters back. Now, it is around 10,000 -11,000 tons.

Rohit Sinha : Got it. And lastly on this Bromine project, from next quarter onwards, what sort of revenue contribution we would be expecting? And my point is that we are seeing Bromine prices quite increasing in the recent time. So have we started any interaction with the customers or how this thing will be translated into the revenue?

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R. S. Jalan : So Rohit, first and foremost, let me say that this Bromine project will get commissioned by end of March 26. The benefit of this project will be in the next quarter, first quarter of next year. The total capacity what we have is around 2,800 tons. However, that will take some time to kind of stabilize. Quality needs to be established because that first time we are going for the Bromine project, we need to establish the quality also and things like that. Once everything gets settled down, then probably the number will be coming. Like I said, revenue will not be very significant.

You have the number and you know the market price based on that you can always easily kind of look at that number. But it all depends on how this ramp up happens and how the quality gets established. But we are positive that in 26-27, a good amount of bottom-line addition should happen from the Vacuum Salt as well as from the Bromine.

Rohit Sinha : That is it from my side, sir. Thank you.

R. S. Jalan : Thank you, Rohit.

Moderator : Thank you. Our next question comes from the line of Jainam Ghelani from S van Investments. Please go ahead.

Jainam Ghelani : Hi, sir. Thanks for the opportunity. Since we had a shutdown in the previous quarter, what was the volumes lost because of that?

R. S. Jalan : Approximately around 20,000 tons.

Jainam Ghelani : And how much of our inventory did we liquidate during the quarter?

R. S. Jalan : See, the sales have been higher than the production and to that extent, the inventory has been liquidated.

Jainam Ghelani : That is precisely because if we look at the overall realization, the realization for the Soda Ash has been on the declining trend in this quarter also. But when you compare our revenue, our revenue has seen a marginal improvement or a flat on a sequenti

al basis. So is that the inventory

liquidation is to the tune of 10 %-20% odd or how shall one look at the scenario at this point of time? Or what sort of inventory are we holding right now on Soda Ash front?

R. S. Jalan : In terms of, like I said, production is down by 20,000 tons. Sales has not been impacted. Sales is better than the last quarter as well. And therefore, the inventory reduction has been there.

Specific number, the quantitative number, we don't have at this point of time. And yes, you are right, the sales price has been dropped during this quarter as compared to the last quarter as well. But because of, like I said, operational efficiencies and the higher sales, we have been able to maintain the topline as well as the bottom-line.

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Jainam Ghelani : Sir, when we say that there is a significant improvement in the operational efficiency which has resulted into a better performance on the EBITDA level or the flat performance, so what sorts of levers do we have now to further improvise on the efficiencies or we have capitalized almost all the cost levers that we had in the last quarter?

R. S. Jalan : See, I would just like to highlight here that this is a culture for a period of time in the GHCL where we never say that all levers have been exhausted. You know that when you become better then it becomes harder for the further betterment but that journey continues. If I remember correctly last year '24-25 versus '23-24, we have highlighted that we have almost saved around Rs. 140 crores by the operational efficiency. Same way, the continual journey of this year also continues and at this point of time, I don't have a number that how much operational efficiency we have been able to build, but this journey will continue. How much that amount will be? Sometimes it can be higher, sometimes it can be lower, but proudly I would say that we have been able to implement all the cost reduction project or the optimization over a period of last many years and this journey will continue in the future as well. And many opportunities are there, let me tell you, there are many opportunities, in the raw material consumption, on the power consumption or on the steam consumption or the efficiency improvement. Many such opportunities are there and it will continue.

Jainam Ghelani : Sure, sir. And now when we look assuming that the price of the Soda Ash remained at its current level, next 2 years we will see a marginal growth coming from the Bromine and the Vacuum which is the small project at this point of time. So once we scale up, definitely it will take time, but there is a significant delay that is happening on our Greenfield on our regulatory approvals. So can you highlight where and at what area which is getting stuck in terms of the approvals and when can we see improvement on that level?

R. S. Jalan : See, like very nicely you highlighted the point, any project, when the Greenfield project when you go, the major hurdle comes in the land. And currently at this point of the time, our major hurdle is on the land side only. We have got environmental clearances, we have got all other approvals, the land acquisition and the land uses change. There are some technical hurdles are there and that we are trying to sort out. How much time it will take? It is very difficult at this point of time because ourselves, we don't know how much time it will take.

Jainam Ghelani : That is it from my side. Thank you.

Moderator : Thank you. Our next question comes from the line of Rohit Nagraj from 361 Capital. Please go ahead.

Rohit Nagraj : Thanks for the opportunity. Sir, first question is on the ADD front. So are we planning to reapply for the ADD and allied question to that, till December we had the minimum import price restriction. So has it continued from January or has it lapsed? Thank you.

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R. S. Jalan : See Rohit, first and foremost from the industry side , all efforts are there to look at some kind of a protection from the government either in the form of ADD or in the form of other protection.

Many other opportunities are there and we are working on that. So as far as the MIP is concerned this has got expired in 31st December because at that time the expectation of the anti -dumping duty was alive , but we have reapplied and the things are under consideration of the government.

Rohit Nagraj : Sure, that is helpful. Next question is on the broader industry perspective , so we have seen generally that Asia is a market where Soda Ash demand and consumption has been growing.

Just what is your perspective given that you track all the markets? Is there any structural stagnation or decline in Europe and US which are the developed countries and because of which at least for the short term , there will not be any material improvement as far as pricing is concerned given that whatever volumes will be lost from these geographies , the incremental supplies will be able to take care of demand from the growing geographies , like say , Asia? Thank you.

R. S. Jalan : See, Rohit , let me give you slightly broader understanding of mine. See there are two things which has happened and you know that China is the leader in terms of the out of the total capacity I think almost around 50% each in China itself. The two developments which has happened in the last 2 years , first and foremost is the new additional, what you call natural Soda Ash commissioned, almost around 10 -11 million tons of the new addition has been done. At the time , the demand in China was booming because of the solar and the lithium iron and like I said last year it was around 14% demand growth. However , in 25 , the demand growth in the solar as well as the real estate has been on the slower side and 25 , the demand has been de -grown by around 1% or 2%. So there is a demand supply mismatch in China which has led to the oversupply. The second part , because of the geopolitical situation even the Europe demand has not been , right now I would say they are not growing even in the last few quarters , it has not gone down as well. US is slightly improving , demand of the US , however , because of China , because of Europe there is a surplus situation. So as far as India is concerned as I mentioned in the opening remark also that Indian demand has been significantly better. So if you look at in terms of the demand side, I don't see in this part of the world , Asian part of the world , there is any concern . The moment this slightly balance happens between this demand supply and slightly recovery in the Chinese demand happens , the things will be looking better.

Moderator : Sir, the line for the participant seems to be disconnected . Shall we move on to the next participant?

R. S. Jalan : Please do that.

Moderator : Thank you. Our next question comes from the line of Darshita from DSP Asset Managers. Please go ahead.

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Darshita : Thank you for the opportunity. Sir , could you help us out with the sales volume growth for the quarter?

R. S. Jalan : Darshita, I have already given the number in terms of the revenue and we don't generally talk about the volumes.

Darshita : Could you just give at least a number as to how much of the volume growth? You said it was positive for the quarter. It is okay , we don't give out the volume number as such , but if you could just help us out with the percentage growth ?

R. S. Jalan : Volume growth is roughly around 5 %-6% or plus 5% higher as compared to the same quarter of last year. 5%-7% kind of a number will be there.

Darshita : Got it. Yes, that is all. Thank you.

Moderator : Thank you. Our next question comes from the line of Darshan Deora from Indvest Group. Please go

ahead. Darshan, your line has been unmuted. Please go ahead with your question.

Darshan Deora : Yes. Sorry. So a couple of questions. The imports that we have been witnessing in India, which countries are they primarily coming from?

R. S. Jalan : Darshan, primarily, the volumes historically has been coming from Turkey, US, Iran and Russia. Now, in this quarter, some volume has started coming in from China as well.

Darshan Deora : And in China, the natural Soda Ash capacity which is coming up in Mongolia, how much has been commissioned so far?

R. S. Jalan : It has been completely, the 10 million, 100% has been commissioned.

Darshan Deora : 10 million. Is there any more capacity expected to come up in that same region?

R. S. Jalan : They are talking about a million ton new capacity which is likely to come in 1 or 2 years in the

same location. And maybe they are looking at one more opportunity in the other location, but that will take some 3-4 years of time. I just wanted to highlight one thing here, which is very important kind of highlight. Even at the slower demand in the globe, even if the demand grows by 2%, we require at least 2 million tons of the new additional capacity to fulfil the demand supply. And therefore the new capacity has to come in to kind of balance the demand supply.

Darshan Deora : Yes, I think you have mentioned earlier also on past calls, and that is totally taken note of. In China, there is this involution campaign which is happening. So in a lot of sectors, including the solar supply chain, the government is trying to cut out excess capacity because unnecessarily margins are getting compressed, return on investment is getting compressed. Anything like that

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happening in the Soda Ash industry also, in terms of the Synthetic capacities or the less efficient older capacities getting shut down? Anything you have been hearing?

R. S. Jalan : I think 100% this is likely to happen as per our understanding because all this, like you very rightly said, is evolution process, there are many plants in China which are less efficient. They are also impacting the environment where also the Chinese governments are very concerned about it and this is likely to happen. When it will happen we don't know, but definitely it is going to happen. Second, as you rightly said, this evolution will also help. At this point of time, we are reasonably confident that the people are not making money and this government focus will be there on that to make sure that all those uneconomical plants get shut down. The third is this evolution will also help our consuming industry like solar in India to have an opportunity of expanding their capacity. All these put together will definitely help us as a producer.

Darshan Deora : You mentioned important points and just in terms of pricing we are probably at the bottom of the cycle because at these prices manufacturing may become uneconomical in several countries.

Do you see, generally speaking, apart from China in Europe or in other parts of the world, any capacity shutting down because of the pricing that is prevailing today?

R. S. Jalan : Yes, I think in Europe, a couple of plants have been closed in the 25 and if the situation continues this way, probably the more acceleration of this should happen.

Darshan Deora : Any figure you can put on, what would be the capacity of the plants to shut down?

R. S. Jalan : I will just give you one number. I think in UK there was one plant which was 400,000 closed in January 25 and in EU Poland there was around 600,000 plants which were closed in July 25.

Darshan Deora : Got it. And just in terms of countries that are potentially partnering with India in terms of trade obviously there is EU, but luckily Iran and Turkey are not part of EU or neither Russia. But say, the US were to do any sort of treaty with India, is any chance of

material getting exported from

US to India, Soda Ash or is it just logistically too far?

R. S. Jalan : See, from US, in any case the products are getting shipped to India historically last couple of years. However, if you look at in terms of the cost competitiveness, they will be making money only when they supply to the markets which are closer to them like South America, so from that perspective. If they have a surplus quantity, obviously they have to sell somewhere and India will become a kind of a market for them. I don't think because of the treaty there was some kind of a change should happen in the supply situation. Like you very rightly said from the factory or from the location where they produce the Soda Ash to India, the cost of supply chain is very high. It is almost around if my understanding is correct, roughly around \$120 which takes care of the plant to the port and port to the South East Asian market including India.

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Darshan Deora : Got it. And last question just in terms of the Greenfield. You did express that there are challenges in land acquisition. How does this delay the process of commencement, what was our original timeline versus what would be the right timeline for the Greenfield expansion for Phase -1?

R. S. Jalan : You are 100% right actually what we originally thought of that has not happened and that is not likely to happen as per the original timeline. The moment we get all these clearances, it will take around 2-1/2 to 3 years of time to complete. And honestly at this point of time, I am not very clear when the approval will take place. But still what we believe is that by 2030, we will be in a position to commission both the leg if the situation demands. That means the Phase -1 and Phase -2. Maybe at that time depending upon the demand supply situation, we can take a call, should we go for Phase -1 or should we go for both the phase together. But we are still reasonably confident that by 2030, we will be able to complete both these projects, because both these projects even if I take together also, it will take around 3 years of time.

Darshan Deora : Thank you so much and good luck for Q4.

R. S. Jalan : Thank you.

Moderator : Thank you. Our next question comes from Arthur from ICICI Prudential Mutual Funds. Please

go ahead.

Arthur : Hi. Thank you for the opportunity. Like you mentioned, of course, China Natural is one where expansion is likely to happen over the next few years, any other geographies like US where you are hearing that capacities likely to come on the natural side? That is number one and secondly , after this consolidation of Genesis -WE Soda in US, any change in trade flow or dynamics you are witnessing in that work?

R. S. Jalan : See, very valid question, first and foremost, yes, US has announced in the past that they will be adding another 5 million tons. But recently, they have announced that they will not do this till 2030 when the situation improves, so obviously the project will get delayed. And in terms of this consolidation which has happened, I personally believed that it will not have any impact to the Indian market because overall their economic kind of a situation will make them to sell to the remunerative market which are more of a what you call South East Asia or probably the Europe as well as the South American market. But yes, this volume which is coming at this point of a time is still the demand situation improves in the Europe or in the South American market, probably this import to India will continue.

Arthur : Sure. And just one last question on the Chinese material which has started to come, like based on your best assumption, you think the material coming from Chinese through this, maybe I am assuming it comes from the synthetic plants, would we be making cash losses by selling in India or you think there will be break

even of making money when they sell to India?

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R. S. Jalan : Our understanding is again this number cannot be verified. They are making not only on the supply which they are making it to India, they are making losses even into the supply to the other parts of the world, South East Asia and other market as well. Because in the Synthetic side, the costs cannot be matched with the current prices what they have.

Arthur : Got it, sir. Thank you.

Moderator : Thank you. Our next question comes from the line of Ansh Khimavat from Capital One. Please go ahead.

Ansh Khimavat : Sir, my question is regarding the Bromine capacity . Sir, earlier you had guided that we would be doing margins around 40% which would be much better than what the competition is going, is it mainly because of the backward integration or is there any technological progress also to it? I just want to understand how we will be calculating that 40%?

R. S. Jalan : So basically, Ansh, this new Bromine project which we have added is added into the Salt field which we are already operating and therefore for us, the cost will be only some power cost and some operating cost. Because the water flow whatever we are taking from the sea will pass through the Bromine project and that water will get used for the Salt production. So the Salt production continues. Only we are taking out the Bromine out of that water and that will help us to kind of not having any cost relating to the other cost. And therefore, our margin will be better on this trajectory .

Ansh Khimavat : What kind of derivatives will we be targeting here for the Bromine project?

R. S. Jalan : At this point of time, we are not talking about the derivatives because we have a small capacity. And this plan which I am talking about is only selling the Bromine for pure. But yes, we are exploring the possibility of, in the future, how can we go to the derivative side. But still we have not finalized any plan on that.

Ansh Khimavat : And you had mentioned in your presentation that we would be targeting a 10,000 ton in the Phase -2. So any color as to when will that phase start?

R. S. Jalan : No, Ansh, we have got the land by the government. And some formality needs to be completed in that. But that will take at least 4 years from now. Kind of when the Bromine new project will start getting a production out of that. Because we have to develop the Salt Field there. And after the Salt Fields are developed, along with that we have to put the Bromine project. And that will take 3-4 years of time.

Ansh Khimavat : So is it a fair assumption to make that we will be selling Bromine to the conventional players in India only today? Or would we be targeting elsewhere soon?

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R. S. Jalan : Mostly at this point of time, our target is only the domestic market. Because the volumes are not very significant.

Ansh Khimavat : Alright. Thank you for taking my questions.

Moderator : Thank you. Our next question comes from the line of Saurabh Jain from HSBC. Please go ahead.

Saurabh Jain : Thank you for the opportunity. Most of my questions have been answered. Just some data points. What could be the decline in Soda Ash prices in this quarter? And what would be your

confidence or expectations around stabilization of Soda Ash prices at these levels? Question number one.

R. S. Jalan : Yes. So basically, as I said, at this point of time, the price in this quarter will be slightly lower than the average of last 9 months . However, in terms of the confidence, it is very difficult to say whether this price will stay on this level or not. But like I said, the way we are seeing the global cost structure and things like that, we see that reasonably that, okay, in the next few quarters, this number should be kind of a rock bottom. But whether some drop will happen from there or

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not, at this point of time, very difficult to say on a realistic basis.

Saurabh Jain : And how much was the decline in the 3rd Quarter ?

R. S. Jalan : 3rd Quarter , the decline was approximately around 3%.

Saurabh Jain : 3%. Thanks. Secondly, when you talk about the imports coming from China, what could be China's overall share in Indian imports? And what price are they selling their product into the country?

R. S. Jalan : First and foremost, China has a large capacity. And the volume which is coming is insignificant. Even the percentage, I can't tell you whether it is a 0.01% or 0.02% kind of a number. But the numbers are very small at this point of time. Number two, in terms of the pricing, it is a very dynamic pricing. And depending upon the consumer, depending upon the volume, they are negotiating the price. But in any case, whatever price we are selling, I think they are closer to the competition only.

Saurabh Jain : Sure. That is all I wanted to understand. Thank you so much and all the best.

R. S. Jalan : Thank you.

Moderator : Thank you. Our next question comes from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor : Namaskar, Jalanji. Namaskar, Raman saab. Thank you for the opportunity.

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R. S. Jalan : Thank you, Saket.

Saket Kapoor : Sir, firstly, on the CAPEX front, I think so. Raman Saab, you mentioned about 200 some odd crores total spent for 9 months . Can you provide the break -up for the same? Where has the CAPEX been spent?

R. S. Jalan : See, Saket, primarily this expenditure has been done only on the two projects. One is the Bromine well as the Vacuum Salt. Yes, of course, some of the capital is also spent on the regular plant, which is our existing plant. And this is kind of a regular project which we do every year.

Saket Kapoor : And sir, since you have just articulated on the fact that we might be delaying or rather 2030 is the long -stop date for commissioning, what would be the program from us on spending on the Greenfield project for the coming next year? And I think that we also outlined Rs. 50 crore s CAPEX for a new office. Where are we, sir, in terms of that? How much have we spent and when will we be doing the needful?

R. S. Jalan : See, Saket , in terms of the Greenfield , as I mentioned to you, the zero date we don't know right now. And therefore, it is very difficult to say that what will be the expenditure next year. Once the zero date starts, then only we will be able to plan what will be the CAPEX requirement for one year or immediate one year. In terms of the office in Ahmedabad, most of the payment has already been made. And I think the handover of that office should happen in another 6 months' time. And once that happens, then probably we will move our office from Ahmedabad from the current location to the new location.

Saket Kapoor : Sir, we have also seen that there is capacity addition from the other players domestically. So taking that into foray and the duty benefits not being implemented, how do you see the domestic market behaving? And since we have taken the shutdown and now we are upstream, what has been our utilization levels for the 9 months ?

R. S. Jalan : See, Saket, in terms of the utilization, barring this annual shutdown, our utilization has always been 95 % plus, number one. Number two, in terms of the new capacity coming in and the demand supply, there are three factors which need to be taken into account. One is the Indian demand growth is good. Second is import. Import has increased. And therefore, the demand supply situation, rebalancing is happening. Hopefully, in 2026 -2027, probably there will be better scenarios to emerge.

Saket Kapoor : And lastly, sir, there was one corrigendum notification also from the Director of the Trade and the one which has recommended the anti -dumping duty on 4th Novem

ber wherein they have

highlighted about some error in mentioning the amount per dollar duty that was envisaged from the import from Turkey, Russia, USA, and Iran. That is dated 4th November. So does the reference date of the notification of implementation and therefore the expiry of the same also change or 29th September is the date that should be as a zero date?

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R. S. Jalan : No, 29th September remains as a zero date.

Saket Kapoor : Right, sir. Thank you, sir, and thank you for interacting and all the best to the team. Thank you.

R. S. Jalan : Thank you.

Moderator : Thank you. Our next follow-up question is from the line of Aditya Khetan from Smith Institutional Equities. Please go ahead.

Aditya Khetan : Yes, thank you, sir, for the follow-up. Sir, on to the demand certainty, any sort of a number or any sort of a clue you have got like, so demand is at the bottom and you have repeatedly mentioned that prices have also started to bottom out. Is it backed by some assumptions considering even China has started now exporting to the global markets and India is not importing much, but there could be a thing wherein China starts to import much in India. So what is the assumption behind we have taken that prices have bottomed out?

R. S. Jalan : See, Aditya, there are two things. First, your question was on the demand side. See, as I said, normal demand in the Indian typical industry like your detergents and the chemicals and the normal glass, flat glass, they are on a range of around 4 %-5%. Add on to that is the solar glass, which I just explained that there is a robust demand likely to happen because of the new capacity getting in. Our assumption is the next year, the demand growth should be around 6 %, 5.5%-6% should happen. And this will create the additional demand of something around 2.5 lakh to 3 lakh tons. In terms of our assumptions of the prices bottom out, as I mentioned in my other lot of questions, the way the cost structure which we are seeing globally, either in the natural Soda Ash or in terms of your Synthetic Soda Ash, either in China or other part of the world. Second, this evolution of Chinese because China is more than 50 % of the capacity. The way that China is evolving their strategy of profitable growth or profitable business, I think these are the assumptions which we are assuming that should be giving us a kind of that assessment. However, as I mentioned in my earlier call, it is an assumption, we don't know how the situation will come out. And this is all we have to wait and watch. But in the longer term, surely, I am reasonably confident, maybe one or two quarters can be situation could be slightly more worse than what it is today. But in the longer term, economics will play.

Aditya Khetan : Sir, my second question is, I think in the month of January, this month only, China has announced that they would be abolishing the export rates for the PV photovoltaic glass. Sir, is there any assumption like will this create a short-term run in prices of Soda Ash? Because when I calculated, there could be an incremental demand of 1-2 lakh ton in China. But you think like this could be a material booster or it could be only a near-term support to the prices and thereafter, post-April 26, again, the prices could start to bottom out, start to go down?

R. S. Jalan : I don't know, Aditya. I will be very difficult to kind of assess on that. Like I said, my understanding is evolution. Because ultimately, this evolution is the main thing which China is

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following. And this would definitely have a medium-term kind of a benefit to the entire industries and more particularly to chemical industries. And as per my understanding, chemical pricing of the many parts of the globe, even including China, has gone up. How that will sustain? Very difficult a

t this point of time to kind of comment on that.

Aditya Khetan : And sir, just a similar question. Suppose, sir, if India also started to reduce the export rebates which we are giving on photovoltaic glass, you think like in the longer term, this could be a bigger problem for the Soda Ash industry? As we would not be able to export much photovoltaic glass and consequently, higher production of Soda Ash would keep higher inventories in the pipeline. So is this a bigger risk which we can foresee in the longer term?

R. S. Jalan : At least not from my understanding, first and foremost. I don't think there is a kind of a very significant export incentive which has been given to that. But we need to check that.

Aditya Khetan : Got it, sir.

R. S. Jalan : Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments.

R. S. Jalan : Thank you. Thank you, everyone for participating and asking the questions. As I have been always saying, as a management, our responsibility is to make sure that we deliver the best result in the current environment or any environment and we make the business more sustainable, more cost efficient and more sustainable. And this journey we have been doing and we will continue to do that. We will definitely capitalize when the market recovery takes place and we will have that big advantage out of that. Thank you for your support and your confidence on the management and we will continue to deliver on your confidence. Thank you very much.

Moderator : Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

May 11, 2026 ई███ꣳ– ███ꣳ █ꣳ, ████
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National Stock Exchange of India
Limited
“Exchange Plaza”
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Code: GHCL
BSE Limited
Corporate Relationship Department,
1st Floor, New Trading Ring, Rotunda Building, P.J.
Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Code: 500171

Dear Sir / Madam,

Subject: Filing of Transcript regarding Investors' conference held on May 5, 2026

In continuation to our earlier communication dated April 28, 2026 and May 5, 2026 regarding Investors' conference on May 5, 2026 and pursuant to requirement of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to attach copy of the transcript regarding said Investors' conference held with the management on May 5, 2026 for your reference and record.

Please note that copy of this intimation is also available on the website of BSE Limited (www.bseindia.com/corporates), National Stock Exchange of India Limited (www.nseindia.com/corporates) and website of the Company (www.ghcl.co.in).

You are requested to kindly take note of the same.

Thanking you

Yours truly

For GHCL Limited

Bhuvneshwar Mishra
Vice President - Sustainability & Company Secretary
(Membership No.: FCS 5330)

“GHCL Limited Q4 & FY26 Earnings Conference Call”

May 05, 2026

MANAGEMENT : MR. R. S. JALAN – MANAGING DIRECTOR
MR. RAMAN CHOPRA – CHIEF FINANCIAL OFFICER AND
EXECUTIVE DIRECTOR (FINANCE)
MR. MANU JAIN – SENIOR GENERAL MANAGER ,
INVESTOR RELATIONS & FINANCE
MODERATOR : MR. MEET VORA – EMKAY GLOBAL FINANCIAL SERVICES
LIMITED

GHCL Limited
May 05, 2026

Moderator: Ladies and Gentlemen, Good Day and Welcome to GHCL's Q4 FY26 Conference Call hosted by Emkay Global Financial Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. I now hand the conference over to Mr. Meet Vora, Emkay Global Financial Services Limited. Thank you and over to you.

Meet Vora : Thank you. Good evening , everyone. Thank you for joining us on GHCL's Q4 FY26 Results Conference Call .

I would like to welcome the Management and thank them for giving us this opportunity to host them. We have with us today Mr. R. S. Jalan – Managing Director, Mr. Raman Chopra – CFO and Executive Director of Finance, Mr. Manu Jain – Senior General Manager, Investor Relations & Finance.

Before we begin this call, I would like to point out that some statements made in this call may be forward -looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I shall now hand over the call to the management for their opening remarks. Thank you and over to you, sir.

R. S. Jalan : Thank you, Meet. Good evening , everyone. A very warm welcome to the GHCL Q4 and Full Year of FY26 Earnings Call . Our “Results ” and Investor Presentation” have been published and I trust you have the opportunity to review them.

Let me begin with the “Industry Landscape” :

Global soda ash markets continue to face headwinds, with supply broadly exceeding demand and prices remaining under pressure. It is worth noting that the current pricing environment is a continuation of a cycle that has been playing out over the past two to three years. Through this period, GHCL operational and cost parameters have remained intact. The net impact has been felt only on pricing. And we believe our low -cost foundation positions us among the first to benefit as and when pricing recovers.

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China's demand recovery has been slower than anticipated and this continues to weigh on the global market sentiments. Chinese inventory remains elevated and while we are beginning to see early signals of capacity rationalization, including maintenance closures and financial stress among older synthetic producers, meaningful supply reduction remains some time away.

Adding a new layer of complexity, the conflict between the US and Iran has introduced a meaningful uncertainty into global energy and raw material markets. We are seeing the effect of resulting in higher energy and input costs and elevated shipping expenses, with supply chain disruptions.

In the Indian domestic market, the picture is more constructive. Indian demand continues to grow at a healthy pace and we are encouraged by the momentum ; we see across key end segments, particularly in solar glass, where capacity additions are creating a sustained and visible demand tailwind for soda ash. We estimate incremental dense soda ash demand from solar glass units ramping up in the range of several thousand tons per month, with further upsides as new capacity comes on line.

Interestingly, the same geopolitical dynamics that has pressured costs have also had a moderating effect on import flow into India. Higher shipping costs have made import comparatively less competitive. This has helped us in easing the inventory level in domestic market and provided some support to domestic realization.

On balance, while input costs have risen, domestic prices have also firmed up and we believe that the worst of the pricing pressure may be behind us. The Indian market appears to be approaching an inflection point.

I must say that we have remained focused on our cost discipline and operational efficiencies, in

what

continues to be seen as a demanding environment, where costs increase including elevated shipping and energy costs have been unavoidable. We have moved to pass these through to customers in a transparent manner. Additionally, rupee depreciation has also provided a degree of natural protection to Indian producers, particularly offsetting the landed cost pressure from import. Our fundamentals, including cash generation, customer relationships and operating excellence remain intact. Our focus remains on what is within our control.

On our growth initiative, our bromine and vacuum salt projects are in their final stages, and the first leg has already been commissioned. We expect full commissioning to take place in Q1 FY27. The progress made is substantive and we remain confident in the near-term operationalization of these assets.

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FY27 makes the beginning of a new earning layer for G HCL. Value-added downstream products will now begin contributing to profitability, curtailing the impact of business from adverse industry cycles. These projects remain strategically important as they represent meaningful steps in diversifying our product portfolio.

On our Greenfield Soda Ash project, this is a significant strategic investment and part of our long-term goal and we will continue to provide updates as commissioning milestones are achieved.

GHCL ends the year in a position of financial strength. The external environment including global oversupply, geopolitical uncertainty and cost inflation, is not without its challenges. But let me leave you with what I believe is the right frame of G HCL. We are one of the most efficient soda ash producers. Our cost delivery has been on plan through a prolonged downcycle and as pricing headwinds gradually ease, we are positioned to be among the first to benefit on margin. More importantly, FY27 marks the beginning of a new financial earning layer i.e. value-added products are now commissioned and we will continue meaningful profitability, reducing our dependence on commodities soda ash cycle entirely.

The domestic demand outlook is improving, the pricing environment is stabilizing and our diversification investments are beginning to contribute. We remain committed to operational excellence, prudent capital allocation and delivering consistent value to our shareholders and all the stakeholders.

I would like to thank our investors and stakeholders for their continued trust in G HCL Limited. We remain committed towards shareholders' return and in FY26, we have rewarded our shareholders with INR 415 crores in combination of dividend and share buyback.

I will now hand over the call to Raman to walk through the financial highlights in detail. Thank you.

Raman Chopra : Thank you, sir. Good evening, everyone and a warm welcome to our Earning Call for the 4th Quarter and full year-ended 31st March 2026.

Our performance remains steady. This is a result of our focus on operational excellence and efficient manufacturing. We achieved this despite the challenging pricing environment in the industry.

I will now walk you through the "Key Financial Highlights" :

Revenue for the quarter came in at INR 808 crores compared to INR 773 crores in the previous quarter of this year and flat from INR 807 crores in the same quarter of last year. While the global

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scenario remains challenging, sequential improvement reflects the changing situation in domestic market, driving better volumes and realization.

For the full year, revenue came in at INR 3,144 crores, which is much similar to last year at INR 3,273 crores.

EBITDA for the quarter stood at INR 194 crores compared to INR 175 crores in Q3 of this year and INR 244 crores in Q4 of last year. EBITDA margin improved to 23.9% compared to 22.7% in Q3 of this year. For full year, EBITDA came in at INR 769 crores and EBITDA margin

at 24.4%.

We have been able to protect profitability and margin due to our deep-rooted philosophy of cost optimization and operational efficiencies.

PAT for the quarter came in at INR 120 crores, which compared to INR 107 crores in Q3 of this year and INR 153 crores in Q4 of last year. For full year, our PAT came in at INR 479 crores, which is 15.2% net margin. This demonstrates strong profitability despite the global headwinds.

For the full year, we generated INR 603 crores in cash profit after tax. Out of this, we spent INR 265 crores on CAPEX, including new bromine and vacuum projects, and we repaid INR 35 crores worth of borrowings. During the year, we distributed INR 415 crores to our shareholders in the form of dividends and buyback, which represents a substantial 87% of full year FY26 PAT. Further, working capital has reduced by INR 153 crores, resulting in a net cash generation of INR 41 crores for the year as a whole. In a period of external volatility, this reflects the strength of our balance sheet, our commitment to shareholders, and disciplined capital allocation approach. We have a net cash surplus of INR 1,058 crores at the end of FY26. This financial agility supports our strategic CAPEX

execution and provides significant growth headroom.

With this, I conclude my comments and would now request the moderator to open the forum for questions and answers. Thank you very much.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Darshita from DSP Asset Managers. Please go ahead.

Darshita: Thank you for the opportunity. My first question was regarding the volume growth benefit that you mentioned. Given that imports were not as possible due to higher freight costs, we got some benefit; however, our top line for the quarter was largely flat on a YoY basis. How much would the volume growth be approximately and was it all offset by negative pricing, is that how we should think about it?

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R. S. Jalan: If you look at it in terms of the volume, there is approximately around 11% of the volume growth has happened, whereas your pricing has gone down by 10%.

Darshita: Okay. Do you believe that the pricing should improve from here on? I mean, from your opening commentary, you mentioned that there is some benefit that we are getting on pricing front. So, do you expect pricing to improve from here on, is it?

R. S. Jalan: Darshita, like I said, the global uncertainty is so volatile that saying something definitely is going to be very difficult. But yes, because of the import getting restricted and globally the supply chain disruptions and the supply chain cost has gone up, definitely pricing improvement is being seen.

Darshita: Got it. I mean, if you could share some insight as to how much pricing growth we have seen of late in the last one-odd month ever since the war has stopped?

R. S. Jalan: Like I said, if you look at the last quarter, in the month of March some increase has been felt. Industry, whatever the inventory they had, there was a kind of a reduction in the inventory. So, probably you will be seeing some benefit. Of course, on the other side, the cost is also going up because of energy cost, because of what you call raw material cost, the costs are also going up, but prices are also getting improved. In a way you can say that whatever the cost increases are happening, we have been able to pass on that to the consumers.

Darshita: Got it. That is what I was trying to understand. And are we facing any raw material unavailability issues or is that all taken care of?

R. S. Jalan: We have taken care of that. Fortunately, we had a very well planning of the raw material and we have a sufficient inventory of a few, I would say four or five months of the raw material and we are taking care of that. Absolutely no issues on that.

Darshita: Okay. Got it. And just lastly,

on the new soda ash facility, do we have any update here as to when will the construction begin?

R. S. Jalan: Like I mentioned in the earlier quarters as well, I think some land acquisitions are kind of taking a longer time. So, at this point of time, very specifically it will be difficult to say when we are starting the construction. We are in the process of making those land acquisitions and the land conversion happening. And once that happens, we will come back to the investors and give them a specific timeline.

Darshita: Great. Okay. Thanks a lot.

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R. S. Jalan: Thank you.

Moderator: The next question is from the line of Ojas Singh from CelestialCrest Capital. Please go ahead.

Ojas Singh: Thank you for the opportunity. See, I do not want to talk about the operations because you guys are the subject matter experts. But I just have two or three questions. The first one is, as you guys are expanding into a new Greenfield project, I just wanted to know, are we doing it through internal accruals? Because this is my first conference call. I have not yet been on any of your other calls. So, is this being done through a mix of debt or internal accruals, or this is all debt, or what is the mix, A)? (B, what would be the timeline of us deploying that capital? And this is a follow-through to that question. Would not it be beneficial for the company to hold some cash on the balance sheet rather than giving it to us, like shareholders, rather than giving it to us in form of buybacks or dividends, would not it be beneficial to hold that cash onto your books and not take debt and then fund our acquisition or fund our expansion through that?

R. S. Jalan: Thank you very much for these very valid questions on both. In terms of the investment of the Greenfield project of the new soda ash project which we are talking about, definitely, it will be a mix of internal accrual as well as some debt. However, debt will always be very well within the limit because we have clearly articulated to our investors that our debt-equity ratio will never cross one. Because see, first and foremost, when we start investing into this project, it will take around two and a half years to three years of time. Today, already we have around INR 1,000 crores on the balance sheet. We have a reserve of the cash balance on the balance sheet of INR 1,000 crores. And the way we are seeing, this figure can be significantly higher because the capital expenditure will happen in

the rear end of the project. Yes, but of course the debt will be there. Second, your question about the payout to the shareholders versus retaining the balance sheet, I think we have been retaining a sufficient balance at this point of a time. But we also believe that some kind of a reward to the shareholders is also very important. And therefore, we are taking a very conscious call on this buyback and the dividend. And we are doing a very justified understanding of how to distribute to our shareholders.

Ojas Singh: Correct, but I feel that giving out 80% of your PAT, is it not way too much for us? I know because you guys will expand. It will eventually create value for us. But you guys giving out 80% of your PAT to us. I do not know. I think it is way too much of returning value to the shareholders. But I feel that you can just hold on to a little bit of cash and expand on it.

R. S. Jalan : Your point is valid, Ojas. And I think till last year, 2024 -25, the similar philosophy was there. We have not done that kind of a return. I think this is the first time we have done that. A substantial amount of bottom line has been distributed to the shareholders. And depending upon how the progress

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of this project happens, we will be able to take this kind of allocation of the capital differently. Both these projects which I have just mentioned in my opening remarks

about this vacuum salt, which are

strategic investments, this all has been funded through the internal accrual only. Your point is well taken.

Ojas Singh: Thank you. I just wanted to ask those two questions.

Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Thanks for taking my question, sir. Just one thing on this slide, I would say delay in this bromine and vacuum salt project, that is pushed to Q1. How the pricing right now is there? And if at all we are going to start it, are we looking at a better situation as compared to what it would be in the Q4 or earlier if we have started?

R. S. Jalan : See, Rohit, if you look at the bromine, I think pricing has been significantly higher now as compared to what we thought of. So, obviously that will have an advantage to us. In terms of the vacuum salt, I would say that the prices are more or less on the stable pricing. So, I think there also we anticipated the bottom line will continue with the same what we thought of. But in the bromine, when the project starts, definitely return will be better.

Rohit Sinha: Sir, any specific or a rough number we can get of what kind of revenue size would be contributing in FY27 for this project?

R. S. Jalan : Yes, Rohit, broadly the number will be, as per this point of time, the top line will be roughly around INR 160 crores both the projects put together. And EBITDA range will be something around 40 -45% kind of a range. So, the number of FY26 -27.

Rohit Sinha: Yes. That is fine.

R. S. Jalan : When fully operational, this number will be significantly higher.

Rohit Sinha: Fair enough. Again, looking at –

R. S. Jalan : Sorry, Rohit, I just messed up the number. This number which I have told you is more of a full year benefit. In FY27, this number will be INR 120 crores approximately. The margin remains almost the same level at 40 -45%.

Rohit Sinha: Got it. Any thought about expanding the capacity once we would be looking to reach the peak utilization or peak level at this thing? How basically, just wanted to understand how the market

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outlook you are seeing in this segment, whether it would be better for us to expand the capacity in this particular segment only, or would be looking to spend something on a different scale?

R. S. Jalan : Surely, Rohit, on this project, both are, like I said, margins look to be very effective. Once the project is getting commissioned and we start getting the benefit and we stabilize that, because both these businesses, we are going first time. Once we complete and we start realizing the benefit and we stabilize on that operation, we will look at the opportunity of expanding.

Rohit Sinha: Got it. One last question, just from the China angle, how has been the import in the recent time and given the current situation in China, how we are looking at the situation going forward with imports being competitive to us?

R. S. Jalan : At this point of time, like I said in the opening remarks, the imports have significantly come down in the last quarter. And we are hoping that because of this elevated freight cost, supply chain delays, the customers are also kind of preferring to have domestic production or domestic supply. I think it looks to be that if the geopolitical situation continues to be the way it is, imports will be on the lower side. But another good part is the demand growth in India is also significantly better. Like I said, last year the growth was significantly better, almost around 6% growth. And hopefully this year also the growth will be there, led by this solar glass and all those things.

Rohit Sinha: Okay. So, overall, what kind of volume growth would we be looking at for FY27 in the soda ash?

R. S. Jalan : Basically, like I said, the volume growth per se will be there when we are producing 100% of our

production. In terms of the volume

growth, it may not be very significantly higher, but this may have a better outlook on the pricing side.

Rohit Sinha: Got it. And what pricing has been changed from last quarter, I mean, from Q3 to Q4 and post-March. If at all you can share the numbers?

R. S. Jalan: As I said, Rohit, like whatever the cost increase which has happened, that has been kind of fully been able to pass on to the customers. So, obviously the price escalation has happened, but on the other side, the cost has also gone up.

Rohit Sinha: Fair enough. That is it from my side. Thank you.

Moderator: The next question is from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and apologies if I am asking the question again because I missed the first 10, 15 minutes commentary. So, in terms of cost escalation, what kind of cost increase we have seen

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both in terms of say raw material and from the operating cost perspective because of increase in coal cost as well as lignite cost? Thank you.

R. S. Jalan: Rohit, as you rightly said, on the cost side there are two costs where the cost had gone up. On one side is the limestone. Limestone as you know the industry is importing from the Middle East where the cost had gone up and the second is energy cost. So, these are the two costs primarily of course there are some others like packing materials and other cost has also gone up. But this cost has gone up. However, like I said, we have sufficiently covered in terms of our inventory and therefore supply disruptions we are not seeing in that. Of course, the number will be getting reflected at this point of time. I would say that the energy prices which is more of a coal on the index, it has gone up from \$120 to roughly around \$136, approximately I am giving the number which is a very volatile number. It changes on a day-to-day basis. On the limestone, the supply chain cost has gone up, the freight from Middle East has gone up. These are the two major impacts which is happening.

Rohit Nagraj: Got that, sir. What has been the increase in terms of the logistic cost if you could give us a per metric ton because I think that could be one of the elements where if the imported prices go up and if we are able to pass on or rather wet our prices based on the import parity, then we may have some chance of increasing the domestic prices, so just to get a perspective, what is the absolute increase in terms of per metric ton cost of soda ash imports which has gone up?

R. S. Jalan: Rohit, two things. You know that the soda ash is getting imported from many parts of the world. Okay something is coming from US, something is coming from Turkey, something is coming from China. Everywhere has a different supply chain cost. But the important part in this whole piece is even the rupee/dollar, as you know, rupee has depreciated. Both these put together there is a kind of a substantial increase. And second is the supply chain disruption itself. So, probably all these three factors had led to... domestic industry had been able to kind of pass on the cost pressure because of this increase in the cost to the customers.

Rohit Nagraj: Sure. Fair enough. Just one last clarification from an industry perspective. We heard from the competitor that there have been certain capacities which have been shut down in different parts of the world. So, could you give us any broader understanding of the same and whether that will also be an element for incremental increase in the soda ash prices? Thank you.

R. S. Jalan: As you rightly said, in terms of one of the US facility has been kind of a mothball, okay, which is roughly 1.3 million tons. In China also there are a lot of maintenance activities are being taken. As I said in my opening remarks, China is seeing the heat of cost pressure on the synthetic soda ash. And I have said in my opening

remarks that a lot of financial stress are being felt by the Chinese producers.

But the meaningful supply reduction in China which is more of a synthetic soda ash is some time

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away. This will happen. But as you know that in the last three years majority of the new soda ash capacity has happened in China which is Inner Mongolia. At this point of time obviously supply is more than the demand.

Rohit Nagraj: Right. Got it. And just a last clarification, in terms of the Inner Mongolia capacity, is it being fully now operational and what is the full capacity as of now in terms of production?

R. S. Jalan: In terms of the total fully operational and I think last year they have added approximately around 2.5-million-or-3-million-ton capacity they have added and overall it is around 13 million of the total.

Sorry, 7 million tons of capacity in Inner Mongolia has happened.

Rohit Nagraj: Sure. That is all from my side. Thanks a lot and all the best.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & company. Please go ahead.

Saket Kapoor: Thank you sir for this opportunity. First of all thank you for also amending the dividend distribution payout to your investors from 15% to 25% and maintaining the absolute number at INR 12 per share.

We hope the same get cleared through the AGM part. But kudos to the team, the KMPs and the board

of directors for considering the same. Now, firstly with respect to the capital work -in progress closing balance, we find the closing balance at INR 450 crores. So, if you could just explain, are these mainly attributable to the bromine and the vacuum salt project or what portion will get capitalized in the first quarter itself?

R. S. Jalan : As you rightly said, this capital work -in progress is primarily driven by the vacuum salt and the bromine project. And once the project gets commissioned, like I said, in the first quarter this both will be capitalized, around INR 300 crores will be from this account. Balance, there are some other projects like a pipeline project and all those things and that will also get commissioned the moment this project is completed. I think this year probably that project also will get commissioned.

Saket Kapoor : That pipeline is also pertaining to our existing facility only, sir?

R. S. Jalan : Yes.

Saket Kapoor: As you mentioned to the earlier participant that the additional revenue from the bromine and the vacuum salt project for the current Financial Year '26-27 is approximately INR 120 crores?

R. S. Jalan : Correct.

Saket Kapoor: At what utilization levels are we concluding with this figure of INR 120 crores?

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R. S. Jalan : Gradual increase will be there as you know that the project will get commissioned now in the month of May, June, after that the gradual expansion will happen, and end of the year we will be running at a full capacity.

Saket Kapoor: Correct sir. INR 120 crores represent what percentage of utilization level ramped up till the end of this financial year?

R. S. Jalan : I said that the peak numbers will be INR 170 crores.

Saket Kapoor: I missed that. So, INR 170 crores will be the peak capacity at full utilization levels?

R. S. Jalan : Correct.

Saket Kapoor : When we look at our EBITDA margin trend, I think so in the presentation you people have very well-articulated that our averages have been above of 26%, 27%. And now with the vagaries of the lower realizations and the other dumping aspect we are now trending in 22 to 23 sub-levels. So, what should be the likelihood of the EBITDA margin trend with your opening commentary wherein you have articulated that things look positive going ahead, how should this line-item shape up for the current financial year?

R. S. Jalan : First and foremost, like I said in my opening remarks also, the market is so volatile, you know that

because of the geopolitical situation completely uncertainty. How does this shape up going forward?

Nobody knows about it. I think in the month of February we did not know that this geopolitical crisis will happen. But having said that there are two things which are very important I want to highlight.

What we have in our control we have done a remarkable job on the cost side, best efficiencies, best-in-class of raw material consumption norms and so on and so forth. So, that is one part of it. The second part is at this point of time when we stand and the way this geopolitical situation on one side the costs are also getting increased. On the other side the realization is also getting increased. So, overall per se at this point of time slightly it will be more neutral to kind of a little bit of a positive side. But how this will shape up in the next month we do not know right now.

Saket Kapoor: Okay. For the sodium bicarbonate part of the story, I think so we did some CAPEX in doubling our capacity there. How are the utilization levels and the demand outlook for sodium bicarbonate shaping up?

R. S. Jalan : This year our volume of sodium bicarbonate has also grown up. And we are expecting that the next year also it will be growing up. Almost around I would say 80%, 85% kind of a utilization we have been able to achieve in the sodium bicarbonate. And hopefully the way we are looking at the demand probably this number will be slightly better in the coming years '26-27.

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Saket Kapoor: In your presentation also this was mentioned that we are more moving towards the glass utilization levels in the country as a whole and hence the requirement for dense soda ash would be higher. So, what proportion of our sales mix is dense versus the light soda ash mix?

R. S. Jalan : As you rightly said Saket ji, the trend is more towards the growth in the glass sector, particularly led by the solar glass. Right? So, at this point of time approximately our capacity was around 50% to 55% is the capacity which is of glass and 50% is approximately around on the detergent side.

Saket Kapoor: We have heard from your competitor that they are making some changes and upping their dense soda ash facility in the times to come. So, taking into account do that kind of canvas or landscape work for us also that going ahead we will be also doing the same thing or we are comfortable with this mix in terms of the demand out?

R. S. Jalan : See, first and foremost, we have done very successfully without any major capital expenditure. We have expanded our soda ash production which used to be around 40%, now around 55%. And our endeavor going forward will be from the existing assets what we have, we expand the production

itself on that and hopefully we will be able to improve upon . That will be sufficient at this point of time.

Saket Kapoor: Okay . This ratio will improve , that is what you are conveying from 55% ?

R. S. Jalan : Now we are trying to increase it to more number.

Saket Kapoor: To higher numbers going ahead ? Right. Sir, the last point is for Raman sir, when we look at our cash flow there is INR 7 crore s I think so loss from the subsidiary part. So, what will that attribute to sir? 6.6 crores to be precise .

Raman Chopra: In fact this is the income which we were receiving from the sale of assets at subsidiary. So, at a standalone basis that income was reflected in the standalone numbers. So, when you consolidate because it is your subsidiary that gets knocked off. So, once I say payout on another side, this is an income . There is no negative on the consol basis from that aspect. So, it is just an accounting treatment which is there. So, the income has been recorded in a standalone basis. I hope I have been able to clear that.

R. S. Jalan : This is income only of INR 7 crores which has come from the subsidiary. But while consolidating , this gets knocked off. And because of that you do not see that there.

Raman Chopra: There is no loss.

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Saket Kapoor: Right . Sir, I am joining the queue . And all the best to the team sir for the good work done.

Moderator: The next question is from the line of Ojas Singh from CelestialCrest Capital. Please go ahead.

Ojas Singh : Just one more question. I just wanted to know what was your rationale behind that INR 300 crore buyback? Were you seeing the stock price being say undervalued ?

R. S. Jalan : I do not think I will be able to comment on whether I see the underpricing or things like that. Our purpose was to kind of reward the shareholders and that was the rationale behind that . Pricing, whether undervalued or not , investors to kind of decide.

Ojas Singh : Thank you. That was my last question.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor : A small addition. In terms of this anti -dumping duty and the safeguard duty part , where are we currently? Have we filed fresh applications for the same and any updates that you can share on the same ?

R. S. Jalan : So, far as the anti -dumping is concerned I think in the last call I have kind of updated , it has been recommended , gone to the finance minister and that no decision has been taken at the finance ministry. And at this point of time assuming that they are not considered this favorably . Now we have filed another application which is the quantitative restriction under the safeguard . That is under investigation and that is under the process , that will take some months of time to kind to finally come to a conclusion. Once that happens we will come back to the shareholders for update on that.

Saket Kapoor : Correct, sir. Right sir. That was a closing remark. Thank you , sir.

Moderator: Thank you . Ladies and gentlemen , as there are no further questions from the participants, I now hand the conference over to management for closing comments.

R. S. Jalan : Thank you very much and thank you to all the stakeholders and shareholders about the continued support. Like I always said in my comment that we are trying to do on our part which is in our control , and as I said over a period of time we have been able to bring a lot of efficiency, lot of cost optimization and because of that we are one of the lowest cost producers at this point of time in this space . Of course for two, three years soda ash prices are under pressure , but any opportunity of an increase in the outlook of the soda we will be the first one to kind of get an advantage of that. So, we

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will continue to do what is in our control and try to deliver the performance on that basis. Thank you very much for your support.

Moderator: Thank you . Ladies and gentlemen , on behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.